Case No: QBCMI 97/1391/3

IN THE SUPREME COURT OF JUDICATURE
COURT OF APPEAL (CIVIL DIVISION)
ON APPEAL FROM QUEEN'S BENCH DIVISION
MR JUSTICE CLARKE

Royal Courts of Justice
Strand, London, WC2A 2LL
Date: 4.12.98

B e f o r e :

LORD JUSTICE HIRST
LORD JUSTICE AULD
and
LORD JUSTICE ROBERT WALKER

- -

THREE RIVERS DISTRICT COUNCIL & OTHERS — Appellants

- and -

GOVERNOR & COMPANY OF THE BANK OF THE ENGLAND — Respondent

- - - - - - - - - - - - - - -

(Transcript of the Handed Down Judgment of
Smith Bernal Reporting Limited
180 Fleet Street, London, EC4A 2HD
Telephone No: 0171-421 4040
Fax No: 0171-831 8838
Shorthand Writers to the Court)

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Lord Neill QC, Mr D.Vaughan QC, Mr R.Sheldon QC, Mr R.Dicker and Mr D.Dowley (instructed by Messrs. Lovell White Durrant) appeared on behalf of the Appellants
Mr N.Stadlen QC, Mr P.Lasok QC, Mr M.Philips, Mr B.Thanki, Mr R.Thompson and Mr B.Valentin (instructed by Messrs. Freshfields) appeared on behalf of the Respondent.

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Introductory sketch

This is the joint judgment of myself and Robert Walker LJ, to which we have both contributed.

This is an appeal (with the leave of the Judge) from an order of Clarke J. made on 2 October 1997. The order struck out the plaintiffs' re-amended statement of claim and dismissed the action. It also made declarations which reflected the Judge's three successive judgments (delivered on 1 April 1996, 10 May 1996 and 30 July 1997). The first two of those judgments (reported at 1996 3 AER 558 and 634) dealt with three preliminary issues of law which had been directed by the Judge's order of 19 July 1995. The third judgment considered various further amendments to the plaintiffs' statement of claim which had been proposed, and concluded (on the assumption that the earlier judgments were correct) that the plaintiffs' claim was bound to fail, and should be struck out.

The plaintiffs (the appellants in this court) consist of over 6000 persons from all over the world who were depositors with United Kingdom branches of Bank of Credit and Commerce International SA (BCCI SA) together with BCCI SA (in liquidation) as equitable assignee of the depositors' claims. The defendant (the respondent in this court) is the Governor and Company of the Bank of England (the Bank). As is notorious, BCCI SA and its associated companies collapsed in July 1991 with huge deficiencies, much of which resulted from fraud on a very large scale. As Lord Justice Bingham said in the published summary of the report of his inquiry (the Bingham report) , paragraph 2.3,

> "The systematic frauds now thought to have been practised in BCCI were on a scale which had never been known before".

BCCI SA was incorporated in Luxembourg, as was its holding company. The other principal company in the group, Bank of Credit and Commerce Overseas Ltd ("Overseas") was incorporated in the Cayman Islands. In this judgment we will use 'BCCI' to refer to the group or its managers generally, in contexts where it is unnecessary or inappropriate to refer to any particular group company. No group company was incorporated in any part of the United Kingdom. Nevertheless BCCI SA carried on a large-scale business as a deposit-taker in this country, and after a few years it became clear that its principal place of business was in London. Responsibility for supervision of its activities in this country was borne by the Bank (concurrently in some respects with the regulatory authorities in Luxembourg) under the Banking Acts of 1979 and 1987, which are referred to further in section II below.

The first plaintiff Three Rivers District Council (a local authority which made deposits with BCCI SA) and its co-plaintiffs other than BCCI SA itself commenced proceedings by a writ issued on 24 May 1993. BCCI SA was not joined as a claiming plaintiff until 30 November 1994, and then only after interlocutory skirmishing which reached this court (1995 4 AER 312). The plaintiffs' essential claim was for damages for the tort of misfeasance in public office.

On 19 July 1995 the Judge directed that the following questions (as later reformulated) should be tried as preliminary issues, on the assumption of the truth of the facts pleaded in the re-amended statement of claim:

(1) Is the defendant capable of being liable to the plaintiffs for the tort of misfeasance in public office ?

(2) Were the plaintiffs' alleged losses capable of being caused in law by the acts or omissions of the defendant ?

(3) Are the plaintiffs entitled to recover for the tort of misfeasance in public office as existing depositors or potential depositors ?

These are the first, second and third preliminary issues referred to in the three judgments which resulted in the order under appeal. The Judge's conclusions on these preliminary issues, and the further hearings leading up to the judgment of 30 July 1997, are summarised in section IV below. The issues on the appeal (as they appear from the plaintiffs' lengthy notice of appeal and the Bank's even lengthier respondent's notice) are summarised in section V below.

Before coming to those matters, however, it is necessary to give a brief outline of domestic and European legislation relating to banking supervision (section II) and the rise and fall, between 1972 and 1991, of BCCI SA and its associated companies (section III). This outline of the history will have to be filled in with more detail at a later stage. It is heavily indebted to the Bingham report, although the extent to which either party can rely on what that report says about controversial issues is a point to which it will be necessary to return.

II

Banking regulation

Until the enactment of the Banking Act 1979 (the 1979 Act) there was no formal and systematic regulation of banking in the United Kingdom. Regulation and supervision depended on the Bank's informal influence and on a disparate collection of statutory provisions, including Schedule 8 to the Companies Act 1948, under which banks recognised by the Board of Trade and the Bank obtained certain accounting privileges. The secondary banking crisis of 1973 - 4 was one matter prompting legislative activity in this area ; another was the impact of what is now the European Union (EU, which we use to include EEC and EC).

The 1979 Act was preceded by a White Paper in 1976 and also by the First Council Banking Co-ordination Directive of 12 December 1977, 77/780 (the 1977 Directive). The 1977 Directive was the first important step taken by the EU on the road to creating a common market in banks and other credit institutions. That is common ground between the parties, but there is acute controversy as to whether the 1977 Directive conferred any (and if so what) directly enforceable rights on depositors. The plaintiffs rely particularly on Articles 3, 7 and 8, which are in Title II (Credit institutions having their head office in a Member State and their branches in other Member States). Article 3 begins as follows :

> "1. Member States shall require credit institutions subject to this Directive to obtain authorisation before commencing their activities. They shall lay down the requirements for such authorisation subject to paragraphs 2, 3 and 4 and notify them to both the Commission and the Advisory Committee.
> 2. Without prejudice to other conditions of general application laid down by national laws, the competent authorities shall grant authorisation only when the following conditions are complied with:
> - the credit institution must possess separate own funds,
> - the credit institution must possess adequate minimum own funds,- there shall be at least two persons who effectively direct the business of the credit institution.
> Moreover, the authorities concerned shall not grant authorisation if the persons referred to in the third indent of the first subparagraph are not of sufficiently good repute or lack sufficient experience to perform such duties"

Paragraphs 3 and 4 of Article 3 contain further provisions relating to authorisation, including (Article 3(3)(d), first indent) the security of savings as one of the aims of the general criteria for authorisation. Article 6 also refers to the protection of savings. Article 7 requires the competent authorities of the Member States concerned to collaborate closely in the supervision of credit institutions with their head offices in one Member State and their branches in another. They are to supply one another with information needed to facilitate supervision and monitoring of liquidity and solvency. Article 8 deals with the circumstances in which the competent authorities may withdraw an authorisation already granted. These include (Article 8(1)(c) and (d)) circumstances in which the institution no longer fulfils the conditions for authorisation, or no longer possesses sufficient own funds or can no longer be relied on to fulfil its obligations to its creditors.

The 1979 Act gave effect to the 1977 Directive, but went further than the 1977 Directive required in establishing a new statutory system of banking supervision in the United Kingdom. The 1979 Act drew a distinction between banks (which might be recognised under section 3(1) if satisfying the criteria in Schedule 2, Part I) and deposit-taking institutions (which might be licensed under section 3(2) if satisfying the criteria in Schedule 2, Part II). In order to be recognised as a bank an institution had to provide either a wide range of banking services or a highly specialised banking service. It had to enjoy a high reputation and standing (Schedule 2, Part I, paragraph 1); its business had to be carried on with integrity, prudence and professional skill (paragraph 3); the business had to be effectively directed by at least two individuals (paragraph 4 - the "four eyes" criterion) ; and it had to have and maintain net assets to a specified minimum value (paragraph 5). The criteria for licensing a deposit-taking institution were comparable but in some respects less stringent, including (Schedule 2, Part II, paragraphs 7 and 10) the requirement that every director, controller and manager should be a fit and proper person and that the business should be conducted prudently. "Controller" was widely defined so as to include anyone who (alone or with associates) had 15 per cent of the voting power over an institution. Section 3(5) provided -

> "In the case of an institution whose principal place of business is in a country or territory outside the United Kingdom, the Bank may regard itself as satisfied that the criteria in paragraphs 3 and 6 of Schedule 2 to this Act or, as the case may be, paragraphs 7 and 10 of that Schedule are fulfilled if-
> (a) the relevant supervisory authorities inform the Bank that they are satisfied with respect to the management of the institution and its overall financial soundness; and
> (b) the Bank is satisfied as to the nature and scope of the supervision exercised by those authorities."

Section 4 required the Bank to make an annual report listing recognised and licensed institutions and stating the principles on which the Bank was acting. Section 36 prohibited any person who was not a recognised bank (or within other limited exceptions) from using banking names, but s.36(8) largely lifted that prohibition for a licensed institution with its principal place of business outside the United Kingdom. The 1979 Act gave the Bank powers to revoke recognition or a licence (ss. 6 - 8); various investigative powers (ss. 16 - 17); and the ultimate sanction of a winding-up petition (s. 18). Part II (ss. 21 ff) established a funded deposit protection scheme. In order to perform its functions under the 1979

Act the Bank formed, in March 1980, a new Banking Supervision Division (BSD). Mr W.P.Cooke became its first head, with Mr Brian Gent as his deputy.

The system of banking supervision introduced by the 1979 Act was within five years tested and shaken by the failure of Johnson Matthey Bankers Ltd. The Bank mounted a rescue operation which was in part financed by the Bank itself. This serious failure led to various committees, a new White Paper and a new statute, the Banking Act 1987 (the 1987 Act). Meanwhile in 1983 the Basle Committee of central bank governors, following the failure of the Banco Ambrosiano, reached the so-called Basle Concordat of 1983 as to the supervision of foreign establishments of international banks. It is not necessary to go into the details of the Concordat but it is another element in the history of the matter.

The 1987 Act repealed and replaced the 1979 Act almost in its entirety. In place of the previous dual system of recognised banks and licensed deposit-takers it established a single system of authorisation of deposit-taking institutions (Part I) but reinforced by restrictions on the use of banking names which in practice preserved at least some trace of the dual system (Part III). The deposit protection scheme was enlarged and continued (Part II). The Bank was (s. 1(1)) to "have the powers conferred on it by this Act and the duty generally to supervise the institutions authorised by it in the exercise of those powers", and also (s.1(2)) to have the duty "to keep under review the operation of this Act and developments in the field of banking which appear to it to be relevant to the exercise of its powers and the discharge of its duties". Section 1(4) contained an immunity which is of importance to this case and goes a long way to explaining why the plaintiffs have undertaken the arduous burden of seeking to prove misfeasance in public office :

> "Neither the Bank nor any person who is a member of its Court of Directors or who is, or is acting as, an officer or servant of the Bank shall be liable in damages for anything done or omitted in the discharge or purported discharge of the functions of the Bank under this Act unless it is shown that the act or omission was in bad faith".

The Bank was required (s. 2) to establish a committee to be known as the Board of Banking Supervision, with three ex officio members and six independent members. The immunity in s.1(4) extended to each member of the Board.

The minimum criteria for authorisation were set out in Schedule 3 to the 1987 Act. For an institution not incorporated in the United Kingdom there were five basic requirements : (i) every director, controller and manager was to be a fit and proper person ; (ii) the “four eyes” requirement ; (iii) the institution’s business was to be conducted in a prudent manner ; (iv) it was to be carried on with integrity and professional skill ; and (v) the institution had to have net assets of at least £1m. Section 9 provided for the grant or refusal of authorisation and section 9(3) was in the following terms , reproducing s. 3(5) of the 1979 Act,

> "In the case of an application by an applicant whose principal place of business is in a country or territory outside the United Kingdom the Bank may regard itself as satisfied that the criteria specified in paragraphs 1, 4 and 5 of [Schedule 3 - points (i), (iii) and (iv) above] are fulfilled if -
> (a) the relevant supervisory authority in that country or territory informs the Bank that it is satisfied with respect to the prudent management and overall financial soundness of the applicant; and
> (b) the Bank is satisfied as to the nature and scope of the supervision exercised by that authority."

In Part III (Banking names and descriptions) s. 68(5) corresponded to s. 36(8) of the 1979 Act, but the effect of s. 68(3) was to permit BCCI SA (as an institution incorporated and carrying on business, albeit on a small scale, in Luxembourg) to call itself a bank when carrying on business in the United Kingdom.

It is to be noted that several years before the coming into force of the 1987 Act the Bank (in the person of Mr Gent) had become satisfied that BCCI SA’s head office was at its London premises, 100 Leadenhall Street (see his memorandum of 15 July 1983). It seems likely (although it is not common ground) that Mr Gent was right in his view, and that a bank's head office (as the effective centre of management control of its business) was to be equated with its principal place of business. The implication is that s. 3(5) or s. 36(8) of the 1979 Act did not apply if (as seems likely) the office at 100 Leadenhall Street was the head office when BCCI SA was first licensed. However the transitional provisions of the 1987 Act made it unnecessary for BCCI SA to make a fresh application under the 1987 Act.

Section 11 of the 1987 Act dealt with the revocation of authorisation. The Bank had power to revoke the authorisation of an institution in any of the five sets of circumstances set out in s. 11(1), of which the first (in paragraph (a)) was that it appeared to the Bank that "any of the criteria specified in Schedule 3 to this Act is not or has not been fulfilled, or may not be or may not have been fulfilled, in respect of the institution". Section 11(1)(e) referred to the interest of depositors or potential depositors being threatened in any other way. Sections 16 and 17 (statement of principles and annual list), 40 (information), 41 (investigation) and 92 (winding-up) corresponded to sections 4 and 16 - 18 of the 1979 Act. Section 47 was a new provision enabling a bank auditor to act as a 'whistle-blower' to the Bank despite any duty of confidentiality. Section 107 and Schedule 5 contained transitional provisions.

When BCCI SA was first incorporated in 1972 the regulatory authority in Luxembourg was the Commissariat au Controlle des Banques or Luxembourg Banking Commission (LBC), which in May 1983 became the Institut Monetaire Luxembourgeois (IML). As the business of the BCCI group grew in volume and geographical extent the LBC/IML made no secret of its inability to exercise effective supervision over a world-wide group whose presence within Luxembourg was little more than nominal.

The 1977 Directive was followed by other directives, the most important of which are listed in paragraph 436 of the Bank's written submissions. In particular, the Second Banking Co-ordination Directive 89/646 EEC (the 1989 Directive) aimed at a "passport" approach under which a bank authorised in one Member State could open a branch or carry on banking business in another Member State without further authorisation. However the period for compliance by Member States with the 1989 Directive expired only on 1 January 1993.

III

The rise and fall of BCCI

BCCI SA was incorporated in Luxembourg on 21 September 1972. The moving spirit behind its formation was Mr Agha Hassan Abedi. He was a Pakistani with considerable banking experience (he was ex-president of United Bank of Pakistan) and he had attained a position of considerable influence in the Gulf region. In particular, he enjoyed the confidence of members of the ruling house of Abu Dhabi. He also had the support of Bank of America, a very large and respected American bank, which was a minority shareholder in BCCI SA (and, later, its holding company) until Bank of America decided on a policy of divestment which was carried into effect between 1978 and 1983. The largest shareholder was initially a Liechtenstein company called International Credit and Investment Co Ltd, which was later replaced by two Cayman companies, International Credit and Investment Co (Overseas) Ltd and its holding company, ICIC Holdings Ltd. In this judgment these three companies are referred to collectively as ICIC, except where differentiation is necessary. There was at every stage a great deal of mystery about the true owners of ICIC. The other shareholders in BCCI SA were mostly individuals resident in or connected with the Gulf region, including some other former employees of United Bank of Pakistan.

Even before the incorporation of BCCI SA Mr Abedi approached the Bank about his plans for it to open a branch in London, and the Bank did not discourage him. The first branch was opened in London in December 1972 and the business grew rapidly, with many new branches being opened. Within ten years the number of branches in the United Kingdom grew to 45, employing over 1500 staff. There was comparable growth in other parts of the world, especially the United Arab Emirates and

Hong Kong. The office in Luxembourg remained modest and never had the staff or resources to act as head office of a world-wide banking group.

In 1974 a Luxembourg holding company, Bank of Credit and Commerce International Holdings (Luxembourg) SA (BCCI Holdings) was incorporated in Luxembourg. It was not itself a banking company. BCCI SA became its wholly-owned subsidiary. In 1975 Overseas was incorporated in the Cayman Islands as another wholly-owned subsidiary of BCCI Holdings. Overseas opened its first branch in the United Kingdom in 1976. BCCI Holdings had other subsidiaries which do not call for detailed mention.

Bank of America did not participate directly in the management of the BCCI group's business (apart from the secondment of three of its staff as advisers) but it conducted regular credit examinations. A Bank of America credit examination report on the BCCI group, relating to an examination conducted between 3 October and 25 November 1977, shows that at that time Bank of America held (through two of its subsidiaries) 30 per cent of the issued capital of BCCI Holdings ; ICIC held 50.1 per cent ; most of the remainder was held (sometimes through nominees) by or for members of the Abu Dhabi ruling house and other individual shareholders. The balance sheet as at 30 September 1977 showed assets of $2.084bn and shareholders' funds of $59m. The report recommended provisions in respect of classified loans of $16m. The Gulf group controlled by the Gokal brothers was already a substantial borrower.

On 27 February 1978 Mr J.E.Vaez, a national bank examiner with the United States Comptroller of Currency, made an internal report predicting that Bank of America would decide to disengage itself from BCCI. His report was in some ways critical of the group's management and drew attention to "borrowing relationships which exhibit substantial concentrations, such as the Gokal group of companies (with commitments exceeding $185m)". The report concluded,

> "It is the undersigned's opinion that the BCCI modus operandi is so incongruous to the Bank of America's management philosophy that Bank of America is painfully aware of its risk exposure and most certainly would expedite the disposition of this investment to terminate this potentially hazardous investment."

In fact the decision had already been taken, and on 23 December 1977 ICIC had agreed to purchase in tranches Bank of America's shareholding in BCCI Holdings, with Bank of America lending funds to ICIC in order to finance the purchase.

Mr Abedi did not promptly inform the Bank of the divestment by Bank of America. The Bank heard the news in February 1978 from Bank of America. This news, and the fact that it had not been communicated sooner by Mr Abedi, caused the Bank concern. Mr Cooke (the Bank's Head of Banking Supervision) wrote on 17 February 1978 to Mr Naqvi (who headed the Treasury and Group Co-ordination Division) expressing that concern (it may be thought, in rather mild terms) and repeating misgivings about the group's rapid expansion and unconventional structure. That was one of the reasons why nothing came of proposals (put forward and discussed during 1977) for the incorporation in a new United Kingdom company of the businesses carried on in this country by BCCI SA and Overseas. (At the end of 1978 Overseas transferred its United Kingdom branches to BCCI SA and ceased carrying on a separate business in this country). There is no reason to suppose that the Bank saw the Vaez report at that time. There is some evidence that the Bank was told that Bank of America was "very positive" about BCCI, despite its decision to disengage. Bank of America's candid view may have approximated to that expressed by Mr Laurens W.A.Poort, an Assistant Vice President who headed the credit examination in the autumn of 1977. In his report dated 12 December 1977 to Bank of America world headquarters in San Francisco he wrote,

> "Before reading the report, it is essential to keep one point firmly in mind : the BCCI organisation is a Middle Eastern bank in management philosophy and will, in our opinion, never be like our bank in its approach to credit. Reliance is placed on personal contacts and personal knowledge of customers ; financial statements and loan

> agreements are of secondary importance.
>
> The senior management of BCCI is a group of highly-motivated, extremely hard-working and very intelligent group of men. Mr A.H.Abedi has a real talent for leadership and the officers of the bank are thoroughly imbued with the concepts of hard work, customer service and rapid growth. All of these are positive factors, offset, in our opinion, by the lack of an effective system of loan reporting and documentation."

Later in the report he referred to the very high concentrations of risk, including the Gulf group, as dangerous. Again, there is no reason to suppose that the Bank saw this report at the time.

There was a meeting at the Bank on 9 March 1978 attended by Mr Cooke and Mr Gent on behalf of the Bank and Mr Abedi, Mr Naqvi and Mr Kemal Shoaib (the U.K. General Manager) on behalf of BCCI SA. Mr Shoaib's note of the meeting shows that the Bank was at that stage firmly against the incorporation of the business within the United Kingdom ; and that it was asking for information about the shareholders and balance sheet of ICIC.

That was the background to the application made to the Bank by BCCI SA for recognition as a bank under the 1979 Act. The application was made on 1 October 1979, the day on which the relevant provisions of the 1979 Act came into force. On the application form BCCI SA stated against 'principal place of business' -

> "The bank has substantial operations in the United Kingdom and United Arab Emirates in addition to Luxembourg."

The Bank did not query this rather vague reply, nor did it take legal advice at that time as to the meaning of "principal place of business" in s. 3(5) and s. 36(8) of the 1979 Act. The application had been preceded by a letter dated 7 August 1979 from Mr Jaans of LBC, the primary supervisor under the Basle Concordat, stating that BCCI SA (and another group company which is not relevant) satisfied legal or recommended standards of solvency and liquidity, and that the conditions with regard to managerial competence and integrity were fulfilled. BCCI SA was therefore formally given a clean bill of health by its home regulator. However the plaintiffs contend that there is more to it than that. They point out that paragraph 2.12 of the Bingham report refers to LBC finding it impossible to supervise BCCI SA from Luxembourg during the period 1977 - 9. They also point to a visit which Mr Cooke and Mr Gent made to Luxembourg on 2 May 1980 (that is, between the dates of the two decision letters mentioned below) and suggest that LBC's anxieties would have been aired at that meeting.

Paragraph 2.21 of the Bingham report sets out Lord Justice Bingham's summary of the positive and negative factors that may have been taken into account by the Bank in considering BCCI SA's application. Two of the most important negative factors (and they are a theme running through the whole history) were the opacity of the BCCI group structures and the uncertainty as to its true beneficial ownership. The Bank's decision (communicated by Mr Cooke in letters dated 28 March 1980 and, after further representations had been considered, 19 June 1980) was that BCCI SA should not be recognised as a bank but should be licensed as a deposit-taker. The letter of 28 March 1980 stated the Bank's opinion that BCCI SA did not then enjoy the high reputation and standing required for recognition as a bank. It contained the following passage,

> "In the light of assurances received from the supervisory authorities in Luxembourg the Bank is satisfied about the company's present financial position but in view of the shareholding structure and reliance for a significant part of its funds on relatively few individual sources there remain doubts about its ability to withstand sustained pressures should they arise."

The letter of 19 June 1980 (after the Bank's visit to Luxembourg) said that the Bank did not feel it appropriate to be guided by the decisions of other authorities in deciding whether to grant recognition as a bank. It went on to refer to discussions in which BCCI SA's management had taken a constructive approach (these were discussions about the incorporation of the United Kingdom businesses, another recurring theme). It referred to the rapid growth of business in the following terms,

> "You stated your belief that the rapid growth of the group since its formation should be seen as a measure of strength and quality of management. The Bank believe that, for a banking operation, building up confidence amongst the community at large is a process

> requiring skill, judgment and patience and is unlikely to be achieved quickly. Clearly rapid growth demonstrates confidence amongst those who deal with an institution but there is a natural caution, deriving from experience over a long period, in the judgment of the financial community about a banking institution which grows particularly quickly."

Full discussion of the competing submissions as to the merits of the Bank's decision to grant a licence must be deferred until later in this judgment. The purpose of this summary is to note the salient events and the crucial documents on which the parties rely.

Documentary evidence from the Bank's own files (obtained by the plaintiffs under RSC O. 24 r. 10) shows that Mr Gent, Mr Cooke's deputy in the BSD, had serious and growing concerns about BCCI and the Bank's position in regard to it. The earliest document of that type before the court is a memorandum dated 9 June 1982, but the Bingham report (paragraph 2.35) refers to "a series of minutes, beginning as early as September 1980". The memorandum was addressed to Mr Cooke. It referred to BCCI SA's renewed request for full recognition as a bank. Mr Gent gave reasons why the application might be difficult to resist, and referred to the risk of an appeal. Nevertheless he expressed the view that it was impossible to be sure that adequate provisions in respect of problem loans were even then in place, despite the views of Ernst & Whinney (then BCCI SA's auditors). He described the group's world-wide spread and commented,

> "The situation cries out for one supervisory authority to take a deep look at the whole group but who should do it?
>
> The Luxembourg location where the holding company and one of the main operating banks are both registered has always been something of a fiction because little business is transacted there. Although the UK region's footings represent only 17.5% of the group footings it is a fact that the Treasury function of the group is run from London and the senior executives are located there. In total staff numbers, UK accounts for about 1,500 out of a total of 6,300 world-wide. The terms of our Banking Act effectively make us the supervisory authority for any institution whose principal place of business is here and it is arguable that we ought therefore to be supervising the BCCI operation world-wide whereas at the moment we rely on assurances from the Luxembourg Banking Commission on the grounds that we are licensing the UK branches of a Luxembourg bank. It is of course the case however that we have carried out more intensive supervision than for other UK branches of overseas banks in acknowledgement of the special situation.

It is hard to see which other supervisory authorities in the world we could reasonably expect to take on BCCI. No other country with a sizeable operation (Luxembourg, UAE, Cayman Islands, Hong Kong, Nigeria) looks a credible candidate although in the long term Abedi has hopes of a sizeable US base which would encompass the Cayman operation."

The memorandum concluded with the view that Mr Abedi would pay whatever price the Bank set for recognition. Mr Cooke endorsed it with a manuscript note that future policy towards BCCI SA should be considered with the Governor at the end of August.

The next important document is a memorandum dated 15 July 1983 signed by Mr Gent, with further notes attached. It is not clear from those documents what progress had been made in the previous year, except that there is a reference to a visit made in May 1983 by officials of the Bank to BCCI SA's premises at 100 Leadenhall Street, which is stated to have confirmed that the mind and management of the BCCI group was effectively based there.

The memorandum of 15 July 1983 and its accompanying notes explained Mr Gent's concerns in clear and compelling terms. They referred to

> "an unacceptable position. If some version of the international co-operative effort suggested is not feasible I fear the Bank will have to grasp the nettle"

They acknowledged

> "that the principal place of business, rather than place of incorporation, is not Luxembourg. Administratively it is now unquestionably the UK even though the main source of business may be the UAE. This being so and, in the light of the Luxembourg authorities' admission that their resources are no longer up to the task of supervising SA's operations - the Bank is in a vulnerable position."

As to the soundness of the business the notes said,

> "What we know of the activities of SA in the UK, and the relatively little (through Abedi's visits) that we have gleaned about the Group as a whole, does not inspire confidence in the soundness of BCCI's world-wide operation."

Five particular areas of concern were noted. The notes continued,

> "The present arrangements are wholly unsatisfactory and it is not therefore considered an option to sit back and do nothing. This leaves two basic choices -
> (a) to try to have BCCI closed down, either world-wide or just the UK region;
> (b) to arrange for its supervision on a satisfactory basis."

The first alternative was rejected in the notes as neither practicable nor justifiable. The discussion of the other alternative rejected some possible rearrangements as cosmetic and concluded that for the Bank to take on overall responsibility would be the most practical choice. Then followed this comment,

> "Although, at first glance, this might appear a daunting and unwanted responsibility, we have of course played a leading role in discussions, particularly within the Basle Committee and in the EEC in relation to the concept of consolidated supervision. To be a leading advocate of this concept in international circles but to eschew the responsibilities involved in its practical application in a very necessary situation could lead to criticism or doubts about our sincerity."

On 19 October 1983 a paper written by Mr W.S.Lynas, an analyst in the BSD, was circulated to Mr Gent and others in the Bank. The paper referred in detail to the provisions of the 1979 Act and spelled out the consequences of BCCI SA's principal place of business being in the United Kingdom. Mr Lynas referred not only to s. 3(5) but also to s. 36(8) :

> "If the principal place of business of BCCI SA is in the UK, then of course it follows that, in accordance with s. 36(1) of the Act, BCCI are not allowed to use their present name !"

As well as drawing attention to these breaches Mr Lynas instanced other unsatisfactory aspects: the Bank's supervisory approach was deficient in several respects, including an inadequate understanding of ultimate ownership and control. Yet Mr Lynas concluded that in relation to the contraventions of s. 36 "there seems no practicable alternative to turning a blind eye." In the event these breaches, known to the Bank, continued unchecked until the breach of s. 36(8) was brought to an end by the coming into force of s. 68(3) of the 1987 Act.

The next document from the Bank's files is a memorandum dated 11 January 1984 which Mr Cooke sent to the Governor. It referred to BCCI SA's apparent progress and wish to achieve full recognition. It identified the most fundamental concern as the need to restructure the group so as to facilitate effective supervision on a world-wide basis. Incorporation in the United Kingdom, which had been ruled out by the Bank in 1978, was now again seen as the solution :

> "Arrangements currently being developed for consolidated supervision by Luxembourg ignore the reality that, with the group treasury located in London, the group's mind and management is in the UK and the market increasingly thinks of the group as UK - based. For all these reasons we have reached the conclusion that consolidated supervision of the BCCI group can most effectively be achieved by moving the incorporation of the holding company to the UK, so that consolidated supervision would be undertaken by ourselves."

The memorandum proposed that the matter should be raised in the Deputy Governor's Committee. The Governor approved the proposal.

About three months later, on 10 April 1984, there was a meeting at the Bank between Mr Cooke and Mr Abedi. The file note prepared by Mr Lynas records a long discussion covering BCCI SA's annual report for 1983 ; its management philosophy ; continuing activity by Overseas ; Hong Kong subsidiaries ; and group structure and supervisory problems. The file note suggests that Mr Cooke did not press hard for incorporation in the United Kingdom, describing it as not necessarily central. However he is also recorded as saying that restructuring and recognition were "closely related issues".

The file note does not indicate that there was any heated discussion. The Bingham report, on the other hand, states (paragraph 2.42) that

> "Abedi, usually compliant (at least overtly) and ingratiating, was on this occasion truculent and angry. The Bank's initiative, under consideration for nearly two years, thus fell at the first fence."

It adds Lord Justice Bingham's comment (paragraph 2.46) that in his view the Bank was "rather easily deterred".

Mr Cooke and some of his team met Mr Abedi, Mr Naqvi and Mr Faruqui (a legal adviser) on 26 June 1985. Various plans for restructuring were discussed, one involving an acquisition in the United States and another a shift of top management to United Arab Emirates. Mr Cooke wrote to Mr Abedi on 21 August 1985 and there was another meeting between them on 20 September 1985. At the meeting Mr Abedi floated the idea of "BCCI plc" being formed as a subsidiary of BCCI SA (rather than of BCCI Holdings).

On 9 December 1985 a team from the Bank visited 100 Leadenhall Street to form its own view about operations there. A note dated 17 December 1985 by Mr R.J.Walton, one of the team, gives a vivid picture of his own impressions :

> "There is no doubt in my mind that BCCI has centralised its management, control and operations in the City. This is a UK- based bank, with its White House encompassing two buildings fronting Leadenhall Street and three at the rear. There is absolutely no way that we should continue the pretence that Luxembourg are the prime supervisors. Luxembourg is prehistoric; Grand Cayman is a tax haven; and it is the Bank of England who are the lender of last resort. If UK incorporation of the UK branch network means the movement of the Treasury Support Organisation from London to Abu Dhabi, the Bank must encourage Abedi all the way. This surely is the only route to effective supervision.
>
> The atmosphere of family members in Leadenhall Street is unbelievable. Here in the heart of the City is the Corniche in Abu Dhabi with just a dash of East Africa. The only difference is space, smartness, elegance and, above all, devotion to the cause. Senior executives speak of BCCI as a family; the emphasis is very much on team spirit, rather than the brilliance of the individual. What else drives people to work six days a week, 9.30 to 7.30 with occasional Sundays off?"

Although Overseas was supposed to have discontinued any separate business activities in the United Kingdom by the beginning of 1978, its funds were pooled in the central treasury operations carried on at 100 Leadenhall Street (see paragraphs 9ff of Mr Walton's note of 17 December 1985). During 1984, 1985 and 1986 heavy losses were incurred on the treasury operations. Price Waterhouse

(PW), who were at that time the auditors of Overseas (but not of BCCI SA) were commissioned in October 1985 to review the treasury operations. PW were commissioned by BCCI SA at the instance of the IML; the Bingham report records that the Bank was apparently unaware of this. PW quantified the losses at the time at $285m. ($75m in 1984, $150m in 1985 and $60m in 1986; in the event they proved to be much larger). They were initially put down to inexperience and incompetence rather than fraud.

PW reported the losses to BCCI SA and to Ernst & Whinney in February 1986, and to the IML in March 1986. PW advised BCCI SA to inform the Bank of the losses, but it did not do so, and again the Bank heard bad news about BCCI SA late (in May 1986) and from another source (the IML). The Bank was extremely displeased and its dissatisfaction was conveyed by Mr Gent to Mr Abedi, Mr Naqvi and Mr Abidi (the new UK general manger) at a meeting at the Bank on 22 May 1986. Mr Abedi and Mr Naqvi apologised profusely and said that the losses had been caused by a deliberate overriding of their stop-loss procedures. They excused their silence by saying that they wanted to have detailed information and solutions available before they told the Bank of the problem. There was no discussion on that occasion of restructuring.

However various restructuring plans were being considered and discussed. On 21 October 1986 there was a meeting at 100 Leadenhall Street attended by Mr Gent and Mr Mallett of the Bank, Mr Abedi and Mr Naqvi. Mr Abedi announced the decision to relocate the treasury operation to Abu Dhabi on 1 November next. The decision had been arrived at for tax reasons. How far the decision was fully implemented is unclear. Mr Mallett commented in his file note that

> "This is another quite appalling example of BCCI failing to be straightforward with us."

The Bank's officials spelled out their requirements for the future of the United Kingdom operation. There must be a company incorporated in the United Kingdom and operating in accordance with an approved plan. Mr Mallett's file note concluded,

> "I made it clear to Abedi that I had not called on him to negotiate. We are going to fight every inch to secure the kind of structure and organisation that is acceptable to us and we need to look very carefully at the structural organisation of the UK company and its relationship within the central organisation retained in London and, perhaps more importantly, the precise role and operations of that central organisation. Mr Abedi is very clearly not going to give up London as the de facto if not de jure centre of his banking organisation."

In January 1987 the Governor of the Bank, Mr Robin Leigh-Pemberton, met Mr Jaans of IML at a conference in Brussels. Mr Jaans raised the possibility of the Bank taking over consolidated supervision of the BCCI group on the basis of incorporation in the United Kingdom. The Governor wrote to Mr Jaans on 10 February 1987 giving a rather non-committal answer in respect of what he referred to as "your problem". Mr Gent wrote a memorandum dated 23 February 1987 addressed to Mr Galpin (an executive director of the Bank) opposing incorporation in the United Kingdom and favouring incorporation in and supervision from United Arab Emirates. On 19 March Mr Jaans wrote to Mr Galpin a long and (in places) vividly-expressed letter explaining in detail how the problem of supervision of the BCCI group had grown and changed since 1971, when there was a much less stringent supervisory environment. He referred to the Basle Concordat with its basic division of responsibility between "parent" and "host" countries, but pointed out that the Concordat recognised special cases calling for ad hoc treatment. He wrote

> "In my mind there is no doubt that in those cases a notion like 'parental responsibility' cannot and should not have the usual content. Moreover I think it may be vital to make this point clear between supervisors and vis-a-vis the public; it is indeed vital to avoid self-delusion by trying to force reality into a corset of concepts which does not fit."

Mr Jaans made clear that the IML was not able to carry out the responsibility of consolidated supervision. He wrote,

> "With something between 1 and 2 per cent of the group's business being booked and funded in Luxembourg, I do not feel that we have a prime vocation to do the job of consolidated supervision, even if we have the means to do that, which we have not, of course. Under these circumstances I think that it would be deluding ourselves and wasting time if we were to wait for some supervisory Godot to endorse the responsibility for consolidated supervision in the standard meaning of the concept."

Mr Galpin's reply of 8 April 1987 gave Mr Jaans no encouragement that the Bank would relieve the IML of its unwelcome responsibilities. The enactment of the 1987 Act was then very close (it received the Royal Assent on 15 May 1987) and Mr Galpin evidently had it in mind. His letter contained the following passage, to which the plaintiffs draw particular attention,

> "The precise formulation set out in your letter poses a particular problem for us. This is that having decided not to take a leading supervisory role, we believe that the incorporation of the 45 UK branches here, combined with the presence in London of a large part of BCCI's overall administration, is likely to draw us in practice into the position of lead supervisor which we seek to avoid. In those circumstances, our ability to do the job effectively would be even more restricted than if we had assumed the role officially from the outset. In any case we are not at all certain that we would feel able to grant a licence by applying the criteria under the UK Banking Act, to any part of the operation at this stage. This is because we have to be satisfied under our new legislation not only that an institution will be prudently run but that it will be run with integrity - and our experiences with BCCI in the past make such a judgment difficult.
> I am, nevertheless, anxious to be as helpful as possible and would like to see some progress in improving a situation which we both regard as unsatisfactory at the moment. Your view is, I think, that while no longer able to undertake the 'consolidated' role, you would continue to be able to give us assurances in respect of BCCI SA. This would enable us to authorise BCCI SA under our new Act which, as you know, will provide for a single list of authorised institutions, rather than the present two."

In the course of 1987 there were three important developments in connection with the supervision of the BCCI group. First, in May 1987 PW accepted an offer that it should become the group auditor. The Bank welcomed this development. Second, with the coming into force of the 1987 Act the Board of Banking Supervision (BBS) undertook its statutory responsibilities. It had been operating on a shadow basis since the middle of 1986. In July 1987 the BSD was asked to prepare a detailed paper on the BCCI group for consideration by the BBS at its next monthly meeting. Third, steps were finally taken (partly at the instance of a Dutch central banker) to put in place some measure of consolidated supervision of the group, on a co-operative basis, by a committee of supervisors from different countries. This committee was first established early in 1988 and it became known as the College.

The paper prepared for the BBS's August meeting expressed the view (arguably inconsistent with what Mr Galpin had said to Mr Jaans in April) that the Bank did not have grounds to revoke BCCI

SA's authorisation. The BBS was concerned and asked for a further report, and the BSD produced a paper together with a supplementary note by Mr Gent. The paper contained the following paragraph which the plaintiffs have strongly criticised, characterising it as a travesty of both the legal and the factual position :

> "As a branch of a Luxembourg bank, we have no powers to refuse authorisation within the UK to BCCI SA, unless the Luxembourg banking supervisors were unable to give us reassurance about the financial soundness of the bank. This is unlikely to occur. In practice, therefore, to get BCCI to agree to close the branches and transfer its deposit-taking activity to a UK subsidiary we would need to rely on 'moral suasion'."

The plaintiffs say that such a communication from Luxembourg, so far from being unlikely, had already repeatedly occurred, most recently and most strikingly in Mr Jaans' letter of 19 March 1987. Mr Gent's supplementary note argued even more strongly against incorporation in the United Kingdom. The Bingham report (paragraph 2.90) records that in the discussion of the papers at the BBS's September meeting the Deputy Governor expressed the view that the main paper was too much concerned for the Bank's position and too little concerned for the interests of United Kingdom depositors.

On 9 February 1988 Mr Abedi had a heart attack in Pakistan, followed two weeks later by a second and more serious attack. He was treated in England but returned to Pakistan at the end of 1990. After February 1988 he took no significant part in the management of the BCCI group and Mr Naqvi emerged as his successor.

The first meeting of the College (with representatives from Luxembourg, the United Kingdom, Spain and Switzerland) was held in Luxembourg in June 1988. It received a detailed report from PW. This drew attention to substantial loans to a group of customers (some of whom were BCCI Holdings' shareholders) secured on shares in Credit and Commerce American Holdings (CCAH) which was the holding company of an American bank. The report also drew attention to a put option exercisable in respect of 7.5 per cent of the share capital of BCCI Holdings.

In October 1988 seven officials employed within the BCCI group were arrested in Tampa, Florida, and were charged with drug-trafficking and money-laundering offences. BCCI had during the 1980's acquired control of a bank in Colombia. Overseas had branches in Panama and General Noriega was one of its customers. The United States authorities mounted a large-scale undercover operation in which H.M.Customs and the French customs authorities came to be involved. Soon after the arrests in Tampa Mr Asif Baakza, manager of the corporate unit of BCCI SA's UK region, and Mr Ziauddin Akbar, the manager of the central treasury, were arrested in London. The Bank was alerted to the undercover operation by H.M. Customs in September 1988.

The second meeting of the College took place in November 1988. It followed what became a pattern of a morning meeting attended by the supervisors, with PW and the BCCI management joining the meeting in the afternoon. The Bingham report (paragraph 2.124) comments that the second meeting was scarcely more effective than the first, and that PW did not receive forthright support in its stance on provisions for what PW regarded as imprudent concentrations and levels of lending.

The third College meeting was held on 6 July 1989. The College had been extended to include representatives from Hong Kong and the Cayman Islands ; the United Arab Emirates had declined an invitation. The College had before it another full report from PW and also the BCCI group's 1988 accounts, on which PW had given a qualified report on 11 April 1989, because of the uncertainty arising from the Tampa indictments. The PW report referred to matters which were becoming regular items : high concentrations of lending, lending secured on CCAH shares , and the put option. The Bingham report records that PW thought that the College meetings were becoming too large and too formal to achieve effective supervision.

During 1989 Lord Callaghan, acting as an unofficial adviser to the BCCI group, approached the

Bank and reopened incorporation in the United Kingdom as a long-term solution. Lord Callaghan met the Governor on 25 May 1989. The Governor explained why such a solution was unattractive to the Bank. The Deputy Governor and the BBS, however, were inclined to favour local incorporation (Bingham report, paragraph 2.139).

That was the background to another paper (dated 1 November 1989) prepared by the BSD for the BBS. It was reported that the College had not yet achieved better supervision of the BCCI group. The position remained unsatisfactory -

> "there is still no effective consolidated supervision, and much of the group activity remains opaque."

Under the heading “the way forward” the report concluded that inactivity was unacceptable, and that there were no grounds for revocation of authorisation under the 1987 Act. In the long term, consolidated supervision would have to be achieved. As an interim solution, incorporation of the central treasury and the United Kingdom branches into two United Kingdom - incorporated subsidiaries was recommended. This was generally agreed at the BBS meeting on 9 November 1989. The Bingham report (paragraph 2.142) evinces a feeling of *deja vu* -

> "The independent members did not appreciate that approval, in principle, had been given by the Bank to local incorporation of the UK business in 1977 and again in 1985, and to the conduct of consolidated supervision in 1984."

During October 1989 one partner in PW began to receive information from an informant (not identified in the Bingham report) which cast doubt on what the auditors were being told by the BCCI management. The informant questioned the genuineness of loans on the security of CCAH shares; he suggested the existence of dummy loans and other improper transactions ; he described loans to the Gokal brothers as a joke. PW did not reveal the existence of the informant to the BCCI audit committee but did indicate that full confirmations were required in respect of CCAH borrowers. The BCCI management responded (Bingham report, paragraph 2.146) by criticising PW for acting as regulators instead of helping their client.

The fourth meeting of the College was held in London on 1 December 1989, chaired by Mr Barnes of the Bank. There was a further report from PW and it was agreed that it gave grounds for serious concern. The Bank's plan for incorporation of an United Kingdom subsidiary for the central treasury was accepted. The plan for another subsidiary comprising the United Kingdom branches was opposed by the representatives from Luxembourg, Hong Kong and the Cayman Islands. Lord Justice Bingham commented (paragraph 2.154) that the fundamentals of the problem had not changed over the preceding decade ; nevertheless the Bank now had a clear idea of what it wished to achieve, and how to do so.

The criminal trial in Tampa was to begin in January 1990. On 19 January the Bank learned of a plea-bargaining agreement (the likelihood of which had been explained to the College at its fourth meeting by the BCCI group's Washington lawyers, who explained that there was a stricter test of corporate criminal responsibility in the United States). On 29 and 31 January 1990 the Bank's Review Committee reviewed and decided to continue BCCI SA's authorisation under the 1987 Act. In the Bingham report (paragraphs 2.159 - 162) Lord Justice Bingham made three criticisms of this decision.

Very soon afterwards (probably in the first week of February 1990) two senior members of the PW team, Mr Tim Hoult and Mr Chris Cowan, were so concerned about the probity of the BCCI group management that they took the exceptional step of communicating with Mr Barnes, then the head of the BSD. No note was taken of the meeting, which apparently made no great impact on Mr Barnes. However on 28 February at a meeting with PW Mr Naqvi made two admissions about the "bad bank" which he had taken over from Mr Abedi. Mr Naqvi admitted that false documentation of Bahrain loans had been used to deceive the auditors. His other admission related to the terms of CCAH loans. PW decided to go back to the Bank and another meeting was held on 2 March 1990. Mr Hoult expressed various concerns and said that Mr Cowan had even more. Mr Barnes said that Mr Naqvi's integrity was of crucial importance to the Bank.

PW did not tell anyone in BCCI about their visits to the Bank but relations between PW and the group management were by then very strained. The management agreed to PW's recommendation to set up a task force to investigate matters of concern, but progress was slow. On 30 March 1990 PW told the Bank of their waning confidence in Mr Naqvi.

Investigations by the task force largely confirmed PW's suspicions and added two new problems: Kifco (a Kuwaiti company in which the group had a 48 per cent interest) had made Gulf-related loans of $75m and further loans (to about 70 separate companies) amounting to $300m had to be aggregated with the known exposure ($400m) to the Gulf group. On 11 April 1990 Mr Hoult and Mr Tim Charge of PW told Mr Barnes that the survival of the BCCI group was at stake. Support of the order of $2bn was needed.

On 18 April 1990 PW finalised a report to the board of BCCI Holdings. PW could not sign the accounts as they stood. There followed a period of intense activity during which the Bank and PW were trying to obtain support on a massive scale in order to enable the BCCI group to survive. Financial considerations took priority to questions of probity. The future of the group depended on support from Abu Dhabi, and on whether the 1989 accounts could be finalised with an unqualified audit report, as the Bank wished. Mr Mohammed Habroush Al Suwaida, the Chairman of the Abu Dhabi Finance Department wrote a letter dated 19 April 1990 indicating that his department had agreed to acquire some minority holdings of shares in BCCI Holdings, and to subscribe $400m for new shares.

The letter was produced at a meeting held in Luxembourg on 20 April. It was produced by H.E. Ghanim Faris Al Mazrui, who was a director of the UAE central bank and had much influence in Abu

Dhabi. He had for some years been on the boards of BCCI Holdings, BCCI SA and Overseas, but had little knowledge of their business affairs. Mr Zafar Iqbal was also part of the BCCI team. Notes of a meeting on 24 April made by Miss Jones of the BSD (who took notes of numerous meetings at that time) recorded

> "The letter received from Harbroush reflected to some extent the fact that things were moving on, but it was vital that, in the next few days, BCCI's board, PW, and the major regulators heard fairly directly, rather than through third parties, from the Abu Dhabi government that it recognised what it would have to deal with in terms of outstanding issues such as shareholder loans, ICIC, Gokal and other bad debts, etc."

At about this time Naqvi had admitted huge misappropriations (totalling $2.2bn) from the Abu Dhabi ruling family's funds under his management. He also admitted a group liability of $570m, apparently in respect of unrecorded deposits, and other new liabilities. The Abu Dhabi authorities did not inform PW or the Bank of these new revelations. After the Luxembourg meeting it was proposed that Bank representatives should travel to Abu Dhabi for a face-to-face meeting, but that did not happen. Instead Mr Brian Quinn, an executive director of the Bank, wrote on 25 April to Mr Habroush. The 1989 accounts were signed off on 30 April, showing a loan loss provision of $600 and a loss for the year of a little under $500m.

This crisis (the full extent of which was still unknown to the Bank, as it did not know of Naqvi's new revelations to the Abu Dhabi authorities) naturally caused the Bank to think twice about its long-term plan of becoming consolidated supervisor. The issue of supervision received a new urgency when on 5 June 1990 the IML gave notice to BCCI Holdings and BCCI SA that they were to leave Luxembourg within twelve to fifteen months. The College met soon afterwards (on 19 June) for its fifth meeting and at the meeting the Cayman representative said that if the other companies had to leave Luxembourg, Overseas would have to leave Cayman. Mr Iqbal (representing BCCI in the absence of Mr Naqvi) outlined plans for the group to withdraw from Colombia and other Latin American countries. At about the same time the Bank learned that the CCAH loans were being investigated by the Federal Reserve Board in Washington, and that the New York District Attorney was conducting another investigation of the affairs of BCCI.

During the summer of 1990 Mr Hoult and Mr Cowan of PW made three visits to Abu Dhabi. These are described in detail in the Bingham report (paragraphs 2.225 to 2.249). There appear to have been serious failures in communication, and on 26 September Mr Iqbal told PW of a further recent loan made indirectly to CCAH shareholders. That led to PW's third visit to Abu Dhabi, shortly before they were to report to the audit committee and the College. They told Mr Iqbal that there were three critical issues to be dealt with urgently : (i) the government of Abu Dhabi must give to the Bank a clear and substantial commitment of support ; (ii) the extent of falsification of accounting records must be established ; (iii) Mr Naqvi must be removed from his position as chief executive.

In their report dated 3 October 1990 to the audit committee PW stated their belief "that the previous management may have colluded with some of its major customers to misstate or disguise the underlying purpose of significant transactions". Four particular problem loans were identified and came to be known as the $600m loan portfolio. PW advised that a further $1.5bn of support was needed. A copy of the report was delivered to the Bank on the same day. It was read by Mr Bartlett, the deputy head of the BSD. It was not seen by Mr Barnes or Mr Quinn until after the eventual collapse. The BBS were told that PW had reported further financial problems in the BCCI group but were not told that the report had raised serious doubts as to the honesty of the group's operations.

The BBS met on 4 October 1990 and decided (in the light of what they had been told) not to review BCCI SA's authorisation. The College met for its sixth meeting in Luxembourg on 5 October. Mr Mazrui (who was there as well as Mr Iqbal on behalf of the BCCI group) produced a letter dated 4 October from Mr Habroush undertaking on behalf of the majority shareholders to provide support to the level indicated by PW, subject to a number of conditions, of which the first was as follows:

> "The support in respect of any transaction referred to in the report given by the terms of the letter will cease immediately in the event that such transaction or transactions is or

were undertaken in connection with fraudulent or criminal activities."

The members of the College discussed the situation and recognised that restructuring (including the appointment of a new chief executive and board) would take time. But the IML firmly refused to extend its deadline for withdrawal from Luxembourg.

At this point nine months were still to elapse before the suspension of BCCI’s activities on 5 July 1991, but for present purposes those last months can be covered quite shortly. Work continued on plans for refinancing and restructuring. Doubts were expressed about recovery of the $600m loan portfolio. Papers prepared in the Bank were critical of the IML for being inflexible about its deadline. There were further ominous developments in the United States. On 25 February 1991 PW signed a report for Mr Mazrui which came to be known as ‘the Doomsday Report’. Its purpose was to enable the majority shareholders to decide whether to continue support, at a cost then estimated to be of the order of $5bn. A few days later the Bank finally learned of the misappropriation by Mr Abedi and Mr Naqvi from the ruling family. On 1 March PW had an important and (in Lord Justice Bingham’s expression) highly-charged meeting with BCCI directors. On 4 March the Bank was told that the majority shareholders would continue support. On the same day the Bank formally commissioned PW to undertake an investigation under s. 41 of the 1987 Act. Lord Justice Bingham has suggested (paragraph 2.329) that the Bank intended an investigation centred on the $600m loan portfolio, and that PW interpreted its instructions much more widely. Pressures from the United States continued to grow. Allegations of fraud were made against some of the majority shareholders by Mr Masihur Rahman, who had held a senior position in BCCI until 1990 (and had been part of the ‘task force’ set up by PW).

PW’s report of their investigation under s. 41 was delivered to the Bank in draft on Saturday 22 June 1991. It gave a full and detailed account of frauds and deceptions, including (Bingham report, paragraph 2.443)

"(i) falsification of accounting records;
(ii) external vehicles use to route fund transfers and “park” transactions ;
(iii) the use of nominee and hold-harmless arrangements;
(iv) the fraudulent use of the Ruling Family’s funds;
(v) the creation of 70 companies to facilitate and disguise lending to the Gulf Group;
(vi) collusion with third party banks to make loans to BCCI customers, so as to avoid disclosure of such lending on BCCI’s balance sheet;
(vii) collusion with customers and others to give false confirmations to the auditors of fictitious and non-recourse loans received as nominees;
(viii) Central Treasury losses;
(ix) ICIC."

The Prime Minister was informed of the impending scandal on 27 June. There were hurried meetings of the BBS and the College. On 5 July the Bank and the IML suspended BCCI SA’s and Overseas’ banking operations and the Bank petitioned for the appointment of provisional liquidators.

IV

The proceedings before Clarke J.

The first judgment of Clarke J., handed down on 1 April 1996, addressed the three preliminary issues set out in section I above. The Judge's conclusions are summarised in 1996 3 AER at pp. 632 - 3 and were (with a little further abbreviation) as follows.

1. The first issue (misfeasance in public office)

(1) The tort is concerned with deliberate and dishonest abuse of power by a public officer.

(2) Malice (in the sense of an intention to injure) and relevant knowledge on the part of the officer are alternative (not cumulative) requirements, since to act with such knowledge is to act maliciously. Relevant knowledge is knowledge (i) that the officer has no power to act in that way and (ii) that the act will probably injure the plaintiff.

(3) For the first element of relevant knowledge (unlawfulness) it is sufficient if the officer has actual knowledge that that act was unlawful or if, suspecting that he has no power to do it, he does not ascertain, or fails to take such steps as an honest and reasonable man would take to ascertain the true position.

(4) The test for the second element of relevant knowledge (probable injury) is the same.

(5) If the states of mind at (3) and (4) above do not amount to actual knowledge, they amount to recklessness.

(6) If the plaintiff establishes that the defendant was a public officer or entity and (i) intended to injure the plaintiff or a class including the plaintiff (limb one) or (ii) had relevant knowledge of the unlawfulness of his act and of probable injury to the plaintiff or a class including the plaintiff (limb two), and the plaintiff had suffered loss caused by the wrongful act, he can recover damages.

The Judge also held that the plaintiffs had no relevant rights under EU law, and that there is nothing in the principles of EU law which alters the ingredients of the tort of misfeasance in public office. He recorded (1996 3 AER at page 625) that one of the few points on which the parties were agreed was that he should not refer the meaning and effect of the 1977 Directive to the Court of Justice under Article 177 of the Treaty. The Judge therefore saw his answer to the question posed by the first issue as depending on and coinciding with his answer on the second issue, and he provisionally answered both questions in the negative, but he gave the parties the opportunity of making further submissions.

2. The second issue (causation)

Subject to further submissions the Judge answered this question in the negative: the plaintiff's alleged losses were not in law caused by the Bank's acts or omissions.

3. The third issue (claim as depositors or potential depositors)

In principle, the Judge would have decided this question in favour of the plaintiffs.

The second judgment was given on 10 May 1996 after the Judge had heard further submissions. It was largely concerned with the contents of the statement of claim as it then stood. Because further amendments have since been formulated and debated it is unnecessary to go further into the details of the second judgment. The Judge concluded (1996 3 AER at pp. 639 - 40) that the statement of claim as it then stood did not allege the necessary knowledge of or recklessness as to probable loss, and he confirmed his provisional negative answers on the first and second issues. He added that it did not follow that the plaintiffs' claim must be dismissed ; he contemplated that it might be kept alive by further amendment of the statement of claim.

There were then further hearings of an application by the plaintiffs for leave to make further amendments, and an application by the Bank to strike out the whole of the statement of claim. On 30 July 1997 the Judge handed down a long judgment (it runs to 172 pages of transcript) concluding that the plaintiffs' claim was bound to fail, and that the statement of claim should be struck out and the action dismissed. The general structure of the third judgment is a summary of the procedural history, the Judge's legal conclusions and the evolution of the proposed amendments (pp. 1 - 26). Then there is a discussion of the material (including the Bingham report) available or likely to become available to the plaintiffs in order to make good their claim, and general observations as to the court's task in deciding whether a claim is bound to fail (pp. 26 - 34). There is a summary of the crucial paragraphs of the statement of claim (pp 34 - 37). Then comes a detailed consideration of the pleaded allegations (and proposed amendments of them) arranged in chronological order in four main sections (which are themselves subdivided): (1) the grant of a licence under the 1979 Act (pp. 38 - 59) ; (2) June 1980 to December 1986 (pp. 59 - 89); (3) December 1986 to April 1990 (pp. 90 - 114) ; and (4) April 1990 to July 1991 (pp. 114 - 166). Then came the Judge's conclusions and a summary (pp. 166- 172).

V

Issues on the appeal

By their notice of appeal the plaintiffs seek to have the Judge's order of 2 October 1997 set aside. Instead they seek declarations that on the basis of what is pleaded in the existing statement of claim, or alternatively on the basis of draft amendments dated 6 January 1997 (which they seek leave to make)

(1) the Bank is capable of being liable to the plaintiffs for misfeasance in public office;

(2) the Bank is capable of being liable to the plaintiffs for breaches of EU law; and

(3) the plaintiff's alleged losses are capable of being caused in law by the Bank's acts or omissions.

There are 21 numbered paragraphs of the grounds of appeal. Some are by way of introduction or summary, and some raise detailed points as to the adequacy of particular passages in the existing or draft pleadings. The main points of principle which arise are, in relation to the tort of misfeasance in public office, in paragraphs 2, 3 and 5 (which put forward a wide formulation of the essentials of the tort, and criticise the Judge's view of recklessness and his requirement of knowledge of or recklessness as to probable loss). In relation to EU law the main point of principle, elaborated in paragraph 9, is that the Judge was wrong to hold that the 1977 Directive did not confer enforceable rights on depositors. Paragraphs 12 and 13 are concerned mainly with causation in the context of EU law, and paragraph 14 contends that EU jurisprudence should in any event influence (and reduce the burden of establishing) the tort of misfeasance in public office. In relation to the striking-out order paragraphs 15, 16 and 18 criticise it as inappropriate because this was not a clear case ; because it is said to have been based on mistaken premises (viz as to the ingredients of the tort) ; and because of the possibility of an Article 177 reference (although neither side favoured a reference). Paragraphs 19 and 20 criticise the Judge for the way in which he used and relied on the Bingham report, and for his conclusion that there was no realistic possibility of more evidence becoming available, by any means, to cast light on the state of mind of the Bank or any of its officials.

The respondent's notice (partly to affirm the Judge's order on other grounds and partly to vary it) contains no fewer than 40 numbered paragraphs. Its general effect can be summarised as follows.

(1) As to misfeasance in public office, the notice seeks to uphold the Judge's conclusion on the first preliminary issue on the additional grounds that the tort requires a more stringent test of the defendant's mental state, being limited (on one formulation) to "targeted malice" (paragraphs 1 - 5) and that the plaintiff must have had a pre-existing legal right or interest (paragraph 6).

(2) As to EU law, the notice seeks to uphold the Judge's conclusion on the additional grounds, elaborated in various ways, that the 1977 Directive did not impose enforceable duties on national regulators (paragraphs 7 - 11) ; and that if there were an actionable breach the proper defendant would

be the Attorney General (paragraphs 12 - 13).

(3) As to causation, the notice seeks to uphold the Judge's conclusion on the second preliminary issue on additional grounds negativing causation either under English law or under EU law (paragraphs 14 - 17).

(4) As to the third preliminary issue the notice seeks to vary the Judge's order on the grounds (paragraphs 18 - 20) that the plaintiffs were not an existing or ascertainable class and had no existing rights or interests ; paragraph 19 echoes the well-known saying of Cardozo CJ in Ultramares v Touche (1931) 255 NY 170, 179.

(5) As to the Judge's decision to strike out the whole statement of claim, the notice seeks to uphold the Judge's order on all the additional grounds in paragraphs 1 - 20, and also on nine further grounds (paragraphs 21 - 29) of which the first and the last assert a failure to plead dishonesty and bad faith with sufficient particularity.

(6) As to the Judge's refusal of leave for further amendment of the statement of claim, the notice seeks both to uphold and to vary the Judge's order on the ground (paragraph 30) that the proposed amendments were an abuse of process, and (paragraph 31 and paragraphs 32 - 40) on the same grounds as those relied on (in relation to the strike-out) in paragraphs 21 -29 of the notice.

The appeal as a whole does therefore raise important issues of principle as to the tort of misfeasance in public office ; as to causation and the rights of an indeterminate body of depositors; and as to EU law. It also raises issues as to striking out and amending pleadings. Those issues are addressed below in that order.

MISFEASANCE IN PUBLIC OFFICE

VI

The issues and arguments in broad outline

We have already summarised Clarke J's conclusions, (at pages 632 to 633 of his first judgment) which were based on a very painstaking and thorough consideration of the authorities at pp 564 to 594: see Section IV above.

Proposition (1) ("the tort is concerned with deliberate and dishonest abuse of power by a public officer") is uncontroversial, and indeed Lord Neill was at pains to emphasise that the hallmark of the tort is dishonesty. However there was a wide gulf between the parties as to the meaning in this context of dishonesty, which Lord Neill categorised as no more than a failure on the part of the bank to make an honest attempt to fulfil its statutory duty, whereas Mr. Stadlen interpreted it in a more traditional manner, applying what he described as an ordinary jury test.

On proposition (2) there was no dispute as to the first limb of the tort which is that the defendant intended to injure the plaintiff and that the plaintiff had suffered loss as a result. (i.e. targeted malice). The dispute centred on the second and alternative limb of the tort as identified by Clarke J, viz: that the defendant had actual knowledge not only of the unlawfulness of his act, but also (critically) of probable injury to the plaintiff, and that the plaintiff had suffered loss as a result.

Lord Neill's primary submission was that there was no need for the plaintiff to prove any mental state at all as to ensuing loss, on the footing that the tort of misfeasance is an action on the case which is actionable upon proof of special damage. That he submitted is the approach adopted in all the long catalogue of misfeasance cases up until Bourgoin SA v. Ministry of Agriculture Fisheries and Food [1986] QB 716. Alternatively, basing himself on the *ipsissima verba* of Bourgoin, he submitted that in the second limb the correct test is not that the defendant had actual knowledge of probable injury, but rather an objective test that such injury was reasonably foreseeable.

He epitomised his submissions as follows:-

"The plaintiffs' case in relation to the nature and requirements of the tort of misfeasance in public office in English law (ignoring at this stage, the impact of the 1977 Directive) can be summarised as follows:-

(1) The tort of misfeasance in public office is concerned with an abuse, or deliberately wrongful use, of the powers given to a public officer. The tort provides a remedy against dishonest administration by public officers.

(2) There are two well established and alternative limbs of the tort, viz. malice, in the sense of an intention to injure (the first limb) and knowledge by the defendant that he has no power to do the act complained of (the second limb).

(3) However, liability will arise in any case where there has been an abuse, or a deliberately or recklessly wrongful use, of the powers given to a public officer.

(4) The boundaries of the tort are not tightly drawn and there is scope for further development.

(5) The tort involves deliberate conduct. It requires the plaintiff to establish that the defendant knowingly acted unlawfully in the sense indicated above. To this extent it is also an intentional tort. A defendant can always avoid liability by choosing not to act in a way that he knows is unlawful. In this sense the tort is sharply different from the torts of negligence or breach of statutory duty.

(6) For the purpose of the requirement of the second limb, that the public officer knows that he has no power to do the act complained of, it is sufficient that the officer had actual knowledge that the act was unlawful or deliberately shut his eyes or recklessly failed to make the type of inquiries that a public officer honestly intending to carry out his statutory duties would have made.

(7) There is no justification, either in principle or on the authorities, for holding (as Mr. Justice Clarke held in this case) that, in addition to knowing that he was acting

unlawfully, an officer must also have known that his actions *would probably* injure the plaintiff or a person in a class of which the plaintiff is a member.

(8) Questions of the foreseeability of, or the public officer's knowledge, belief or suspicion as to, loss or damage to the plaintiff or to persons in a class of which the plaintiff was a member are irrelevant.

(9) Alternatively, it is sufficient for a plaintiff to show that loss or damage to him or to a person in a class of which he was a member were a foreseeable result of the public officer's acts or omissions or that the public officer's acts or omissions created a foreseeable risk of such loss or damage.

(10) Alternatively it is sufficient for the plaintiff to show that the public officer was reckless or indifferent as to whether his acts or omissions would or might result in loss or damage to the plaintiff or to a person or persons in a class of which the plaintiff was a member.

There is no public policy in protecting a public officer who acted in a manner that he knew to be unlawful. The concern is, and should only be, to ensure that a public officer who makes an honest attempt to exercise his powers but who, as a result of some mistake, acts unlawfully, is protected from liability. Imposing liability on a public officer who knowingly acts unlawfully will not have a chilling effect on the actions of public officer. Nor will it open any floodgates."

Mr. Stadlen sought to uphold Clarke J's formulation of the tort, which was based on the judge's interpretation of Bourgoin, and was content to present his case on that foundation. However, he did not abandon the argument which he presented before Clarke J, that the formulation should be considerably narrower, i.e. restricted to cases where the public officer has the purpose of injuring the plaintiff (targeted malice) or actually knows that his act will necessarily injure the plaintiff, and in either case only when the plaintiff enjoyed an antecedent legal right or interest which was interfered with by the defendant

He epitomised his submissions as follows:-

"Clarke J was correct to reject the Plaintiffs' submissions for the reasons given in his judgment and the reasons set out below:-

(1) On several occasions, the English Court of Appeal, Divisional Court and High Court have expressly or implicitly approved Clarke J's analysis of the tort.

(2) The ratios and dicta of the older English cases show that intention to injure and/or wilfully injuring the plaintiff are essential elements of the tort. The older cases are inconsistent with the Plaintiffs' proposition that foreseeability of loss (reasonable or otherwise) or objective recklessness as to loss is sufficient to found liability.

(3) At the very lowest, there is no support for that proposition in any of the older English cases:

   (a) There is no case in which the ratio was that foreseeability/objective recklessness is sufficient;

   (b) There is no case in which there are even *obiter dicta* to that effect;

   (c) There is no case in which a claim in misfeasance succeeded without proof of actual intention to injure the plaintiff and actual knowledge that he would necessarily suffer loss.

(4) There is no support for the proposition in Bourgoin. The ratio in Bourgoin was very narrow: actual foresight that the plaintiff will necessarily suffer loss is sufficient to make good a claim in misfeasance even if it is not pleaded that the public officer acted with the purpose of inflicting such loss on the plaintiff. If that represented an extension in the ambit of the tort from that to be deduced from the older English cases, which the Bank does not accept, it was minimal."

There was also a significant divergence between Lord Neill and Mr. Stadlen as to the meaning of recklessness in this context, which led to a consideration of a number of criminal cases where recklessness was in issue.

Both sides, albeit from different standpoints, emphasised sharply the contrast between this tort and negligence, it being well established by two recent Privy Council cases cited in detail below that, in comparable circumstances, a regulator owes no duty of care to depositors or potential depositors. This is of course of crucial significance in the present case, since (as the Bingham report shows, and as Mr. Stadlen concedes), there would otherwise be a very powerful case in negligence against the Bank. Indeed one of Mr. Stadlen's principal objections to Lord Neill's primary submission (that the tort constitutes an action on the case on proof of special damage) was that it would result in a liability being imposed on a regulator in circumstances substantially, if not entirely, similar to those in which a bank regulator's liability in negligence has been so firmly rejected by the Privy Council.

A further key element in Mr. Stadlen's argument is the stress which he lays on the need to prove actual dishonesty under both limbs of the tort, and he submits that Lord Neill, while paying lip service to the requirement of dishonesty, waters it down impermissibly. Lord Neill for his part also proposed a far more fundamental development in the law as it affects state liability, obviating the need to prove misfeasance. We shall of course be returning in greater detail to these various themes, and to the range of authorities relied upon by both sides in support of their respective contentions.

VII

The authorities in broad outline

The tort of misfeasance in public office has a very long history in English law, dating back to the end of the 17th century. During the 18th century and the first part of the 19th, there were several important cases, the majority of which were claims by eligible electors that they had been maliciously denied the right to vote by returning officers or similar authorities. Both sides seek comfort from this line of cases in support of their respective arguments.

There is then a long gap of over a hundred years until the second half of the present century. During the last 40 years, and especially in the last two decades, there have been several important cases both here and in the Commonwealth. Bourgoin is a landmark decision and it has been discussed at length in some of the Commonwealth cases. The judgment of Clarke J. now under appeal has already been referred to in several reported cases, some in this court.

The most notable cases during the second half of the 20th century are as follows (in chronological order). It will be necessary to return to several of them in more detail.

(1) In Smith v East Elloe RDC [1956] AC 736 the House of Lords considered the plaintiff's complaint that a compulsory purchase order for her house (made by the local authority and confirmed by the Minister) had been made in bad faith. In rejecting a strike-out application in relation to the claim against the clerk to the local authority Viscount Simonds said at page 75 : -

> "Here the appellant by her writ claims against the personal defendant a declaration that he knowingly acted wrongfully and in bad faith in procuring the order and its confirmation, and damages, and that is a claim which the court clearly has jurisdiction to entertain".

(2) In Roncarelli v Duplessis (1959) 16 DLR (2d) 689 the defendant was the Premier and Attorney-General of Quebec. The plaintiff was a restaurateur who had held a liquor licence for 30 years. He was also a Jehovah's Witness and he antagonised the provincial government by repeatedly standing bail for Jehovah's Witnesses accused of public order offences; but he was not personally involved in any questionable activities. The defendant put pressure on a supposedly independent licensing commission to cancel the plaintiff's liquor licence. The Supreme Court of Canada held him liable in damages. Rand J. said (at page 706),

> "It was gross abuse of legal power expressly intended to punish him for an act wholly irrelevant to the [licensing] statute, a punishment which inflicted on him, as it was intended to do, the destruction of his economic life as a restaurant

keeper within the province".

(3) Farrington v Thomson [1959] VR 286 is the first important Australian case. The police had purported to use statutory powers to close a hotel when (as it was found, to their knowledge) they had no power to do so. Smith J. discussed the authorities and said at page 293,

"the rule should be taken to go this far at least, that if a public officer does an act which, to his knowledge, amounts to an abuse of his office, and he thereby causes damage to another person, then an action in tort for misfeasance in a public office will lie against him at the suit of that person".

(4) In Tampion v Anderson [1973] VR 715 the Supreme Court of Victoria was concerned with claims by a teacher of Scientology against persons who had been involved in different ways in an official inquiry into Scientology. The judgment of the Full Court referred to Farrington and added (at page 720),

"But to be able to sustain an action upon this basis a plaintiff must not only show damage from the abuse; he must also show that he was a member of the public, or one of the members of the public, to whom the holder of the office owed a duty not to commit the particular abuse complained of".

This reference to a particular duty has been commented on, but not perhaps fully explained, in later cases. If there is a need for a particular duty it might be the correlative of the antecedent right for which Mr Stadlen contends.

(5) Dunlop v Woollahra Municipal Council [1982] AC 158 was an appeal to the Privy Council from New South Wales. The appellant plaintiff complained of economic loss caused by the local authority's imposition of building controls. The local authority's actions had been invalid but not in bad faith. Lord Diplock said at page 172,

"In the absence of malice, passing without knowledge of its invalidity a resolution which is devoid of any legal effect is not conduct that of itself is capable of amounting to such 'misfeasance' as is a necessary element in this tort".

(6) In the Bourgoin case the Court of Appeal, upholding Mann J at first instance, held on the trial of a preliminary issue that the plaintiffs, most of whom were French turkey producers, had by their claim disclosed a cause of action in misfeasance against the Minister, based on the withdrawal of a general licence for the import of turkeys from France. It is important to note that it was accepted by the Minister, for the purpose of the preliminary issue, that he knew at the time of the revocation that his act infringed Article 30 of the Treaty of Rome and would and was calculated to injure the plaintiffs in their businesses. The case also raised an important question of Community law, on which the court was divided, with Oliver LJ dissenting from the majority view expressed by Parker and Nourse LJJ; however the court was unanimous on the point presently in issue, on which Oliver LJ gave the leading judgment.

Mann J, having cited several of the old cases, stated in his reserved judgment as follows at page 740:-

"I do not read any of the decisions to which I have been referred as precluding the commission of the tort of misfeasance in public office where the officer actually knew that he had no power to do that which he did, and that his act would injure the plaintiff as subsequently is does. I read the judgment in Dunlop v. Woollhara Municipal Council [1982] AC 158 in the sense that malice and knowledge are alternatives. There is no sensible distinction between the case where an officer performs an act which he has no power to perform with the object of injuring A (which the defendant accepts is actionable at the instance of A) and the case where an officer performs an act which he knows he has no power to perform with the object of conferring a benefit on B but which has the foreseeable and actual consequence of injury to A (which the defendant denies is actionable at the instance of A). In my judgment each case is actionable at the instance of A ..." (emphasis added)

In the Court of Appeal, Oliver LJ having quoted the above passage from Mann J's judgment, stated as follows at page 777:-

"For my part, I too can see no sensible distinction between the two cases which the judge mentions.

If it be shown that the minister's motive was to further the interest of English turkey producers by keeping out the produce of French turkey producers - an act which must necessarily injure them - it seems to me entirely immaterial that the one purpose was dominant and the second merely a subsidiary purpose for giving effect to the dominant purpose. If an act is done deliberately and with knowledge of its consequences, I do not think that the actor can sensibly say that he did not `intend' the consequences or that the act was not `aimed' at the person who, it is known, will suffer them. In my judgment the judge was right in his conclusion also on this point."

The proper interpretation of the Bourgoin case has been one of the main points of controversy, in particular as to whether Mann J, when he said "*foreseeable*", really meant what he said, or whether, as Clarke J held and Mr. Stadlen submitted, this was a slip of the tongue for "*foreseen*". Thus the crux of the dispute in relation to the Bourgoin test is whether the probability of damage must be *actually foreseen*, or whether it is enough to show that it was *reasonably foreseeable*.

(7) and (8) The next important cases are two decisions of the Privy Council ruling against any possible liability in negligence of a public authority discharging statutory functions as a bank regulator. Those decisions, Yuen Kun-Yen v A - G of Hong Kong 1988 AC 175 (an appeal from Hong Kong) and Davis v Radcliffe 1990 1 WLR 821 (an appeal from the Isle of Man) are not directly concerned with misfeasance and are considered in section XII below.

(9) In Northern Territory v Mengel (1995) 69 ALJR 528 the High Court of Australia considered a claim by cattle-station owners whose stock had been placed in quarantine by stock inspectors who had imposed the restrictions without power to do so, but in good faith. The judgment of the plurality said at page 540,

"The cases do not establish that misfeasance in public office is constituted simply by an act of a public officer which he or she knows is beyond power and which results in damage. Nor is that required by policy or by principle. Policy and principle both suggest that liability should be more closely confined ... It is sufficient for present purposes to proceed on the basis accepted as sufficient in Bourgoin, namely that liability requires an act which the public officer knows is beyond power and which involves a foreseeable risk of harm".

It should however be noted that it had been found as a fact at trial (see at page 544) that the inspectors caused the plaintiff's financial loss and that they knew that the imposition of quarantine directions would cause such a loss. Brennan J. and Deane J. concurred in the result and gave separate judgments which also call for careful attention.

(10) In Garrett v Attorney General [1997] 2 NZLR 332 the plaintiff's claim was that she had been raped in a police station by a police officer and that the matter had not been properly dealt with by the police, either by the sergeant who originally investigated the matter or by more senior officers when the plaintiff made a formal complaint three months later. She claimed damages for loss of reputation and also for loss of her job (as a result of being supposed to have made a false allegation of rape). At trial the jury found that the sergeant had failed in his duty but had not been actuated by malice, and that the formal complaint had been properly dealt with.

The plaintiff's appeal (seeking a new trial) was heard by the New Zealand Court of Appeal (specially constituted with five members). The judgment of the court contains a very full discussion of Bourgoin, Mengel and the judgment of Clarke J. now under appeal. The Court of Appeal of New Zealand agreed with Clarke J. that when Mann J. used the word "foreseeable" in Bourgoin he must have meant "foreseen". The court said at page 348,

"Clarke J pointed out that Mann J had three times earlier in his judgment referred to "foreseen" or to knowledge of the consequences. It was also an agreed fact that the Minister knew his act would injure the plaintiffs and it was not therefore being suggested that foreseeability was enough. We agree with Clarke J. also that Oliver LJ's remarks are limited to a situation in which the defendant must have appreciated the obvious consequence of a deliberate unlawful act".

And at page 350,

"The purpose behind the imposition of this form of tortious liability is to prevent the deliberate injuring of members of the public by deliberate disregard of official duty. It is unnecessary, to attain this objective, to extend the tort to catch an act which, though known to be wrongful, is done without a realisation of the consequences for the plaintiff".

And at page 351,

> "The common law has long set its face against any general principle that invalid administrative action by itself gives rise to a cause of action in damages by those who have suffered loss as a consequence of that action. There must be something more. And in the case of misfeasance of public office that something more, it seems to us, must be related to the individual who is bringing the action. While the cases have made it clear that the malice need not be targeted there must, as we have said, be a conscious disregard for the interests of those who will be affected by the making of the particular decision".

(11) In Rawlinson v Rice [1997] 2 NZLR 651 the Court of Appeal of New Zealand considered the striking-out of a claim for misfeasance against a district judge in the conduct of family litigation. Following Garrett, the majority took the view that the pleadings (prepared by a litigant in person) sufficiently alleged reckless indifference on the part of the district judge. The appeal was adjourned for hearing by a five-judge court on the issue of judicial responsibility.

That is a bird's eye view of the most important modern authorities. In addition there are some recent cases in which the House of Lords or this court has made general observations about the tort of misfeasance in public office. In Calveley v Chief Constable of Merseyside [1989] AC 1228, 1240 Lord Bridge said,

> "I do not regard this as an occasion where it is necessary to explore, still less attempt to define, the precise limits of the tort of misfeasance in public office. It suffices for present purposes to say that it must at least involve an act done in the exercise or purported exercise by the public officer of some power or authority with which he is clothed by virtue of the office he holds and which is done in bad faith or (possibly) without reasonable cause."

In Racz v Home Office [1994] 2 AC 45, 55 Lord Jauncey referred to the "apparent uncertainty as to the precise ambit of the tort of misfeasance in public office". In Elguzouli v Commissioner of Police of the Metropolis [1995] QB 335, 347 Steyn LJ referred to the possibility of further development in this corner of the law, under the direct or indirect influence of the jurisprudence of the ECJ.

These dicta by judges of high authority (all concurred in by the other members of the House or the Court) tend in our judgment to suggest that the law on misfeasance in public office is not set in stone, and that it is susceptible of judicial development in the time-honoured tradition of the common law, particularly as the tort has a potential application in such a wide variety of circumstances affecting an extensive range of authorities. It follows that in our judgment we should not be unduly prescriptive in defining the ingredients of the tort.

The old cases

As already stated, both sides relied on these old cases from their different standpoints, particularly with reference to the meaning of malice in this context, and to the existence and scope (if any) of the second limb. Mr. Stadlen submitted that these cases demonstrate that malice means an actual intention to injure, or, at least, the deliberate and wilful doing of an act which will necessarily injure the plaintiff, thus confining the concept of malice within very narrow boundaries, and in effect restricting the tort to the first limb. Lord Neill on the other hand submitted that on a proper reading of the cases malice has a much wider connotation, namely a wrongful act done intentionally without just cause or excuse, which would thus include acts done with any improper or indirect motive; he also submitted that none of the old cases at any stage disclosed any recognition of the need to prove that damage was either foreseen or foreseeable.

The earliest case identified was Turner v. Sterling (1671) 2 Vent 25, when the plaintiff alleged irregularity in an election for the post of Bridgemaster in the City of London, and the majority of the judges in the Court of Common Bench held that where an officer does anything against the duty of his place and office, and damage thereby accrues to the plaintiff, an action lies.

The next authority in point of time is the famous case of Ashby v. White, culminating in a resolution of the House of Lords, which was apparently based on the advice of Holt CJ, and which is reported in Howell's State Trials volume XIV at page 799 as follows:-

> "It is resolved by the Lords spiritual and temporal in parliament assembled, that by the known laws of this kingdom, every freeholder, or other person, having a right to give his vote at the election of members to serve in parliament, and being wilfully denied or hindered so to do by the officer who ought to receive the same, may maintain an action in the Queen's courts against such officer, to assert his right, and recover damages for the injury."

In a sequence of other cases towards the turn of the 18th century similar claims were rejected on the ground that there was no proof of malice. Thus in Harman v. Tappenden, (1801) 1 East 555 Lawrence J held at page 562:-

> "There is no instance of an action of this sort maintained for an act arising merely from error of judgment. Perhaps the action might have been maintained, if it had been proved that the defendants contriving and intending to injure and prejudice the plaintiff, and to deprive him of the benefit of his profits from the fishery, which as a member of this body he was entitle to according to the custom, had wilfully and maliciously procured him to be disfranchised in consequence of which he was deprived of such profits. But here there was no evidence of any wilful and malicious intention to deprive the plaintiff or his profits, or that they had disfranchised him with that intent, which is necessary to maintain the action."

Kenyon CJ's judgment at page 216 was to the same effect, and in the course of their judgments the judges cited two earlier unreported cases, namely General Burgoyne v. Moss (1768) and Drewe v. Coulton (1787), both of which are reported as footnotes to Harman v. Tappenden in 104 ER at page 217. In the latter case Wilson J, having cited Sterling v. Turner, said:-

> "In all the cases put the misbehaviour must be wilful, and by wilful I understand contrary to a man's own conviction ..... I do not mean to say that in this kind of action it is necessary to prove express malice. It is sufficient if malice may be implied from the conduct of the officer; as if he had decided contrary to a last resolution of the House of Commons; there I should leave it to the jury to imply malice."

A similar test was propounded by Lord Kenyon CJ in Williams v. Lewis (1789) Peake Add. Cas. 157, where he held that the returning officers were not liable "unless they acted against the clear conviction of their own mind" (at page 164).

In Cullen v. Morris (1819) 2 Stark 577, Abbott CJ, having upheld the submission on behalf of the returning officers that the action would only lie if it appeared that the refusal of a right to vote resulted from a malicious and improper motive, directed the jury as follows at page 589:-

> "The question for your consideration is, whether the refusal of the vote in this instance, was founded on an improper motive on the part of the defendant; it is for you to pronounce your opinion, whether the defendant's conduct proceeded from an improper motive, or from an

honest intention to discharge his duty acting under professional advice.

If he intended to do prejudice either to the plaintiff or to the candidate for whom he meant to vote, the plaintiff is entitled to your verdict; if on the other hand he acted in the best way he could according to his judgment, your verdict ought to be for the defendant."

In the final election case, Tozer v. Child (1857) 7 E & B 377, Lord Campbell CJ's direction to the jury as summarised in the bill of exceptions at page 379 was as follows:-

"And thereupon the said Lord Chief Justice directed the said jury that the defendants were not necessarily liable in this action, although the plaintiff, notwithstanding his non-payment of the said church rate, was qualified and entitled to vote, and to be a candidate at the said election, as he alleged: and that it was incumbent on the plaintiff to make out that the acts of the defendants complained of were malicious; and that malice might be proved, not only by evidence of personal hostility or spite, but by evidence of any other corrupt or improper motive: and that, if the defendants committed the acts and grievances in either counts of the declaration complained of bona fide, and acting upon advice which they believed sound, the defendants were not guilty as alleged, and that they the said jury ought as to each of the counts of the declaration, to find and give their verdict for the defendants upon the first issue within joined between the said parties, unless, upon the evidence, they were of opinion that the defendants, in committing and occasioning the acts, grievances and omissions in such count of the declaration alleged, had acted mala fide and dishonestly."

This direction was upheld by a very powerfully constituted Court of Exchequer Chamber (Cresswell J. and Martin, Bramwell and Watson BB. at pp 382-383).

Whitelegg v. Richards, (1823) 2 B & C 45, was a case alleging abuse of power by the Clerk to the Court of Relief of Insolvent Debtors in wrongfully and maliciously releasing a debtor from custody despite non-payment to the plaintiff of his damages and costs. The plea alleged that the defendant "wrongfully and maliciously intending to injure the plaintiff" caused the debtor to be discharged out of custody without payment.

In his judgment Abbott CJ at page 302 stated as follows:-

"On the argument before us, some authorities were quoted to show, that an action upon the case may be maintained against an officer of a Court for a falsity or misconduct in his office, whereby a party sustains a special damage; and that, in this case, a damage was plainly shewn by the loss of the means of enforcing payment from the debtor, as in actions against sheriffs or gaolers for an escape."

In Henly v. The Mayor and Burgesses of Lyme (1828) 5 Bing 91 the plaintiff, who owned property in Lyme Regis, claimed that he had suffered loss in consequence of the decay of the sea wall in the vicinity of the Cob at Lyme Regis, which the corporation had been directed to repair under the terms of a grant from the Crown, conveying the sea walls etc. to the corporation with tolls. The plaintiff was successful before Littledale J and a jury at the Dorchester Spring Assizes in 1828, the plea being that the defendants "well knowing the premises, and not regarding the said letters patent or their duty in that behalf, but contriving and wrongfully and unjustly intending to injure and prejudice and aggrieve the plaintiff and to deprive him of the use of (his property), permitted (the sea wall) to be and continue ..... ruinous, prostrate, fallen down, washed down, out of repair, and in great decay ...".

On appeal, Best CJ stated as follows:-

"Now I take it to be perfectly clear, that if a public officer abuses his office, either by an act of omission or commission, and the consequences of that is an injury to an individual, an action may be maintained against such public officer. The instances of this are so numerous, that it would be a waste of time to refer to them.

Then what constitutes a public officer? In my opinion, every one who is appointed to discharge a public duty, and receives a compensation in whatever shape, whether from the crown or otherwise, is constituted a public officer.

Bishops, certainly, are paid by the crown, not in money, but by estates which have been granted to them; and in consequence of the grant of such estates certain duties have been imposed on the bishops; such, for instance, as holding ecclesiastical courts; Does any man doubt, if a bishop, by neglect to hold an ecclesiastical court, prevents an individual from obtaining probate of a will, by which he sustains an injury, an action might be maintained against such bishop for the consequence of that neglect ? Clergymen are public servants to a certain extent, although undoubtedly they are not paid by the public. The emoluments which they receive have not been derived from the public; they have been derived from the owners of particular lands, who have endowed them with the glebe or tithes which they possess; yet they have duties cast on them as the consequence of the tenure of those lands and tithes, such as for instance, to administer the sacrament; and it has been decided, that if a clergyman refuse to administer the sacrament to a man who is thereby prejudiced in his civil rights, an action is maintainable against the clergyman. So if a clergyman were to neglect to register a person brought to be baptised, and in consequence of that, such person should lose an estate, does any man doubt an action could be maintained against him? If the Bank of England, refuse to transfer stock, an action may be maintained against them.

Lords of manors hold courts, which courts they are obliged to hold, as one of the considerations on which the lands have been granted to them. If a lord of the manor were to refuse or neglect to hold a court, by which a copyholder should be prevented from having admission to his copyhold, does any man doubt an action could be maintained against such lord?

It seems to me that all these cases establish the principle, that if a man takes a reward, - whatever be the nature of that reward, whether it be in money from the crown, whether it be in land from the crown, whether it be in lands or money from any individual, - for the discharge of a public duty, that instant he becomes a public officer; and if by any act of negligence or any act of abuse in his office, any individual sustains an injury, that individual is entitled to redress in a civil action. If that be so, then it is quite clear that the plaintiff in this case is entitled to maintain this action. The plaintiff may say to the corporation, `you have a compensation from the crown for discharging the duty which you have neglected to discharge; and in consequence of that neglect I have sustained an injury; I am, therefore, entitled to have a compensation from you'."

Gaselee J concurred.

Reviewing these cases in the round, we consider that there is plainly substance in Lord Neill's submission that none of them mentions expressly the need to prove that loss was foreseen or foreseeable. However we do not attach great significance to this, since it is obvious that the denial to an elector of his right to vote would be foreseen, or at least foreseeable, to be likely to cause him loss of his constitutional right. Indeed, it deprived him of that right without any room for further discussion of cause and effect. That was in era where the suffrage was very narrowly based, all the election cases we have cited other than Tozer v. Child having preceded the Reform Bill of 1832.

Whitelegg v. Richards and Henly v. Lyme undoubtedly lend support to Lord Neill's submission that this tort comprises an action on the case upon proof of special damage; but it seems unlikely that Abbott CJ and Best CJ can have intended, *sub silentio*, to overturn the requirement of malice so clearly laid down in all the earlier cases, and it may well be, in the light of the pleas in those two cases which we have quoted, that this requirement was taken for granted. Thus we accept Mr. Stadlen's submission that these cases do not carry the day in favour of Lord Neill so far as the second limb of the tort is concerned. However, so far as the ingredients of malice are concerned, we are unable to accept that these cases restrict them as narrowly as Mr. Stadlen submits.

On the contrary, a number of them recognised a wider connotation for malice, in particular the description of the defendant acting "contrary to his own conviction" in Drewe v. Coulton, and in Williams v. Lewis, the references in Abbott CJ's judgment in Cullen v. Morris to an "improper motive", and Lord Campbell CJ's mention in Tozer v. Child of "any other corrupt or improper motive". Consequently we consider that Lord Neill was correct in his submission that the concept of malice here is similar to that which figures in the law of defamation, namely where the defendant either did not honestly believe that what he said was true (in the sense that he was either aware that it was not true or indifferent to its truth or falsity) or (even when he positively believes in the truth of what he published) was actuated by some improper or indirect motive (see Lord Diplock's classic judgment in Horrocks v. Lowe [1975] AC 135, especially at pages 150 and 152).

IX

Bourgoin v MAFF

We have already quoted the salient parts of the judgments of Mann J at first instance and of Oliver LJ in the Court of Appeal. Both sides have subjected the decision to the most minute textual analysis in support of their respective contentions.

Lord Neill rightly stressed that Mann J was most meticulous in his choice of language throughout his judicial career both at first instance and in the Court of Appeal. He was thus unlikely to have made such an elementary slip as to use "foreseeable" if he meant "foreseen", and it was equally improbable that Oliver LJ would have specifically quoted and approved what Mann J said, without making the correction, when he came to consider the crucial part of Mann J's judgment.

Mr. Stadlen on the other hand submitted that this was an isolated and discordant reference to "foreseeable" in a judgment which elsewhere makes it abundantly clear that the only point in issue was whether actual foresight of loss was sufficient. In support of that argument he cited six references from Mann J's judgment which, he contended, show that the only proposition he was approving was the limited one that actual foresight of loss coupled with actual knowledge of illegality is sufficient to establish liability. These comprise references on pages 734, 735, and 740, from which we shall quote two at page 734 G to 735 A and at page 740 C-D) which are illustrative of the rest:-

> "For the purpose of the preliminary issue the defendant accepted the plaintiffs' allegations that ... the minister knew at the time of revocation that his act would and was calculated to injure the plaintiffs in their businesses ...
>
> The wrong described before me is that of an act performed by a public officer with actual knowledge that it is performed without power and is so performed with the known consequence that it would injure the plaintiffs."

So far as the Court of Appeal is concerned, Mr. Stadlen directed attention to the second paragraph quoted above from Oliver LJ's judgment, and in particular to the words "... with knowledge of its consequences..."

In our judgment it is very important to bear in mind that no issue arose in Bourgoin as between the two rival concepts, seeing that actual knowledge of the consequences was conceded by the Minister. There was no need either for Mann J or for the Court of Appeal to focus any attention on the resolution of the dilemma. Thus in the particular circumstances of the case Mann J's choice of the adjective "foreseeable" was not critical, and indeed there appears to be no reference in the argument to this aspect.

Furthermore, we agree with Mr. Stadlen that this was an isolated and discordant reference in a judgment otherwise abounding with references to actual knowledge, as was to be expected in view of the Minister's concession. These considerations tend seriously to weaken the force of Lord Neill's argument, which at first sight seemed very powerful.

X

The Commonwealth cases

Northern Territory v. Mengel. (1995) 69 ALJR 527 was a claim by the owners of two cattle stations whose plans to sell cattle worth approximately A$1m. were frustrated by the action of two inspectors of the Northern Territory Department of Primary Industries and Fisheries, who quarantined the stock notwithstanding the absence of any statutory or other authority. One of several causes of action relied upon by the plaintiff was misfeasance in public office, and the question arose whether, as the plaintiff submitted, it was sufficient to show that the inspectors knew that their actions were beyond their powers, or whether there was an additional requirement.

One central issue in the case was whether the inspectors had actual knowledge of the consequences of their actions, and it was held that they did. Another was whether they had knowledge of the illegality of their actions.

Having cited Bourgoin, the judgment of the plurality (Mason CJ, Dawson, Toohey, Gaudron and McHugh JJ) proceeded as follows at page 540:-

> "The cases do not establish that misfeasance in public office is constituted simply by an act of a public officer which he or she knows is beyond power and which results in damage. Nor is that required by policy or by principle. Policy and principle both suggest that liability should be more closely confined. So far as policy is concerned, it is to be borne in mind that, although the tort is the tort of a public officer, he or she is liable personally and, unless there is de facto authority, there will ordinarily only be personal liability. And principle suggests that misfeasance in public office is a counterpart to, and should be confined in the same way as, those torts which impose liability on private individuals for the intentional infliction of harm. For present purposes, we include in that concept acts which are calculated in the ordinary course to cause harm, as in Wilkinson v. Downton [1897] 2 QB 57, or which are done with reckless indifference to the harm that is likely to ensue, as is the case where a person, having recklessly ignored the means of ascertaining the existence of a contract, acts in a way that procures its breach.

> It may be that analogy with the torts which impose liability on private individuals for the intentional infliction of harm would dictate the conclusion that, provided there is damage, liability for misfeasance in public office should rest on intentional infliction of harm, in the sense that that is the actuating motive, or on an act which the public officer knows is beyond power and which is calculated in the ordinary course to cause harm. However, it is sufficient for present purposes to proceed on the basis accepted as sufficient in Bourgoin, namely, that liability requires an act which the public officer knows is beyond power and which involves a foreseeable risk of harm."

In a separate judgment Brennan J stated as follows at page 546:-

> "I respectfully agree that the mental element is satisfied either by malice (in the sense stated) or by knowledge. That is to say, the mental element is satisfied when the public officer engages in the impugned conduct with the intention of inflicting injury or with knowledge that there is no power to engage in that conduct and that that conduct is calculated to produce injury. These are states of mind which are inconsistent with an honest attempt by a public officer to perform the functions of the office. Another state of mind which is inconsistent with a honest attempt to perform the functions of a public office is reckless indifference as to the availability of power to support the impugned conduct and as to the injury which the impugned conduct is calculated to produce. The state of mind relates to the character of the conduct in which the public officer is engaged - whether it is within power and whether it is calculated (that is, naturally adapted in the circumstances) to produce injury."

This passage is in line with the view of the plurality, and when, later in his judgment Brennan J stated at page 547 that "causation of damage is relevant; foreseeability of damage is not", he was clearly speaking in the context of negligence rather than misfeasance.

Finally, in another separate judgment, Deane J stated as follows at page 554:-

> "In the context of misfeasance in public office, the focus of the requisite element of malice is injury to the plaintiff or injury to some other person through an act which injuriously affects the plaintiff. Such malice will exist if the act was done with an actual intention to cause such injury. The requirement of malice will also be satisfied if the act was done with knowledge of invalidity or lack of power and with knowledge that it would cause or be likely to cause such injury. Finally, malice will exist if the act is done with reckless indifference or deliberate blindness to that invalidity or lack of power and that likely injury. Absent such an intention, such knowledge and such reckless indifference or deliberate blindness, the requirement of malice will not be satisfied."

This case undoubtedly lends some support to Lord Neill's interpretation, but only to a very limited extent seeing that (as in Bourgoin itself) there was no debate between the two concepts, which would in any event have been otiose since (as already noted) it was held that the inspectors had actual knowledge of the loss that would be suffered by the plaintiffs.

In Garrett v. Attorney General [1997] 2 NZLR 332 the New Zealand Court of Appeal (Richardson P, Gault, Henry, Keith and Blanchard JJ) considered a case where the plaintiff's claim was for misfeasance in public office against a police sergeant who was in charge of a police station, on the ground that he had failed to investigate and properly deal with her complaint that she had been raped by a police constable attached to that police station. The court held that the case was bound to fail because there was no evidence whether the sergeant had actual appreciation that his breaches of duty, (such as they might have been), were going to lead to the plaintiff suffering harm.

The judgment of the court was delivered by Blanchard J and at the outset of the discussion of the ingredients of the tort he stated as follows at page 344:-

> "Proceedings for the tort of misfeasance in public office, also known as abuse of public office, have never been common. Early in its development an essential ingredient was malice on the part of the defendant: a deliberate and vindictive act by a public official involving a breach of duty and directed towards the plaintiff. This has come to be known as `targeted malice'. But the tort is no longer so confined. It can also be committed by an official who acts or omits to act in breach of duty knowing about the breach and also knowing harm or loss is thereby likely to be occasioned to the plaintiff. As will appear from the following discussion, `knowing' in relation to both the breach and its effect on the plaintiff includes acting recklessly, in the sense of believing or suspecting the position and going ahead anyway without ascertaining the position as a reasonable and honest person would do."

There followed extensive discussion of and citation from the judgments in Bourgoin and Mengel, and of Clarke J's judgment in the present case. He then concluded at page 349:-

> "We are in respectful agreement with Clarke J that it is insufficient to show foreseeability of damage caused by a knowing breach of duty by a public officer. The plaintiff, in our view, must prove that the official had an actual appreciation of the consequences for the

plaintiff, or people in the general position of the plaintiff, of the disregard of duty or that the official was recklessly indifferent to the consequences and can thus be taken to have been content for them to happen as they would. The tort has at is base conscious disregard for the interests of those who will be affected by official decision making. There must be an actual or, in the case of recklessness, presumed intent to transgress the limits of power even though it will follow that a person or persons will be likely to be harmed. The tort is not restricted to a case of deliberately wanting to cause harm to anyone: it also covers a situation in which the official's act or failure to act is not directed at the injured party but the official sees the consequences as naturally flowing for that person when exercising power. In effect this is no more than saying the tort is an intentional tort. In this context, a person intends to bring about the known consequences of his or her actions or omissions, even if other consequences from the primary motive. Bourgoin is an example. The concept of attributing intention by necessary inference in this way is well established.

The purpose behind the imposition of this form of tortious liability is to prevent the deliberate injuring of members of the public by deliberate disregard of official duty. It is unnecessary, to attain this objective, to extend the tort to catch an act which, though known to be wrongful, is done without a realisation of the consequences for the plaintiff....

... In our view this intentional tort should not be allowed to overflow its banks and cover the unintentional infliction of damage. In many cases the consequences of breaking the law will be obvious enough to officials, who can then be taken to have intended the damage they caused. But where at the time they do not realise the consequences they will probably not be deterred from exceeding their powers by any enlargement of the tort. As Clarke J observes, they may well think that they are acting in the best interests of those persons whom they actually have in mind. In any modern society administration of central or local government is complex. Overly punitive civil laws may oftentimes deter a commonsense approach by officials to the use or enforcement of rules and regulations. We prefer to err on the side of caution and not to extend the potential liability of officials for causing unforeseen damage. To do so may have a stultifying effect on governance without commensurate benefit to the public.....

... The common law has long set its face against any general principle that invalid administrative action by itself gives rise to a cause of action in damages by those who have suffered loss as a consequence of that action. There must be something more. And in the case of misfeasance of public office that something more, it seems to us, must be related to the individual who is bringing the action. While the cases have made it clear that the malice need not be targeted there must, as we have said, be a conscious disregard for the interests of those who will be affected by the making of the particular decision."

The tort was again considered in New Zealand by the Court of Appeal (McKay, Barker and Tipping JJ) in Rawlinson v Rice [1997] 2 NZLR 651.

McKay J stated at page 658:-

"A deliberate act knowingly or recklessly in excess of one's powers is sufficient. As has now been decided in Garrett v. Attorney-General [1997] 2 NZLR 332, it must also be shown that the defendant knew that the conduct would cause damage to the plaintiff, or was recklessly indifferent to the consequences."

Later at page 661 he stated:-

"What must be established, however, is that this was actually foreseen, or that the defendant was reckless as to possible damage."

Barker J in a judgment which dissented on the result but not on the ingredients of the tort, stated as follows at page 663:-

"Garrett v. Attorney-General [1997] 2 NZLR 332 discusses the ingredients of the tort of misfeasance in public office. The official must exhibit `malice' in the sense of being recklessly indifferent, both as to the exercise of his jurisdiction and as to the consequences for the person harmed. There must be a *presumed intent* to transgress the limits of power, even though it will follow that the person is likely to be harmed. Mere foreseeability of deleterious consequences is insufficient; the defendant must be reckless as to possible damage.

Tipping J. stated as follows at page 665:-

"In the present case the cause of action is misfeasance in public office. That tort has a variety of manifestations. Sometimes actual malice in the form of spite or ill will is alleged but not in this case. It is sufficient for the plaintiff to show that the defendant knew he/she was acting outside the limits of power or was recklessly indifferent to whether that was the case. The same concepts of knowledge or reckless indifference must be shown in relation to the harm likely to be caused by the defendant's conduct Garrett v. Attorney-General [1997] 2 NZLR 332.

To sustain the tort in the form alleged Mr. Rawlinson has to satisfy the following criteria:

(1) That he has standing to sue.
(2) That the respondent held and was acting in the course of a public office.
(3) That the respondent knew, or is presumed to have known (showed reckless indifference to whether) he was acting outside the limits of his power.
(4) That the respondent knew, or is presumed to have known (in the same sense as above) that his conduct was likely to harm the plaintiff as an individual or as a member of a class.
(5) That the respondent's conduct did in fact cause the plaintiff qualifying harm."

Later in his judgment at page 667 he proceeded as follows:-

> "On the premise that the facts alleged in the pleadings and described in the briefs of evidence are capable of demonstrating the necessary knowledge or reckless indifference in relation to criterion (3), it is for completeness necessary to consider whether the same applies in relation to criterion (4), i.e. likelihood of harm being suffered by Mr. Rawlinson. If the respondent was recklessly indifferent as to his powers it seems to me to be a short step to infer that he was recklessly indifferent to the harm that he might cause Mr. Rawlinson by acting outside those powers."

Lord Neill at one stage in his argument tended to suggest that the clear statements in Garrett were somehow limited or obscured by Rawlinson v. Rice, but in our judgment the above quotations show that there was no disharmony, and in any event the court in the latter case was bound by the former.

It is thus apparent that, from the point of view of comity, there is no consistent Commonwealth line of authority to guide us. However, we do find it helpful to bear in mind that in Garrett, unlike Mengel, the dilemma was the subject of careful (and to our mind very cogent) consideration, which leads us to draw more assistance from the New Zealand case.

XI

The English cases subsequent to Clarke J's decision

These cases were strongly relied upon by Mr. Stadlen as authoritative endorsements of Clarke J's decision. Lord Neill on the other hand submitted that in none of them was Clarke J's judgment subjected to any detailed analysis, and that in particular there was no specific consideration of the foreseeable/foreseen issue.

At the appellate level the cases are as follows:-

(i) In Lam v. Brennan [1997] 3 PLR 22 the Court of Appeal (Potter and Brooke LJJ) struck out a claim in negligence against a planning authority on the footing that the authority owed the plaintiff no duty of care. In the judgment of the Court they also refused an application by the plaintiff for leave to amend to add a plea of misfeasance in public office (which was described as "an ill considered attempt to create a long stop"), on the footing that the pleadings disclosed no material to support "what is essentially a tort of malice (albeit malice in the extended sense contemplated in Bourgoin, and further expanded by Clarke J in Three Rivers District Council v. Bank of England)".

(ii) In R. v. Chief Constable of the North Wales Police ex parte AB [1997] 3 WLR 724 the Divisional Court (Lord Bingham of Cornhill CJ and Buxton J) cited Clarke J's judgment as "a most helpful summary" and quoted his first two propositions. The Lord Chief Justice then proceeded:-

> "It is unnecessary to list the other ingredients of this tort, since it cannot be suggested that in the present case the N.W.P. acted with a deliberate and dishonest intention to abuse their powers and with an intention to injure the applicants or with knowledge that they had no power to disclose information to the site owner. All the evidence shows that they acted in a bona fide belief that disclosure was necessary, to the extent made, in the public interest."

(iii) In Barnard v. Restormel Borough Council(unreported 6 February 1998) the Court of Appeal (Buxton LJ and Sir John Knox) struck out inter alia a claim for misfeasance against the defendant Borough Council; Buxton LJ, giving the leading judgment with which Sir John Knox agreed, referred to the "detailed and thorough judgment" of Clarke J, which he held, accurately summarised the elements of the tort as laid down in Bourgoin. Buxton LJ then quoted with approval Clarke J's first two propositions. Later, he described bad faith or dishonesty as the "operative requirement" as laid down both by Clarke J and by Bourgoin.

(iv) In London Borough of Ealing v. Metha (unreported 24 April 1997 Beldam LJ and Bennett J) there is a reference to the present case as being "distinguished by an erudite judgment by Clarke J".

There are also two decisions at first instance, both of Sir Richard Scott V-C, where Clarke J's judgment was considered. In Elliott v. Chief Constable of Wiltshire (unreported 20 November 1996) the Vice Chancellor refused to strike out a claim for misfeasance in public office and, having cited Calverley v. Chief Constable of the Merseyside Police he commented that "the boundaries of this tort have not been and perhaps should not be precisely defined". He then proceeded to cite in detail both Mengel and Clarke J's judgment, which he said provided the measure of the ingredients of the tort against which the plaintiff's pleading should be assessed. In Bennett v. Commissioner of Police for the Metropolis, (unreported 8 October 1997) the Vice- Chancellor upheld a striking out application, again applying Mengel and Clarke J's judgment as " two ... recent cases which have illuminated the ingredients of the tort".

We should add that we have left out of account two other misfeasance cases cited by Mr. Stadlen, where the Court of Appeal refused leave to appeal, since they do not in our judgment carry the matter any further.

We accept Lord Neill's submission that none of these subsequent cases is conclusive in Mr. Stadlen's favour; nonetheless we do consider that they, like Garrett, lend very significant support to Mr. Stadlen's interpretation which, for the reasons we have already given, does not subject the judgments in Bourgoin to undue strain.

In the final analysis, we find it helpful to go back to the fundamental concepts of the tort of misfeasance, and to bear in mind that the second limb is an alternative to the targeted malice comprised in the first limb. The two limbs should be broadly in harmony, as they will be if the test is actual foresight; a test of mere foreseeability, on the other hand, would be a somewhat jejune alternative, introducing considerations more appropriate to negligence.

For all these reasons we would uphold Clarke J's decision that actual foresight is the correct test.

XII

No duty of care - the two Privy Council cases.

Before proceeding to the remaining issues which arise under the general heading of misfeasance in public office, it is convenient to consider these two Privy Council cases, which have some bearing on those issues.

In Yuen Kun-yeu v. the Attorney General of Hong Kong [1988] 1 AC 175 the plaintiffs, who had lost money they had deposited with a deposit-taking company registered by the Commissioner of Deposit-Taking Companies in Hong Kong, claimed damages for negligence alleging that they had made deposits in reliance upon the company's registration and that the Commissioner knew or ought to have known, had he taken reasonable care, that the company's affairs were being conducted fraudulently, speculatively and to the detriment of its depositors.

One of the allegations in the statement of claim, which of course was assumed to be true for the purpose of the striking out application, was that information about the company giving rise to the suspicion that its business was being conducted fraudulently was available to the Commissioner but not to members of the public.

Giving the judgment of the Board (Lord Keith of Kinkel, Lord Templeman, Lord Griffiths, Lord Oliver of Aylmerton, and Sir Robert Megarry) Lord Keith of Kinkel at page 190 stated:-

> "The issues in the appeal raise important issues of principle, having far-reaching implications as regards the potential liability in negligence of a wide variety of regulatory agencies carried on under the aegis of central or local government and also to some extent by non-governmental bodies. Such agencies are in modern times becoming an increasingly familiar feature of the financial, commercial, industrial and social scene.
>
> The foremost question of principle is whether in the present case the commissioner owed to members of the public who might be minded to deposit their money with deposit-

taking companies in Hong Kong a duty, in the discharge of his supervisory powers under the Ordinance, to exercise reasonable care to see that such members of the public did not suffer loss through the affairs of such companies being carried on by their manager in fraudulent or improvident fashion. That question is one of law, which is capable of being answered upon the averments assumed to be true, contained in the plaintiffs' pleadings. If it is answered in the negative, the plaintiffs have no reasonable cause of action, and their statement of claim was rightly struck out."

Lord Keith went on to consider the leading authorities, including Anns v. Merton London Borough Council [1978] AC 728, Hedley Byrne & Co. Ltd v. Heller and Partners Ltd. [1964] AC 465, Dorset Yacht Co. Ltd. v. Home Office [1970] AC 1004 and Hill v. Chief Constable of West Yorkshire [1988] QB 60 (the Court of Appeal decision subsequently upheld in the House of Lords at [1989] 1 AC 53). Lord Keith then proceeded at page 194 as follows:-

"The primary and all-important matter for consideration, then, is whether in all the circumstances of this case there existed between the commissioner and would-be depositors with the company such close and direct relations as to place the commissioner, in the exercise of his functions under the Ordinance, under a duty of care towards would-be depositors. Among the circumstances of the case to be taken into account is that one of the purposes of the Ordinance (though not the only one) was to make provision for the protection of persons who deposit money. The restrictions and obligations placed on registered deposit-taking companies, fenced by criminal sanctions, in themselves went a long way to secure that object. But the discretion given to the commissioner to register or deregister such companies, so as effectively to confer or remove the right to do business, was also an important part of the protection afforded. No doubt it was reasonably foreseeable by the commissioner that if an uncreditworthy company were placed on or allowed to remain on the register, persons who might in the future deposit money with it would be at risk of losing that money. But mere foreseeability of harm does not create a duty, and future would-be depositors cannot be regarded as the only persons whom the commissioner should properly have in contemplation. In considering the question of removal from the register, the immediate and probably disastrous effect on existing depositors would be a very relevant factor. It might be a very delicate choice whether the best course was to deregister a company forthwith or to allow it to continue in business with some hope that, after appropriate measures by the management, its financial position would improve. It must not be overlooked that the power to refuse registration, and to revoke or suspend it, is quasi-judicial in character, as is demonstrated by the right of appeal to the Governor in Council conferred upon companies by section 34 of the Ordinance, and the right to be heard by the commissioner conferred by section 47. The commissioner did not have any power to control the day-to-day management of any company, and such a task would require immense resources. His power was limited to putting it out of business or allowing it to continue. No doubt recognition by the company that the commissioner had power to put it out of business would be a powerful incentive impelling the company to carry on its affairs in a responsible manner, but if those in charge were determined upon fraud it is doubtful if any supervision could be close enough to prevent it in time to forestall loss to depositors. In these circumstances their Lordships are unable to discern any intention on the part of the legislature that in considering whether to register or deregister a company the commissioner should owe any statutory duty to potential depositors. It would be strange that a common law duty of care should be superimposed upon such a statutory framework.

On the plaintiffs' case as pleaded the immediate cause of the loss suffered by the plaintiffs in this case was the conduct of the managers of the company in carrying on its business fraudulently, improvidently and in breach of many of the provisions of the Ordinance. Another cause was the action of the plaintiffs in depositing their money with a company which in the event turned out to be uncreditworthy. Considerable information about the company was available from the documents required by the Ordinance to be open to public inspection, and no doubt advice could have been readily obtained from investment advisers in Hong Kong. Before the plaintiffs deposited their money with the company there was no relationship of any kind between them and the commissioner. They were simply a few among the many inhabitants of Hong Kong who might choose to deposit their money with that or any other deposit-taking company. The class to whom the commissioner's duty is alleged to have been owed must include all such inhabitants. It is true, however, that according to the plaintiffs' averments there had been available to him information about the company's affairs which was not available to the public and which raised serious doubts, to say the least of it, about the company's stability. That raises the question whether there existed between the commissioner and the company and its managers a special relationship of the nature described by Dixon J in Smith v. Leurs, 70 CLR 256, 261-262, and such as was held to exist between the prison officers and the Borstal boys in Dorset Yacht Co. Ltd. v. Home Office [1970] AC 1004, so as to give rise to a duty on the commissioner to take reasonable care to prevent the company and its managers from causing financial loss to persons who might subsequently deposit money with it.

In contradistinction to the position in the Dorset Yacht case, the commissioner had no power to control the day-to-day activities of those who caused the loss and damage. As has been mentioned, the commissioner had power only to stop the company carrying on business, and the decision whether or not to do so was clearly well within the discretionary sphere of his functions. In their Lordships' opinion the circumstance that the commissioner had, on the plaintiffs' averments, cogent reason to suspect that the company's business was being carried on fraudulently and improvidently did not create a special relationship between the commissioner and the company of the nature described in the authorities. They are also of opinion that no special relationship existed between the commissioner and those unascertained members of the public who might in future become exposed to risk of financial loss through depositing money with the company. Accordingly their Lordships do not consider that the commissioner owed to the plaintiffs any duty of care on the principle which formed the ratio of the Dorset Yacht case. To hark back to Lord Atkin's words in Donoghue v. Stevenson [1932] AC 562, 581, there were not such close and direct relations between the commissioner and the plaintiffs as to give rise to the duty of care desiderated."

Lord Keith concluded his judgment at page 198 as follows:-

"The final matter for consideration is the argument for the Attorney-General of Hong Kong that it would be contrary to public policy to admit the plaintiffs' claim, upon grounds similar to those indicated in relation to police forces by Glidewell LJ in Hill v. Chief Constable of West Yorkshire [1988] QB 60, 75. It was maintained that if the commissioner were to be held to owe actual or potential depositors a duty of care in negligence, there would be reason to apprehend that the prospect of claims would have a seriously inhibiting effect on the work of his department. A sound judgment would be less likely to be exercised if the commissioner were to be constantly looking over his shoulder at the prospect of claims against him, and his activities would be likely to be conducted in a detrimentally defensive frame of mind. In the result, the effectiveness of his functions would be at risk of diminution. Consciousness of potential liability could lead to distortions of judgment. In addition, the principles leading to his liability would surely be equally applicable to a wide range of regulatory agencies, not only in the financial field, but also, for example, to the factory inspectorate and social workers, to name only a few. If such liability were to be desirable upon any policy grounds, it would be much better that the liability were to be introduced by the legislature, which is better suited than the judiciary to weigh up competing policy considerations.

Their Lordships are of opinion that there is much force in these arguments, but as they are satisfied that the plaintiffs' statement of claim does not disclose a cause of action against the commissioner in negligence they prefer to rest their decision upon that rather than upon the public policy argument."

In Davis v. Radcliffe [1990] 1 WLR 821 a similar claim was brought against the Treasurer of the Isle of Man and members of the Finance Board who were the regulatory authority in the Isle of Man.

The judgment of the Board (Lord Keith of Kinkel, Lord Brandon of Oakbrook, Lord Templeman, Lord Goff of Chieveley and Lord Lowry) was delivered by Lord Goff, who stated at page 826 that the case was for all practical purposes indistinguishable from Yuen.

Lord Goff then proceeded at page 826:-

"It is against this background of authority that their Lordships approach the present case, in which it is submitted that, on the facts pleaded, the Treasurer and the members of the Finance Board owed a duty of care to persons in the position of the plaintiffs, breach of which may render them liable in damages to such persons in respect of loss suffered by them through having deposited money with a bank such as S.I.B. which has become insolvent. There are, in the opinion of their Lordships, certain considerations, each of which militates against the imposition of any such duty, and which taken together point to the inevitable conclusion that no such duty should be imposed.

First, it is evident that the functions of the Finance Board, and indeed of the Treasurer, as established by the Finance Board Act 1961, are typical functions of modern government, to be exercised in the general public interest. These functions are, as already indicated, of the broadest kind, for which parallels can doubtless be drawn from other jurisdictions. The functions vested in the Treasurer, and in the Finance Board, by the Banking Act 1975 must be seen as forming part of those broader functions. No doubt, in establishing a system of licensing for banks, regard was being had (though this is not expressly stated in the long title of the Act) to the fact that the existence of such a licensing system should provide an added degree of security for those dealing with banks carrying on business in the Isle of Man, including in particular those who deposit money with such banks. But it must have been the statutory intention that the licensing system should be operated in the interests of the public as a whole; and when those charged with its operation are faced with making decisions with regard, for example, to refusing to renew licences or to revoking licences, such decisions can well involve the exercise of judgment of a delicate nature affecting the whole future of the relevant bank in the Isle of Man, and the impact of any consequent cessation of the bank's business in the Isle of Man, not merely upon the customers and creditors of the bank, but indeed upon the future of financial services in the island. In circumstances such as these, competing considerations have to be carefully weighed and balanced in the public interest, and, in some circumstances, as Mr. Kentridge observed, it may for example be more in the public interest to attempt to nurse an ailing bank back to health than to hasten its collapse. The making of decisions such as these is a characteristic task of modern regulatory agencies; and the very nature of the task, with its emphasis on the broader public interest, is one which militates strongly against the imposition of a duty of care being imposed upon such an agency in favour of any particular section of the public.

A further consideration which militates against the imposition of a duty of care upon persons in the position of the defendants in the present case is that it is being sought to make them liable in negligence for damage caused to the plaintiffs by the default of a third party, S.I.B. In the case of physical damage caused by the deliberate wrongdoing of a third party, such liability will only be imposed in limited classes of case, a matter which was recently explored in the speeches of the House of Lords in Smith v. Littlewoods Organisation Ltd. [1987] AC 241. Here it is suggested that such liability should be imposed for purely financial loss flowing from the negligence of a third party. It must be rare that any such liability will be imposed; but in any event it is difficult to see that, in the present case, the defendants possessed sufficient control over the management of S.I.B. to warrant the imposition of any such liability: cf. Smith v. Leurs (1945) 70 CLR 256, 261-262 per Dixon J. Certainly Anns v. Merton London Borough Council [1978] AC 728 does not provide an instance of the imposition of such liability, since the damage in that case was treated as falling within the description of physical damage. Yet another consideration militating against the existence of the alleged duty of care in the present case is that it is said to be owed to an unlimited class of person including not only the depositors of money with S.I.B. but also those considering whether to deposit their money with S.I.B. Their Lordships wish to add that, in the case of the members of the board, it would be most remarkable if they should be under any such duty of care, bearing in mind that not only do they constitute a Board of Tynwald, responsible to Tynwald, but also that the membership of the board changes from time to time (as indeed it did during the relevant period in the present case) and that different views may be expressed by different members of the board present at any particular meeting."

These considerations, which also underlay the decision in Yuen, have a significant bearing on the remaining matters which we are about to consider.

XIII

Dishonesty, knowledge and recklessness

It is common ground that dishonesty is an essential ingredient of the tort of misfeasance in public office. We need not repeat or multiply citations to that effect. The requirement for knowledge (of some sort) of illegality and for knowledge (or foresight) of consequent injury is a theme of all the main authorities from and after Bourgoin (see Mann J. at page 740 and Oliver LJ at page 777). Recklessness was not referred to in Bourgoin (which is not surprising, in view of the Minister's concessions of actual knowledge) but it is referred to in the recent Commonwealth cases.

It may be helpful to give a brief summary of those references.

(1) In Mengel (in which actual foresight of loss was found as a fact, and awareness of illegality was the crucial issue) all the members of the High Court favoured reckless indifference on the part of the defendant to the illegality of his conduct as meeting the requirement (the plurality at pp. 540 - 1, Brennan J. at pp. 546 - 548, and Deane J. at page 554) while rejecting mere 'constructive knowledge'.

(2) In Garrett (in which the main concern was with foresight of loss) the Court of Appeal of New Zealand discussed Mengel (without giving unqualified support to it) but (at page 349) approved actual foresight or reckless indifference to consequences as the appropriate test.

(3) In Rawlinson the Court of Appeal of New Zealand expressly and unanimously (though in three separate judgments) approved reckless indifference as an appropriate test both as to illegality and as to consequences (McKay J. at pp 658 and 661, Barber J. at page 663, and Tipping J. at page 665).

The interrelationship between dishonesty, knowledge (or foresight) and recklessness was carefully considered by the Judge at pp 579 - 83 of his first judgment. Both sides have criticised different aspects of his reasoning and conclusions. We shall approach this part of his judgment by referring to some well-known cases in two quite different areas of the law (constructive trusteeship and the criminal law relating to offences against the person and against property) which counsel's indefatigable industry placed before Clarke J. and again before this court.

We begin with the constructive trust cases. A defendant may be fixed with liability as a constructive trustee under two heads, often labelled as 'knowing receipt' and 'knowing assistance'. However the implicit reference in these labels to knowledge immediately leads into difficulties. Whatever may be the position on knowing receipt (the state of authority was reviewed by Vinelott J. in Eagle Trust v SBC Securities [1993] 1 WLR 484, 489 ff), a defendant cannot be made liable under the head of knowing assistance unless he has acted dishonestly.

In Baden v Societe General reported as a note to Eagle Trust [1993] 1 WLR 509 n., Peter Gibson J. was concerned with a very complicated sequence of events arising out of the O.I.S. investment scandal in the 1970's. Those events might have produced claims under either head of constructive trusteeship but in the event only knowing assistance was pursued. Peter Gibson J. mentioned at pp 575 - 6 five different mental states (formulated not by himself but by counsel) which might be relevant in establishing constructive trusteeship under the knowing assistance head. That formulation was partly based on authority, and indeed the same sort of language was used over a century ago by Lord Blackburn in Jones v Gordon (1876) 2 App. Cas. 616, 629 in his well-known comments on the difference between good faith and bad faith in the holder of a bill.

However this five-fold classification has attracted criticism, largely for its over-elaboration. In Agip (Africa) v Jackson [1990] Ch 265, another knowing assistance case, Millett J. referred to the classification and adopted it, but at the same time warned against over-refinement. He said at page 293,

> "The true distinction is between honesty and dishonesty. It is essentially a jury question".

In a recent knowing assistance case heard by the Privy Council, Royal Brunei Airlines v Tan [1995] 2 AC 378, Lord Nicholls, delivering the opinion of the Board, went further and in defining the essentials of liability stated at page 392,

> " 'Knowingly' is better avoided as a defining ingredient of the principle, and in the context of this principle the Baden scale of knowledge is best forgotten".

The reason for this admonition appears a little earlier in the opinion. At the end of important sections on 'Dishonesty' and 'Taking risks' (to which we will refer again) Lord Nicholls stated at page 391 that to ask whether a defendant had dishonestly assisted in what was later held to be a breach of trust was a meaningful question :

> "This is not always so if the question is posed in terms of 'knowingly' assisted. Framing the question in the latter form all too often leads one into tortuous convolutions about the 'sort' of knowledge required, when the truth is that 'knowingly' is inapt as a criterion when applied to the gradually darkening spectrum where the differences are of degree and not kind".

These were all cases dealing with the law of fiduciary obligations. But it has not been suggested to us that their discussion of dishonesty, and of the states of mind that amount to dishonesty, are not relevant to the determination of this appeal. The concept of dishonesty is indeed so basic that it must have the same meaning in every branch of the law.

We were also referred, as Clarke J. was, to a number of criminal cases in which recklessness was discussed, either as an express ingredient of a statutory offence or as imported by the word 'maliciously' used in a statute. In chronological order the principal cases were the following

> (1) R v Cunningham [1957] 2 QB 396, the case of the man who stole a gas meter from an empty house, with the result that the occupant of the neighbouring house inhaled escaping gas; the thief was charged with maliciously administering a noxious substance contrary to s.23 of the Offences against the Person Act 1861;

(2) R v Lawrence [1982] AC 510, a prosecution for the now-repealed offence of causing death by reckless driving;

(3) R v Caldwell [1982] AC 341, the case of the resentful ex-employee who, while drunk, set fire to a hotel where residents were sleeping and was prosecuted under section 1(2) of the Criminal Damage Act 1971, an offence which includes "being reckless as to whether the life of another would be thereby endangered"; and

(4) R v Savage [1992] 1 AC 699, the case of the woman who deliberately threw beer in her rival's face, but let go of the glass as well and caused her injury.

The Judge did not find it necessary to discuss the criminal cases at length. Nor do we. They were all concerned with statutory offences of differing antiquity and provenance. The general conclusion which we derive from them is that to draw any sharp distinction between 'subjective' and 'objective' tests may not be helpful; that the more obviously dangerous the defendant's activity is (such as driving at not less than 60 mph in a built-up area) the more difficult it will be for him to avoid the jury finding that he was at least reckless as to the consequences; and that, by contrast, the greater the gap (in space or time, or both) between the defendant's act or omission and the injurious consequences, the more evidence will be required to establish that the defendant actually foresaw the consequences or was recklessly indifferent to them to a degree that amounts to dishonesty.

The Judge, after a very full discussion of Bourgoin and Mengel, turned (at page 579) to consider the difference between knowledge, turning a blind eye and recklessness. He found helpful, as we do, some observations on the meaning of 'privity of the assured' (in s. 39(5) of the Marine Insurance Act 1906) made by Lord Denning MR and Geoffrey Lane LJ in Cia Maritima San Basilio v Oceanus Mutual [1977] QB 49, 68, 76 - 7 in which 'privity' was held to connote knowledge, belief or deliberately turning a blind eye, but not mere negligence.

The Judge then turned to the constructive trust cases. He cited the five-fold classification in Baden and noted the observations on it made by Millett J. in Agip and Lord Nicholls in Royal Brunei. Nevertheless he found the classification of considerable value in relation to misfeasance because (as he stated at page 581) "the cases show that knowledge is material". He then went to refer briefly to the criminal cases and concluded that recklessness (in the 'subjective' sense), as well as actual knowledge, was a sufficient basis for establishing misfeasance. He said (at page 581 - 2)

> "The reason why recklessness was regarded as sufficient by all members of the High Court in Mengel is perhaps most clearly seen in the judgment of Brennan J. It is that misfeasance consists in the purported exercise of a power otherwise than in an honest attempt to perform the relevant duty. It is that lack of honesty which makes the act an abuse of power. In my judgment a public officer who falls within any of the categories (i) [actual knowledge], (ii) [wilfully shutting one's eyes to the obvious] and (iii) [wilfully and recklessly failing to make such inquiries as an honest and reasonable man would make] is guilty of an abuse of power of the kind that the court had in mind in Mengel.
>
> Anything less than knowledge or recklessness of that kind would not in my judgment be consistent with the essence of the tort, namely the deliberate and dishonest abuse of power."

That statement of principle has been very largely approved by the Court of Appeal of New Zealand in Garrett and Rawlinson v Rice, and we too think that it is a correct statement of law. We would however add some comments and qualifications.

First, in the passage just cited from the judgment of Clarke J. he was right to emphasise the central importance of dishonesty in the ingredients of the tort. The same emphasis appears in the first point of the Judge's five-point summary at page 582 and in the first point of his very similar six-point summary at pp. 632 - 3. It is important to bear in mind that this first point informs and permeates the other points.

Secondly (and following on from the first point) we think that the Judge might have paid rather more attention to the observations in Royal Brunei about moving on from the Baden test. The classification is over-elaborate (and its point (iii) in effect defines recklessness in a circular manner). Dishonesty and knowledge (of some sort) are rather like the chicken and the egg, but Lord Nicholls' reference to a "gradually darkening spectrum" explains the difficulties inherent in the 'sort' of knowledge required.

Thirdly, whether a defendant has acted honestly or dishonestly is, as Millett J. said, a jury question. Nevertheless some guidance may be needed, and such guidance has been given by Lord Nicholls in Royal Brunei. All the observations in the opinion at pp. 389 - 91 merit careful study. We call attention in particular to Lord Nicholls' emphasis (at page 391) on assessing a person's conduct in the context of the surrounding circumstances -

> "When called upon to decide whether a person was acting honestly, a court will look at all the circumstances known to the third party at the time. The court will also have regard to personal attributes of the third party, such as his experience and intelligence, and the reason why he acted as he did."

Fourthly (and following on from the third point) we note that the test of state of mind which the Judge prescribed for awareness of illegality (point (3) in each summary) is for practical purposes identical with that which he prescribed for awareness of consequences (point (4) in each summary). We agree that the authorities establish that actual knowledge or reckless indifference is (in shorthand) the test for the dishonest state of mind on each point. But in every case it will be necessary to look carefully at the facts in order to apply the test. Suppose that A, a civil servant, accepts a bribe from B for causing either his (B's) or some other person's (C's) name and address to be improperly deleted from, or added to, an official data-base. The consequences of such improper action might range from B obtaining some grant or subsidy to which he was not entitled, to some third party, C, being harassed by official demands which ought not to have been made. A may be either a young and inexperienced clerk, or an experienced officer in a responsible managerial position. In either case A would be hard put to contend that taking a bribe was not dishonest (and that would, of course, give rise to criminal liability). But whether A knew of, or was recklessly indifferent to, injury to C so as to incur civil liability to C would depend on all circumstances. That would be so whether the claim was against A personally or was against the government department where A worked.

Lord Neill submitted, basing himself on what Lord Nicholls said in Royal Brunei at page 389 ("acting dishonestly ... means simply not acting as an honest person would in the circumstances") that any knowing departure from the Bank's statutory obligations as a regulator is in the circumstances sufficient to constitute dishonesty. In the context of supervision of banks and deposit-takers it is very likely - indeed almost inevitable - that if there is a question mark over an institution which had already been authorised, the Bank will find itself in a dilemma as between the interests of current and future depositors, as was pointed out in the clearest terms by Lord Keith in Yuen at page 195 and by Lord Goff in Davis at page 827. It must have been the statutory intention that the regulatory system should be operated in the interests of the public as a whole, and regulatory decisions will generally involve the exercise of delicate judgments. Lord Neill faced up squarely to this, and submitted that any knowing departure from statutory obligations imports dishonesty, regardless of any particular circumstances which give rise to a dilemma.

We cannot accept that submission. We would agree that the Bank's statutory obligations as regulator were obligations of a grave nature. Moreover they were not (except perhaps as to 'principal place of business') obligations that were expressed in obscure or complicated language, or hedged about with very lengthy rules and regulations. Nevertheless we consider that the honesty or dishonesty of any breach of a statutory obligation (where the person in breach is conscious of the breach, or suspects it, or chooses not to enquire into it) must depend on all the circumstances. We agree with what was said by Sir Louis Blom-Cooper QC in R v Newham LBC ex parte Watkins (1994) 26 HLR 434, 451,

> “There is always a spectrum of possibilities in which to the place the particular non-compliance, along a continuum from the trivial default, which can properly be overlooked, to the flagrant defiance of a statutory obligation, which cannot be condoned or even countenanced. The latter end of the continuum is tantamount to bad faith”.

That is especially so in a case in which the plaintiffs seek to make the Bank liable, not vicariously but as a principal tortfeasor, for acts and omissions on the part of a number of individual officials who held different posts for different parts of the relevant period. Those officials are to be identified (as Lord Neill submitted and Mr Stadlen did not seriously dispute) in accordance with the principles laid down by the Privy Council in Meridian Global Funds Management v Securities Commission 1995 2 AC 500.

XIV

Proximity

This issue was dealt with largely by written submissions but is nevertheless an issue of considerable importance. This is on any view an exceptional action. The fact that there are more than six thousand plaintiffs from all over the world is not merely an interesting statistic; it demonstrates the extraordinary range of the duty which the plaintiffs assert, and for breach of which (over a long period) they seek to recover damages. It makes the plaintiffs' claim different from almost every successful (or potentially successful) claim for misfeasance in public office to which we have been referred. The only cases which are even remotely comparable are Henly v Lyme Corporation and Bourgoin, to which we will again return.

With the possible exception of those cases, all the successful claims for misfeasance in public office - and indeed most of the unsuccessful claims - were concerned with a direct and proximate relationship between the plaintiff and the public officer responsible for the acts or omissions complained of. The directness and proximity of the relationship was mirrored in the directness and inevitability, or near-inevitability, of the loss suffered. In the old election cases there was often (as appears from the pleadings) a physical confrontation at the hustings, and when the returning officer (or similar officer) prevailed the plaintiff's loss of his vote was the immediate and inevitable consequence. Similarly the court clerk who wrongfully discharged the debtor from custody in Whitelegg v Richards thereby caused immediate economic loss to the plaintiff, the disappointed creditor.

The twentieth-century authorities include a preponderance of licence cases, reflecting increasing official regulation of economic activity in the interests of health, safety and public order (the earliest licence case seems to be Bassett v Godschall (1770) 3 Wils. K.B. 121, which would not be decided in the same way today: see David v Abdul Cader 1963 1 WLR 834). The licensee of a restaurant (Roncarelli v Duplessis) an hotel (Farrington v Thomson) or a cinema (David v Abdul Cader) who loses his livelihood through the wrongful withdrawal of his licence would naturally and almost inevitably suffer economic loss. So would the widow whose house was compulsorily purchased for £3000 in Smith v East Elloe R.D.C. So would the cattle-station owners in Northern Territory v Mengel, who were prevented from selling their cattle by the quarantine invalidly imposed by inspectors who knew that their actions would cause the plaintiffs financial loss. In none of these cases can the public officer have been in any doubt about who would be injured by his act or omission, nor can there have been much room for uncertainty about the consequence of financial loss. In all the cases in which liability was established (or potentially established) there was (as it was put in Garrett) "a conscious disregard for the interests of those who will be affected by the making of the particular decision".

In Henly v Lyme Corporation the class of persons capable of suffering injury to property in consequence of non-repair of the sea defences must have been quite numerous. It appears that the plaintiff owned premises which were "abutting on or near the sea shore". The pleadings contain a more or less ritual averment of the defendants' "contriving and wrongfully and unjustly intending to injure, prejudice and aggrieve the plaintiff". There seems to have been no discussion of this point either in the course of argument or in the judgments.

In Bourgoin there were seven plaintiffs, one of whom was a trade association of French turkey producers. The licence granted under the Diseases of Animals Act 1950 (and withdrawn by the Minister with effect from 1 September 1981) was a general licence. It is likely that it affected, directly or potentially, a large number of French turkey producers, some of them persons of whose identities the Minister was unaware. But the scope of the issues to be decided in Bourgoin was drastically restricted because (as already noted) the Minister accepted, for the purpose of the preliminary issue, that he knew that his revocation of the general licence infringed Article 30 of the Treaty, and knew that revocation would and was calculated to injure the plaintiffs in their businesses. In making those concessions of actual knowledge the Minister was adopting the high-risk strategy of contending that the purpose of inflicting injury (targeted malice) was a necessary ingredient of the tort, so that the preliminary issue (so far as it related to misfeasance) turned on that single point. It seems unlikely that the Minister intended to concede, even for the purpose of the preliminary issue, that his revocation of the general licence had been dishonest or in bad faith.

While recognising that there may have been potentially several plaintiffs in Henly v Lyme Corporation and Bourgoin, we remain of the view that this case is unprecedented in the breadth of the duty, and the range of possible plaintiffs, asserted against the Bank. The injury of which the plaintiffs complain is grievous, but it arises from a situation utterly different from the proximate relationship between the voter and the returning officer face to face at the hustings, the hotelier ordered to close his business premises, or the cattle-station owners forbidden to move their cattle. The claim is more like that which might have been made (on a variation of the facts in Mengel) if inspectors had taken a bribe *not* to exercise their power to halt the movement of cattle which *were* infected with brucellosis, and consumers somewhere in the world had suffered harm as a result of eating meat which ought never to have reached the market.

Counsel on both sides reminded us, more than once, that a claim for misfeasance in public office is concerned with a tort fundamentally different from negligence : therefore, they urged - although with opposite aims in view - the notion of foreseeability has no part to play in misfeasance (except for Lord Neill's fallback position as set out in paragraph (9) of his summarised submissions). We have well in mind that the plaintiffs' claim is not a claim for negligence, and that there may be policy reasons for adopting a different and sterner attitude to deliberate wrongdoing. As Lord Steyn said in Smith New Court Securities v Scrimgeour Vickers (Asset Management) [1997] AC 254, 279

> "It may be said that logical symmetry and a policy of not punishing intentional wrongdoers by civil remedies favour a uniform code. On the other hand, it is a rational and defensible strategy to impose wider liability on an intentional wrongdoer".

That was said in relation to the measure of damages for deceit, liability to the plaintiff having been established. It seems to us much more questionable whether the court should act on the same principle in extending the classes of persons to whom a public officer may be liable for misfeasance.

Furthermore there is at least a narrow line of authority suggesting that the court should identify a duty owed to a particular plaintiff. That was the view taken in Tampion, although in Mengel Brennan J (at page 546) expressly disagreed. The plurality of the High Court of Australia in Mengel thought that there was "some additional requirement" which might be found in the duty posited in Tampion. The Court of Appeal of New Zealand in Garrett disapproved Tampion (at page 346) if it was importing a duty *of care*, but nevertheless observed (at page 351) that

> "that something more, it seems to us, must be related to the individual who is bringing the action".

These passages suggest to us that the notion of proximity should have a significant part to play in the tort of misfeasance, as it undoubtedly has in the tort of negligence.

XV

Conclusions

Trying to stand back and assess the large volume of authorities and submissions placed before us, we see the tort as having developed, like the tort of negligence, by a process which has been partly incremental and partly marked by more abrupt (and often not fully explained) extensions.

In the days when the tort was virtually confined to disputes over voting rights, the simple formula of a dishonest abuse of official power damaging the plaintiff (the would-be voter) was adequate. The dishonesty of the defendant (if proved) lay in his deliberately making an improper exercise of his power, and it did not matter whether the defendant's purpose was to harm the plaintiff, or to favour the plaintiff's rival, or simply to line his own pocket. The requirement to plead malice was more than a ritual incantation, but it covered all these states of mind. The injury to the plaintiff was not physical. In some cases (such as that of the Bridgemaster who was entitled to valuable perquisites) the plaintiff suffered economic loss. In other cases he was deprived of a constitutional right (in times before there was universal suffrage).

In the second half of this century (paradoxically, soon after civil actions for misfeasance in public office in connection with elections had been ended by the Representation of the People Act 1949) the tort came to life again in connection with other official powers, especially in areas of official regulation of private economic activity through systems of licensing or similar controls. The simple formula used in the old cases was still apposite in cases where the plaintiff had been deprived of a licence (David v Abdul Cader, Farrington, Roncarelli, Bourgoin) or otherwise subjected to official power (East Elloe, Woollahra, Mengel) in circumstances in which consequent economic loss to the plaintiff was for practical purposes both immediate and inevitable.

Lord Diplock's statement in Woollahra has been frequently cited in later cases as establishing "malice" and "knowledge" as alternative ingredients of the tort. It should however be noted that it occurs in a short section at the end of the opinion of the Privy Council in an appeal in which the respondents were not called on. The opinion was concerned mainly with the so-called Beaudesert principle (see Beaudesert Shire Council v Smith (1966) 120 CLR 145) which is no longer regarded as good law. Lord Diplock did not explain exactly what he meant by 'malice' or 'knowledge'.

Bourgoin stands out as a case of particular importance, as Clarke J. recognised. With hindsight it is possible to feel surprise that the defendant Minister was ready to make such wide concessions as he did, especially since (i) the revoked licence was a general licence and (ii) the plaintiffs include a French turkey- producers' trade association (which presumably represented not only current but also potential future exporters of turkeys from France to the United Kingdom). Moreover it is very questionable whether the Minister intended by his concessions to accept (even for the purpose of the preliminary issue) that he had acted dishonestly and in bad faith. None of these points seems to have been explored in Bourgoin, in which counsel's submissions concentrated, understandably, on the important points of EU law which arose. So far as the tort of misfeasance was concerned the Minister adopted the high-risk strategy of relying solely on the point that injury to French producers was not the *purpose* of revocation of the licence. We consider that Clarke J. was right in his conclusion, after a careful analysis of Bourgoin, that it is binding authority only for a very limited proposition, that is that the Minister's high-risk strategy had failed.

However Bourgoin has had a profound influence which is reflected in the later cases. Woollahra and Bourgoin together seem to have led to what we regard as a rather rigid distinction between two supposed limbs of the tort (targeted malice and other cases). That is surprising, since neither Mann J. nor Oliver LJ could see any sensible distinction between the two cases (see 1986 QB at page 777). The supposed distinction between the two limbs may have tended to blur the need to establish deliberate and dishonest abuse of power in every case. It may also have led Clarke J. into an analysis of the requirements for the second limb which may be (in our respectful view) rather too elaborate as regards the defendant's state of mind, and insufficiently responsive to the relationship between the parties, to be acceptable as a completely general test. But in any event we do not consider that the Judge stated the principles in a way that was too favourable to the Bank.

We are indeed in broad agreement with the Judge's conclusions on the tort, as set out at pp. 632 - 3 of the first judgment, subject only to the qualifications and doubts tentatively expressed in the last three sections of this judgment.

It necessarily follows from this conclusion, and from our conclusions (which follow) as to the effect of the 1977 Directive, that we cannot accept Lord Neill's very far-reaching submission that the need to prove a guilty state of mind on the part of an official body is now out of date and unjustifiable, particularly in the light of the jurisprudence of the ECJ. The correctness of Bourgoin on the issue of EU law argued in that case was questioned by Lord Goff (without his Lordship expressing a concluded view) in Kirklees MBC v Wickes Building Supplies 1993 AC 227, 281 - 2, and Steyn LJ in Elguzouli (at page 347) referred to the English legal system possibly having the capacity for further development under the direct or indirect influence of the ECJ.

But in our view (for reasons which follow) EU law does not assist the plaintiffs in this case. The development which Lord Neill urges would be a very radical change in the law going far beyond incremental development of the existing tort. It would be inconsistent with section 1(4) of the 1987 Act. It would also be inconsistent with the decisions of this court and with clear expressions of view in the House of Lords. If such a change were to be made otherwise than through the superior authority of EU law, it should be enacted by Parliament and not effected by judicial extension of the common law.

THE OTHER TWO PRELIMINARY ISSUES

Since the outcome of the two issues would turn significantly on the ultimate findings of fact, we strongly question whether either was appropriate to be decided as a preliminary issue. We shall therefore deal with them very briefly.

XVI

Causation of loss

Clarke J's conclusion was as follows (page 629 G):-

> "There is, so far as I know, no authority which has considered this question, but I can see no reason why, if the plaintiffs prove that the Bank knew that any particular act or omission

> would probably cause loss to a depositor or potential depositor (as a member of the class of depositors or potential depositors), it should not follow that the loss was caused by the act or omission complained of. Common sense suggests that in those circumstances there would be a direct and effective causal link between the act or omission and the loss. That would in my opinion be even on the basis (as is the case on the facts) that another cause of the loss was fraud on the part of the managers ... it is not sufficient to say that no duty of care was owed to the plaintiffs or that it makes no difference to the question of causation whether the Bank acted honestly or dishonestly."

However, since he concluded that the plaintiffs' statement of claim as it then stood had not put forward the necessary allegation as to knowledge of loss, he answered this question in the Bank's favour, adding that, had the ingredients of the tort been as the plaintiff submitted (i.e. reasonably foreseeable loss), there would have been considerable force in the Bank's submission.

The Bank's submission was that it was well established that a defendant should not be responsible in law for the deliberate wrongdoing of others, and that this applied particularly in the present case because:-

(i) the Bank did not have control over the operations of BCCI.

(ii) the Bank owed no duty to the plaintiffs to guard against the fraud of the operators of BCCI SA and so had not assumed any responsibility for its acts; and

(iii) the cause of any loss to the plaintiffs was BCCI SA's fraud, not any breach of duty on the part of the Bank.

The *locus classicus* on causation in the present context is to be found in the well known judgment of Lord Sumner in Weld-Blundell v . Stevens [1920] AC 956 at page 986:-

> "In general ... even though A. is in fault, he is not responsible for injury to C. which B., as a stranger to him, deliberately chooses to do. Though A. may have given the occasion for B.'s mischievous activity, B. then becomes a new and independent cause ... he insulates A. from C."

This was explained by Lord Goff of Chieveley in Smith v. Littlewoods Organisation Ltd. [1987] 1 AER 710 at page 729 as follows:-

> "This dictum may be read as expressing the general idea that the voluntary act of another, independent of the defender's fault, is regarded as a novus actus interveniens which, to use the old metaphor, `breaks the chain of causation'. But it also expresses a general perception that we ought not to be held responsible in law for the deliberate wrongdoing of others. Of course, if a duty of care is imposed to guard against deliberate wrongdoing by others, it can hardly be said that the harmful effects of such wrongdoing are not caused by such breach of duty. We are therefore thrown back to the duty of care."

There are of course exceptions to this general rule, namely where the defendant has assumed the responsibility for the act of a third party (e.g. Haynes v. Harwood [1935] 1 KB 146), or where the defendant is deemed to have assumed responsibility for such acts, for example where he has control over the third party whose acts directly caused the plaintiff's loss. (e.g. Dorset Yacht Company v. Home Office [1970] AC 1004).

The nub of Mr. Stadlen's submission was that the case falls within the general category laid down in Weld-Blundell v. Stevens, and that neither of the exceptions applies. He also points strongly to the passages in Yuen and Davis, quoted above, where the Privy Council dealt with causation in the regulatory context. These in our judgment are all very powerful submissions, but it must be borne in mind that all the authorities just referred to were negligence cases in which the crucial question was whether the defendant owed to the plaintiff a duty of care.

Here the cause of action is quite different, and, on the hypothesis that the plaintiffs were able to prove facts to satisfy the very heavy burden resting upon them to make good a claim for misfeasance in public office, it does not seem to us beyond the bounds of possibility that the establishment of such facts would also make good the plaintiffs' case on causation. All depends on these findings of fact, and, until they are established, it would in our view be premature to give a preliminary ruling on causation adverse to the plaintiffs.

XVII

Potential depositors

The question here is whether the plaintiffs are entitled to sue in the capacity of potential depositors, even though they were unidentifiable at the time of the alleged misfeasance. The judge answered this question in the affirmative, and this is challenged by the Bank.

In support of his argument, Mr. Stadlen stressed that this is a claim for economic not physical loss, and he pointed to a number of instances where the courts have emphasised the need for a control mechanism to limit liability in respect of economic loss (e.g. per Lord Fraser in Candlewood Navigation Corporation Ltd. v. Mitsui OSK Lines Ltd. [1986] AC 1 at page 17).

He then went on to submit that an affirmative answer to the third preliminary issue would come close to exposing regulators to precisely the kind of indeterminate liability which the Privy Council in Yuen and Davis considered to be against public policy: the less protection afforded by the inherent requirements of the tort, the greater the need for such protection to be provided by a control mechanism which confines liability at most to members of a class identifiable at the date of the misfeasance.

We consider this also to be a very powerful argument, reflecting as it does some of the points we have already touched on in connection with proximity. But, at the preliminary issue stage, it founders for the same reason as causation, namely that until the facts are found, it would be premature to decide the point conclusively in the Bank's favour.

In reaching our conclusions on these last two preliminary issues, we have very much in mind Lord Wilberforce's words of caution in Allen v. Gulf Oil Refining Ltd [1981] AC 1001 at p. 1010 quoted by Lord Bridge of Harwich in Lonrho v. Fayed [1992] 1 AC 448 at page 470:-

> "My Lords, I and other of your Lordships have often protested against the procedure of bringing, except in clear and simple cases, points of law for preliminary decision. The procedure indeed exists and is sometimes useful. In other cases, and this is frequently so where they reach this House, they do not serve the cause of justice. The present is such an example ... The fact is that the result of the case must depend upon the impact of detailed and complex finding of fact upon principles of law which are themselves flexible. There are too many variables to admit of a clear-cut solution in advance."

EUROPEAN UNION LAW

XVIII

Introduction

The parties' written and oral submissions on EU law reveal that there is no agreement even as to what the essential issues are. The Bank says that the plaintiffs' submissions are fundamentally flawed, especially as it is not part of the plaintiffs' case that the 1977 Directive has been incorrectly transposed into the law of the United Kingdom. The plaintiffs reply that EU law has been developing fast, even since the Judge's first judgment delivered on 1 April 1996, and that the Bank is aiming at a target which has moved. In the face of this extensive disagreement it is appropriate to restate some elementary principles of EU law. Elementary though these principles are, their implications are still not fully developed, and it will be necessary to refer to a number of recent decisions of the European Court of Justice (ECJ) and opinions of Advocates General given since the first judgment.

The primacy of EU law over the national legal systems of member states, amounting to a "new legal order", has been clear at least since the seminal decision of the ECJ in Case 26/62 Van Gend en Loos 1963 ECR 1, recognising that an individual may have rights under Community law which he can enforce directly in his national court. However (as Mr Paul Lasok QC for the Bank has demonstrated in his clear and helpful submissions) that general proposition needs a good deal of qualification and explanation, especially in relation to (i) the source of those rights (ii) the quality (or content) of the rights and (iii) the type of recognition and enforcement sought in the national court. These points are considered in turn.

The primary sources of obligations and rights under EU law are the EC Treaty (the Treaty) and its associated treaties ; regulations (of the Council or the Commission) ; directives (normally issued by the Council to all member states) ; and decisions. Article 189 of the Treaty provides as follows :

> "In order to carry out their task and in accordance with the provisions of this Treaty, the European Parliament acting jointly with the Council, the Council and the Commission shall make regulations and issue directives, take decisions, make recommendations or deliver opinions.
>
> A regulation shall have general application. It shall be binding in its entirety and directly applicable in all Member States.
>
> A directive shall be binding, as to the result to be achieved, upon each Member State to which it is addressed but shall leave to the national authorities the choice of form and methods.

A decision shall be binding in its entirety upon those to whom it is addressed.

Recommendations and opinions shall have no binding force."

A directive is typically the means by which the Council requires member states to introduce, within a set period of time, any legislation necessary to give effect to the social or economic policies embodied in the directive. In the United Kingdom primary or secondary legislation (sometimes under section 2 of the European Communities Act 1972) may be required in the fields of (among others) agriculture, consumer protection, customs duties, employment, fisheries and food, health and safety at work, medicine and pharmacy, public health, and trade and industry.

Article 189 states expressly that regulations are directly applicable in all member states. A national law which is in conflict with an EU regulation must therefore be disregarded by the national court : Case 106/77 Simmenthal 1978 ECR 629. The position is the same with obligations created by the Treaty itself, but only if the Treaty provision has direct effect. Familiar provisions of the Treaty which do have direct effect include Article 52 (forbidding restrictions on rights of establishment, as in C - 48/93 Factortame 1996 ECR 1 - 1029), Article 12 (forbidding any increase in customs duties between member states, as in Van Gend en Loos) and Article 30 (forbidding restrictions on imports from other member states, as in C - 46/93 Brasserie du Pecheur 1996 ECR 1 - 1029). An example of a provision of the Treaty which does not have direct effect is Article 5 (requiring member states to take all appropriate measures to fulfil their obligations under EU law) ; it does not meet the test of being “clear and unconditional and not contingent on any discretionary implementing measure” (see Hurd v Jones 1986 QB 892, 946, paragraph 47).

The position in relation to the effect of directives was very clearly explained by the ECJ in Case 8/81 Becker 1982 ECR 53. Mrs Becker was a self-employed credit negotiator. The sixth directive on the harmonisation of value-added tax (77/388/EEC) provided for the exemption of credit transactions. The period for the Federal Republic of Germany to comply with the directive (as extended) terminated on 1 January 1979 but it was not implemented in Germany until a year later. Mrs Becker brought proceedings against the Munster tax authorities and sought to rely on the directive. On a reference under Article 177 of the Treaty the ECJ referred to the third paragraph of Article 189 and continued in a passage which is very frequently cited and referred to (1982 ECR 70 - 1, paragraphs 18 - 25),

> "It is clear from that provision that States to which a directive is addressed are under an obligation to achieve a result, which must be fulfilled before the expiry of the period laid down by the directive itself.
>
> It follows that wherever a directive is correctly implemented, its effects extend to individuals through the medium of the implementing measures adopted by the Member State concerned (judgment of 6 May 1980 in Case 102/79 *Commission v Belgium* [1980] ECR 1473).
>
> However, special problems arise where a Member State has failed to implement a directive correctly and, more particularly, where the provisions of the directive have not been implemented by the end of the period prescribed for that purpose.
>
> It follows from well-established case-law of the Court and, most recently, from the judgment of 5 April 1979 in Case 148/78 *Pubblico Ministero v Ratti* [1979] ECR 1629, that whilst under Article 189 regulations are directly applicable and, consequently, by their nature capable of producing direct effects, that does not mean that other categories of measures covered by that article can never produce similar effects.
>
> It would be incompatible with the binding effect which Article 189 ascribes to directives to exclude in principle the possibility of the obligations imposed by them being relied on by persons concerned.
>
> Particularly in cases in which the Community authorities have, by means of a directive, placed Member States under a duty to adopt a certain course of action, the effectiveness of such a measure would be diminished if persons were prevented from relying upon it in proceedings before a court and national courts were prevented from taking into consideration as an element of Community law.
>
> Consequently, a Member State which has not adopted the implementing measures required by the directive within the prescribed period may not plead, as against individuals, its own failure to perform the obligations which the directive entails.
>
> Thus, wherever the provisions of a directive appear, as far as their subject-matter is concerned, to be unconditional and sufficiently precise, those provisions may, in the absence of implementing measures adopted within the prescribed period, be relied upon as against any national provision which is incompatible with the directive or in so far as the provisions define rights which individuals are able to assert against the State."

Some further explanation of this principle (and especially its basis in a sort of estoppel) was given by

Advocate General Mischo in C - 80/86 Kolpinghuis Nijmegen 1987 ECR 3969, 3976 - 7, paragraphs 1 - 9.

Because the principle arises in that way, it permits an individual to obtain a remedy in his national court if (and only if) the person responsible for the breach is an entity which is an emanation of the state, and the other conditions in paragraph 25 of the judgment in Becker ("the Becker conditions") are satisfied. EU directives are addressed to member states and it is upon member states that they impose obligations: see the opinion of Advocate General Slynn in Marshall v Southampton Health Authority 1986 QB 401, 412 - 3, followed by the ECJ (at pp. 421 - 2, paragraphs 46 - 50). That case, and later cases on other English entities, show how widely the concept of emanation of the state has been interpreted, and that no distinction is to be drawn between a state body as employer and the same body in another capacity ; see also Foster v British Gas 1991 1 QB 405 and N.U.T. v Governing Body of St Mary's Church of England School 1997 Eu LR 221. In this case it is not in dispute that the Bank of England is an emanation of the state.

Cases in which a directive is enforced in the national court against a state body are commonly referred to as cases of 'vertical direct effect', as opposed to the horizontal effect mentioned by Sir Gordon Slynn in the opinion already cited. In Marshall a female senior dietician was dismissed on attaining the age of 62 in circumstances where a male employee would not have been dismissed. The ECJ (on a reference by the Court of Appeal under Article 177) held that her dismissal breached EU law (as embodied in the Council directive on equal treatment, 76/207/EEC) and that section 6(4) of the Sex Discrimination Act 1975 (which permitted discrimination in relation to retirement) was inconsistent with the directive and provided no defence in the national court. Where the employer was not a state body, the result was different, as in the case of the female plaintiff who lost her job in similar circumstances in Duke v GEC Reliance 1988 AC 618. The United Kingdom government had not amended the Sex Discrimination Act 1975 so as to comply with the equal treatment directive because that directive was not perceived as prohibiting different normal ages of retirement for men and women, and there was no horizontal direct effect between the individual employee and the non-state employer.

The other two qualifications can be noted more briefly, since they have been mentioned in the passage from Becker (paragraph 25) already cited. The rights must be "unconditional and sufficiently precise". That does not mean that they must be spelled out in exact detail, since a directive does almost by definition leave the choice of form and methods to member states. Mrs Becker succeeded even though the Federal Republic had a measure of discretion over such matters as provisions against abusive tax-avoidance. But there must be a basic minimum of clarity and certainty.

As to the type of recognition or enforcement sought in the national court, there is a distinction between relying on a Treaty provision with direct effect, or a regulation, to nullify some incompatible provision of national law (on the one hand) and relying on EU law as giving a right to reparation (in terms of English law, damages) for breach of an obligation under EU law. The distinction is reflected in the alternative formula in Becker (paragraph 25), of a provision of a directive being relied on

> "as against any national provision which is incompatible with the directive or in so far as the provisions define rights which individuals are able to assert against the state."

In the context of a member state's failure to implement a directive correctly (or at all) state liability may take the form of the estoppel-based liability of an emanation of the state (such as the health authority's liability to Miss Marshall for sex discrimination) or may be the liability of the state itself under the principle in Joined Cases C - 6/90 and C - 9/90 Francovich 1991 ECR I - 5357. Francovich has recently been followed and applied in Joined Cases C - 178, 179 and 188 - 90/94 Dillenkofer v Federal Republic of Germany 1997 QB 259. Francovich concerned Italy's failure to implement a directive protecting workers' rights in the event of their employer's insolvency. Dillenkofer concerned Germany's failure to implement a directive for consumer protection in the field of package holidays. The judgment of the ECJ in Dillenkofer (given on 11 July 1996, after the Judge's first judgment dealing with issues of EU law) set out the principles as follows (1997 QB at pp. 291 - 2, paragraphs 20 - 23),

> "The court has held that the principle of state liability for loss and damage caused to individuals as a result of breaches of Community law for which the state can be held responsible is inherent in the system of the Treaty: [Francovich] 1995 ICR 722, 772, paragraph 35; Brasserie du Pecheur v Federal Republic of Germany, R v Secretary of State for Transport ex parte Factortame (No 4) (joined cases C- 46/93 and C - 48/93) 1996 QB 404, 496, paragraph 31; R v H M Treasury ex parte British Telecommunications (case C - 392/93) 1996 QB 615, 654, paragraph 38 and R v MAFF ex parte Hedley Lomas (Ireland) (case C - 5/194) 1997 QB 139, 160 paragraph 24. Furthermore, the court has held that the conditions under which state liability gives rise to a right to reparation depend on the nature of the breach of Community law giving rise to the loss and damage: Francovich paragraph 38; Brasserie du Pecheur paragraph 38, and Hedley Lomas paragraph 24.
>
> In Brasserie du Pecheur, paragraphs 50 and 51; British Telecommunications paragraphs 39 and 40, and Hedley Lomas paragraphs 25 and 26, the court, having regard to the circumstances of the case, held that individuals who have suffered damage have a right to reparation where three conditions are met: the rule of law infringed must have been intended to confer rights on individuals, the breach must be sufficiently serious, and there must be a direct causal link between the breach of the obligation resting on the state and the damage sustained by the injured parties.
>
> Moreover, it is clear from the Francovich case which, like the present cases, concerned non-transposition of a Directive within the prescribed period, that the full effectiveness of the third paragraph of Article 189 of the Treaty requires that there should be a right to reparation where the result prescribed by the Directive entails the grant of rights to individuals, the content of those rights is identifiable on the basis of the provisions of the Directive and a causal link exists between the breach of the state's obligation and the loss and damage suffered by the injured parties.
>
> In substance, the conditions laid down in that group of judgments are the same, since the condition that there should be a sufficiently serious breach, although not expressly mentioned in Francovich, was nevertheless evident from the circumstances of that case."

The total failure by a member state to implement a directive addressed to it will almost invariably, it seems, be regarded as seriously (that is, manifestly and gravely) in breach. Conversely there may be no actionable breach if a member state has made a venial error in transposing an ambiguous directive (British Telecommunications) or where the transposition of the directive requires legislative activity in which the member state has a comparatively wide margin of appreciation. But in any case intentional fault or negligence is not an essential precondition of liability: see the judgment of the ECJ in Factortame III at paragraphs 75 to 80. Factortame III and Brasserie du Pecheur were concerned, not with failure to implement a directive, but with breaches by national legislative action of member states' obligations under Articles 52 and 30 respectively of the Treaty, articles which have long been recognised as having direct effect. They are therefore more readily classified as direct effect cases than true Francovich-type cases of state responsibility for failure to implement a directive (though to refer to 'true' Francovich - type liability begs some questions, and the ECJ's judgment in Dillenkofer, in the passage already quoted, shows some inclination to assimilate the two heads of the liability; and the breadth of the principles stated in Francovich was also emphasised by Lord Goff in Kirklees MBC. v Wickes Building Supplies 1993 AC 227, 281 - 2, expressing doubt as to whether Bourgoin was correctly decided on the point of EU law).

Indeed the plaintiffs go so far as to submit that the doctrine of direct effect in the traditional sense is now of limited importance to the question of state liability. They rely on Dillenkofer and on some general observations of the ECJ in Factortame and Brasserie du Pecheur (paragraphs 20 - 22, in the context of the right to reparation). They also rely on the decisions of the ECJ in C - 194/94 CIA Security 1996 ECR I - 2201 and C - 364/96 Verein (14 May 1998).

Since Francovich, it has been recognised that an individual may have the right to reparation (in this country, damages) for non-implementation of a directive, even though the Becker conditions are not satisfied. State liability to make reparation to an individual for non-implementation of a directive can be seen as subdivided into Becker-type liability and Francovich-type liability, the practical requirements for which are (as Dillenkofer shows) closely analogous. In that sense the doctrine of direct effect does not, in this context, have the same paramount importance as it had before Francovich.

Nevertheless there still appears to be an important distinction (recognised by Schiemann LJ in the NUT case 1997 Eu LR 221, 225) between cases in which an emanation of the state may be directly liable (or may be deprived of a defence) because of a breach of a directly effective provision of

Community law (as in Marshall) and cases in which the state itself is liable (as in Francovich) for failure to transpose a directive (and so, in effect, to give the wronged individual a right of action and a remedy against some other defendant). The point is well illustrated by the facts of Francovich. Employees of two insolvent Italian companies were unable to obtain arrears of wages from guarantee institutions because Italy had failed to implement directive 80/987 EEC. The first issue raised by the first question was simple direct effect, on which the ECJ said (paragraphs 11 and 12),

> "As the Court has consistently held, a Member State which has not adopted the implementing measures required by a directive within the prescribed period may not, against individuals, plead its own failure to perform the obligations which the directive entails. Thus wherever the provisions of a directive appear, as far as their subject-matter is concerned, to be unconditional and sufficiently precise, those provisions may, in the absence of the implementing measures adopted within the prescribed period, be relied upon as against any national provision which is incompatible with the directive or in so far as the provisions of the directive define rights which individuals are able to assert against the State (judgment in Case 8/81 *Becker v Finanzamt Munster-Innenstadt* [1982] ECR 53).
> It is therefore necessary to see whether the provisions of Directive 80/987 which determine the rights of employees are unconditional and sufficiently precise. There are three points to be considered : the identity of the persons entitled to the guarantee provided, the content of that guarantee and the identity of the person liable to provide the guarantee. In that regard, the question arises in particular whether a State can be held liable to provide the guarantee on the ground that it did not take the necessary implementing measures within the prescribed period."

The ECJ held that the identity of the persons entitled to the guarantee (in the event of their employer's insolvency) and the content of the guarantee were sufficiently precise and unconditional, but that the identity of the person liable to give the guarantee was not. The guarantor might have been an emanation of the state, but that could not be assumed. The ECJ then went on to the second issue raised by the first question, in an important and much-cited passage part of which is set out in the speech of Lord Goff in the Kirklees MBC case at pp. 281 - 2. Paragraphs 39 to 41 of the ECJ's judgment summarise the conditions for state liability for failure to transpose a directive:

> "Where, as in this case, a Member State fails to fulfil its obligation under the third paragraph of Article 189 of the Treaty to take all the measures necessary to achieve the result prescribed by a directive, the full effectiveness of that rule of Community law requires that there should be a right to reparation provided that three conditions are fulfilled.
>
> The first of those conditions is that the result prescribed by the directive should entail

> the grant of rights to individuals. The second condition is that it should be possible to identify the content of those rights on the basis of the provisions of the directive. Finally, the third condition is the existence of a causal link between the breach of the State's obligation and the loss and damage suffered by the injured parties.
>
> Those conditions are sufficient to give rise to a right on the part of individuals to obtain reparation, a right founded directly on Community law."

As already noted, in Dillenkofer (paragraph 23) the ECJ added that the seriousness of the breach, although not expressly mentioned in Francovich, was evident from the facts of the case.

One practical implication of the distinction between Becker-type liability and Francovich-type liability is in the identity of the defendant. The member state and the particular emanation of the member state, although assimilated in the eyes of EU law, are likely to be quite different persons so far as concerns procedure in the national court (see on this point the observations of Lord Goff in the Kirklees MBC case, 1993 AC 227, 282, and of Lord Keith in R v Secretary of State for Employment ex parte Equal Opportunities Commission 1995 1 AC 1, 32, identifying the Attorney-General as the proper defendant to a Francovich-type claim).

The main difference between the parties, as to the basic principles to be applied, is as to whether a directive, once transposed into national law, ceases to be the immediate source of rights enforceable by an individual claimant in his national court (and is supplanted by rights under the national law). Mr Lasok submits that that is a clear and well-established principle, relying on Becker itself (paragraph 19 of the ECJ judgment), Case 270/81 Felicitas 1982 ECR 2771, 2786, paragraph 24, and joined cases C 253 - 8/96 Kampelmann 1997 1 - 6907, 6939 (paragraph 42), which states

> "Since the date on which [directive 91/533/EEC on an employer's duty to provide information as to terms of employment] was transposed, individuals can no longer rely on those provisions unless the national implementing measures are incorrect or inadequate in the light of the Directive."

Against that Lord Neill submits that EU law has been developing in this area, and that a directive can be the immediate source of enforceable rights even if it has been transposed (and correctly transposed) into national law. He relies on Verein and on C - 127/95 Norbrook Laboratories v MAFF (ECJ, 2 April 1998). He also relies on C - 237/90 Commission v Germany 1992 ECR I - 5973, 6005 where Advocate General Jacobs said,

> "The Commission is of course right when it says that it is not sufficient simply to incorporate the terms of a directive into national legislation ; in addition, Member States must ensure that the legislation is applied in practice."

This point is also touched on in the opinion of Advocate General Leger in Hedley Lomas (paragraphs 112ff; note also the references to Bourgoin and misfeasance in public office at paragraphs 138 - 141).

Verein does not assist the plaintiffs. It is simply an illustration (on the interpretation of directive 90/314/EEC on package holidays) of the familiar principle that because the national court will always try to construe implementing legislation in conformity to the directive which it is intended to implement, it may still be necessary to obtain a ruling from the ECJ as to the meaning of an implemented directive. Nor does CIA Security significantly assist the plaintiffs. But Hedley Lomas and Norbrook call for more extended discussion.

With two exceptions, all the cases mentioned in this part of the judgment were concerned with breaches of EU law occasioned by acts of omission or commission in the enactment of primary or secondary legislation by a member state. The exceptions are Hedley Lomas and Norbrook, which were concerned with administrative acts.

Hedley Lomas was decided by the ECJ on 23 May 1996 (that is, after delivery of the Judge's first judgment). The facts were that MAFF refused (between April 1990 and January 1993) to issue licences for the export to Spain of live animals for slaughter. The reason for this policy was the belief or suspicion (which was not substantiated) that a number of Spanish slaughterhouses were not complying with the requirements of a directive (74/577/EEC) which had been implemented in Spain in

1987. MAFF's refusal was at first sight an infringement of Article 34 of the Treaty; in the ensuing proceedings by an exporter MAFF relied on Article 36 (which qualified Article 34 by reference to, among other things, the protection of animal health and life).

The case is notable for the length of the opinion of Advocate General Leger and the brevity of the judgment of the ECJ. The judgment decided that the United Kingdom could not rely on Article 36 in a situation where harmonisation was already provided for by a directive, and that on the three-stage test laid down by the ECJ in the earlier cases (rights conferred on individuals ; sufficiently serious breach ; and direct causal link) the United Kingdom could not avoid liability to pay damages. In paragraph 28 of its judgment the ECJ said,

> "As regards the second condition, where, at the time when it committed the infringement, the member state in question was not called on to make any legislative choices and had only considerably reduced, or even no, discretion, the mere infringement of Community law may be sufficient to establish the existence of a sufficiently serious breach."

Norbrook was concerned with the Medicines Act 1968 (which relates to veterinary as well as human medicinal products), with statutory instruments which not only supplemented but also amended the primary legislation, and with directives 81/851 and 852 EEC on the approximation of laws of member states relating to veterinary medicinal products. Norbrook Laboratories manufactured in Northern Ireland a product popularly known as "Pen & Strep" (after its two active ingredients). "Strep" was dihydrostreptomycin (DHS) which was itself manufactured from streptomycin sulphate (SS). Norbrook manufactured its own DHS. MAFF, the competent authority for the grants of a marketing authorisation, sought information about the manufacturer of the SS from which Norbrook made its DHS. A dispute arose early in 1991 and judicial review proceedings ensued. The issue (elaborated in seven separate questions on a reference under Article 177) was whether MAFF's requirement for that information infringed EU law.

The case is rather confusing because at first instance in Northern Ireland the judge, by consent of the parties, referred directly to the directives (81/851 and 852/EEC) rather than looking at the primary and secondary legislation then in force in Northern Ireland. Moreover that legislation was amended (in such a way as to refer explicitly to the directives) by a statutory instrument which came into force on 19 October 1993, before the Article 177 reference by the Court of Appeal of Northern Ireland in March 1995. Those points are made clear by the terms of the reference, paragraphs 20 and 21. Paragraph 33 (k) shows that Norbrook was contending that MAFF's imposition of the requirement (and consequent failure to grant a marketing authorisation) was a breach of the directives, and in particular Article 41 of directive 81/851. Article 41 (set out in paragraph 26 of the opinion of Advocate General Leger) provided that no decision to withhold, withdraw or suspend marketing authorisation might be taken on grounds other than those in the directive. Paragraph 134 of the Advocate General's opinion stated (emphasis supplied),

> "Therefore, where, in breach of the third paragraph of Article 189 of the Treaty, a Member State incorrectly transposes *or misapplies* sufficiently clear and precise provisions of the aforementioned directives, that Member State manifestly and gravely disregards the limits on the exercise of its powers."

The words emphasised express the Advocate General's view that Article 189 may require a directive not only to be transposed by a legislative process, but also to be given continuing practical application by administrative processes. Submissions to the same effect are also recorded in the report for the hearing, paragraphs 86, 87 and 89. Paragraph 89 speaks of "no distinction being drawn between non-implementation and misimplementation" in a context which suggests that "misimplementation" is not limited to a legislative process.

The judgment itself casts little light on these points. Paragraph 20 refers to the directives having "been deemed to have been implemented by the Medicines Act 1968, as amended, and subordinate legislation", a choice of words which is explained by the parties' agreement as to how the case should be dealt with. The general effect of the ECJ's answers to the first six questions was that the directives prescribed in a complete and comprehensive way what information was to accompany an application for a marketing authorisation, and that the competent authority could not, consistently with the directives, ask for more information about the provenance of the SS. In relation to the seventh question the ECJ (paragraphs 105 to 112) restated the principles in Dillenkofer in very much the same terms, but with an added reference to the requirement for equivalence and effectiveness of remedies in the national court.

It has been necessary to refer to Norbrook at some length because very different submissions were made as to its significance. It is an unusual and inconclusive case, partly because of the odd basis on which it was argued in the national court. The outcome on the issues of interpretation (that the directives were a comprehensive code) suggests some deviation from the spirit of Article 189 ("shall leave to the national authorities the choice of form and methods"). Norbrook does not in our judgment displace the general principle (in Becker, Felicitas and Kampelmann) that a correctly transposed directive gives rise to rights under national law, enforceable in the national court. But it does suggest that there may be a category of directives in relation to which a member state's obligation of proper implementation is not restricted to a once-for-all legislative process, but also requires a continuing administrative process.

In such a case, it may not always be right to assume that the range of choice (or margin of appreciation) for administrative action is necessarily much more restricted than for legislative action. That was the case in Hedley Lomas (see paragraph 28 of the judgment already quoted) and in Norbrook the detailed and comprehensive prescription in the directives left the member states and the competent authorities with virtually no discretion, legislative or administrative. But not every administrative act of government requires the exercise of little or no discretion ; the Bank stresses the sensitive and difficult judgments which any national bank regulator is called upon to make from time to time. That leads on to the central issue of whether the 1977 Directive did in the relevant sense confer rights on individuals.

Did the 1977 Directive confer rights on depositors?

The Judge identified this central issue as depending on the meaning and effect of the 1977 Directive. He was influenced in his approach to the issue by the two decisions of the Privy Council in Yuen and Davis to which we have already extensively referred. He noted (at pp. 600 - 1) three salient points discussed by the Judge. First, in the Privy Council cases (as in this case) the regulator had no day-to-day control of the deposit-taker. Second, the real cause of the depositors' loss was fraud on the part of the deposit-taker's manager. Third, the performance by a regulator of its statutory supervisory function requires the regulator to make delicate judgments balancing the interests of existing and potential depositors, as well as the general public interest in a sound financial system. The making of those judgments might be inhibited if the regulator (in Lord Keith's words)

> "were to be constantly looking over his shoulder at the prospect of claims against him, and his activities would be likely to be conducted in a detrimentally defensive frame of mind."

Those considerations argued strongly against the imposition on a regulator of a duty of care in favour of any particular section of the public.

These three points helped to lead the Judge to his conclusion (at page 615 c - g) that the 1977 Directive did not create enforceable rights for depositors or potential depositors. The plaintiffs criticise that as the wrong approach. It is an approach rooted in the need to find (before recognising that individuals have enforceable rights) a duty of care in favour of a limited and ascertainable class of prospective plaintiffs who stand in a proximate relationship to the prospective defendant, and whose claims ought as a matter of policy to be recognised by the law. It is an approach which readily accepts that the prospective defendant should not be exposed to "liability in an indeterminate amount for an indeterminate time to an indeterminate class" (see Ultramares v Touche (1931) 255 NY 170, 179). It is an approach which has a natural appeal to most lawyers brought up in the common law tradition.

Nevertheless there is much force in the plaintiffs' submission that decisions of the ECJ (going back over thirty years and more to Van Gend en Loos) take a markedly different approach. The jurisprudence of the ECJ shows no reluctance to find rights enforceable by very large and ill-defined groups of individuals, if a provision of the Treaty (such as Article 12 in Van Gend en Loos) or a directive is found, on a purposive construction, to impose an obligation capable of giving rise to correlative rights. The interest of the group of individuals may be as employees (as in Marshall and Francovich), as consumers (as in Dillenkofer), as traders (as in Van Gend en Loos, Simmenthal, Factortame, Brasserie du Pecheur and Hedley Lomas) or simply as inhabitants with an interest in a clean and healthy environment.

The last point is strikingly illustrated by a series of actions brought by the Commission against

Germany for failing to transpose directives concerning air quality and water quality. The fact that these proceedings were commenced by the Commission, and not by individuals, might seem an important point of distinction, but the ECJ appears to have taken the view that the directives did confer rights on individuals. The point appears most clearly from the opinion of Advocate General Jacobs in C - 237/90 Commission v Germany 1992 ECR I - 5973, 6005

> "As regards liability towards individuals, the circumstances in which an action for damages may be brought by an individual in respect of a Member State's failure to implement a directive were defined in paragraph 40 of the judgment in Joined Cases C - 6/90 and C - 9/90 *Francovich and Bonifaci v Italy* [1991] ECR I - 5357. In particular, the directive must be such as to confer rights on individuals. It may be inferred from paragraph 14 of the judgment in Case C - 58/89 *Commission v Germany* [1991] ECR I - 4983 that the directive in issue in the present proceedings does indeed confer rights on individuals, in so far as its purpose is to protect public health and a failure to comply with it might endanger public health."

Both directive 75/440 and directive 80/778 (considered in C -58/89 and C - 237/90 respectively) laid down detailed requirements as to water quality, non-compliance with which could endanger public health, and those concerned (C - 58/89, paragraph 14) "should be able to rely on mandatory rules in order to enforce their rights".

However in another environmental case, C - 236/92 Cava 1994 ECR I - 483, the ECJ reached the opposite conclusion on directive 75/442 (relating to waste disposal). The claimants objected to the creation of landfill sites in Lombardy, and contended that the Italian government was at fault in not having required facilities for recycling waste to be provided. The relevant provisions of the directive are set out or summarised in the opinion of the Advocate General Darmon. The recitals showed that the directive had twin objectives : the economic objective of harmonising national legislation so as to avoid obstruction of trade, and the social objective of protecting health and the environment (see paragraph 21 of the opinion). Article 3 required Member States to take appropriate steps to encourage the prevention, recycling and processing of waste, but it did not impose any particular obligation. Article 4 was mandatory but unspecific, requiring Member States to take the necessary measures to ensure that waste was disposed of without endangering human health and without harming the environment.

Articles 5 to 11 imposed a number of particular requirements, none of which referred to recycling. The Advocate General observed (paragraph 24) that the sole purpose of Article 4 was

> "to define the objectives of the more specific measures contained in Articles 5 to 11, but it cannot, in isolation, constitute a measure of that kind [i.e. impose a specific obligation]".

The judgment of the ECJ proceeded on the same lines. It concluded (paragraph 14)

> "Thus, the provision at issue must be regarded as defining the framework for the action to be taken by the Member States regarding the treatment of waste and not as requiring, in itself, the adoption of specific measures or a particular method of waste disposal. It is therefore neither unconditional nor sufficiently precise and thus is not capable of conferring rights on which individuals may rely as against the State".

If the obligation had been sufficiently clear and certain the width and open-endedness of the class benefited would not, it seems, have been an obstacle.

The plaintiffs' submissions on this issue start with the proposition that a purpose, and an important purpose of the 1977 Directive was the protection of depositors and their savings. This submission is supported by various points both on the actual text of the 1977 Directive and on associated material. It is not necessary to set them out in detail since the Bank does not dispute that one of the directive's purposes was the protection of depositors. The ECJ said in C - 222/95 Parodi 1997 ECR I - 3899, a decision on the 1977 Directive which post-dates the Judge's first judgment (pp. 3922 - 3, paragraph 22),

> "It must be recognised in this regard that the banking sector is a particularly sensitive area from the point of view of consumer protection. It is, in particular, necessary to protect the latter against the harm which they could suffer through banking transactions effected by institutions not complying with the requirements relating to solvency and whose managers do not have the necessary professional qualifications or integrity."

In Parodi (page 3923, paragraph 24) the ECJ described the 1977 Directive as "no more than a first step" towards mutual recognition by member states of each other's authorisation of credit institutions.

The plaintiffs submit that the fact that the 1977 Directive has another important aim - that is, the eventual establishment of a common banking market with full mutual recognition of authorisations - is in no way inconsistent with the conferment of enforceable rights on individuals. They rely on Dillenkofer in which the ECJ said (1997 QB at page 294, paragraph 39) in rejecting the arguments of the German and United Kingdom governments,

> "The fact that that Directive [90/314/EEC] is intended to assure other objectives cannot preclude its provisions from also having the aim of protecting consumers."

The provisions of directive 90/314/EEC were clear and certain in requiring a travel organiser to “provide sufficient evidence of security for the refund of money paid over and for the repatriation of the consumer in the event of insolvency”. Mr Dillenkofer and his fellow claimants had lost the prepaid cost of holidays when a tour operator became insolvent, and the directive had not been transposed into German law within the permitted period. The ECJ, taking a purposive approach to the directive, had little difficulty in rejecting the argument (put forward by Germany and the United Kingdom) that the production of evidence of security did not imply that it had to be actually available for disappointed customers.

The sort of dual purpose described in Cava and Dillenkofer is in fact central to, and characteristic of, most of the directives considered in the authorities. The directives are aimed at a social purpose (typically, the protection of employees, consumers or inhabitants generally) and they are also aimed at the economic purpose of free and fair competition by ensuring that all employers and all traders throughout the EU have to bear the cost of meeting the minimum social standards which the directives require. That is the context in which the ECJ in Parodi (page 3922, paragraph 21) spoke of requirements being “objectively necessary in order ... to guarantee the protection of the recipient of services”. There are similar references in cases on the insurance directive (78/473) on which the plaintiffs rely: Case 220/83 France 1986 ECR 3663, 3709, paragraph 20; Case 205/84 Germany 1986 ECR 3755, 3809, paragraph 49 ; and in Norbrook in paragraph 3 of the ECJ judgment, illustrating the duality in the recitals to directive 81/851 EEC.

The Judge did not obtain much assistance from the insurance cases (see at page 621f). But they are of some interest since they were concerned with the same sort of triangular relationship (competent regulatory authority, regulated service provider and customer) as under the 1977 Directive. In Case 205/84 Germany the ECJ said, (1986 ECR 3755, 3809, paragraph 49),

> "It follows from the foregoing that the requirement of authorisation may be maintained only in so far as it is justified on the grounds relating to the protection of policy-holders and insured persons relied upon by the German Government. It must also be recognised that those grounds are not equally important in every sector of insurance and that there may be cases where, because of the nature of the risk insured and of the party seeking insurance, there is no need to protect the latter by the application of the mandatory rules of his national law."

The passage as a whole implies that in some sectors of insurance policy-holders would have enforceable rights in respect of the requirement of authorisation. But the point is by no means clear.

Another case concerned with a triangular relationship, on which the Bank strongly relies, is R v International Stock Exchange ex parte Else (1982) Ltd 1993 QB 534. In that case the triangle consisted of the Stock Exchange Committee on Quotations, Titaghur plc (a company which had lost its official listing) and investors (that is the applicants, who were shareholders in Titaghur). The applicants sought to rely on directive 79/279/EEC, which was concerned with co-ordinating rules for the listing of securities. Article 15 required member states to ensure that decisions of the competent authorities refusing or terminating a listing should be subject to the right to apply to the national court. When Titaghur's listing was terminated that company did not challenge the decision but two of its shareholders sought to do so by way of judicial review, arguing that the directive was intended to protect investors, that delisting was damaging to investors, and that Article 15 therefore conferred on the shareholders (as well as on the company) the right to seek judicial review of the decision.

This court (Sir Thomas Bingham MR and McCowan and Leggatt LJJ) partially accepted some of the steps in the argument but rejected its conclusion. For present purposes it is most relevant to note that the Master of the Rolls relied on (among other points) the fact that the directive was concerned with relations between competent authorities and companies or issuers; that to extend rights to investors would gravely restrict the discretion of the competent authorities; and that the class of investors was not defined, especially in point of excluding or including potential investors (1993 QB at pp. 550 - 1). Leggatt LJ said at page 554,

> "[Counsel for the shareholders] argues that because the Directive is for the protection of investors it is they who must have a right to apply to the court. That is a non sequitur. Nothing in the language of the Directive accords such a right to investors."

The relationship to which a directive (or part of a directive) is addressed has also been treated as significant in other recent cases, notably C - 201/94 R v MCA ex parte Smith & Nephew and Primecrown v MCA 1996 ECR I - 5819, 5835, (Advocate General Leger) and the very recent case of AGS Assedic Pas de Calais (16 July 1998, paragraph 32 of the judgment of the ECJ).

In our judgment it is reasonably clear that the 1977 Directive does confer enforceable rights on credit institutions which are to be supervised under its provisions. In particular, a credit institution which was refused authorisation for reasons incompatible with Article 3, or which had its authorisation withdrawn for reasons incompatible with Article 8, would (in the event of non-transposition of the 1977 Directive) most probably have had a right to challenge the Bank's decision on the basis that the Becker conditions were satisfied. But there is not in our judgment any sufficient clarity or certainty in the position of depositors (or other customers of credit institutions). The fact that the Directive is in general terms for the benefit of depositors cannot be conclusive (cf Leggatt LJ in ex parte Else 1993 QB at page 554). Had intended rights been precisely and unconditionally defined, the large size and indefinite character of the class benefited would not have been conclusive against the conferment of enforceable rights. But we accept the Bank's submission that this is a case like Cava or ex parte Else in which the Becker conditions would not be satisfied even if there were a clear case of non-transposition.

XX

Conclusions on EU law

For these reasons we do not consider that the plaintiffs are assisted by reliance on the 1977 Directive or on principles of EU law. Because the Becker conditions are not satisfied, we need not consider the plaintiffs' argument based on the Bank's alleged failure to achieve continuing administrative implementation of the transposed directive. We do perceive some traces of such a principle developing in the jurisprudence of the ECJ, but it is by no means fully developed.

If administrative non-implementation were of critical importance we would most probably think it right to refer that issue to the ECJ under Article 177 of the Treaty. As regards Becker -type liability we do not regard the point as *acte clair*, but as a matter of discretion this court decided not to make a reference under Article 177. The parties' rare unanimity in asking this court not to make a reference has been a significant factor (but not the only factor) in that decision.

STRIKING OUT

XXI

Principles

By the time the Judge came to adjudicate on the merits of the striking out application, he had before him the plaintiffs' proposed re-re-amendments to the statement of claim, and rightly considered that it was proper to consider whether their case was indeed doomed to failure even if leave was granted to make those proposed amendments.

He ruled, correctly, that the court's power to strike out an action both under its inherent jurisdiction to prevent abuse of its process, and under Order 18 rule 19, should only be exercised in very exceptional circumstances and in plain and obvious cases (Lawrance v. Norreys (1890) 15 App

Cas 210).

He then considered a number of the leading authorities cited below, and concluded at page 6 as follows:-

> "In my judgment the question in the instant case is whether the Bank has persuaded the court that the plaintiffs' case is bound to fail on the material at present available and that there is no reasonable possibility of evidence becoming available to the plaintiff, whether by further investigation, discovery, cross-examination or otherwise sufficiently to support their case and to give it some prospect of success. If the Bank discharges that burden, it will follow that the plaintiffs' claim is bound to fail. In that event to allow the action to proceed would serve no useful purpose. It would only involve the expenditure of time and money - in this case a very great deal of both. Neither party would have any legitimate interest in such expenditure because it could not benefit either. As the necessity for Lord Woolf's reforms shows, the time of the courts is not unlimited and should not be used in the consideration of what can be seen to be obviously hopeless cases. To allow such an action to proceed would be to permit an abuse of process.
>
> It follows that the question is whether the Bank has shown that the plaintiffs' claim is doomed to failure. As already stated, it will only be able to do so if it shows that the court has available to it all the evidence which is at present available to the plaintiffs, that the plaintiffs' case is bound to fail on the basis of that evidence and that there is no realistic possibility of the plaintiffs obtaining further evidence to support their case in the future, whether by further investigation, discovery, cross-examination or otherwise. I turn therefore to the circumstances of the plaintiffs' claim, which will of course involve a consideration both of the relevant legal principles and of the facts."

In Wenlock v. Moloney [1965] 2 AER 871, a case on which the plaintiffs strongly relied, the Court of Appeal considered a case where an action had been struck out after consideration of a large number of affidavits with no oral evidence or cross-examination.

Danckwerts L.J. stated at page 874 as follows:-

> "There is no doubt that the inherent power of the court remains; but this summary jurisdiction of the court was never intended to be exercised by a minute and protracted examination of the documents and facts of the case, in order to see whether the plaintiff really has a cause of action. To do that, is to usurp the position of the trial judge, and to produce a trial of the case in chambers, on affidavits only, without discovery and without oral evidence tested by cross-examination in the ordinary way. This seems to me to be an abuse of the inherent power of the court and not a proper exercise of the power. The learned master stated the relevant principles and practice correctly enough, and then, I am afraid, failed to apply them to the case.

> In my view, the way in which this case has been dealt with is quite contrary to the practice of the court, and is thoroughly undesirable."

Sellers LJ delivered a concurring judgment, and Diplock LJ agreed.

This somewhat rigid position was however modified by the House of Lords in the case of Williams & Humbert v . W & H Trade Marks (Jersey) [1986] 1 AC 368, which was a very heavy trade marks case involving difficult questions of domestic and international law. After a six-day hearing Nourse J. in a reserved judgment struck out the defences, and his decision was upheld both by the Court of Appeal and by the House of Lords.

Lord Templeman stated as follows at pages 435-6:-

> "My Lords, if an application to strike out involves a prolonged and serious argument the judge should, as a general rule, decline to proceed with the argument unless he not only harbours doubts about the soundness of the pleading but, in addition, is satisfied that striking out will obviate the necessity for a trial or will substantially reduce the burden of preparing for trial or the burden of the trial itself. In the present case, the general rule would seem to require a refusal by the judge to embark on the problems of international law involved in the present appeal, leaving those problems to be solved at the trial if they became material. If at the trial the appellants were cleared of any impropriety in their management of the affairs of the Rumasa group, then the problems of international law would not arise. Moreover, even if those problems did arise I do not believe that the length of time, namely seven days, occupied by the judge in deciding to strike out the pleadings would have been added to the time required to decide other issues. But there are special circumstances which, in my view, made it right for the judge to proceed and to make the order which he made. If the appellants' pleadings and particulars had not been struck out the appellants would have proceeded to demand discovery before trial and to lead evidence at the trial, harassing to the plaintiffs and embarrassing to the court and designed to support the allegations and insinuations of oppression and bad faith on the part of the Spanish authorities which appear in the amended defences and particulars. These allegations are irrelevant to the trade marks action and the banks' action and are inadmissible as a matter of law and comity and were rightly disposed of at the first opportunity."

Lord Mackay of Clashfern stated at page 441:-

> "If on an application to strike out it appears that a prolonged and serious argument will be necessary there must at the least, be a serious risk that the court time, effort and expense devoted to it will be lost since the pleading in question may not be struck out and the whole matter will require to be considered anew at the trial. This consideration, as well as the context in which Order 18 rule 19 occurs and the authorities upon it, justifies a general rule that the

> judge should decline to proceed with the argument unless he not only considers it likely that he may reach the conclusion that the pleading should be struck out, but also is satisfied that striking out will obviate the necessity for a trial or will so substantially cut down or simplify the trial as to make the risk of proceeding with the hearing sufficiently worth while. I agree with the view that the course taken by the judge in the present case was justified by the very special circumstances to which [Lord Templeman] has referred. The fact that at the end of a sustained argument in which other questions were discussed than those which have occupied you Lordships in the four days of the hearing of this appeal in this House he reached a conclusion that the impugned pleading should be struck out in the trade marks action and should not be allowed as an amendment in the banks' action, a decision in which the majority of the Court of Appeal and all your Lordships agree, shows that the judge's exercise of his discretion early in the argument has been shown to be right."

The other three members of the Appellate Committee agreed.

In McDonald's Corporation v. Steel [1995] 3 AER 615, which was a libel action, Neill LJ, with whom Steyn and Peter Gibson LJJ agreed, held that the power to strike out was a draconian remedy which was to be employed only in clear and obvious cases where it was possible to say at the interlocutory stage and before full discovery that a particular allegation was incapable of being proved.

Thus, in the case of a plea of justification, the defendant should not only intend to support that defence at the trial but should also have reasonable evidence to support the plea or reasonable grounds for supposing that sufficient evidence to prove the allegations will be available at the trial. He went on to point out that the evidence on which the defendant may rely may include many forms in addition to his own evidence, including evidence produced by third parties on subpoena, evidence elicited from the plaintiff or the plaintiff's witnesses in cross-examination, and evidence contained in documents disclosed by the plaintiff on discovery. The correct approach, Neill LJ said, was to consider whether or not the defendant's case was incurably bad.

Lord Neill strongly urged that the judge erred in principle in embarking on the striking out exercise at all. We unhesitatingly accept that for him to do so in a very complex case of this kind must be the exception rather than the rule, as was stated so clearly in the two speeches quoted above from

Williams & Humbert.

However, we are satisfied that this case, like Williams & Humbert, falls within the exceptional class for similar reasons as those explained in Williams & Humbert. The pleadings involve imputations against a considerable number of Bank officials who held various posts of responsibility at different times during a period of over ten years. The trial, if it took place, would be extremely long and expensive. An estimated duration of a year was mentioned, and that does not seem to us likely to be an over-estimate. Justice may of course require a full trial, however great the trouble and expense involved; but the burden on the parties and their witnesses is one of the factors to be taken into account in discerning what course, in exceptional circumstances, best meets the requirements of justice. We would therefore uphold the course taken by the Judge, and would also note that the approach he adopted in the second paragraph quoted above is fully in line with principles enunciated by Neill LJ in McDonald's v. Steel.

XXII

The plaintiffs' pleaded case

The statement of claim was first served on 21 June 1993. It was amended on 30 November 1994 (with leave of this court) to add BCCI SA (in liquidation) as a plaintiff. It was reamended on 21 August 1995 (with leave of Clarke J.) after the order for preliminary issues and with a view to making the plaintiffs' case battle-ready, as it were, for the hearing of the preliminary issues. We will summarise the statement of claim it stood after that reamendment, deferring for the present reference to the draft pleading (with further proposed amendments) finally formulated (after other drafts had been put forward) in January 1997 (and rejected by the Judge in his third judgment as incapable of salvaging the plaintiffs' claim).

The general form of the reamended statement of claim appears from the index at the end of the pleading. The index has eleven headings as follows :-

1.	BCCI	paragraphs 1 - 10
2.	The plaintiffs	10A -12A
3.	The defendant	13
4.	The LBC and IMC	14
5.	The supervisory regime	15 - 31
6.	BCCI SA and BCCI Overseas in the UK	32-38
7.	Misfeasance by the Bank	39 - 44
8.	The Bank's motives for breaching its statutory duties	45 - 46
9.	Damages	47
10.	Interest	48
[11]	Prayer	49

That summary might give the impression that the pleading of the acts or omissions said to amount to misfeasance is fairly short. Any such impression would be wholly mistaken. Paragraphs 39, 40 and 41 of the pleading are copiously divided and subdivided (to an extent which sometimes makes it difficult to identify passages in the pleading) and these three paragraphs together occupy 90 pages of the pleading.

The final draft proposed further extensive additions, including lengthy additions in paragraphs 40 and 45, an important addition to paragraph 47, and entirely new paragraphs 48 to 52 inclusive (those new paragraphs particularising the averment in the proposed paragraph 47. 3A(b)(i) of the Bank's knowledge belief or suspicion at various times).

The task of reviewing these exceedingly complex pleadings is made a little less burdensome - although it is still far from an easy task - because as the Judge said at pp. 32 - 33 of the third judgment, with one exception

> "the Bank has conceded that it cannot show that the plaintiffs' case that it knew, believed or suspected that its acts or omissions were unlawful is doomed to failure. That exception is the way that s. 3(5) of the Banking Act 1979 was applied. I shall return to this point below. However, with that exception, the only question which I shall consider under this head is whether the plaintiffs are bound to fail to establish the second stage of the second limb of the tort. The question for decision at each stage is whether the Bank has shown that there is no realistic possibility of the plaintiffs establishing that the Bank knew, believed or suspected that the depositors or potential depositors would probably suffer loss if it did the act complained of or if it failed to do what the plaintiffs say that it ought to have done".

The Judge went on to analyse the statement of claim at pages 34 - 37 of his third judgment. His conclusions can be summarised (omitting some inessential detail) as follows

> (1) The essential acts and omissions alleged to amount to misfeasance on the part of the Bank were its authorising BCCI SA as a deposit-taker in March or June 1980 and its failure to revoke BCCI SA's authorisation under the 1979 Act or (after it came into force) the 1987 Act (paragraph 39 of the statement of claim, as expanded by paragraphs 39A, B and C).

(2) Paragraphs 40 to 46 of the statement of claim, although highly relevant to the issue of the Bank's awareness of illegality, were not relevant to the issue of the Bank's foresight of loss, with the (very important) exception that paragraph 48.2 referred to, and incorporated into itself, a large number of subparagraphs of paragraph 40.

(3) Paragraphs 47 to 51 contained the key allegations, paragraph 48 to 52 being wholly new since the Judge's second judgment. Paragraphs 48 to 52 were intended to make good the crucial allegations contained in subparagraphs 47.3A and 47.3B in the form in which the plaintiffs sought to reamend them. In recognition of their importance the Judge set out those two complex subparagraphs in an appendix to his third judgement. He commented that it was a historical accident that they occurred in a part of the pleading headed 'Damages'.

The Judge then proceeded to consider, by reference to the plaintiffs' pleaded case including the proposed further amendments, whether the plaintiffs' case was bound to fail in relation to different periods of time, beginning with the authorisation of BCCI SA in 1980 and going on to the final period after PW's stark warning to Mr Barnes, on 11 April 1990, that the survival of BCCI was at stake. We have in an earlier section of this judgment considered whether the Judge was right to embark on that vastly difficult undertaking and we have concluded that in doing so he did not err in the exercise of his discretion. Having by then devoted many weeks to the case, both in court and out of court, he may have felt that there would be some element of abdication of responsibility not to reach a definite conclusion on the strike-out application. On that basis, we have to review the Judge's conclusion that the plaintiffs' case was bound to fail.

In our review we shall follow the same chronological pattern as the Judge, who divided the sequence of events into four periods which he discussed at the following pages of his third judgment: -

(i)	original authorisation	pp. 38 - 59

(ii)	June 1980 to December 1986	pp. 59 - 89
(iii)	December 1986 to April 1990	pp. 90 - 114
(iv)	April 1990 to July 1991	pp. 114 -166

Our review will involve some repetition of material in section III above but that seems preferable to continual references back to the beginning of the judgment. But before undertaking that review we must make some general observations about the Bingham report. The Judge made copious references to that report in his third judgment, and it is entirely understandable that he did so, since it is a conspicuously clear guide to an exceptionally complex history. But it is necessary to have in mind the status of the report and the purposes for which it could properly be relied on.

XXIII

The Bingham report

The Bingham report has, predictably, been extensively cited and relied on by both sides in the course of the appeal. The submissions based on it have not always been wholly consistent. There is some force in the Bank's comment that the information and conclusions in the report are vital to the plaintiffs' case, but that the plaintiffs distance themselves from the report when it suits them to do so. It is therefore appropriate for us to clarify the significance of the Bingham report to the issues which we have to decide.

The report (which runs to nearly two hundred pages, without the further eight appendices which are not published) represents the outcome of an inquiry which, momentous though it was, was essentially a private inquiry instituted by the Bank of England and the Treasury, the Bank having

> "chosen to delegate to an independent inquiry the review of the adequacy of its supervision of BCCI"

as it was put by Millett J in Price Waterhouse v BCCI Holdings 1992 BCLC 583, 599. It was not a statutory inquiry under the Tribunals of Inquiry Act 1921. Lord Justice Bingham had no power to compel the attendance of witnesses or the production of documents and there was no counsel to the inquiry (although witnesses were permitted to have their own legal advisers present). The Bank and the United Kingdom firm of Price Waterhouse did (as Lord Justice Bingham gratefully recorded in his letter presenting the report) show a very high level of co operation. The position of the liquidators of BCCI SA (as recorded in the same letter) was that for a variety of reasons they did not feel able to take the opportunity to comment on factual passages and opinions in the report. Several individuals who were deeply involved in the matter did not give oral evidence to the inquiry, the most conspicuous absentee being Mr Abedi (see paragraph 2.101 of the Bingham report).

The scope of Lord Justice Bingham's inquiry was therefore limited by the extent of his powers as well as by his terms of reference. His report has undoubtedly been a most fruitful source of information and lines of enquiry for the plaintiffs (as they acknowledge). But to suggest that Clarke J. was trying a case which had already been tried by Lord Justice Bingham would be totally misconceived. The Judge had that well in mind (see page 167 of his third judgment). If any analogy is to be proposed a closer one would be an investigation of the affairs of a company by inspectors appointed by the Secretary of State under section 432 of the Companies Act 1985 (though inspectors do have powers of compulsion under sections 434 and 436 of that Act). Such an investigation might or might not be followed by civil proceedings against directors of the company for misfeasance or breach of fiduciary duty. The inspectors' report, when published, might give the liquidators useful information and suggest lines of enquiry for any subsequent litigation. But the report would be admissible in evidence only because of the special provisions in section 441 of the Companies Act 1985 (as amended), and only for the limited purposes there mentioned. No comparable statutory provision applies to the Bingham report.

Having correctly recognised the limited scope of Lord Justice Bingham's inquiry Clarke J. said in his third judgment (at pp. 167 - 8),

> "On the other hand, it is plain that in addition to questioning witnesses Bingham LJ considered in detail all the relevant internal documents in the possession of the Bank, which involved a perusal of a mass of documentation. As I have already said, it is clear from the terms of Bingham LJ's covering letter to the Chancellor of the Exchequer, and indeed from many passages in the report itself, that he was applying his mind to the question what was the state of mind of the Bank at each stage. In these circumstances I accept Mr Stadlen's submission that it is inconceivable that Bingham LJ was aware of material which was materially at odds with his conclusions as to the state of mind of the Bank. There is, in my judgment, no realistic possibility that he has not correctly set out the state of mind of the Bank at each stage".

That, with great respect both to the Judge and to Lord Justice Bingham, seems to be putting the matter too high. Were officials of the Bank to give evidence which was fully tested by cross-examination in the adversarial process of a trial, it is not merely possible, but even likely, that a clearer and somewhat different picture would emerge as to the Bank's corporate state of mind from time to time, as constituted by the states of mind of a small number of its responsible officials. But we would agree that there is no realistic possibility that the picture which emerged would be fundamentally different. In that respect the Bingham report is, despite its relatively informal status, an invaluable aid to distinguishing between what is a practical possibility and what is fanciful or inconceivable.

XXIV

The original authorisation

The Judge decided that the plaintiffs' case as to the Bank's foresight of loss was bound to fail in relation to the original authorisation granted to BCCI SA under the 1979 Act. He expressed his conclusion roundly as follows (at page 40),

> "I must say that, however critical one is of the Bank (and there is plenty of scope for criticism), it seems to me to offend common sense to conclude that before it licensed [BCCI SA] in 1980 it actually knew, believed or suspected that if it licensed [BCCI SA, that company] would (or even might) subsequently collapse"

The Judge elaborated on that at pp. 41 - 59 of his third judgment. We are in full agreement with the Judge's analysis and conclusions on this point, including his comment (at page 58) that the case made is really one of fault or negligence, and not of the necessary knowledge or suspicion. We also agree with the Judge when he said (at page 44, in relation to the original authorisation) that there was material from which it was at least arguable that the Bank must have known that LBC and IML, the Luxembourg regulators, were not regulating BCCI SA properly and did not have the resources to do so. We are therefore against the Bank's submission that the plaintiffs have no arguable case on the section 3(5) point (the only point on which the Bank did not concede that the plaintiffs had an arguable case on awareness of illegality). But as we agree with the Judge that there is no arguable case on foresight of loss during this period we need not go further into the s. 3(5) point.

XXV

June 1980 to December 1986

This part of the history of the Bank's supervision of BCCI SA is marked by a number of important documents, copies of which have been produced by the Bank in the course of the litigation. Almost all of them are referred to and discussed in the Bingham report. Some are memoranda addressed to the Bank's Head of Banking Supervision by his Deputy or by subordinate officials in that department (during the period under consideration the Head was Mr Cooke, succeeded by Mr Quinn, and the Deputy who dealt with BCCI was Mr Gent). Others are notes which were made to record meetings, and then circulated. A few of these documents were circulated to the Bank's Governor or Deputy Governor and one (a memorandum dated 11 January 1984 prepared by Mr Cooke) was endorsed with the Governor's initials. It is at least arguable that all these documents are material evidence as to the Bank's corporate state of knowledge on the test in Meridian Global Funds Management v Securities Commission.

These documents were extensively referred to by Clarke J and some have already been referred to in section III of this judgement. They are in our view candid, and not self-serving documents. They do not attempt to disguise anxiety which officials of the Bank felt about the shortcomings of supervision by the Luxembourg authorities or dissatisfaction which they felt about the lack of frankness of Mr Abedi and his top managers. They clearly spell out the Bank's growing awareness that BCCI SA's principal place of business was in the United Kingdom (see especially Mr Gent's memorandum of 15 July 1983 and Mr Walton's of 16 December 1985) and of the consequences of that (see especially Mr Lynas' memorandum of 19 October 1983, which actually speaks of the Bank turning a blind eye). It is no doubt because of these documents that Mr Stadlen has conceded that there is an arguable case that the Bank was aware of illegality in its supervision of BCCI SA.

But there is in our view a striking contrast between the Bank's ready acknowledgement of problems in performing its supervisory duties, and the almost complete absence of any acknowledgement of dire financial consequences which might follow. On the contrary, BCCI SA's business appeared to the Bank to be going from strength to strength. In Mr Gent's memorandum of 9 June 1982 he wrote of audited figures "which show a large international bank well capitalised, profitable and maintaining conservative ratios". Mr Gent wrote (referring to BCCI SA's wish to be upgraded from a licensed deposit-taker to a recognised bank) that the Bank "could probably fend them off for another year". Mr Cooke wrote to the Governor on 11 June 1984 that

> "the bank's initial rapid growth has been consolidated without serious problems coming to light, the balance sheet appears strong, adverse publicity has subsided, and the group now enjoys lines with all the clearers, Standard Chartered, and many foreign banks"

He also wrote,

> "as BCCI's strength and standing in markets grow, our bargaining position will weaken"

That last remark reflects a certain defensiveness (or even lack of self-esteem) which runs through many of the Bank's internal documents, and it may well suggest that the Bank ought to have had a much livelier awareness of the interests of depositors, and of the Bank's powers to act in their interests; but again that would go to negligence, not actual foresight or reckless indifference.

The only direct reference to the interests of depositors made in the Bank's disclosed documents during this period appears to be in an annex accompanying Mr Gent's memorandum of 15 July 1983. Under the headings 'How to deal with the problem - options' and 'closure' he wrote,

> "This course seems neither practicable or justifiable on the basis of our present knowledge of the Group. It is not so much that BCCI is an undesirable force in banking as such but rather that no one can be certain that it is properly controlled and prudently run.
>
> The closure route could only be pursued if it could be shown, with reasonable certainty, that the Group's operations were fundamentally unsound; and that continued existence posed a greater threat to depositors' money than a winding-up. Without a very wide ranging investigation and the fullest cooperation of other supervisory authorities it would not be possible to state, categorically, that the Group's operations are unsound to the extent of endangering depositors. We should have to be very sure of our facts before approaching other supervisory authorities or launching a separate assault under the Banking Act. This would probably necessitate the employing of independent investigating accountants whose appointment could well be misunderstood and trigger off a crisis of confidence. So far as the cooperation of other supervisors was needed there could be the further problem of political pressure. Such pressure has already made its presence felt in the case of the UAE (inspection) and Zimbabwe and Jamaica (entry)."

The Judge quoted most of this passage, together with two further paragraphs, in his third judgment (pp. 65 - 6). He commented (and we agree) that there was no evidence that the memorandum did not represent the genuine views of Mr Gent and his department. He concluded that in the light of the memorandum it was not arguable that the Bank knew or suspected, at that time, that if BCCI SA was not closed down it would probably collapse and cause loss to depositors.

We have carefully reviewed that conclusion. It might be said that although Mr Gent (who is now dead) thought that danger to depositors could not be asserted "categorically", he must have regarded danger as a possibility, and if available to be cross-examined he might have agreed that he thought at the time that it was a probability. But it is clear from the memorandum that Mr Gent was also well aware, at the time, of the risk to depositors involved in closure (or even independent investigation) of BCCI SA. Bearing in mind that misfeasance in public office is a tort involving dishonesty, we - like the Judge - find it inconceivable that Mr Gent could be proved to have shown the "conscious disregard" (Garrett) for the interests of depositors which is an essential ingredient of the tort.

This period ended with the belated disclosure to the Bank of BCCI SA's treasury losses, and the company's failure to discuss with the Bank, or even inform the Bank in advance, of the move of its treasury operations to Abu Dhabi. The Bank was rightly indignant; in a memorandum dated 22 October 1986 Mr Mallett called the move "another quite appalling example of BCCI failing to be straightforward with us". These episodes are discussed by the Judge at pp. 80 -88 of his third judgment. As he indicates there is no suggestion in the papers relating to the treasury losses that the Bank saw the interests of depositors as threatened. PW reported that the losses were the result of lack of experience and the exceptional loss was to be made good by a shareholder's subvention. The Bank was assured that new systems were being put in place to ensure that there would be no recurrence.

Nor is there any sustained suggestion in the papers that during this period anyone in the Bank suspected (still less knew of) fraud on the part of Mr Abedi and his associates. It is arguable that officers of the Bank had material on which they should have suspected fraud, but that is a different matter. They saw the men behind BCCI as undisciplined, secretive and coming from a different banking culture, but not as criminals. The first hint of suspicion of something worse appears in a manuscript note which Mr Quinn added to Mr Butt's memorandum of 27 May 1986, that the group's recourse to the staff trust fund of ICIC "raises questions of legality and probity". At about the same time a Member of Parliament raised with the Bank concerns about the BCCI group being involved in fraudulent transactions affecting West Africa.

XXVI

December 1986 to April 1990

This very important period was considered by the Judge at pp. 90 - 114 of the third judgment. The salient events of this period included (i) a continuing dialogue during 1987 between the Luxembourg regulators and the Bank leading to the decision (at the end of 1987) to establish the small international group of supervisors which became known as the College; (ii) the appointment of PW as group auditors, replacing the previous split of responsibility between Ernst & Whinney and PW; (iii) the coming into force of the 1987 Act which established the BBS (consisting of the Governor, the Deputy Governor and an executive director of the Bank and six independent members; the BBS began operating as a "shadow basis" before the 1987 Act was actually in force); (iv) Mr Abedi's disabling heart attack in February 1988; (v) meetings of the College at regular intervals from June 1988; (vi) the Tampa arrests and indictments in October and November 1988; (vii) an important paper presented to the BBS by the Bank in November 1989; and (viii) formal consideration by the Bank's Review Committee, in January 1990, whether BCCI SA should continue to be authorised despite the Tampa incident.

During this period of a little over three years officials of the Bank were confronted with an increasing number of indications of serious lack of probity in the operations of BCCI. Some of these indications were vague and unsubstantiated, but others (such as those mentioned at 2.94 - 98 of the Bingham report) were specific and serious. Officials of the Bank were aware that they could not perceive or assess the whole picture of the group's world-wide operations. Hindsight reveals that the true picture was far worse than even the most sceptical critic could have suspected. It is impossible to avoid the question (posed more than once, explicitly or implicitly, in Lord Neill's submissions) : if the Bank, through its responsible officers, did not foresee the risk of the group collapsing and the probability of loss to depositors, why not ?

The documentary evidence shown to the court as bearing on that issue was not as plentiful, in relation to the period now under consideration, as that relating to the previous period. Nor does it strike us as being so transparently candid; most of the important documents are not purely internal notes and memoranda, but documents prepared for submission to the BBS or the College, both bodies which had a majority of members from outside the Bank. That is not to say, however, that the documents are not very important contemporaneous evidence of the state of mind of the Bank's responsible officials.

On 8 April 1987 Mr Galpin wrote to Mr Jaans (of IML) an important letter from which we have already (in section III above) quoted an extract. It stated plainly that the Bank would have difficulty in licensing BCCI SA under the criteria in the 1987 Act, especially as regards the statutory requirement for integrity in the running of a licensed institution.

On 6 August 1987 the Bank's BSD presented a paper on the BCCI group (and in particular, its United Kingdom operations) for consideration by the BBS. It had a diagram of group structure and fairly detailed information as to branches of BCCI SA in the United Kingdom. It summarised group footings in 1986 (£17.5bn, of which £6.3bn were those of BCCI SA). In relation to shareholders it stated,

> "The shareholding structure of the group has always been somewhat opaque but the majority shareholders are the Crown Prince of Abu Dhabi, the Bin Mahfouz brothers, the Pharaon family and the Abu Dhabi Investment Authority”."

The memorandum clearly acknowledged the shortcomings of supervision in and from Luxembourg.

Under the heading ‘Market perceptions of the BCCI group’ the memorandum referred to the market as being very wary about the group. It also referred to a widespread view that the group was a United Kingdom bank for which the Bank had primary responsibility. It stated,

> "Other supervisors with major BCCI group operations are nervous and are looking for comfort and they often tend to look to the Bank. We judge that, given the nature of the group, the market may not see the Bank as providing any lender of last resort underpinning. We believe, however, that some blame would be attached to the Bank in the event of serious problems emerging”."

So the likely consequences of “serious problems” (of an unspecified nature) were viewed in terms of blame for the Bank rather than loss to depositors. It reveals an unattractively introverted and defensive attitude, but it is consistent with Mr Stadlen’s submission that at that stage the Bank’s officers simply did not foresee the prospect of such loss, and that there is no arguable case that they did.

The BSD was asked to prepare a further paper for the next meeting of the BBS in September 1987. A further paper was prepared, dated 3 September, annexing an additional memorandum signed by Mr Gent. It is of particular importance because it addressed concerns expressed by the BBS as to the protection of United Kingdom depositors. The BBS had enquired whether such depositors might not be better protected by the formation of an United Kingdom subsidiary as the only licensed deposit-taker.

Both the main paper and Mr Gent’s annexure argued against local incorporation. Again, both papers seem to have concentrated (despite the expressed concerns of the BBS) on the risk of the Bank being exposed to criticism rather than on the risk of depositors being exposed to loss. The main paper contained a statement (already quoted in section III above) as to the Bank's limited power to continue authorisation of BCCI SA. Lord Neill criticised that statement, in our view with justification, as a travesty of both the legal and the factual position. Mr Gent's annexure referred, revealingly, to local incorporation having

> "very considerable disadvantages. First, we would be required to make a conscious decision that BCCI (UK) Limited would, on the evidence before us, be run prudently. I find that a very difficult conclusion to come to at the moment and though we would no doubt ask for a great deal of information ...I suspect we would in the end be forced into reaching a conclusion *against our better judgement"*

The last words (to which emphasis has been supplied) are a remarkable echo of "contrary to a man's own conviction" in the old case of Drewe v Coulton; but they go to awareness of illegality (in a hypothetical situation), not to foresight of loss.

The Bingham report (2.90) records that at the September meeting of the BBS,

> "There was again a lively discussion, during which the Deputy Governor expressed his disagreement with the main paper which, he felt, was too heavily influenced by concern for the Bank's position and too little by concern for that of UK depositors"."

Hindsight confirms that the Deputy Governor's concerns were only too apposite.

The apparent lack of anxiety in the BSD about depositors' interests seems to have depended partly on financial statements audited by PW in their new capacity as group auditors, and on information provided by that firm. The 1987 accounts showed a small group profit of $37m, but after a reappraisal an additional provision of $100m was made. In May 1988 PW produced a substantial report for the College. This is dealt with in paragraphs 2.108 - 110 of the Bingham report The PW report drew attention to some questionable points relating to ICIC, but (in the words of the Bingham report) the reasons for PW's concern "were not spelled out in the report, or even flagged". The report as a whole did not sound a note of warning.

In April 1989 PW gave their audit opinion on the 1989 group accounts, which showed a loss of $49 after loan loss provisions of $145m. The accounts were qualified because of the uncertainty caused by the Tampa incident. PW also prepared another substantial report for the third meeting of the College held in July 1989. The PW report drew attention to various matters of concern, some of which were long-standing problems (such as the high concentration of lending to a small number of borrowers including the Gokal group) and other relatively new (such as Tampa and the questionable transaction involving ICIC). They also reported that a capital injection in April 1989 had raised the risk asset ratio (on adjusted end - 1988 figures) to 1 per cent above the Basle minimum.

The third meeting of the College is described in paragraphs 2.127 - 129 of the Bingham report. The meeting was chaired by Mr Barnes and Mr Naqvi (who had succeeded Mr Abedi) gave long and discursive answers to questions. PW thought that College meetings had become too large and formal to be effective. The Bank (principally in the person of Mr Barnes) was, as paragraph 2.131 of the Bingham report states, more sanguine.

That was the background to the report dated 1 November 1989 which the BSD prepared for the BBS. It contained up-to-date facts and figures and by now familiar complaints that (despite the establishment and operations of the College) there was not full transparency -

> "In summary the present position is unsatisfactory. The action we have taken to date ... has brought some improvement. But there is still no effective consolidated supervision, and much of the group's activity remains opaque."

As the Bingham report states (2.154), the fundamentals of the problem had not changed over the preceding decade.

Under the heading 'The way forward' the paper of 1 November 1989 identified three options: inaction, revocation of authorisation under the 1987 Act, and full consolidated supervision of the group by the Bank. The report recommended the third as the long-term aim (which was by itself an indication, Mr Stadlen submitted, that the Bank cannot have foreseen any early collapse) while recommending formation of a local subsidiary as an interim solution. As to the revocation option the report stated,

> "Given our knowledge of the UK region, there are no grounds for revocation which we can determine. A section 11(1)(e) case alleging a general threat to depositors' interests [“the interests of depositors or potential depositors of the institution are in any other way threatened, whether by the manner in which the institution is conducting or proposes to conduct its affairs or for any other reason”] would be tenuous in the extreme."

In this passage the Bank's officials were looking to the possibility of a decision to withdraw authorisation being challenged through the statutory appeal procedure, and they no doubt had in mind that they would have to produce solid reasons to justify their action. In relation to the decision actually taken soon afterwards in relation to section 11(1)(a) of the 1987 Act, and in relation to the Tampa incident, the Bingham report (2.160) rightly criticised the Bank for being too much influenced by the fear that an appellate body might disagree with its decision. But even allowing for that, we see the passage which we have quoted as significant evidence of the state of mind of the Bank's officials at the end of 1989. Despite all the warning signs, they appear not to have considered the collapse of the BCCI group and the infliction of heavy losses on depositors as a real risk, rather than a theoretical or hypothetical possibility.

The last event calling for detailed discussion, during this period, was the fourth meeting of the College held in London on 1 December 1989. This meeting, and events following from it, are discussed in some detail both in the Bingham report (2.148 - 154) and in the Judge's third judgment (pp. 106 - 11). Part of the meeting was taken up with a presentation by American lawyers instructed on behalf of the BCCI group in connection with the Tampa incident. They explained that corporate criminal liability was easily established in the USA and that a plea-bargain was advisable despite (as they asserted, and as the Bank and the rest of the College seem to have accepted) the absence of complicity on the part of any of the top management of BCCI. The rest of the meeting was taken up with discussion of the lack of organic growth of profits within the group, the continuing problem of concentrations of loans and non-performing loans, and the Bank's latest proposal for the incorporation of two United Kingdom subsidiaries, one to house the central treasury and the other to house the United Kingdom branches.

After the meeting Mr Beverly of the BSD telephoned PW to make sure that the auditors were well aware of the supervisors' concerns. The Bank wished to know in advance if the next accounts were liable to be qualified. When the BBS received a report on the fourth College meeting the Governor (in the words of the Bingham report, paragraph 2.153)

> "pointed to the need for greater urgency in pressing forward the separate incorporation of the UK business in order to build a firewall around the UK depositors"."

Mr Barnes, in his evidence at the Gokal trial, said that ring fences did not really work, because in the event of liquidation they got "blown apart" by international insolvency legislation. This matter is covered in proposed amendments to paragraphs 40.34 and 40.69 of the statement of claim, both of which refer to "the imminent peril of financial ruin envisaged by the Governor".

The Judge accepted the submission on behalf of the Bank that that there was no evidential basis on which the Governor's foresight of "imminent peril of financial ruin" could be alleged. We have reviewed the evidential material again and we have reached the same conclusion. The Governor rightly wanted to see a firewall put in place as a matter of urgency, as a protection for United Kingdom depositors against the possibility of a dangerous conflagration elsewhere in the BCCI group. Whether such a firewall would have protected them is, for present purposes, immaterial. The essential point, to our minds, is that the Governor's urgently-expressed wish is not evidence that he knew or believed or suspected that a huge conflagration was already blazing, and that loss to United Kingdom depositors would follow in the absence of rescue. On the contrary, it is inconsistent with such a conclusion. It is consistent with a belief that the situation was unsatisfactory but manageable, and that the plan for local incorporation was feasible and would improve the situation.

At this point, as so often in the course of this appeal, we have to remind ourselves that the Bank is charged, not with negligence, but with misfeasance in public office, which is a tort requiring dishonesty, and either actual foresight of, or reckless indifference to, the infliction of damage on the plaintiff. Where such a state of mind is alleged against a corporation, the case must be pleaded with some particularity. The plaintiffs' statement of claim (with its extensive past and proposed amendments) puts their case in great detail, and no doubt as clearly and as convincingly as it can be put. But in relation to the period down to April 1990 we agree with the Judge that the case is not arguable on the basis of the material now available, and that there is no realistic prospect of the position being significantly changed by new material.

XXVII

April 1990 to July 1991

The final period is dealt with in detail in paragraphs 2.174 - 484 of the Bingham report and at pp. 114 - 166 of the third judgment. The period opens with the PW's report dated 18 April 1990 to the board of BCCI Holdings and it ends, for practical purposes, with PW's draft section 41 report (delivered to the Bank on the night of Saturday 22 June 1991) and its immediate aftermath..

The Bingham report says of the PW report of 18 April 1990 (2.174),

> "The most striking point in the report was PW's indication that the group required financial support estimated at a minimum of $1.8 billion, with unfunded support for unsecured loans of about $400 million. PW said that they could not sign the accounts as they stood. This point therefore went to the survival of the group."

The report also referred to false or deceitful accounting transactions and to PW's belief that loan transactions involving ICIC were improper. The Bingham report (2.180 - 187) indicates that the financial crisis facing the BCCI group made more impact on the Bank's officers than the questions raised as to the integrity of Mr Naqvi and Mr Abedi. Paragraph 2.181 comments,

> "It is eminently understandable that a financial crisis which threatened the survival of the group was the major preoccupation of PW and the Bank. But I do not think any informed reader of the report, which was relatively brief, could have failed to read it as seriously impugning the honesty with which the group had been run."

Yet the report was not at that stage shown or even mentioned to the BBS or any of the Bank's Governors.

The report cannot have come as a total surprise to the senior officials of the BSD, since Mr Hoult and Mr Cowan of PW had during February and March taken the exceptional course of coming to the Bank for private discussions with Mr Barnes and Mr Beverly. At a meeting on 2 March the Bank had learned for the first time of PW's unnamed informant within BCCI SA. On 11 April Mr Hoult and Mr Charge had indicated to Mr Barnes and Miss Jones the very high level of shareholder support that would be required in order to rescue the group.

The report of 18 April 1990 was not therefore a totally unheralded shock for the Bank. Nevertheless it is highly significant as marking a date after which it would be impossible, in our judgment, to contend that there was no arguable case that the Bank was aware of a very serious and very immediate threat to depositors of BCCI SA. At this point, therefore, the prospect of a rescue operation being promoted by the Abu Dhabi ruling house, and the Bank's perception of the various possible outcomes, assumes central importance.

We think it is helpful to pause in the narrative at this point and take stock again of the plaintiffs' pleaded case. An enormous amount of skilled labour has gone into that pleading, but its complexity makes it very difficult, at times, to see the wood for the trees. However the general effect of paragraph 47.3A (a)(i)(1) and (2), taken with (b)(i)(1) and (2) and the copious particulars which are incorporated, is that from November 1989 (or an earlier date which we have already ruled out) the Bank knew, believed or suspected (or was recklessly indifferent to the prospect) that depositors and potential depositors would (in the absence of adequate and speedy remedial steps) suffer loss as the inevitable or probable consequence of the Bank's conduct; and also knew, etc, that such steps would probably not be taken.

The conduct of the Bank which is impugned by this pleading must be its conduct at the time when it had (through its responsible officers) the requisite state of mind. The Bank's failure to withdraw authorisation in (say) 1988 immediately after the Tampa incident cannot become tortious as the result of knowledge which the Bank obtained eighteen months later.

That point (which is obvious, but still worth making) leads potentially to some very difficult issues of causation. Those issues were discussed in the Judge's first judgment (pp. 626 - 31), which was of course handed down long before the last set of proposed amendments was formulated. We have already considered issues of causation briefly in section XVI above. We see serious difficulties on causation in the path of very many of the plaintiffs, whose losses would appear to have been caused by fraud on an unprecedented scale which had been on foot long before 1990. Nevertheless it seems very probable that there must be a class of depositors (that is, those who first became depositors in the last year before the eventual collapse) whose claims would not founder on causation if it could be shown that, during the final year, the Bank knowingly stood by and failed in its duty to close down a doomed business. That is reflected in our observations in section XVI. The Judge's decision to strike out the plaintiffs' action in its entirety, even in respect of the latest depositors, must therefore stand, if it is to stand, not on causation, but on the Bank's perception, during this final period, of the relative probabilities of a successful rescue operation or a ruinous collapse.

The complicated pattern of events during the final period is clearly summarised in the Bingham report. The Judge's third judgment adds some comment on material not available to be considered in the Bingham report, notably the evidence of Mr Barnes who said at the Gokal trial (page 131),

> "The most difficult balance that you have to strike as a regulator is striking the balance between the existing depositors and potential depositors. It is almost always in the interests of existing depositors that a solution which does not involve liquidation is more in their interests. The very difficult balance one has to strike is the interest of the potential depositors, the people who may in the future decide to deposit in that bank."

We do not find it necessary to discuss in detail the events between April 1990 and July 1991. The principal landmarks during 1990 were as follows. (i) There were ten days of intense activity immediately after the PW report of 18 April, ending with the decision of the Abu Dhabi government, in principle, to promote a rescue operation. (ii) The fifth meeting of the College was held on 19 June, at which the IML delivered the ultimatum that BCCI SA must leave Luxembourg. (iii) PW made three visits to Abu Dhabi between then and October. (iv) PW reported to the BCCI audit committee on 30 October (and copied the report to the Bank) identifying the need for further support of the order of $1.5 bn. (v) The BBS met on 4 October and the sixth meeting of the College took place on the following day. (vi) There was sporadic contact between the Bank, PW and the US Federal Reserve Board, but their communications had by November and December reached a position satisfactory to neither side. The principal landmarks during 1991 were (i) delays caused by questions over the $600m loan portfolio in January; (ii) doubts about the attitude of the majority shareholders in February, and PW's so-called "Doomsday Report" of 25 February, quantifying the total support required at between $4.4 and $5.6 bn;

(iii) PW's contentious meeting with the board of BCCI SA on 1 March; (iv) the Bank's commissioning from PW of the s. 41 report on 4 March; (v) the seventh meeting of the College on 4 April; and (vi) the signature of the majority shareholders' support package on 22 May.

There is a bitter irony in the fact that the majority shareholders' support, so arduously obtained over a period of about thirteen months during which one unpleasant shock followed another, failed to achieve the rescue of BCCI. But the fact that it was obtained, just a month before PW's s. 41 report finally led the Bank to take drastic action and close BCCI SA, seems to us striking confirmation of what emerges from the totality of the documentary evidence, that is that the Bank hoped and expected, on reasonable grounds, that a rescue operation would succeed. Further confirmation is also provided by the criticism which was subsequently aimed at the Bank for its eventual decision to close BCCI SA. The Bingham report discusses the decision and concludes (2.478),

> "It cannot be plausibly argued, in my opinion, that the course which the Bank took was not an appropriate one, even though it was not the only possible course."

The following six paragraphs contain some trenchant comments on the events of the final period, which is described (2.480) as "a tragedy of errors, misunderstandings and failures of communication." The Bingham report plainly considers that rescue was feasible and collapse not inevitable.

The Judge reached the firm conclusion (page 166 of the third judgment) that on the material then available, the plaintiffs had no arguable case that the Bank dishonestly licensed BCCI SA or dishonestly failed to revoke the licence or authorisation in circumstances when it knew, believed or suspected that the company would probably collapse without being rescued. We agree with that conclusion. We also agree that in all the circumstances of this extraordinary case, it is now for practical purposes inconceivable that new material would emerge of such significance as to alter that conclusion. The tort alleged is a tort of dishonesty, and the plaintiffs' claim must be rigorously assessed on their pleaded case and the evidential material shown to be available to support it.

XXVIII

Conclusions

Throughout the preceding four sections we have adopted the same approach as that taken by the Judge, and asked ourselves whether the plaintiffs have an arguable case that the Bank actually foresaw BCCI's imminent collapse at each relevant stage. We have agreed with the Judge's conclusion that all the evidence indicates that up to April 1990 it did not, and that thereafter it did, but properly relied on the prospect of a rescue. That is sufficient to dispose of the case in the Bank's favour.

That formulation, however, may have been too favourable to the plaintiffs. In view of the stringent requirements of the tort of misfeasance in public office, the more appropriate question may be: Is it reasonably arguable that the Bank at any stage made an unlawful and dishonest decision knowing at the time that it would cause loss to the plaintiffs ? To that question, in the light of our analysis of the evidence, the answer is plainly 'No'.

We would therefore dismiss the appeal.

LORD JUSTICE AULD:

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IN THE SUPREME COURT OF JUDICATURE Case No. QBCMI97/1391/3 COURT OF APPEAL (CIVIL DIVISION)

December 4, 1998

Before:

Lord Justice Hirst
Lord Justice Auld
Lord Justice Robert Walker

B E T W E E N:

THREE RIVERS DISTRICT COUNCIL & ORS.

- and -

THE GOVERNOR & COMPANY OF
THE BANK OF ENGLAND

SUMMARY

For the reasons summarised below, I would allow the Plaintiffs' appeal and dismiss the Bank of England's cross-appeal on the matters in issue, save as set out in paragraph 9.

1. A right to a remedy in damages enforceable in the courts of Member States may arise from a clearly defined obligation imposed by an EEC Directive, even though the right is not expressly identified in it, and does so where failure to acknowledge the right would deprive those for whose protection the obligation is imposed of a full remedy for its breach. Judgment, pp. 217-234

2. The First Council "Banking" Directive of 12th December 1977 (77/80/EEC) imposed clearly defined obligations on Member States and on their regulatory bodies. In doing so, it gave rise to corresponding Community law rights in depositors to enforce those obligations by an action for damages in a United Kingdom court.

Judgment, pp. 235-247

3. Such Community law rights prevail over United Kingdom law, in particular Section 1(4) of the Banking Act 1987 and the Common law action for misfeasance in public office, to the extent that United Kingdom law conflicts with or purports to impede the effective enforcement by depositors of their Community law rights. Judgment, pp. 189-191, 243 and 246-247

4. In the context of this case, the Directive, with a view to protecting the customers of banks trading in this country, imposed obligations on the Bank of England to prevent such banks from trading if they failed to meet the criteria laid down by the Directive and/or effectively to supervise them with a view to ensuring their compliance with such criteria. Judgment, pp. 240-242

5. The Plaintiffs, as depositors of BCCI at the material time, have an arguable Community law claim in damages against the Bank of England for losses caused by a "sufficiently serious breach" by it of its regulatory and supervisory obligations under the Directive. Judgment, pp. 247-249

6. The essence of the Common law tort of misfeasance in public office is dishonesty in the form of abuse of public office. Such dishonesty may, but does not necessarily, include as an essential ingredient some appreciation by the public officer of the injurious consequence of his act. The tort may be committed in two distinct ways: 1) by an act of "targeted malice", that is, one intended to harm the plaintiff; or by an intentional and knowingly unlawful act which does harm him. As to the latter, it is enough if the officer dishonestly disregards his plain duty or does not honestly attempt to do it. Judgment, pp. 249-253 and 282-291

7. If, in the second form of the tort, it is necessary to prove some appreciation by a public officer

of the injurious consequences of his act, reasonable foreseeability of injury, not foresight in the form of knowledge, belief or suspicion of probable injury, is the most that is required. Judgment, p. 291

8. The Plaintiffs, as depositors of BCCI at the material time, have an arguable case, subject to proving the matters of fact on which they rely and seek to rely, against the Bank of England for damages for misfeasance in public office by reason of its alleged intentional and knowingly unlawful conduct in failing to regulate and supervise BCCI as required by the Banking Acts of 1979 and 1987. Judgment. p. 291

9. Matters of causation of the Plaintiffs' damage and whether all the Plaintiffs come within the class of persons entitled to claim against the Bank of England for misfeasance in public office should be determined after a trial on the facts. Judgment, pp. 295-302

10. The Judge should not have struck out the Plaintiffs' claim on the basis that, on the evidence which he considered would be available at trial if there were one, the claim would be bound to fail. This legally and factually complex case is particularly unsuitable for such a ruling and is not of the very exceptional kind required to justify such a course. Judgment, pp. 302-312

The Issues

Hirst and Robert Walker LJJ have summarised the factual history giving rise to the Plaintiffs' claim, and of its progress, against the Bank of England ("the Bank") in respect of their losses resulting from the failure of BCCI. Their appeal and the Bank's cross-appeal from the several judgments of Clarke J culminating in his striking out of their claim raise the following issues:

1. whether, on the assumption that the facts the Plaintiffs plead and propose to plead are true, they have an arguable:

(i) Community law claim under or derived from the 1977 Directive;

(ii) Common law claim for misfeasance in public office;

(iii) Common law claim for administrative failure regardless of abuse of power;

(iv) case under any of the first three heads that the Bank caused such damage as they suffered from the incompetence or dishonesty of BCCI; and

(v) claim to be an existing or ascertainable body of persons so as to entitle them to recover under any of the first three heads; and

2. whether the Judge was entitled to strike out their claim for misfeasance in public office as one bound to fail.

I shall deal first with the Community law claim, because if the Plaintiffs were to succeed under that head the only possible surviving impediments to the matter proceeding to trial would be issues 1(iv) and (v). Before doing so, and for convenience of reference, I shall briefly introduce the 1977 Directive and the Banking Acts of 1979 and 1987, returning to them in more detail where appropriate later in the judgment.

The 1977 Directive and the Banking Acts of 1979 and 1987

Before the 1979 Act there was no formal system in this country for the regulation and supervision of banks. It had been left to the Bank of England and the "twitch of its Governor's eyebrows" to encourage prudential practices by those bodies holding themselves out as banks. The European Community's First Council Banking Co-ordination Directive of 12th December 1977 (77/780/EEC) changed all that. Its full title described it as for "the coordination of laws, regulations and administrative provisions relating to the taking up and pursuit of the business of credit institutions".

In outline the Directive obliged Member States to require banks to obtain authorisation before commencing their activities (Art. 3) and, through their "competent authorities", only to grant such authorisation if:

- the bank had separate and adequate minimum capital;
- its business was effectively directed by at least two persons (the "four eyes requirement"); and
- the two persons were of sufficiently good repute and had sufficient experience for the purpose.

It also required the competent authorities of member states to establish certain financial operating criteria for banks with a view to monitoring their solvency and liquidity (Art. 6) and member states to collaborate closely in the supervision of banks with branches in more than one member state (Art. 7). Finally, for the purpose of this brief summary, it provided for the withdrawal of authorisation on a number of grounds, including failure by a bank to continue to fulfil the conditions under which it was granted and/or lack of sufficient own funds or because it could no longer be relied upon to fulfil its obligations (Art. 8)

The Directive, by Article 189 of the EEC Treaty, was not directly applicable, but it was "binding" on each member state "as to the result to be achieved", leaving to each "the choice of form and methods". The United Kingdom's form and methods were the Banking Act 1979, the material parts of which came into force on 1st October 1979. I have summarised the material provisions of the Act in an appendix to this judgment. In even briefer summary here, it prohibited the carrying on of a banking business, referred to in the Act as "a deposit-taking business" (Section 1), save for a two tier system of exemption to be granted by the Bank, namely "recognition as a bank" or by the grant of "[a] full licence to carry on a deposit-taking business" (Sections 1-3). The Act set out various criteria of probity and financial prudence and standing for each form of exemption. The main difference between the criteria was that, to obtain recognition as a bank the applicant had to satisfy the Bank, inter alia, that it enjoyed, and had done so for a reasonable period of time, "a high reputation and standing in the financial community" and that it provided or would provide a wide range of banking services or a highly specialised banking service (Section 3(3) and Schedule 2).

In addition, the Act provided that in the case of an institution whose "principal place of business" was out of the country the Bank, instead of satisfying itself of the institution's compliance with the statutory criteria, could rely on assurances of the supervisory authority in the country of its principal place of business as to its management and overall financial soundness, providing that it, the Bank, was satisfied about the supervision exercised by that authority (Section 3(5)).

The Bank's control of banks under the Act consisted in the powers of grant and revocation of recognition or of a full licence as the case may be. It also had extensive powers of supervision: first, through the media of the grant of a conditional licence, that is, one subject to such conditions as it considered necessary to protect depositors (Sections 7(1)(b) and 10), and/or, second, of a requirement of the bank to furnish it with information and documents about its affairs (Section 16) and/or, third, by ordering an investigation of the conduct of its business (Section 17).

As BCCI SA and BCCI Overseas were already carrying on deposit-taking businesses in this country when the main provisions of the 1979 Act came into force on 1st October 1979, they required recognition as banks or licensing as deposit-taking institutions to enable them to continue in business. SA applied for recognition. The Bank rejected the application, but on 19th June 1980 granted it a full licence, which it retained until the licence was automatically converted into an authorisation under the 1987 Act. Overseas did not apply for recognition or licensing at any time and was never granted either.

The Plaintiffs maintain and the Bank accepts as arguable that SA's principal place of business was always in the United Kingdom. However, the Bank relied, purportedly under Section 3(5) and later under Section 9(3) of the 1987 Act, on assurances as to its soundness from LBC/IML, the supervisory authority in Luxembourg, as a proxy for satisfying itself that SA met the statutory criteria for a full licence/authorisation. Overseas, notwithstanding its lack of recognition or licence, traded in London as a bank and a deposit taking business until the removal of the BCCI Group's Central Treasury from London to Abu Dhabi in October 1986.

The Banking Act 1987, the material parts of which came into force on 1st October 1987, begins by defining the functions and duties of the Bank. It expressly identified its supervisory role (Section 1(1)) and required it to establish a committee to be known as the Board of Banking Supervision (Section 2). It also introduced a statutory exemption from liability for the Bank and its officers and employees in respect of that supervisory role in the absence of proof of bad faith. Section 1 provides:

> "(1) The Bank of England ... shall have the powers conferred on it by this Act and the duty generally to supervise the institutions authorised by it in the exercise of those powers.
>
> ...
>
> (4) Neither the Bank nor any person who is a member of its Court of Directors or who is, or is acting as, an officer or servant of the Bank shall be liable in damages for anything done or omitted in the discharge or purported discharge of the functions of the Bank under this Act unless it is shown that the act or omission was in bad faith."

The system of control under the new Act was much the same as that under the 1979 Act. However, it dispensed with the two tier system of recognition and licensing, substituting for it a single authorisation as a bank. Recognised and licensed institutions under the former regime became authorised banks.

The minimum criteria of probity and financial prudence and standing for authorisation were similar to those in the 1979 Act, though more specific. (Section 9 and Schedule 3). The new Act also contained, in Section 9(3), a continuation of the Section 3(5) power under the old Act, in the case of institutions whose principal place of business was in a country outside the United Kingdom, for the Bank to rely on information of the relevant supervisory body in that country as to prudent management and overall financial soundness if it was satisfied as to the supervision exercised by that authority.

The new Act contained similar but broader powers of revocation. Section 11(1) provided that the Bank "may" revoke an authorisation "if it appears to" it that:

"(a) any of the [relevant] criteria ... is not or has not been fulfilled, or may not be or may not have been fulfilled, ...;

(b) the institution has failed to comply with any obligation imposed on it by or under [the] Act;
...

(e) the interest of depositors or potential depositors of the institution are in any other way threatened, whether by the manner in which the institution is conducting or proposes to conduct its affairs or for any other reason."

It also continued the possibility of conditional or, as it calls it, "restricted", authorisation (Section 12).

The Community law claim

The Plaintiffs' claim in Community law is derived from the 1977 Directive.

Introduction and summary

Article 189 of the EC Treaty binds each Member State to achieve the result stipulated in a directive but leaves to the authorities of the Member State how it is to do that. The overlapping but more general Article 5 of the Treaty requires each Member State "to take all appropriate measures ... to ensure fulfilment" of obligations arising out of the Treaty and, inter alia, of directives.

The European Court has developed a principle of "direct effect" for directives similar to that of direct applicability expressly provided by Article 189 for regulations. The principle, which is a right to invoke Community law against a Member State or its emanation to protect interests for which a directive makes provision, owes its origin to the Court's concern to ensure that Member States should not be able to deprive individuals of Community law rights derived from a directive, simply by failing to implement or by mis-implementing it; Case 270/81 Felicitas v. Finanzamt fur Verkehrsteuern Hamburg [1982] ECR 2771; Case 152/84 Marshall v. Southampton & South West Hampshire Area

Health Authority [1986] ECR 723.

The Court has held that a Member State may not plead, as against an individual, its own failure properly to implement the directive; Case 8/81 Becker v. Finanzamt Munster-Innenstadt [1982] ECR 53, para. 24. In that case the Court, at paragraph 25, specified two, not necessarily mutually exclusive, purposes for which he could rely upon it:

- first, "as against any national provision which is incompatible with" it; and
- second, "in so far as [its] provisions define rights which individuals are able to assert against the State".

Whichever of the two purposes for which an individual may rely on a directive - defensive or aggressive - the Court, in Becker, at para. 5, has stipulated that the provisions upon which he relies must be "unconditional and sufficiently precise" as to three matters:

- first, the identity of the persons entitled to the right ("the eligible plaintiff point");
- second, the content of the right ("the contents point"); and
- third, the identity of the person against whom the right may be asserted ("the damages point").

See also Joined Cases C-6/90 and C-9/90 Francovich v. Italy [1991] ECR 1-5357, paras 11 and 12; and Joined Cases C-46/93 and 48/93 Brasserie du Pecheur v. Germany and R v. Secretary of State for Transport, ex p. Factortame [1996] ECR 1-1029. Blackburne J observed in Griffin v. South West Water Services Ltd. [1995] IRLR 15, at 30, that the concept of the test "unconditional and sufficiently precise" is "somewhat elusive"; he went on nevertheless to venture a simple test which I find as good as any, "One at least of the elements of unconditionality and precision which the provisions of a Directive must exhibit ... is that it should be clear what it is that the body is required to do".

The European Court from its earliest days has also developed, albeit more slowly, a broader principle of liability in damages to individuals of which, it seems to me, the Becker direct effect rule may now be regarded a part. It is a fundamental principle of Community law inherent in the system of the Treaty, including Articles 5 and 189, that national courts must provide remedies to individuals to protect their Community law rights, if necessary by removing national procedural or substantive rules which prevent or impede such remedies. See Francovich, paras. 28-46; see also Case 26/62 Van Gend en Loos [1963] ECR 1; Case 6/64 Costa v. ENEL [1964] ECR 585; Case 106/77 Simmenthal [1978] ECR 629, paras. 16 and 21; Case C-213/89 Factortame I [1990] ECR 1-2433, para 19.

A right to damages under the Francovich head only exists where:

- first, the obligation giving rise to it is clearly defined on a similar basis to that required to give a directive direct effect, namely so as to confer clearly identifiable rights in the event of its breach;

- second, the breach is "sufficiently serious" in the sense that the Member State "manifestly and gravely disregarded the limits on its discretion"; and

- third, there is a direct causal link between the breach of the obligation and the claimed loss.

See Francovich, para. 40; and Brasserie du Pecheur, paras 51 and 55. As Clarke J observed, at 622b-e of his May 1996 judgment, the Becker and Francovich requirements as to conferral of rights under a directive are much the same.

If the Plaintiffs can establish their claimed right in Community law to damages against the Bank, Section 2(1) of the European Communities Act 1972 entitles them to enforce it in the courts of the United Kingdom. However, in doing so the courts must set aside, if necessary, any conflicting provisions of our domestic statutory or common law, in particular, in this context, the requirement of proof of bad faith in Section 1(4) of the 1987 Act and in the tort of misfeasance in public office.

The Plaintiffs' claim against the Bank is for damages for loss caused to them by its failure to comply with obligations to them derived from the 1977 Directive. It is not a claim against the United Kingdom based on failure to implement the Directive in the sense of not transposing it into national legislation, but against the Bank as its emanation for failing to apply it.

The Plaintiffs maintain that their claim does not depend on whether the Directive itself expressly confers on them a right and remedy arising from the Bank's breach of its obligations. They say that it is sufficient to derive from its terms firm and precise obligations to protect depositors from which, if it is to achieve its purpose, a corresponding right in them to damages for breach of such obligations must follow. That, they say, is a right founded directly in Community law. As to the obligations, and corresponding rights, they maintain that they are sufficiently firm and precise to meet the broadly corresponding formulations in Becker and Francovich, that the breaches are "sufficiently serious" to give them a remedy in damages and that they have caused them direct loss.

Under both heads of claim the plaintiffs rely on recent jurisprudence of the European Court which, they contend, shows that a directive does not cease to be a source of Community law obligations giving rise to corresponding rights, or to have direct effect, in a Member State once that State has implemented it. They say that, whether implemented or not, it may impose obligations on a Member State, or an emanation of it as appropriate, giving rise to corresponding rights under Community law. Thus, Community law provides a remedy for failure to apply an implemented directive as well as for failure to implement it.

As to breach by the Bank of its obligations under the Directive, the Plaintiffs maintain that the Bank, knowing at all material times that BCCI did not meet the minimum legal criteria for licensing or authorisation, failed to meet their obligations in one or more or all of three respects, namely: in licensing or authorising it to trade as a bank; in failing to supervise it to ensure that it met the criteria for licensing or authorisation; and in failing to revoke or withdraw its licence or authorisation, as the case may be, or take steps short of such revocation or withdrawal to protect depositors.

The Plaintiffs maintain that the facts and matters that they plead and seek to plead, including that the Bank knew it was acting unlawfully, more than satisfy the requirements that I have just summarized as necessary to entitle them to recover damages from it for breaches of Community law. They add that, to the extent that Section 1(4) of the 1987 Act or the English law of misfeasance in public office calls for proof of more, in particular, of bad faith or, as Clarke J. added, of knowledge, belief or suspicion that the acts or omissions complained of would probably cause them damage, it is incompatible with Community law. That is because it is "tantamount to calling in question the right to reparation founded on the Community legal order"; see Brasserie du Pecheur, para. 79.

The Bank's case is, first, that the Plaintiffs cannot succeed, however they put their claim, because the Directive neither expressly confers upon them any right or remedy in damages against banking regulators for breach of it nor provides any basis for an obligation to them from which any such rights could be derived. In the Becker formula, it did not "define" any such rights, nor were its terms unconditional or sufficiently precise to give it direct effect. In Francovich terms it did not confer identifiable rights on individuals in the category of the Plaintiffs. It was nothing more than the first of a series of Community directives providing for the gradual harmonisation of national laws so as to eliminate discrimination in competition in the provision of banking services. The Bank maintains that such Community legislation did not expressly confer any rights to compensation until 1995 when the Community, by directive, provided for a harmonised system of minimum and maximum levels of compensation in the form of deposit guarantee schemes. (Directive 94/19/EC, 30th May 1994)

Second, the Bank says that there is no authority for the Francovich type claim based on state liability against an emanation of the state, still less against a regulatory authority for failure properly to carry out its duties.

Third, the Bank says that the United Kingdom has fully and properly implemented the 1977 Directive and it is, therefore, no longer a source of or a means of identifying rights in Community Law; the Plaintiffs cannot, therefore, pray in aid the Becker principle of direct effect, and their sole remedy if any, is under English Common law.

Fourth, the Bank says that the only basis on which Community law might be of value, would be as an aid to interpretation of the United Kingdom's implementing legislation, or as comparative material for consideration of future legislation, but that Community law provides no such interpretative or comparative material.

Fifth, the Bank says that even if it is in breach of an obligation capable of giving rise to rights of action by the Plaintiffs for damages, its breach is not "sufficiently serious" to confer such rights in the circumstances of the case.

Sixth, the Bank maintains that it has not, by its conduct as regulator, caused any direct loss to the Plaintiffs.

Clarke J. held, at 603a-b, that the Plaintiffs could not show that the 1977 Directive was intended to confer upon them rights enforceable by an action for damages against a banking supervisory body. He agreed with the Bank's case that the Directive imposed no duty on it to supervise and that its immediate purpose was a first step towards harmonisation. He acknowledged that an important underlying purpose of the Directive was to protect existing and future depositors. However, he ruled, at 602a-b, that that was not enough to impose on the Bank any obligation which gave rise to rights on the part of the Plaintiffs to claim damages for breach of it. He said, at 614j-615a:

> "In my judgment the 1977 directive was not intended to confer rights upon savers, even though the underlying purpose of supervision of credit institutions was to be for their benefit. It is true that arts. 3 and 7, and probably also art. 8, impose duties upon the supervising authority, but it does not seem to me to follow from that that it was intended that savers or any particular class of person were to have rights of action in damages against the authority."

His reasoning was the same under both heads of the Community law claim, namely that the provisions of the Directive were not sufficiently precise as to the identity of the persons entitled to the right claimed, or as to the content of the right, or as to the identity of the person obliged. He was influenced, in particular, by the absence from the Directive of any "remedies provision" of the sort found in Case 14/83 Von Colson & Kamann v. Land Nordrhein Westfalen [1984] ECR 1891 and

Marshall; see his judgment, at 616g-618c. As to Francovich liability, as distinct from that giving rise to direct effect, he said, at 622c:

> "... if the plaintiffs cannot establish a sufficient right or interest to enable them to rely upon the directive as having direct effect, they equally cannot succeed by relying upon the principle in Francovich because here too it is necessary to establish the same right or interest."

In so ruling, the Judge applied to the 1977 Directive the reasoning of the Privy Council in relation to domestic legislation in the negligence cases of Yuen Kun-Yeu v. Attorney General of Hong Kong [1988] AC 175 and Davis v. Radcliffe [1990] 1 WLR 832, that public regulators who had discretionary powers to stop deposit taking institutions from carrying on business, but no day-to-day control or supervision of them, had no legal responsibility to depositors or potential depositors for default of those institutions made possible as a result of their regulatory decisions, even though one of their functions was to protect depositors. In so reasoning the Judicial Committee relied on three matters which Clarke J. considered, at 600g-602c and 615c-e, applied to the 1977 directive:

- the regulator had no day-to-day control or supervisory responsibility over the institutions;
- the immediate cause of the loss was the default of third parties, namely fraud by the managers of the institutions; and
- the regulator's role was a discretionary one, namely to balance a number of different factors in the interest of the public generally as well as that of existing and future depositors.

As to the last, the Judge considered, at 601g-j, that it might be that depositors would be sufficiently protected by criminal sanctions against the fraudsters themselves or by the establishment of a supervisory system such as the Board of Banking Supervision introduced by Section 2 of the 1987 Act.

<u>The purpose and terms of the 1977 Directive</u>

It is a fundamental and general principle of Community law inherent in the Treaties that national courts must protect the rights which individuals derive from Community law. The first question for decision, at its broadest, is whether the Directive, purposively construed, imposed obligations on the Bank to protect depositors, the breach of which conferred on them a right to claim damages against it.

It is plain that one of the purposes of the Directive was the protection of depositors. The Plaintiffs say it was the main purpose. The Bank, to the extent that it recognizes it as a purpose of the Directive at all, says it was subsidiary to that of beginning the process of harmonisation. As I have mentioned, the Judge regarded it as an important underlying purpose.

Purposive construction of the Directive requires consideration of the relative importance it gives to the protection of depositors as well as to the content and precise formulation of the articles in it upon which the Plaintiffs rely. As always in Community instruments, the title and recitals are important. Also of importance when considering the precision, or lack of it, in the Articles themselves, is the extent to which their criteria for authorisation and withdrawal of authorisation allowed the Bank a discretion in determining whether such criteria were met or as to what it could do if it was of the view they were not. In particular, it is of value to look for what, if any, scope it allowed in that exercise for consideration of other factors of the sort mentioned by Lord Goff in Davis v. Radcliffe, at 827B-C, to which I shall return, namely the effect of a decision one way or the other on other depositors, creditors and other customers of the bank and possibly on the wider provision of financial services in the community.

The title of the Directive is "the coordination of laws, regulations and administrative provisions relating to the taking up and pursuit of the business of credit institutions", which, the Bank contends, summarises its main purpose - harmonisation. However, the Plaintiffs say that, looking at the Directive as a whole, and in the light of its legislative basis as the Court should, its purposes were the immediate protection of depositors and the progressive coordination of the laws of Member States to achieve the same minimum level of protection throughout the Community.

Reference to the legislative basis for the Directive mentioned in the preamble to it, in particular to Article 57(2) of the Treaty and the opinion of the Economic and Social Community ("ECOSOC"), indicates that harmonisation without regard to content, was not and could not sensibly have been an end in itself. Article 57(2) required the Council before the end of a transitional period to issue directives for the coordination of the laws of Member States as to the taking up and conduct of professions and businesses, including that of banking. And ECOSOC, in drawing up its opinion on the proposal for the Directive, included a number of passages clearly relevant to the degree of protection to be provided for depositors as well as to its uniformity in the specific provisions proposed. See ECOSOC (0) 1975 C263, p.25. The opinion, which gave rise to an amendment to the Directive, included the following passage:

> "1.1.3 ... the lack of harmonisation of Member States' legislation whose main purpose in each country is to provide security for depositors and to protect savings, is liable to create serious disparities with regard to that objective, indeed even certain dangers."

As to the Recitals, Clarke J. has helpfully rehearsed all of them at 607a-608h. Recitals 1, 2 and 9 refer to the need to remove discrimination between Member States in the establishment and provision of banking services. Recital 3 refers to the need for the introduction by "successive stages" of a system which, when read with the other provisions in the Directive, would plainly provide both immediate supervision within each Member State and, in the long term, consolidated supervision by home Member States in consultation with host Member States, that is -

> "overall supervision of a credit institution operating in several Member States by the competent authorities in the Member State where it has its head office, in consultation, as appropriate, with the competent authorities of the other Member States concerned."

Among the other Recitals, No.4, refers to the need for measures "to coordinate credit institutions .... both in order to protect savings and to create equal conditions of competition between" them. No. 8, contains the same duality in providing:

> "whereas the eventual aim is to introduce uniform authorization requirements throughout the Community for comparable types of credit institution; whereas at the initial stage it is necessary however, to specify only certain minimum requirements to be imposed by all Member States." (my emphases)

See also Recitals 5 and 12.

A directive may have two or more purposes and, regardless of their relative importance, may impose obligations advancing both or all of them. In my view, it is an arid exercise to seek to attribute greater importance to one or other of the two purposes of immediate protection of depositors and progressive harmonisation. It is clear from the Directive, looked at as a whole and in its legislative context, that there were two such purposes here and that they were interdependent, each serving the other and as a start specifying certain minimum requirements for the protection of depositors. I am content to adopt Clarke J's conclusion, at 609c-f, that while:

> "the immediate purpose of the Directive was a first step towards ... harmonisation ... a key purpose of controlling and supervising credit institutions was to protect ... savers by the protection of their savings".

The Articles of the Directive, particularly 3,6,7 and 8 upon which the Plaintiffs rely, must be read in the light of its Recitals and the legislative background. By way of preliminary, it should be noted that, although the Directive, in its title and in Article 2, applies it to "the taking up and pursuit of business of credit institutions", it is plainly also, and perhaps primarily, concerned with institutions that receive deposits. Article 1 defines "credit institution" as:

> "an undertaking whose business is to receive deposits or other repayable funds from the public and to grant credits for its own account".

As I have mentioned, Article 3 sets out certain conditions of authorisation of credit institutions to trade as such. It imposed duties variously on Member States and on their competent authorities. It obliged Member States to require credit institutions to obtain authorisation before trading and their competent authorities to grant authorisation only on certain minimum conditions. It provided, so far as material:

> "1). Member States shall require credit institutions subject to the Directive to obtain authorization before commencing their activities. They shall lay down the requirements for such authorization subject to paragraphs 2, 3 and 4....

2). Without prejudice to other conditions of general application laid down by national laws, the competent authorities shall grant authorization only when the following conditions are complied with:

- the credit institution must possess separate own funds,

- the credit institution must possess minimum own funds,

- there shall be at least two persons who effectively direct the business of the credit institution.

  ... the authorities concerned shall not grant authorization if the ... [two] persons are not of sufficiently good repute or lack sufficient experience to perform such duties. ...

4). Member states shall also require applications for authorization to be accompanied by a programme of operations setting out inter alia the types of business envisaged and the structural organization of the institution." (my emphases)

Article 3, in paragraph 3, also prohibited competent authorities when considering authorisation under those provisions from having regard to the economic needs of the market, subject where appropriate to a transitional period of 7 to 12 years before the prohibition took effect. However, it is interesting to note that within that transitional period paragraph 3(d) provided that the criterion of economic need must be aimed at promoting, amongst other things, "security of savings".

Article 6 deals with supervision. In my view, and contrary to that of Clarke J., at 616b-e, it imposed on regulators immediate duties of a technical banking nature to "ensure that savings are protected", and it did so in advance of the process and achievement of coordination. It is clear from the wording of the Article and the context of the Directive as a whole, concerned as it is with "the taking up and pursuit of the business of credit institutions", (my emphasis) that the intended purpose of the supervision was to ensure, as a minimum, continuing compliance with the requirements of authorisation under Article 3. It provided:

"1). Pending subsequent co-ordination, the competent authorities shall for the

> purposes of observation and, if necessary, in addition to such coefficients as may be applied by them, establish ratios between the various assets and/or liabilities of credit institutions with a view to monitoring their solvency and liquidity and the other measures which may serve to ensure that savings are protected.
>
> To this end, the Advisory Committee [established under Article 11] shall decide on the content of the various factors of the observation ratios referred to in the first sub paragraph and lay down the method to be applied in calculating them.
>
> Where appropriate, the Advisory Committee shall be guided by technical consultations between the supervisory authorities of the categories of institutions concerned.
>
> 2). The observation ratios established in pursuance of paragraph 1 shall be calculated at least every six months.
>
> 3). The Advisory Committee shall examine the results of the analyses carried out by the supervisory authorities referred to in the third paragraph of paragraph 1 on the basis of the calculations referred to in paragraph 2.
>
> 4). The Advisory Committee may make suggestions to the Commission with a view to co-ordinating the coefficients applicable in the Member States."
> (my emphasis)

An associated provision, Article 7, was also directed at the mechanics of supervision, obliging banking regulators to have regard to such matters in their supervisory role. I do not agree with Clarke J, at 614f, where he said that this Article requires competent authorities merely "to collaborate closely in order to supervise" but does not of itself "impose a duty to supervise". It provided:

> "1). The competent authorities of the Member States concerned shall collaborate closely in order to supervise the activities of credit institutions operating, in particular, by having established branches there, in one or more Member States other than that in which their head offices are situated. They shall supply one another with all information concerning the management and ownership of such credit institutions that is likely to facilitate their supervision of and the examination of the conditions for their authorization and all information likely to facilitate the monitoring of their liquidity and solvency."
>
> 2). The competent authorities may also, for the purposes and within the meaning of Article 6, lay down ratios applicable to the branches referred to in this Article by reference to the factors laid down in Article 6.
>
> 3). The Advisory Committee shall take account of the adjustments necessitated by the specific situation of the branches in relation to national regulations." (my emphases)

See also Article 12.3, which acknowledges as one of the purposes for which banking regulators may use information provided as a result of collaboration required by the Directive, the examination of:

> "... the conditions for the taking up and pursuit of the business of credit institutions to facilitate monitoring of the liquidity and solvency of those institutions ... " (my emphasis)

I should add that, in my view, it follows from the obligations to supervise and collaborate over supervision that regulators were also bound to take steps where necessary to obtain information and to take appropriate action if, as a result of their attempts to supervise, they were not satisfied that the criteria for authorisation and as required under Article 6 were still met. As Lord Neill submitted, without such an obligation, those of supervision, monitoring and collaboration would be otiose.

Article 8.1 provided for withdrawal by banking regulators of authorisation in a number of circumstances, including failure by a bank to continue to fulfil the conditions under which authorisation was granted. The Article reads:

> "1. The competent authorities may withdraw the authorization issued to a credit institution subject to this Directive or to a branch authorised under Article 4 only where such an institution or branch:
>
> (a) does not make use of the authorization within 12 months, expressly renounces the authorization or has ceased to engage in business for more than six months, if the Member State has made no provision for the authorization to lapse in such cases;
>
> (b) has obtained the authorization through false statements or any other irregular means;
>
> (c) no longer fulfils the conditions under which authorization was granted with the exception of those in respect of own funds;
>
> (d) no longer possesses sufficient own funds or can no longer be relied upon to fulfil its obligations towards its creditors and in particular no longer provides security for the assets entrusted to it;
>
> (e) falls within one of the other cases where national law provides for withdrawal of authorization." (my emphases)

The provision is in general terms permissive in the various circumstances specified. One can see why that should be so for some of them, but not for those in paragraphs (c) or (d) - failure to comply with conditions of authorisation or other financial malaise fatal to its continued handling of other people's money. In my view, in those respects the Article should be read as imposing a duty on competent authorities to withdraw authorisation. Clarke J. acknowledged, at 614f, the force of Lord Neill's argument to that effect. It is inconceivable that the Directive should be read so as to require banking regulators to insist on certain minimum requirements of authorisation and to supervise to ensure continued satisfaction of them, yet leave them with a discretion, unspecified as to criteria, to permit continuance of trading without check or condition when those requirements are no longer met. I am not deterred from that conclusion by the mandatory terms of paragraph 8.2, relating to branch authorisations:

> "In addition, the authorization issued to a branch under Article 4 shall be withdrawn if the competent authority of the country in which the credit institution which established the branch has its head office has withdrawn authorization from that institution." (my emphasis)

One of five decisions of the European Court on the 1977 Directive, Case 110/84 Municipality of Hillegom v. Cornelis Hillenius [1985] ECR 1583, is of some interest on the question whether Articles 6, 7 and 8 of the Directive impose a duty to supervise, as distinct from just a duty to collaborate over supervision. It concerned the obligation imposed by Article 12 on Member States to ensure that members of their regulatory authorities complied with their obligation of professional secrecy. An investor, seeking to claim in the Dutch courts against the Dutch banking regulator for losses incurred as a result of its failure to supervise, sought to examine a number of its staff. They resisted examination, relying on Article 12. The Advocate General, Sir Gordon Slynn, and the Court, in considering that narrow issue, made some general observations on the matter of supervision. In doing so they made plain that they regarded the Directive as imposing on regulators a supervisory role. Thus, Sir Gordon Slynn said, at 3948:

> "... credit institutions are subject to continuing supervision and under Article 8 the supervisory authority may withdraw the authorization issued to a credit institution in

certain circumstances ..."

Later, at 3950, he spoke of the necessity of the relaxation of the obligation of secrecy as between regulators provided by Article 12.2 of the Directive, since it was:

> "obviously necessary if the supervision and collaboration intended by the directive ... [were] to be effective."

The Court made similar observations at paragraphs 26 and 27 of its judgment:

> "26. An analysis of the general aims of the Directive and the context of Article 12(1) shows that, in order to create the legislative conditions required for a common market for credit institutions, the Directive is designed to facilitate the overall monitoring of credit institutions operating in more than one Member State by the competent authorities of the Member State in which the credit institution has its head office. ...
>
> 27. If the monitoring of banks through supervision within a Member State and exchanging of information by the competent authorities is to function properly, it is necessary to protect professional secrecy. ..."

There is also an interesting observation of the Court to like effect in Case 166/85 Criminal Proceedings against Italo Bullo and Francesco Bonivento [1987] ECR 1583, at paragraph 9, though this time in relation to conditions of authorisation imposed by Article 3(4) in particular:

> "... Article 3(4) ... is formal in nature and is designed to secure effective supervision of the activities of those institutions with a view to the protection of their customers." (my emphases)

The first and principal issue between the parties, whether the matter is considered as one of Becker or Francovich liability, is whether, as a result of the Directive imposing obligations on the Bank for the protection of depositors, it conferred corresponding enforceable rights on them against the Bank. The Plaintiffs say that, regardless of the absence of any express conferral in the Directive, such rights result logically and necessarily from the obligations if the latter are to have any practical effect. They say, with particular reference to the direct effect route to liability, that the second limb of the Becker test, requiring definition of such rights does not require them to be spelled out in the Directive. The Bank says that the test means just that, that Francovich type of liability, if it exists at all against an emanation of the state exercising a regulatory function, is no less specific and that, as this Directive says nothing about depositors' rights, the Plaintiffs' claim for damages must fail. They add that there are other means of securing the benefit of such obligation as the Bank has to protect them.

Before examining the jurisprudence of the European Court bearing on this central issue there is some ground clearing to be done.

Yuen and Davis v. Radcliffe

First, there is Clarke J's and the Bank's heavy reliance on the reasoning of the Judicial Committee of the Privy Council in Yuen and Davis v. Radcliffe. In my view, those authorities are distinguishable in a number of important respects and provide little or no guidance on the question whether the Community law duties of the Bank derived from the Directive confer on depositors Community law rights of action against the Bank.

It does not seem to me appropriate to pray in aid Common law principles and public policy considerations going to the existence of a duty of care when determining as a matter of construction what, if any, obligations and corresponding enforceable Community law rights are to be derived from Community legislation. The primary question in both Privy Council cases was whether there was a duty of care; Yuen, per Lord Keith at 190C-D; Davis v. Radcliffe, Lord Goff at 825H-826B, and 826G-827H. In both the Judicial Committee determined it according to Common law criteria as to the presence or absence of "a close and direct relationship" between regulator and depositors and of "a special relationship" between the regulator and the deposit-taking institutions concerned, and by reference to public policy considerations governing the exercise by a public body of a discretion. Here, the Directive imposed a number of clearly defined obligations - duties - on the Bank to ensure the compliance with certain minimum requirements by banks seeking the grant and retention of authorisation. The critical question is whether, as a matter of construction of the Directive and Community law principles, those undoubted duties conferred enforceable rights of action on the Plaintiffs.

Second, it was an important consideration in Yuen and in Davis v. Radcliffe that the domestic legislation in question gave the regulators little or no supervisory powers, still less any day- to-day control. In Yuen, at 195C, Lord Keith described the regulator's powers, under the Hong Kong Deposit taking Companies Ordinance, as being limited to putting the institution in question "out of business or allowing it to continue". In Davis v. Radcliffe the regulator's powers under the Isle of Man banking legislation were, as Lord Goff said, at 830C, "somewhat wider", but not materially so. Whether a supervisory role is of such a nature as to impose in Common law or Community law a duty to depositors must be a matter of fact and degree turning on the precise form and level of supervision prescribed in each case. Lord Keith acknowledged as much in Yuen when distinguishing the Court of Appeal's decision in States of Guernsey v. Firth (unreported), 14th May 1981, that a depositor had a cause of action against a public authority statutorily responsible for publishing lists of bodies registered to accept deposits, by reason of his loss resulting from its failure to publish a list. Lord Keith said, at 197G-H:

> "The decision was concerned with the construction of an enactment imposing a specific statutory duty which was alleged to have been breached. Their Lordships therefore do not consider it to be in point for the purposes of the present appeal, which is concerned with the existence of a common law duty of care, and I do not think it appropriate to express any opinion as to its correctness."

He took a similar stance in relation to a decision of the Canadian Federal Court of Appeal in Baird v. The Queen (1983) 148 DLR(3d) 1, that a depositor had a cause of action against the Canadian Government in respect of alleged breaches by it of various supervisory duties imposed upon it by statute.

Lord Keith's acknowledgment that the decision in Yuen depended as much on its own facts as on broad principle was underlined by Saville J, as he then was, in the following passage from his judgment in Minories Finance Ltd. v. Arthur Young (a firm) [1989] 2 All ER 105, at 111c-e:

> "Counsel submitted that this case was conclusive authority against the proposition that the Bank of England owed a duty of care to depositors in this country. Although this submission is formidable, I am not persuaded that it is so strong that the contrary argument can simply be dismissed as unsustainable. The Privy Council was concerned with a Hong Kong ordinance; the present case concerns a different supervisory banking authority in a different country exercising, according to the third party notices, powers and functions over and above those to be found in the Banking Act 1979, the then equivalent in this country of the Deposit Taking Companies Ordinance. It is noteworthy that the Privy Council itself distinguished the Canadian case of Baird v. R ... where the Federal Court of Appeal concluded that a similar claim should not be struck out as disclosing no reasonable cause of action on the ground that the legislation and the circumstances under consideration in Canada were different from those in the Hong Kong case."

Here, whilst it cannot be said that the Directive imposed a duty of "day-to-day control" by the Bank, Articles 6 and 7, when read with Article 8, clearly imposed supervisory duties on it which go beyond those considered in Yuen and Davis v. Radcliffe. "Day-to-day control" cannot, in my view, be the touchstone or the necessary minimum for a Common law duty of care by a regulator, still less for a right of action against a regulator for breach of a Community law obligation to supervise. It is a notion taken from the wholly different circumstances under consideration in Dorset Yacht Co. Ltd. v. The Home Office [1970] AC 1004, and should not be given general application regardless of context.

Third, similar considerations govern the second concern in Yuen and Davis v. Radcliffe that a court should be slow to impose upon a regulator a duty to depositors to protect them against default of third parties, in particular, against fraud by banks or their staff. Again, as Lord Keith made clear in Yuen, at 195G-196C, this goes to the issue whether there was a duty of care to depositors to protect them against such default, including whether there was "a special relationship" between the regulator and the institution concerned to give rise to such a duty. It all depends upon the form and level of supervision a regulator is required to provide in the circumstances of each case. If a banking regulator is required to supervise banks then, depending on its precise statutory powers and duties, I can see no reason in principle why it should not be liable to depositors if they lose their funds through fraud or other culpable behaviour of the institutions or their staff made possible by its failure properly to supervise.

Fourth, there are the public policy considerations, referred to by Lords Keith and Goff in Yuen and Davis v. Radcliffe respectively, against allowing public bodies' discretionary decisions to be influenced by fear of litigation resulting from susceptibility to claims in negligence arising out of their decisions. See Yuen, per Lord Keith at 194H-195B, and 198D-G; and Davis v. Radcliffe, per Lord Goff at 826H-827D.

Whether and the extent to which such considerations come into play, either as a matter of Common or Community law, depends on whether and to what extent the duties imposed upon a public body allow it a margin of discretion or judgment in its exercise of them. This type of case is far removed from that of a police officer's exercise of his professional judgment in the investigation of crime which gave rise to the case of Hill v. The Chief Constable of West Yorkshire [1988] QB, and the observations of Glidewell L.J., at 75G-76A, so often cited in this context and referred to by Lord Keith in Yuen at 198D. Moreover, the force of that exclusionary principle may require some re-examination in the light of the European Court of Human Rights recent decision in Case No. 87/1997/871/1083 Osman v. United Kingdom, The Times 5th November 1998. The Directive's provisions as to authorisation, supervision and withdrawal of authorisation are specific and focused entirely on each individual institution's state of compliance with the prescribed criteria. Whatever may have been the effect of the Hong Kong Ordinance in Yuen, there is no scope in the 1977 Directive for balancing interests of the sort mentioned by Lord Keith, at 194H-195B:

> "... future would-be depositors cannot be regarded as the only persons whom the commissioner should properly have in contemplation. In considering the question of removal from the register, the immediate and probably disastrous effect on existing depositors would be a very relevant factor. It might be a very delicate choice whether the best course was to deregister a company forthwith or to allow it to continue in business with some hope that, after appropriate measures by the management, its

financial position would improve."

Similarly, there does not appear to be scope here for consideration of wider interests, including the general well-being of the financial community of the sort that Lord Goff spoke of in Davis v. Radcliffe, at 826H-827D. In that case the regulators' statutory powers and duties were broadly described, far more broadly than those of regulators governed by the 1977 Directive. This is how Lord Goff summarised them at 825A-D:

> "Under the Banking Act 1975, it became an offence to carry on a banking business in the Isle of Man without a licence, or otherwise than in accordance with the terms of a licence. Detailed provision is made in the Act of 1975 for the licensing of banks and other related matters. Applications for a licence to carry on a bank have to be made to the Treasurer, in whom is vested the power to issue such a licence, with or without conditions; to refuse a licence; or to revoke a licence previously granted. However the Finance Board is given the power to give to the Treasurer such directions as it thinks fit with regard to the exercise of such powers. The Treasurer is vested with other powers under the Banking Act 1975, including power (with the authority of the Finance Board) to suspend or discontinue the business of the bank; and power to inspect books and other documents of a bank (with power of entry for that purpose) and to take copies of such documents, as to the exercise of which powers the Finance Board may again give such directions to the Treasurer as it thinks fit." (my emphases)

It was on those facts that Lord Goff went on to make his observation about the relevance and importance of the interests of the financial services community as a whole:

> " There are, in the opinion of their Lordships, certain considerations, each of which militates against the imposition of any such duty, and which taken together point to the inevitable conclusion that no such duty should be imposed.
>
> First, it is evident that the functions of the Finance Board, and indeed of the Treasurer, as established by the Finance Board Act 1961, are typical functions of modern government; to be exercised in the general public interest. These functions are ... of the broadest kind, for which parallels can doubtless be drawn from other jurisdictions. The functions vested in the Treasurer, and in the Finance Board, by the Banking Act 1975 must be seen as forming part of those broader functions. No doubt, in establishing a system of licensing for banks, regard was being had (though this is not expressly stated in the long title of the Act) to the fact that the existence of such a licensing system should provide an added degree of security for those dealing with banks carrying on business in the Isle of Man, including in particular those who deposit money with such banks. But it must have been the statutory intention that the licensing system should be operated in the interests of the public as a whole; and when those charged with its operation are faced with making decisions with regard, for example, to refusing to renew licences or to revoking licences, such decisions can well involve the

> exercise of judgment of a delicate nature affecting the whole future of the relevant bank in the Isle of Man, and the impact of any consequent cessation of the bank's business in the Isle of Man, not merely upon the customers and creditors of the bank, but indeed upon the future financial services in the island. In circumstances such as these, competing considerations have to be carefully weighed and balanced in the public interest, and, in some circumstances, as Mr. Kentridge observed, it may for example be more in the public interest to attempt to nurse an ailing bank back to health than to hasten its collapse. The making of decisions such as these is a characteristic task of modern regulatory agencies; and the very nature of the task, with its emphasis on the broader public interest, is one which militates strongly against the imposition of a duty of care being imposed upon such an agency in favour of any particular section of the public."

Fifth, the Brasserie du Pecheur requirement of a "sufficiently serious" breach for recovery of damages by an individual against a state or its emanation for breach of a Community law obligation, indicates that that legal regime provides its own distinct threshold or brake of a public policy nature on the award of damages in such cases.

For those reasons, I consider it unhelpful, indeed positively misleading, to take as a starting point the decisions on the facts and the reasoning of the Privy Council in Yuen and Davis v. Radcliffe as to the absence of a duty of care for the wholly different question here, whether as a matter of Community law depositors have a right of action against a banking regulator for breach of its obligations under a directive. In short, as the Plaintiffs maintained, adoption of the Yuen and Davis v. Radcliffe reasoning in this context could negate the protection that the 1977 Directive is intended to provide.

The legislative basis of the 1977 Directive

The second piece of ground clearing is as to the legislative basis of the 1977 Directive as indicated by subsequent Community legislation, on which the Bank places much reliance. It points to the whole legislative programme of which the Directive was part, and characterises it as no more than a modest first step towards harmonisation imposing no obligations on Member States' regulators and conferring no rights on individuals against them. It says that the programme demonstrates that protection of depositors was not the Directive's sole or even its main object. It refers to the following general description of it by the European Court in its judgment in Case C-300/81 Commission v. Italy [1983] ECR 449, at 455, para. 3:

> "Council directive 77/80 constitutes the first step in the harmonisation of banking structures and the supervision thereof. The purpose of such harmonisation is to permit the gradual attainment of freedom of establishment for credit institutions which all Member States must observe. In order to facilitate the taking up and pursuit of business as a credit institution the directive aims in particular to reduce the discretion enjoyed by certain supervisory authorities in authorizing credit institutions."

As the third sentence in that passage and the terms of Article 3 of the Directive plainly indicate, it did at least make some immediate provision of a protective nature concerning the authorisation of credit institutions. However, the Bank's case is that nearly another 20 years were to elapse and many more directives were to follow before supervisory obligations and some limited rights for depositors began to emerge. After a detailed examination of some 11 directives on the supervision of credit institutions between 1977 and 1995, the Bank summarises its contentions on this legislative development as follows.

It has taken the Community some twenty years to develop an increasingly sophisticated harmonised system of banking regulation and supervision. It was not until Directive 94/19 that the Community provided (from 1st July 1995) any specific remedy to depositors. And then it was in the form of a minimum financial guarantee provided through a harmonised system of deposit-guarantee schemes, not through a harmonised system of rights of action again Member states or their competent authorities. The Recitals to the 1994 Directive "expressly disavow" any intention to impose additional liability on Member States or on their competent authorities where their respective deposit protection schemes comply with the requirements of the Directive. It is, therefore, impossible to read any such additional liability into the 1977 Directive, which made no express provision for consumer protection at all.

The Bank referred to the ruling of the European Court and the Opinion of Advocate General Leger in Case 233/94 Germany v. Parliament and Council [1997] ECR 1-2405, indicating that, though consumer protection was one of the objects of the 1994 Directive, it did not enable Member States to invoke it in order to impede the activities of credit institutions authorised in other Member States. It also relied on certain observations of the Court in Case C-222/95 Societe Civile Immobiliere Parodi v. Banque H. Albert de Bary et Cie [1997] ECR 1-3899, in paras. 22-26, to which I shall return, which, it maintains, indicate the limited role of the 1977 Directive.

The Plaintiffs agree that the 1977 Directive was a first step towards the harmonisation of authorisation procedures. However, they say that as a first step it was directed at both protection of depositors and elimination of restrictions on competition; as to protection of depositors it established minimum requirements of authorisation, supervision and withdrawal of authorisation, the last of which goes also to effective supervision; the system has remained essentially unchanged since the 1977 Directive and the developments made by subsequent directives are not great.

As to the following Directives on which the Bank placed much reliance, the Plaintiffs maintain:

- the Second Council Directive of 1989(89/646/EEC) adds to, but does not replace the minimum requirements going to supervision contained in Articles 6,7 and 8 of the 1977 Directive;
- the 1983 Directive (83/350/EEC) and the 1992 Directive (92/30/EEC) are concerned with consolidation of supervision, not the requirement of supervision already established by the 1977 Directive; as acknowledged by, inter alia, Recital 5 to the 1992 Directive, to the terms of which I shall refer shortly;
- as to the introduction by the 1994 Directive 94/19/EC) of a harmonised system of consumer protection in the form of deposit guarantee schemes, it was not intended to be

the only protection for depositors, but, as Recital 25 to the Directive states:

> "an indispensable supplement to the system of supervision of credit institutions on account of the solidarity it creates among all the institutions in a given financial market in the event of failure of any of them." (my emphasis)

The European Court had considered the 1977 Directive in five cases before Clarke J. gave his judgment. As he found, they confirm, or do not contradict, what is evident from the plain words of the Directive, that one of its underlying purposes was to protect the interests of savers. See Case 300/81 Commission v. Italy [1983] ECR 449; Case 301/81 Commission v. Belgium [1983] ECR 467; Hillegom; Bullo; and Case C-422/85 Criminal Proceedings against Mattiazzo [1987] ECR 5413.

As I have said, the Judge acknowledged that protection of depositors was an important underlying purpose of the Directive, but held that its "immediate purpose" was a first step towards harmonisation and did not impose any obligations on the Bank giving rise to enforceable rights against it by individuals. In so holding, he likened it to the Directive for coordination of the conditions for the admission of securities to official stock exchange listing considered by the Court of Appeal in R v. International Stock Exchange of the United Kingdom and the Republic of Ireland Ltd., ex p. Else [1993] QB 534. There, the Court held that the primary purpose of the Directive was to coordinate listing practices of competent authorities in Member States and not directly to provide additional protection for investors so as to enable them to challenge the Stock Exchange's cancellation of a company listing.

I respectfully disagree with the Judge's reliance on that case as an analogy and support for his approach to his decision in this case. First, neither the recitals nor the substantive provisions in the Listing Directive were directed at the protection of investors with the same focus as those in the 1977 Directive in favour of depositors. The Listing Directive was made under articles 54(3)(g) and 100 of the Treaty requiring coordination of "safeguards ... for the protection of members and others" of companies or firms and was of direct effect. The long title of the Directive, like that of the 1977 Directive, indicated that its purpose was one of coordination, that is, of "the conditions for the admission of securities to official stock exchange listing". And Recital 5 to the Directive included within that general purpose the provision of equivalent protection for investors at Community level, and a number of Articles referred to the interest of protection of investors.

The Listing Directive made specific and detailed provision for challenges to listing decisions, but did not expressly identify the persons entitled to make those challenges. All three members of the Court, Sir Thomas Bingham MR and McCowan and Leggatt LJJ, after a close analysis of its provisions, one article in particular setting out the machinery of challenge, concluded as a matter of construction that investors had no right of challenge. Sir Thomas Bingham concluded, at 549G, that the primary purpose of the Directive was "not, in any direct way, to provide additional protection for investors" (my emphasis); that cannot be said about the 1977 Directive; see Parodi infra. Sir Thomas Bingham and Leggatt LJ also spoke of the great difficulties that could arise if companies and their members were in conflict over listing decisions.

The case is thus readily distinguishable from this one, being concerned as it was with the construction of the detailed provisions of a different directive. It is not to be taken as an authority for a general proposition excluding a remedy to an individual for whose protection a directive is intended, simply because its primary purpose is coordination. It all depends on the terms of each instrument and the extent to which, if at all, it makes detailed and practical provisions for both purposes. As the subsequent jurisprudence of the European Court on the 1977 Directive (see in particular Parodi, paragraphs 22 and 23, infra) and similar directives in other fields illustrate, different considerations apply here.

The mere fact that a directive is a first step in harmonisation or that it has an immediate purpose as such, does not mean that it cannot also have an immediate purpose of protecting individuals, such as depositors. Indeed, it does not prevent it from immediately imposing obligations or conferring or giving rise to corresponding rights. As Advocate General Leger observed at paragraph 39 of his Opinion in Case C-233/94 Germany v. European Parliament and the Council on the competing demands of protection of depositors and harmonisation under directive 94/19, "the requirement as regards protection may chronologically precede harmonization". In that case Germany sought annulment of Directive 94/19, of a deposit guarantee scheme on the ground that it wrongly failed to increase protection for depositors by applying to all Member States the highest level of protection required by any one of them. The Court, at paragraphs 10, 19 and 20, rejected that contention, observing that consumer protection was one, but not the sole or paramount objective of the directive. However, it acknowledged that the object of promoting the right of establishment and freedom to provide banking services necessarily carried with it "a high level of consumer protection" and "a considerable improvement in the protection of depositors within the Community". And, as I shall mention again, the important recent authority of Case C-127/95 Norbrook Laboratories Ltd. v. Ministry of Agriculture, Fisheries and Food (unreported) 2nd April 1998, is an example of "a first stage" directive which, the European Court held, imposed obligations and conferred rights. See also as to more than one objective Dillenkofer, para. 39.

Accordingly, I prefer the Plaintiffs' submissions on the light thrown on the issue as to conferment of rights on individuals by the legislative programme introduced by the 1977 Directive. In my view, it is clear from the Directive on its own terms, looked at as a whole and in its legislative context, that it had as an immediate purpose the protection of depositors and that such protection extended to supervision as well as to the grant and withdrawal of authorisation. That the framers of the Directive and of the subsequent legislation were of that view is plain from Recital 5 to the 1992 directive, which states:

> "Whereas the Member States can ... refuse or withdraw banking authorization in the case of certain group structures considered inappropriate for carrying on banking activities, in particular because such structures could not be supervised effectively; whereas in this respect the competent authorities have the powers mentioned in Article

> 8(1)(c) of .... [the 1977 Directive] ... and in Articles 5 and 11 of the ... [Second Council directive of 1989] ..., in order to ensure the sound and prudent management of credit institutions." (my emphasis)

The Plaintiffs' point about the 1994 Directive, introducing the harmonised system of deposit guarantee schemes, is also telling, namely its clear reference in Recital 25 to such scheme being a "supplement" to the existing "system of supervision of credit institutions", in contrast to the provision considered by this Court in ex p. Else.

Francovich liability

The essential question is whether the Directive imposes obligations on the Bank from which, as a matter of Community law rights are conferred on individuals in the position of the Plaintiffs. Whether the matter is considered under this head or as one of direct effect, I am content to adopt the broad thrust of Clarke J's approach, at 605j, that, to establish obligations in a directive giving rights under Community law, it must be possible on a fair reading of it, construed purposively, to conclude that it was intended to give rise to such rights. However, I do not agree with his reasoning, at 616g to 618c, that the absence of any expression of such rights in the text of the Directive is a "pointer" to the conclusion that they were not intended.

In determining whether, regardless of other hurdles, the 1977 Directive was sufficiently specific to enable the Plaintiffs to rely on Francovich liability, it is necessary to examine two fundamental provisions of the Treaty and the original and, now, rapidly developing jurisprudence under this head to see what it does and does not require.

As to the Treaty, Articles 5 and 189 of it are clearly directed at the effectiveness of Community law obligations by securing their "fulfilment". Thus, in Von Colson, which concerned a directive requiring equal treatment in employment but not specifying a right to compensation in the event of a breach, the Court held that if a Member State chose to penalize breach by an award of compensation, such compensation had to be adequate to ensure the effectiveness of the requirement. In so holding, the Court said, at paragraphs 15 and 26:

> "15. ... Although ... [Article 189 of the Treaty] leaves Member States to choose the ways and means of ensuring that the directive is implemented, that freedom does not affect the obligation imposed on all the Member States to which the directive is addressed, to adopt, in their national legal systems, all the measures necessary to ensure that the directive is fully effective;
>
> 26. ... the Member States' obligation arising from a directive to achieve the result envisaged by the directive and their duty under Article 5 of the Treaty to take all appropriate measures, whether general or particular, to ensure the fulfilment of that obligation, is binding on all the authorities of member states including, for matters within their jurisdiction, the courts. It follows that, in applying the national law and in particular the provisions of a national law specifically introduced in order to implement [the] Directive ..., national courts are required to interpret their national law in the light of the wording and the purpose of the directive in order to achieve the result referred to in the third paragraph of Article 189."

See also Francovich, para. 36; and Case 271/91 Marshall v. Southampton & S.W. Hampshire Area Health Authority [1993] ECR 1-4367, "Marshall II", paragraph 17.

The European Court has recognised from the earliest days the close connection in Community law between the imposition of obligations on Member States and/or their emanations and making those obligations effective by the conferment on individuals of rights corresponding to them. That is so even when such rights are not expressly stated or clearly defined in the particular instrument creating or giving rise to the obligations. The critical question is whether the instrument, be it Treaty provision, regulation or directive, identifies sufficiently clearly an obligation which, if it is to be effective, must have a correlative right of the kind sought to be enforced and by the institution or individual claiming it.

The starting point for that broad proposition is the direct effect case of Van Gend en Loos, an Article 177 Reference on the question whether Article 12 of the Treaty had direct application so as to give rise to Community rights in individuals which national courts must protect. The court in the following well-known passage, at 12, declaring the new Community legal order, held that Community law did confer such rights:

> " In addition, the task assigned to the Court of Justice under Article 177, the object of which is to secure uniform interpretation of the Treaty by national courts and tribunals, confirms that the states have acknowledged that Community law has an authority which can be invoked by their nationals before those courts and tribunals.
>
> The conclusion to be drawn from this is that the Community constitutes a new legal order of international law for the benefit of which the states have limited their sovereign rights, albeit within limited fields, and the subjects of which comprise not only Member States but also their nationals. Independently of the legislation of Member states, Community law therefore not only imposes obligations on individuals but is also intended to confer upon them rights which became part of their legal heritage. These rights arise not only where they are expressly granted by the Treaty, but also by reason of obligations which the Treaty imposes in a clearly defined way upon individuals as well as upon the Member States and upon the institutions of the Community."

As to Article 12, the Court said, at 13:

> " The implementation of Article 12 does not require any legislative interventions on the part of the states. The fact that under this Article it is the Member States who are made the subject of the negative obligation does not imply that their nationals cannot benefit from this obligation.
>
> ...
>
> It follows ... that, according to the spirit, the general scheme and the wording of the Treaty, Article 12 must be interpreted as producing direct effects and creating individual rights which national courts must protect."

In Case 41/71 Van Duyn v. Home Office [1974] ECR 1337, another direct effect case, the European Court applied the same reasoning to a directive, at 1348, para. 15:

> "... where the Community authorities have, by directive, imposed on Member States the obligation to pursue a particular course of conduct, the useful effect of such an act would be weakened if individuals were prevented from relying on it before their national courts and if the latter were prevented from taking it into consideration as an element of Community law."

The Court added, as a precursor to the more specific requirements it was later to express and apply in 1982 in Becker and in 1991 in Francovich:

> "It is necessary to examine, in every case, whether the nature, general scheme and wording of the provision in question are capable of having direct effects on the relations between Member States and individuals."

See also Marshall.

Before continuing with the jurisprudence of the European Court introducing and developing Francovich liability, I should say something of that case itself. It concerned claims for damages by individuals arising from the failure of a Member State, Italy, to implement within the prescribed period a directive which the European Court found was intended to confer guarantees on the employees of companies in the event of the companies' insolvency. The Court held that the claimants could not recover under the head of direct effect because the directive, though otherwise sufficiently precise, did not identify the person or body responsible for providing the guarantees. The Court held, however, that the Plaintiffs were entitled to recover against the State because it had failed to comply with its obligations under the directive, and pursuant to articles 5 and 189 of the Treaty, to achieve the result prescribed by the directive, namely the provision of guarantees, and, therefore, the claimants had a right to reparation against it.

There was no difficulty in concluding from the terms of the directive the identity of the persons intended to benefit from the required guarantees or as to the nature and scope of that right. In that circumstance Advocate General Mischo was able to assert in para. 42 of his Opinion:

> "... if the payment of compensation is the sole means in the particular circumstances of ensuring effective protection, the Member State is under an obligation by virtue of Community law to make available to individuals an appropriate remedy enabling them to claim compensation."

And see the judgment of the Court, at paras. 14 and 17-20.

As to the broader basis on which the Court upheld the claim, it began by re-affirming the principles it had stated in Van Gend en Loos and Costa, observing in para. 30:

> "... Just as it imposes burdens on individuals, Community law is also intended to give rise to rights which became part of their legal patrimony. Those rights arise not only where they are expressly granted by the Treaty but also by virtue of obligations which the Treaty imposes in a clearly defined manner both on individuals and on the Member States and the Community institutions. ..."

Referring to its judgments in Simmenthal and Factortame as to the primacy of directly applicable Community law over national law where the two conflict, it went on, in paragraphs. 32, 33, and 35, to stress the importance of effective imposition of obligations and the securing of corresponding rights of redress in the event of breach:

> "32. ... national courts whose task it is to apply the provisions of Community law in areas within their jurisdiction must ensure that those rules take full effect and must protect the rights which they confer on individuals. ...
>
> 33. The full effectiveness of Community rules would be impaired and the protection of the rights which they grant would be weakened if individuals were unable to obtain redress when their rights are infringed by a breach of Community law for which a Member state can be held responsible.
> ...
>
> 35. It follows that the principle whereby a State must be liable for loss and damage caused to individuals as a result of breaches of Community law for which the State can be held responsible is inherent in the system of the Treaty."

In Kirklees MBC v. Wickes Building Supplies Ltd. [1993] 227, AC, Lord Goff, with whom the other members of the Committee agreed, commented, at 281C-282C, on the generality of that reasoning and indicated that a right of such redress would apply to a breach of the Treaty as it would to a directive. In so indicating, he expressed doubt about the correctness of the majority judgment of the Court of Appeal in Bourgoin that a breach of Article 30 of the Treaty would not of itself give rise to a claim in damages to the injured party.

Under the heading "The conditions for State liability" the Court in Francovich then set out the conditions - the degree of particularity in an instrument claimed to impose obligations and give rise to rights - required to establish a case for reparation. I have summarised these conditions at the beginning of this section of my judgment but I had better set them out in the Court's own words, at paras. 38-43:

> "38. Although state liability is ... required by community law, the conditions under which that liability gives rise to reparation depend on the nature of the breach of Community law giving rise to the loss and damage.

> 39. Where, as in this case, a Member State fails to fulfil its obligations under the third paragraph of Article 189 of the Treaty to take all the measures necessary to achieve the result prescribed by a directive, the full effectiveness of that rule of community law requires that there should be a right to reparation provided that three conditions are fulfilled.
>
> 40. The first of those conditions is that the result prescribed by the directive should entail the grant of rights to individuals. The second condition is that it should be possible to identify the content of those rights on the basis of the provisions of the directive. Finally, the third condition is the existence of a causal link between the breach of the State's obligation and the loss and damage suffered by the injured parties.
>
> 41. These conditions are sufficient to give rise to a right on the part of individuals to obtain reparation, a right founded directly on Community law.
>
> 42. Subject to that reservation, it is on the basis of the rules of national law on liability that the State must make reparation for the consequences of the loss and damage caused. In the absence of Community legislation, it is for the internal legal order of each Member state to designate the competent courts and lay down the detailed procedural rules for legal proceedings intended fully to safeguard the rights which individuals derive from Community law. ..." (my emphasis)
>
> 43. Further, the substantive and procedural conditions for reparation of loss and damage laid down by the national law of the Member States ... must not be so framed as to make it virtually impossible or excessively difficult to obtain reparation. ..."

I pause to draw attention to three features of this opening, important and broad statement of principle as to entitlement to reparation for breach of obligation.

First, the Court made it in the context of a Member State's failure to implement a directive requiring the provision of guarantees to individuals. Thus, its detailed formulation of the principle was in relation to the breach of obligation by the State and the right to recover reparation against it. However, as is plain from paragraph 30 of the Court's judgment, it contemplated that obligations imposed on others, including individuals, would be capable of giving rise to rights of reparation against them. Given the breadth of the principle stated, there can be no logical reason why that should not be so where, by reason of a conflict between Community law and domestic law, an individual would otherwise lose against another, whoever that other may be, a protection given to him by Community law.

Second, the conditions set out in paragraph 40, though Becker-like as to the "eligible plaintiff" and "contents" requirement, have been broadly and flexibly interpreted and applied by the European Court.

Third, the judgment, like those in Von Colson and Marshall, emphasises, in paragraphs 42 and 43, the entitlement of an individual to the safeguard of his rights by "full" reparation. Thus, the availability of alternative sanctions, such as criminal proceedings or limited rights of recovery, such as deposit guarantee schemes subject to limits which may fall short of full recovery (such as that in the deposit protection scheme introduced in the United Kingdom in February 1982 by Part II of the 1979 Act or as introduced into Community law by the 1994 Directive) does not satisfy the Francovich principle.

It is true, as Clarke J. observed, at 617b-c, that the only way in which the directive in Francovich could be performed was by providing a guarantee to pay the amounts due and that all depends upon the terms of the particular instrument in question. If, however, contrary to his view, the 1977 Directive does impose an obligation on the Bank, breach of which does give to depositors rights of reparation for loss of their deposits, they are rights of full reparation, closely analogous to the guarantee in Francovich.

The European Court affirmed its reasoning in Francovich in Brasserie du Pecheur in 1996, adding what it later described in Dillenkofer, at paragraph 23, as "evident from the circumstances" of Francovich, the requirement of "a sufficiently serious breach". Each of the joint cases in Brasserie du Pecheur involved a direct conflict between a provision of the Treaty and national legislation and the question whether individuals were entitled to reparation from their respective Member States for damage resulting from their breach of Community law. The Court emphasised, at paragraph 22, the importance of an individual's ability to seek reparation, even if the provisions on which he relies may not satisfy all the requirements of the Becker test, where:

> "... the right to reparation is the necessary corollary of the direct effect of the Community provision whose breach caused the damage sustained."

Joined Cases 178, 179, 189 and 190/94 Erich Dillenkofer & Ors. v. Germany [1996] 1-4845, given after Clarke J's judgment, concerned an unimplemented directive (90/314/EEC) or, more precisely, one not implemented within the prescribed period. Article 1 of the Directive stated its purpose to be the approximation of the laws of Member States governing package holidays, a stated purpose similar, apart from the subject matter, to that described in the 1977 Directive's title. It also referred in its Recitals to the purpose of protecting consumers and, in Article 7, required Member States to ensure that package tour operators would "provide sufficient evidence of security" for the refund of monies paid to them by consumers and for their repatriation in the event of the operators becoming insolvent. In Article 2 it defined "consumer" generically, and so far as material, as "the person who takes or agrees to take the package ...".

The Court rejected the contentions of Germany, Netherlands and the United Kingdom that the Directive was aimed only at ensuring freedom of competition. It had regard, not only to Article 7, but also to the Recitals, and held that the purpose of Article 7 was to protect consumers, imposing on the operators an obligation to provide, not just evidence of security, but also the security itself and, in consequence conferring on consumers a right to be reimbursed or repatriated in the event of insolvency of their holiday operator. The Court's reasoning, in particular, its relaxed application of the Francovich requirement of identification of the right in question and of the persons entitled to it, is shown in the following paragraphs of its judgment:

> "34. According to the actual wording of Article 7, this provision prescribes, as the result of its implementation, an obligation for the organizer to have sufficient security for the refund of money paid over and for the repatriation of the consumer in the event of insolvency.

35. Since the purpose of such security is to protect consumers against the financial risks arising from the insolvency of package travel organizers, the Community legislature has placed operators under an obligation to offer sufficient evidence of such security in order to protect consumers against those risks.

36. The purpose of Article 7 is accordingly to protect consumers, who thus have the right to be reimbursed or repatriated in the event of the insolvency of the organizer from whom they purchased the package travel. Any other interpretation would be illogical, since the purpose of the security which organizers must offer under Article 7 of the Directive is to enable consumers to obtain a refund of money paid over or to be repatriated.

...

40. Similarly, the German and United Kingdom Governments' argument that the actual wording of Article 7 shows that this provision simply requires package travel organizers to provide sufficient evidence of security and that its lack of reference to any right of consumers to such security indicates that such a right is only indirect and derived must be rejected.

41. In this regard, it suffices to point out that the obligation to offer sufficient evidence of security necessarily implies that those having that obligation must actually take out such security. Indeed, the obligation laid down in Article 7 would be pointless in the absence of security actually enabling money paid over to be refunded or the consumer to be repatriated, should occasion arise.

42. Consequently, it must be concluded that the result prescribed by Article 7 of the Directive entails the grant to package travellers of rights guaranteeing the refund of money that they have paid over and their repatriation in the event of the organizers' insolvency.

...

44. The persons having rights under Article 7 are sufficiently identified as consumers, as defined by Article 2 of the Directive. The same holds true of the content of those rights. As explained above, those rights consist in a guarantee that money paid over by purchasers of package travel will be refunded and a guarantee that they will be repatriated in the event of the insolvency of the organizer. In those circumstances, the purpose of Article 7 of the Directive must be to grant to individuals rights whose content is determinable with sufficient precision."

As to the obligation on Germany, as distinct from that on the travel operators, the Court held, at paragraphs 49-51, that it was to implement the Directive within the required period so as to "guarantee" its object of ensuring the provision of security to consumers in the circumstances prescribed. See to the same effect a subsequent case concerned with the interpretation of the same provision, Case C-364/96 Verein fur Konsumenteninformation v. Osterreischsch Kreditversicherungs AG (unreported) 14th May

1998, paragraph 18.

Clarke J., although without the advantage of the European Court's judgments in those cases, was referred to the opinion of Advocate General Tesauro in Dillenkofer that the Directive granted rights. He said, at 621a-c, that he regarded it as of no assistance on the question whether the 1977 Directive granted rights to individuals, because it turned "upon the wording and purpose of the Directive" which he regarded as "very different from the 1977 Directive".

With respect to the Judge, I do not see what is so very different about the two provisions, apart from their subject matter and the party against whom the claimants respectively sought and seek to enforce them. Both had the dual purpose of protection of consumers and harmonisation. In both the consumers were readily identifiable customers of particular types of trader, in Dillenkofer, "person[s] who take ... or agree to take" package holidays, in the case of the 1977 Directive, depositors of banks. As to obligations, the Dillenkofer Directive was, if anything, less direct and less precise than the 1977 Directive. It referred only to a requirement on operators to provide evidence of security for refund of money paid and/or for repatriation, which the Court, in the absence of implementation, saw as an obligation on the State to guarantee protection against their default. As to rights, neither Directive expressly conferred any.

The 1977 Directive, on the reasoning of the Court in Dillenkofer, at paragraphs 35 and 36, and in Von Colson, could only serve one of its purposes, that of fully protecting depositors against default by banks with which they had deposited their monies, if the Bank, as a "competent authority", carried out its responsibilities of authorisation, supervision and withdrawal of authorisation in accordance with the criteria prescribed in the Directive to protect depositors against such defaults. In both cases the defaults, the subject of the protection, could result from misfortune and/or mismanagement and/or fraud. The parallels are not exact, but in the context of identifying obligations and corresponding rights, they are close. (I shall deal separately with the issue whether Francovich liability may arise against an emanation of the State acting in an administrative capacity as a regulator.)

There are further decisions of the European Court delivered since Clarke J's judgment, which illustrate the readiness of the Court to derive a right in favour of an individual from an obligation in a directive, although the directive does not expressly refer to such a right. Thus, in Case C-5/94 R v. Ministry of Agriculture, Fisheries & Food, ex p. Hedley Lomas (Ireland) Ltd. [1996] ECR 1-2553, the Court held that the United Kingdom's refusal by way of an administrative decision to issue an export licence contrary to Article 34 of the Treaty, which prohibits quantitative restrictions on imports, created rights for individuals which the national courts must protect. See also Case C-66/95 R v. Secretary of State for Social Security, ex p. Sutton [1997] ECR 1-2163, paragraphs 25, 30, 33 and 34, and Parodi, which is the most recent and most significant of the European Court's judgments on the purpose and effect of the 1977 Directive.

The facts of Parodi were that a French company sought to escape liability under a mortgage loan granted to it by a Dutch bank authorised only under Dutch law, contending that the loan was unlawful under French law. The question for the Court was whether the requirements of French law in relation to the authorisation of banking were compatible with Article 59 of the Treaty (free movement of services) if and insofar as they went beyond the 1977 Directive.

The Court ruled that Article 59 precluded Member States from imposing further requirements unless they were "justified on grounds of public interest, such as consumer protection" and were non-discriminatory and proportionate. However, the Court was not able to determine whether the French national law was intended to protect borrowers or savers. In the course of its judgment, given on 9th July 1997, it made a number of general observations on the Treaty and on the Directive underlining the latter's purpose of consumer protection and making plain that, although it was a "first step" in a process of harmonisation, it imposed certain minimum conditions in the nature of a "guarantee" of protection. It held:

> - that restrictions on the freedom to provide banking services are permissible if they -
>
> "are objectively necessary in order to ensure compliance with professional rules and to guarantee the protection of the recipient of the services."
> (para. 21)
>
> - that protection of consumers is particularly important in the banking sector;
>
> "... It is, in particular, necessary to protect ... [consumers] against the harm which they could suffer through banking transactions effected by institutions not complying with the requirements relating to solvency and whose managers do not have the necessary professional qualifications or integrity." (para. 22)
>
> - that the importance of such protection gave rise to the 1977 Directive as a first step towards coordination (paras. 23 and 24)
>
> - that it imposed minimum conditions on Member States obliging them to require authorisation of credit institutions subject to those conditions (para. 25)

Finally, in observing that it did not have information about the purpose of France's legislation on the matter, it again used the word "guarantee":

> "... the national provisions applicable in the main proceedings do not appear to be specifically designed to protect borrowers but rather to give effect to prudential rules intended to guarantee that the banks are solvent in regard to savers." (para. 28) (my emphasis)

In my view Parodi puts beyond doubt that an important purpose of the 1977 Directive was to protect depositors from risks associated with the deposits of their funds by imposing obligations on Member States and their banking regulators and by conferring corresponding rights on depositors to secure that end. Such risks must, for example, include those of losses from failure to comply with the Directive's requirements as to solvency and/or to employ managers with the necessary integrity and experience. It is true, as Mr. Stadlen and Mr. Lasok, on behalf of the Bank, have emphasised, that Parodi does not deal with the question whether depositors have a right of action against a banking regulator or, indeed anyone else. However, as Lord Neill submitted, adopting the Court's reasoning in Van Gend en Loos, Francovich and Dillenkofer, such protection would be llusory if a depositor who has suffered harm as a result of a Member State's breach of the obligations in the Directive cannot obtain full redress for it.

Where is the full redress where a bank has failed causing loss to its depositors for want of proper supervision by the regulator? Mr. Stadlen's answer was that there are others to provide protection and other means of providing it. He suggested that the Court's use in Parodi of the word "guarantee" in this context is inconsistent with the fact that Community legislation now encourages protection of depositors by means of deposit guarantee schemes. But, as I have said, such limited schemes, such as those provided by the 1979 and 1987 Acts and introduced by the 1994 Directive, do not meet the fundamental requirement under the Francovich and Von Colson principles that breach of a Community law obligation carrying with it a right of reparation means full reparation.

The European Court's characterisation in Parodi of the 1977 Directive as providing a protection in the form of a "guarantee" for depositors is of a piece with its similar treatment of the insurance Directives, most of which, like that Directive, were issued pursuant to the provisions for coordination in Article 57.2 of the Treaty. See Case 220/83 Commission & France [1986] 3663; Case 205/84 Commission v. Germany [1986] ECR 3755, paras. 30, 38, 42-46 and 49; Case 252/83 Commission v. Denmark [1986] ECR 3713; Case 206/84 Commission v. Ireland [1986] ECR 3817. See also Sir Thomas Bingham MR's summary description of the first insurance Directive in the Society of Lloyds v. Clementson [1995] CLC 117, at 123.

These Directives were clearly designed to do the same job in the insurance field as the 1977 Directive in its field, begin the process of coordination and in the meantime establish a body of minimum obligations to protect consumers. In so doing they also established a Community obligation on Member States to provide effective supervision to achieve that protection. It is noteworthy that the Court in Parodi relied on one of them, Case 205/84, when referring, at paragraphs 21-23 of its judgment, to the 1977 Directive as ensuring the provision of a "guarantee [of] the protection of the recipient of services".

Further and compelling examples of the same approach are to be found in "the Germany environmental cases", a number of claims brought by the Commission against Germany for failure to implement directives as to requirements to be observed by Member States concerning the quality of water and air. See Cases C-131/88 [1991] ECR 1-825, paragraph 7 ("the purpose of those provisions ... is ... to create rights and obligations for individuals" - repeated in similar form as indicated in the following cases); C-361/88 [1991] ECR 1-2567, paragraphs 16 and 20; C-59/89 [1991] ECR 1-2607, paragraphs 18. 19 and 23; C-58/89 [1991] ECR 1-4983, paragraph 14 (relied upon by the Court in Dillenkofer, at paragraph 48; C-237/90 [1992] ECR 1-5973, Opinion of Advocate General Jacobs, at 6005; and C-298/95 [1996] ECR 1-6747, paragraphs 15 and 16.

Each of the directives required Member States to take specific measures to ensure that water or air was of the quality prescribed by the Directive, but said nothing about conferment of rights on individuals. The Court held, nevertheless, that each directive, in seeking to protect the community's health and/or the quality of its environment by imposing on Member States specific and detailed obligations as to water and air, conferred rights on individuals. Lord Neill, in his submissions, commented on the great width of the class of persons potentially granted rights by virtue of those Directives; it includes every inhabitant of the European Union. In the most recent of the cases, C-298/95, the Court said, at paragraphs 15 and 16:

> "15. ... one of the purposes of the directives ... is to protect human health ...
>
> 16. In those circumstances, it is particularly important that directives should be transposed by measures which are indisputably binding. In all cases where non-implementation of the measures required by a directive could endanger human health, the persons concerned must be in a position to rely on mandatory rules in order to be able to assert their rights. ..."

The Plaintiffs have also referred to decisions of the European Court in other fields adopting similar reasoning.

The Bank has attempted to deflect the impact of the reasoning in these cases. It maintains that they were concerned with the degree of particularity with which a directive must be implemented, not with the question whether individuals should have rights in damages against a national regulator. It says that in some instances there are suggestions that the directives were insufficient to confer rights without further particularity (such particularity to be derived from national legislation). It refers to another environmental case, Case C-431/92 Commission v. Germany [1995] ECR 1-2189, paragraphs 23-26, in which the Court distinguished between the obligation to implement a directive and whether it gave rise to rights in individuals. However, that distinction does not seem to me to dent the European Court's now well established statement of general principle, that clearly defined obligations, where the context plainly intends it, give rise to rights in individuals to reparation for loss caused by breach of those obligations. The Bank also maintains that, in any event, the references are to Francovich liability of Member States for failure to implement directives, not against their emanations for failing as regulators to apply them, and that remedies are in general a matter for national law. I shall deal with that issue in a moment.

In my judgment, none of the Bank's arguments meets the essential thrust of the reasoning in the Germany environmental cases. It is that the directives, by the mandatory and specific nature of their requirements, imposed obligations which gave rise to rights to those whose health was endangered by breach of them, regardless of the directives' lack of mention of such rights. Professor Sacha Prechal, writing in 1994 in her study "Directives in European Community Law", just after the first flush of these cases, stated, at 138:

> " A number of relatively recent judgments suggest that the Court is rather easily satisfied that a directive provision also intends to protect individual interests."

See also her concluding paragraph at 139.

Finally, there is the case of Norbrook, Case 127/95 Norbrook Laboratories Ltd. v. Ministry of Agriculture, Fisheries & Food (unreported) 2nd April 1998. This recent decision of the European Court is important on a number of issues, including the derivation, from obligations expressed in a directive, of rights that are not so expressed. It concerned Directives 81/851 and 81/852 on the approximation of laws of the Member States relating to veterinary products, Directives which the United Kingdom maintained, and Advocate General Leger seemingly accepted, at para. 32 of his Opinion, had been implemented by virtue of earlier domestic legislation. The primary purpose of the Directives was to safeguard public health; they imposed detailed obligations on Member States' "competent authorities" to that end, but said nothing about corresponding rights.

The issue before the Court was whether Norbrook was entitled to a remedy of damages against the United Kingdom's selected "competent authority", the Ministry, for its unlawful administration of the provisions of the Directives in making an unauthorised demand for information from the Company when considering the grant of a licence to it to manufacture and sell a particular product. The Court held, at paragraph 111, that Norbrook was entitled to such a remedy "on the basis of rules of national law on liability" subject to the condition, inter alia,
that such rules must "not be so framed as to make it in practice impossible or excessively difficult to obtain reparation". In so holding, the Court said, at paragraph 108, with regard to the first Francovich condition of a clear intention to confer rights:

> "... in providing that an application for marketing authorization may be refused only for the reasons set out ... the directive gives individuals the right to obtain authorization if certain conditions are fulfilled. Those conditions are ... laid down precisely and exhaustively in [the] Directives ... The scope of the right conferred on applicants for marketing authorization may therefore be adequately identified on the basis of those directives." (my emphasis)

It is apparent that the European Court has in the last few years been moving towards a ready application of the Francovich principle that where a Community law obligation is imposed with clear intent to protect individuals, Community law will protect them by conferring on them rights of reparation in the event of a sufficiently serious breach of the obligation. In my view, that principle, as developed by the Court in its jurisprudence in several contexts, in particular, in the recent authorities to which I have referred. shows that, contrary to Clarke J's reasoning:

- a right to a remedy in damages, even though not expressly provided for in a directive, may arise from an obligation in it; and
- does so where failure to acknowledge the right would deprive those for whose protection the obligation is imposed of full reparation for its breach.

<u>Francovich liability of a regulatory body</u>

In my view, the 1977 Directive imposed clearly defined obligations on Member States and on their regulatory bodies and, in doing so, gave rise to corresponding Community law rights in individuals in the position of the Plaintiffs to enforce those obligations, if necessary by an action for damages. It was designed, amongst other things, to safeguard the savings of depositors, whom the European Court clearly regards as a sufficiently identifiable body of persons for the purpose. In particular, the Directive imposed express and clear administrative obligations on regulators, "the competent authorities", in relation to the authorisation and supervision of banks.

I have already referred to the Bank's contention that Francovich rights of redress, to the extent that they arise at all, do not lie against an emanation of a Member State, in its capacity as a banking regulator in respect of its obligation to apply a fully implemented directive. It is well established that a non-implemented directive clearly imposing an obligation on an emanation of a Member State can be enforced directly against that emanation under the Becker principle of direct effect. However, it does not seem to me, on authority or as a matter of logic, that non-implementation is critical to the issue of liability of an emanation of a state exercising an administrative function. Where there has been implementation of a directive the general principle of Community law is that each Member State is primarily responsible for meeting the Community obligations imposed but that how it does so is usually a matter for it. However, once a Member State has, by its domestic law devolved or delegated the specific obligations to some organ or emanation, such bodies are directly obligated. That is so whether the obligations are regarded as matters of Community Law or as matters of national law construed in accordance with Community Law; procedural matters not detracting from those Community obligations are, of course, solely matters of national domestic law. Thus the European Court in Von Colson said, at para. 26:

> "... the Member States' obligation arising from a directive to achieve the result envisaged by the directive and their duty under Article 5 of the Treaty to take all appropriate measures ...to ensure the fulfilment of that obligation, is binding on all the authorities of Member States including, for matters within their jurisdiction, the courts. It follows that, in applying the national law and in particular the provisions of a national law specifically introduced in order to implement Directive No 76/207, national courts are required to interpret their national law in the light of the wording and the purpose of the directive in order to achieve the result referred in the third paragraph of Article 189." (my emphasis)

It follows that where there has been implementation coupled with devolvement of the relevant powers and obligations to an emanation of the state, the Community obligations are enforceable against that body. As Professor Prechal has observed, op. cit, at 70:

> "... the answer to the question of which organ or authority of a Member State is actually bound by a directive will, depending on the subject matter of the directive at issue, vary from Member State to Member State, according to the internal distribution of tasks and competences."

See also her citations, at 70, of Pescatore, L'Ordre Juridique des Communautes Europeennes, Etude des Sources du droit communautaire (1971), at 91; and the Opinion of A-G Mancini in Joined Cases 227-230/85 Commission v. Belgium [1988] ECR 1, para. 2; and Case C-8/88 Germany v. Commission [1990] ECR 2321, para. 13. Cf. the different outcome where a directive imposing an obligation on Member States without reference to its fulfilment through any particular body, has not been implemented and the plaintiffs rely on direct effect; Mighell v. Reading & Anor., CA, The Times, 12th October 1998

It is worth remembering the context of Francovich itself - non-implementation of a directive on the approximation of the laws of the Member States for the provision of a guarantee of protection to employees in the event of insolvency of their employers. The whole problem there was that, although the directive was specific as to the individuals entitled to the protection of the guarantee and as to its content, it did not identify who was obliged to provide it. In such circumstance the only candidate for liability - under the eponymous Francovich principle - was the Italian State. Thus, the questions put to the Court were limited to the liability of "the State itself", see 5372 and 5401; the question of application of the principle to emanations of the state did not arise for consideration. Nevertheless, there are indications in the Opinion of Advocate General Mischo and in the general statements of principle in the judgment of the Court, which I have set out and which are derived from Van Gend en Loos and other authorities, that it was not confined to state liability in respect of its legislative function only. Thus, the Advocate General said, at para. 42:

> "42 ... if the payment of compensation is the sole means in the particular circumstances of ensuring effective protection, the Member State is under an obligation by virtue of Community law to make available to individuals an appropriate remedy enabling them to claim compensation."
>
> "66 ... where the Court has held that a Member State has failed to fulfil its obligation by failing to implement provisions of a directive in national law, even provisions which do not have direct effect, that Member State is obliged to make available to the individuals on whom the directive was intended to confer rights appropriate judicial remedies to enforce those rights, where necessary by means of an action for damages against the State." (my emphases)

Similar indications are to be found in more recent decisions of the Court. As the Plaintiffs submit, there is nothing in Norbrook, for instance, to suggest that the fact that the United Kingdom's selected competent authority in that case was the Ministry made any difference to the Court's decision, See also Hedley Lomas, in which the European Court held that the United Kingdom was liable in damages to a company for an administrative decision by a ministry official in breach of Article 34 of the Treaty, refusing it a licence to export sheep to a Spanish slaughterhouse. In my view, it is inconceivable that, if the decision had been made by "an emanation of the State" instead of a "State authority" (see e.g. Griffin v. South West Water Services Ltd. [1995] IRLR 15, per Blackburne J, a "first limb" Becker case), the Court would not have held the emanation similarly liable. See also Primecrown [1996] ECR 1-5819, in which the body whose liability was under consideration was the Medicines Control Agency.

The Court in Dillenkofer, at paragraphs 49 to 51, adopted the same approach in response to the German Government's plea that, although it might have been able to introduce legislation within the prescribed period transposing the Directive's requirements for the provision of the prescribed security to holiday makers, it was dependent for its operation on the collaboration of third parties, namely travel organizers, insurers and banks.

> "49. ... in providing that the Member States were to bring into force the measures necessary to comply with the Directive before 31 December 1992, Article 9 required the Member States to adopt all the measures necessary to ensure that the provisions of the Directive were fully effective and so guarantee achievement of the prescribed result.
>
> 50. ... in order to ensure full implementation of Article 7 of the Directive, the Member States should have adopted, within the prescribed period, all the measures necessary to provide purchasers of package travel with a guarantee that, as from 1 January 1993, they would be refunded money paid over and be repatriated in the event of the organizer's insolvency.
>
> 51. It follows that Article 7 would not have been fully implemented if, within the prescribed period, the national legislature had done no more than adopt the necessary legal framework for requiring organizers by law to provide sufficient evidence of security." (my emphasis)

See also Norbrook, paragraph 134 of the Opinion of the Advocate General.

It makes sense that, if a Community instrument such as a directive imposes in Community law an obligation on a Member State carrying with it a right in an individual to damages if that obligation is breached, the State must not only implement the Community law in a legislative sense, it must also, through a ministry or an appropriate emanation, apply it. Thus Advocate General Jacobs said in Case C-237/90 Commission v. Germany [1992] ECR 1-5973, at paragraph 14:

> "... it is not sufficient simply to incorporate the terms of a directive into national legislation; in addition, Member States must ensure that the legislation is applied in

practice."

In my view, the Advocate General's reasoning has even greater force where, as here, all the relevant Articles of the Directive expressly and directly impose duties on the Member States' "competent authorities".

It is true, as the Bank has repeatedly emphasised, that there is no reported authority in Community or Common law affirming the derivation from the 1977 Directive of such individuals' rights against a banking regulator. However, that is neither a juridical nor logical impediment to applying a clear general principle to the instrument if a national court is of the view that its purpose and effect require it. Nor should such a court be deterred by the "floodgates" argument in this age of environmental and product liability. The European Court's own robust disregard of such a consideration in the Germany environmental cases points the way, as does its firm assertion in Parodi of the right of bank customers to protection - all coupled with the Brasserie du Pecheur public policy requirement of a "sufficiently serious" breach as an element of restraint in the Community law context.

It is noteworthy that the Court, in Parodi, spoke in terms of an obligation to provide "a guarantee" of protection. Now that may be putting it a bit high as against a regulator; the Directive does not oblige it to guarantee, in the sense in which common lawyers use that word, the compliance of banks with the various criteria. However, it clearly obliges the regulator to perform its functions of authorisation, supervision and, if necessary, withdrawal of authorisation in a manner designed to protect depositors from risks associated with their deposit of funds. Such risks include that of a bank failing to comply with the Directive's requirements as to solvency and liquidity and/or as to its effective direction by persons of integrity and experience. The Directive would not achieve its purpose if it did not also confer corresponding rights on depositors to enforce that obligation against the regulator by actions for damages where appropriate. I return briefly to the relevant Articles.

As I understand it, the Bank accepts that the Article 3 criteria for authorisation may have been unconditional and sufficiently precise to impose on it an obligation to apply them, though it says that it does not follow that depositors have a right of action against it for breach of that obligation. I have expressed the view that the undoubted purpose and effect of the provision were to ensure minimum standards of consumer protection, and that there was clearly an obligation on the Bank to comply with them when considering authorisations.

As to supervision and withdrawal of authorisation, I have already said that I reject the Bank's submissions that Articles 6 and 7 did not impose on it an obligation to supervise but merely a general obligation to collaborate and exchange information with regulators of other Member States, or that the provisions for withdrawal in Article 8 are merely permissive. A duty to collaborate with others over supervision cannot exist without a duty to supervise. Article 6 clearly provided the minimum basis on which regulators could - and without which they could not have been bound under Article 7 to - collaborate effectively with each other. Its purpose, when read with Articles 3, 7 and 8 and also Article 5 of the 1992 Directive, was to "ensure that savings were protected". The only way in which it could achieve that purpose was by imposing a continuing obligation on regulators to hold authorised banks, as a minimum, to the conditions of their authorisation and to withdraw it or subject it to conditions in the event of their failure to adhere to them.

As to Article 8, despite its use of the word "may", I reject, as I have said, the Bank's contention that it merely identified or limited the circumstances in which a regulatory body had power to withdraw authorisation. Such an interpretation would defeat the clear purpose, particularly of paragraph 1(c) of it, as recognized by Recital 5 to the 1992 Directive, of "ensur[ing] the sound and prudent management of credit institutions".

There is then the question whether those obligations give rise to corresponding rights in depositors in the form of a remedy in damages against a regulator in the event of its breach of them. The terms of Articles 3, 6, 7 and 8 of the 1977 Directive are similar to, and if anything more precise than, those of Article 7 of the Directive in Dillenkofer, not least in their direct imposition of obligations on the Bank as a "competent authority"; and both have similar Recitals indicating that protection of the consumers to whom they respectively relate is a purpose of the instrument. I can see no reason why they should be given any different effect as to the conferral and enforceability of rights because here, the body, the emanation of the State on whom the obligation to regulate is imposed, is a regulator as distinct from the State itself. Nor can I see any material distinction between the conferral of rights on individuals derived from obligations on Member States, acting through regulatory bodies, to protect their health, as in the German environmental cases, from that of rights of depositors derived from obligations on Member States' banking regulators to protect them financially in their dealings with their banks.

In my view, on the clear wording of the Directive and having regard to the jurisprudence of the European Court, the obligations imposed by the Directive on the Bank are sufficiently clear and precise to give depositors a right of redress against it in the event of breach of that obligation. I add that, in reaching that conclusion, I have considered and rejected the possibility that such rights as the Directive conferred might be limited to banks themselves, whether as applicants or holders of authorisations or their competitors. First, that would not serve one of the two important purposes of the Directive or meet the Francovich test in this context, the effective protection of depositors against defaulting banks. Second, the case upon which the Bank relied in suggesting that possibility, C-201/94 R v. The Medicines Control Agency, ex p. Smith & Nephew and Primecrown Ltd. [1996] ECR 1-5819, paragraphs 17 and 35-38, was one in which the only issue under consideration was the respective entitlements of competing authorised sellers of similar products, not the welfare of those to whom they were selling them.

Direct Effect - Implementation

The arguments of the parties have proceeded largely on the basis that the 1979 and 1987 Acts - legislatively at any rate - have fully implemented the 1977 Directive. The Plaintiffs say, as an alternative to their Francovich claim, that that does not prevent them from relying on it against the Bank as a matter of direct effect if it satisfies the Becker criteria. The Bank says that implementation does deprive the Plaintiffs of recourse to the Directive under this head and that, for reasons I have already discussed and rejected, they cannot rely on Francovich liability. If I am right about the Francovich claim, the debate about this is academic. There are two further reasons why, in my view, it does not assist the Bank.

First, it is open to question whether the Bank can, in any event, properly adopt the Plaintiffs' seeming stance that the Directive has been fully implemented so as to oust their reliance on Becker liability. It could reasonably be said that the pre-condition of liability for damages of bad faith on the part of the Bank or its officers in a Common law action for misfeasance in public office and as introduced in Section 1(4) of the 1987 Act, to the extent which they derogate from the Directive, "mis-implement" it. In a common law jurisdiction judge-made law as well as domestic legislation may be an agent of mis-implementation. Such a pre-condition of liability goes beyond the Brasserie du Pecheur criterion of "a sufficiently serious breach" for recovery of damages, certainly in a case like this where, in my view, the Directive left the Bank with little discretion in the application of its minimum requirements for permitting banks to trade.

In Brasserie du Pecheur the Court said, at paragraph 79:

> " The obligation to make reparation for loss or damage caused to individuals cannot ... depend upon a condition based on any concept of fault going beyond that of a sufficiently serious breach of Community law. Imposition of such a supplementary condition would be tantamount to calling in question the right to reparation founded on the Community legal order."

See also Factortame III (unreported) 8th April 1998, transcript page 15, in which the Court, in the following passage, indicated that a requirement of proof of intentional or negligent "fault" could, depending on the circumstances, go impermissibly beyond a "sufficiently serious breach". The Court said:

> " Pursuant to the national legislation which it applies, reparation of loss or damage cannot be made conditional upon fault (intentional or negligent) on the part of the organ of the State responsible for the breach, going beyond that of a sufficiently serious breach of Community law."

Although the 1979 and 1987 Acts must be interpreted as far as possible to conform to the meaning and purpose of the 1977 Directive, it seems to me that even the most flexible exercise in interpretation could not reconcile Section 1(4) of the 1987 Act with the Community remedy of damages for a "sufficiently serious" breach derived from the Directive.

Second, the origin of the Becker principle of direct effect lay in the European Court's concern to ensure that Member States could not escape their obligations under directives by failing to implement them or by mis-implementing them. See Becker, paras. 23 and 24; and Case 80/86 Criminal proceedings against Kolpinghuis Nijmegen [1987] ECR 3969, paras. 8 and 15. As Judge Pescatore, who wrote the Court's judgment in Becker, put it in the Recueil Dalloz, 1980, at 171-6, its basis was a form of estoppel. See Kolpinghuis, Opinion of Advocate General Mischo, para. 7. A complementary view of the Court's approach to direct effect, as distinct from direct applicability under the second paragraph of Article 189, is that expressed by Josephine Steiner in (1982) 98 LQR 227, "Direct Applicability in EEC Law - A Chameleon Concept", namely that it:

> "was developed by the European Court ad hoc, from expediency rather than principle. The reasoning employed to justify the doctrine was pragmatic, based on the 'effet utile' argument. If Community law were to work, it must be applied uniformly. Its useful effect would be weakened if individuals were unable to invoke it before their national courts."

See also Steiner, (1990) 106 LQR 144, "Coming to Terms with EEC Directives".

Accordingly, it does not follow from that starting point that non or mis-implementation should be regarded as a pre-condition for direct reliance on a directive. In my view, Clarke J. was wrong so to suggest, at 603h, in reliance on Felicitas:

> "Once a directive has been correctly implemented there is no question of direct effect because, by definition, effect has already been given to it."

The European Court in that case did not put it in quite that way. It said, at paragraph 26, that where a directive has been implemented its effects could reach individuals "through the intermediary of the implementing measures" and that it was, therefore, "unnecessary" to consider whether it meets the criteria for giving it direct effect in the event of non-implementation. It is unnecessary because as a result of full implementation the directive and the national law, as to Community obligations, are the same. It follows that whether a national Court approaches those obligations, as distinct from its own procedural means of observing them, via the directive or through its national legislation properly construed in accordance with the directive, the answer should be the same.

In my view, therefore, non- or mis-implementation of a directive is a reason for giving a directive direct effect; it should not be a condition of giving it effect, either on its own terms or on those of a national measure fully implementing it. The principle of direct effect was devised by the European Court to ensure access to Community law when not implemented, not to hinder access to it when implemented.

Recent decisions of the European Court indicate that in the main it is indifferent to the precise route by which it gives effect to a directive. In Dillenkofer, which concerned a Member State's failure to implement a directive within the prescribed period, the Court disposed of the matter without reference to direct effect. In the Article 177 reference in Verein, where there had been implementation of the directive in question, the Court interpreted the directive and its requirements without reference to the doctrine; see also Primecrown, paragraph 7; Case C-194/94 CIA Security International v. Signalson SA [1996] ECR 1-2201, paras. 44-50, and Norbrook. On the other hand there are still signs the other way. See, for example Joined Cases 235/96 to 258/96 Kampelmann & Ors [1997] ECR 6907, at paras. 40 to 45 and 47, where the Fifth Chamber of the Court (four of whose members sat in the full Court in

Dillenkofer and three in Norbrook) stressed non-or mis-implementation as conditions of direct effect; and Case C-131/97 Carbonari v. Bologna University, the Opinion of Advocate General Leger, at paras. 21-27, the most recent statement on the subject.

Neither the 1979 nor the 1987 Act transposed the Directive word for word. Thus, for example, Article 3.2 imposed as a condition of authorisation that the persons who effectively direct the business of the bank should be of "good repute" and of "sufficient experience"; whereas the 1979 Act, in Schedule 2, paragraphs 7 and 1 respectively required all directors, controllers and managers to be "fit and proper" and, in the case of recognized banks that they, as institutions, rather than those who directed them should be of "high reputation". And the 1979 Act, unlike the 1987 Act did not expressly impose on the Bank a duty to supervise; neither Act mentions the obligations in Article 6 as to the establishment of regular recalculation and observation of ratios and the monitoring of solvency and liquidity; and neither Act expressly transposes the obligations of collaboration with other regulators provided for by Article 7. Those in the main are comparatively trivial differences. More important, are the rights of redress derived from the obligations the Directive imposes, rights which are wider than those dependent on proof of bad faith as required by Section 1(4) of 1987 Act and the Common law action of misfeasance in public office.

Now, one approach to those and other differences is to say that the United Kingdom legislation, if properly construed so as to give effect to the requirements of the Directive, in accordance with Article 189 of the Treaty and Sections 2(1) and (4) and 3(1) of the 1972 Act, effectively implemented it. See, for example, the "generous" interpretative approach of the House of Lords in Garland v. British Rail Engineering Ltd. [1983] 2 AC 751, Pickstone v. Freemans Plc [1989] AC 66, HL, and in Litster v. Forth Dry Dock Co. Ltd. [1990] 1 AC 546, HL. Another approach is to say that the legislation did not fully implement the Directive and, therefore, United Kingdom courts should have direct recourse to it. As Josephine Steiner observed in her article in 106 LQR, at 146, the question whether a directive has been correctly implemented can only be assessed by reference to the directive itself, with the result that it can rarely be disregarded. Clearly, as a result of the Court's ready application of the Francovich principle, the two approaches can shade into one another. Whichever route is taken, the answer on matters of Community law should be the same, with the result that it should prevail over United Kingdom law, including the Common law as to misfeasance in public office and Section 1(4) of the 1987 Act, where the latter frustrates it. See Simmenthal, paras. 16 to 26; Brasserie du Pecheur, paras. 72 and 73;.

Sufficiently Serious Breach

The question is whether the pleaded or sought to be pleaded breaches of the rights derived from the 1977 Directive are "sufficiently serious" to confer on the Plaintiffs a remedy in damages against the Bank. See Factortame III, paras 50, 51, 54-55. The Court distinguishes between breaches where, on the one hand, the provision of Community law is imprecise or complex or leaves the Member States with some discretion as to how to implement it and, on the other hand, where the provision makes clear what the Member States have to do and leaves them with little or no discretion as to how to do it.

In the former case, particularly where a Member State has a discretion, the "decisive test" of sufficient seriousness is whether the Member State has "manifestly and gravely disregarded the limits on its discretion"; see Brasserie du Pecheur and Factortame, para. 55, and see generally paras. 43 and 77 to 89. In paragraph 43 the Court said that there should be taken into account, inter alia:

> "the complexity of the situations to be regulated, difficulties in the application or interpretation of the texts and, more particularly, the margin of discretion available to the authors of the act in question."

See e.g. Case C-392/93 R v. H.M. Treasury, ex p. British Telecommunications plc [1996] ECR 1-1631.

In the latter case where the Community provision makes plain what has to be done and leaves the Member States with little or no discretion, mere infringement, whether legislative or administrative, may suffice; see Dillenkofer, paragraphs 25, 26 and 28 (failure to implement a directive) Hedley Lomas, paragraphs 28 and 109 (administrative decision in breach of Treaty provision); Norbrook, paragraph 109 (administrative decision in breach of directive).

Here, although the Bank had judgments to make in the exercise of its duties of authorisation, supervision and withdrawal of authorisation, they were administrative decisions governed closely by the detailed criteria for authorising and permitting banks to trade prescribed by the Directive. (Cf. Norbrook). The requirements were not difficult to understand nor did they require any exercise of discretion as distinct from an assessment, with some margin of appreciation, of the facts. And, as I have already said, there was little or no scope for a balancing exercise of the sort considered by Lord Goff in Davis v. Radcliffe. The Bank's role was essentially to determine as matter of fact according to the regime laid down by the Directive whether BCCI at any stage satisfied the prescribed criteria for authorisation and/or continuation of its authorisation to trade as a bank.

To the extent, if at all, that the Plaintiffs may have to prove more than mere infringement, my view is that they plead and seek to plead matters which, if they prove them, are capable of amounting to manifest and grave disregard of the limits of the Bank's scope for discretion or judgment.

Causal link

Whether there was a direct causal link between breach and damage is a matter to be determined by the English court in accordance with English domestic law, whilst safeguarding the full effectiveness of Community law; see Brasserie du Pecheur and Factortame, paragraph 65; and Brasserie du Pecheur v. Germany [1997] 1 CMLR 971.

Conclusion

It follows from my reasoning that the Plaintiffs have an arguable Community law claim against the Bank.

Common law claim for misfeasance in public office

The two forms of the tort

The issue is the nature and ambit of the tort of misfeasance in public office and whether the Plaintiffs' case accords with it. Despite its antiquity, or perhaps because of it, the precise boundaries of the tort of misfeasance in public office are unclear. However, English and Commonwealth jurisprudence indicates two main themes.

First, as Steyn LJ put it in Elguzouli-Daf, at 347B, "the essence of the tort is the abuse of public office". Abuse in this context necessarily connotes dishonesty or bad faith by a public officer either in the performance of his office or in an absence of an honest attempt at it. See Jones v. Swansea City Council, per Slade LJ at 71B-D; See also Mengel, per Brennan J at 547.

The second theme is that abuse of power for this purpose may take one or other or both of two forms. I put it in this way rather than saying that there are two alternative "limbs" to the tort, because the notion of alternative limbs when used as part of a definition of something from which each limb springs seems to me to invite confusion. The first form of the tort is what is now called "targeted malice", that is, use or non-use of a power namely with the predominant intent of damaging a person, and which causes such damage. The second form is an intentional and knowingly or recklessly unlawful act or omission which causes damage to a person.

The early English authorities, in their then customary loose use of the word "malice" and on their particular facts are no basis for seeking, as the Bank does, to confine the tort to acts done with an intention to injure. See Bourgoin, CA, per Oliver LJ at 776C-F. And there is much recent and highly authoritative judicial support for these alternative forms of the tort. See Dunlop v. Woollahra Municipal Council, per Lord Diplock at 172F-G; R v. Secretary of State for the Environment, ex p. Hackney LBC [1983] 1 WLR 524, DC, per May LJ at 539H; Micosta SA v. Shetland Islands Council (The "Mihalis") [1984] 2 Lloyd's Rep. 525, Ct. of Sess., per Lord Ross at 543; Bourgoin, per Mann J. at 737D-E -

> "I read the judgment in Dunlop v. Woollahra Municipal Council ... in the sense that malice and knowledge are alternatives."

Mann J was upheld by the Court of Appeal on this part of the case, per Oliver LJ at 776, and approved by Slade LJ in Jones v. Swansea City Council (a "targeted malice" case) obiter at 69G:

> "The recent decision of this court in Bourgoin ...has re-affirmed the existence of the tort and made it clear that malice, in the sense of an intent to injure, and knowledge by the doer that he has no power to do the act complained of are merely alternative, not cumulative, ingredients of the tort."

In Elguzouli-Daf Steyn LJ said, at 347B:

> "... as the law stands, the plaintiff has to establish either that the holder of the public office maliciously acted to the plaintiff's detriment or that he acted knowing that he did not possess the relevant power."

In X (Minors) v. Bedfordshire County Council [1955] 2 AC 633, HL, Lord Browne-Wilkinson described the tort at 730H-731A as:

> "the failure to exercise, or the exercise of, statutory powers either with the intention to injure the plaintiff or in the knowledge that the conduct is unlawful."

Taylor J. aptly and neatly noted the distinction between the two forms of the tort in R v. Home Secretary, ex p. Ruddock [1987] 1 WLR 1482, at 1500C, as between "an ulterior motive" and a "deliberate flouting of ... criteria". So also did Hirst J in Irish Aerospace (Belgium) NV v. European Organisation for the Safety of Air Navigation and Civil Aviation Authority [1992] 1 Lloyd's Rep. 383, at 401, when identifying the tort as a "malicious or conscious action beyond [a public body's] powers".

Since dishonesty lies at the heart of both forms of the tort, I do not consider it necessary to complicate consideration of the second form, deliberate and knowing illegality, with elaborate discussion of the role of recklessness, its subjective and objective forms and so on. The basis of this form of the tort, put at its lowest, is that a public officer has not honestly attempted to perform his duty. Dishonesty in that or more direct form, as the Privy Council said in Royal Brunei v. Tan, at 389C-391D, means simply not acting as an honest person would act in the circumstances. It is an objective standard, though it has to be assessed in the light of what the person concerned actually knew at the time; an honest person does not "deliberately close his eyes and ears, or deliberately not ask questions, lest he learn something he would rather not know, and then proceed regardless"; and "[a]cting in reckless disregard of others' rights or possible rights can be a tell-tale sign of dishonesty".

The critical question on this part of the appeal is whether a plaintiff seeking damages for injury caused by a deliberate and knowingly or recklessly unlawful act is required to prove any further, and if so, what, mental element. It cannot be necessary to prove a predominant intention to injure because that would confine the tort to the single form of "targeted malice".

The Plaintiffs' case is that the Bank was guilty of misfeasance in public office by its dishonest breach of the 1979 Act in granting a full licence to BCCI, and under both Acts in failing to supervise its conduct of its business and/or to revoke (withdraw) the full licence (authorisation). They maintain that it is a sufficient plea of the tort of misfeasance in public office to allege dishonest breach of duty in any of those respects causing damage. They say that they do not need to allege any mental ingredient as to damage but that if they do, the most that is required is foreseeability of, or recklessness as to, damage. The Bank maintains that it is necessary for the plaintiffs to prove that it knew at the material times that its conduct would "necessarily" injure them or at the very least that it foresaw that its conduct would probably cause them damage.

Before Bourgoin the question of foresight or foreseeability of injury did not arise for consideration in any of the reported authorities - it did not require consideration in Bourgoin. The early commentators' descriptions of the tort contain no references to such mental states as an integral part of the wrong. Smith J in the Australian case of Farrington v. Thomson and Bridgland [1959] VR 286, at 293, helpfully summarised them as follows:

> " That an action on the case lay for such a misfeasance was established at a relatively early period. In Comyns' Digest, tit. 'Action on the Case for Misfeasance (A1)', there is the statement: 'an action on case lies for misfeasance; as if an officer misdemean himself by any falsity ... or otherwise misbehave himself in his office'. ... In Bacon's Abridgment, 'Offices and Officers (N)', it is said that all officers, whether such by the common law or made pursuant to statute, are punishable for oppressive proceedings by an action at the suit of the party injured."

In the early English cases, the injury flowing from the alleged misfeasance was usually so obvious as not to occasion debate.

"Policy" and "principle"

Before considering Bourgoin and other recent English and Commonwealth authorities on the point, it may be helpful to consider the place of the tort of misfeasance in public office in the range of remedies available to an individual for a wrong done to him by a public body. In doing so it is possible to discern what are and are not valid policy conditions affecting its ambit.

First, the civil wrong, which has its twin the criminal offence of misfeasance in public office, carries with it two elements which together distinguish it from most other civil wrongs, dishonesty and conduct in public office. Those elements combined attract particular public censure. As Lord Neill submitted, there can be no public policy in protecting a public officer who acts dishonestly in his office as distinct from one who makes an honest but negligently mistaken decision. There is thus no sensible basis for restricting the ambit of the tort by reference to public policy considerations restricting the ambit of other civil wrongs with different characteristics.

For example, the concern of the New Zealand Court of Appeal in Garrett, at 350, that an overly punitive form of the tort would stultify public administration is an inappropriate application to this tort of the reasoning of the Privy Council in Yuen and Davis v. Radcliffe against imposing a duty of care on banking regulators in the circumstances of those cases. The same would apply to the courts' careful restriction of actions for breach of statutory duty to those breaches where the statute plainly intended there should be such a remedy. My observations on the inapplicability of such reasoning to the question of the existence of a Community law remedy apply a fortiori to the more stringent requirements of the Common law remedy of misfeasance. Its distinctive feature is that it is a dishonest abuse by a public officer of his office, in which the dishonesty may take the form of a deliberate failure honestly to perform the duties of that office.

In my view, and contrary to Mr. Stadlen's submission, there is no distinction for this purpose between a dishonest performance of a public function and a dishonest failure to attempt to perform it. I also respectfully disagree with his submission and Clarke J's reasoning, at 578c-h, that the dishonesty is removed if a public officer knowingly exceeds his powers but does so in what he may regard as the best interests of someone. Would dishonesty for this purpose be measured by his subjective view of the propriety of his deliberate breach of the law or by some objective standard involving a balancing of interests? Either way and apart from anything else, logic would suggest that much would then depend on:

- the seriousness of the power breached and/or of the breach; and/or
- the magnitude of the risk of injury and/or of the injury risked; and, in any event
- the relative importance to one or more of those factors of the interest prompting the breach.

Such an uncertain exercise would be plainly undesirable and unworkable, both for public officers and for the court, in determining the ambit in any particular case of a civil wrong the purpose of which is to deter abuse of public office and to compensate those who suffer from it.

Moreover, it would run contrary to the very existence of the second and distinct form of the tort, in which the malice lies in a public officer's deliberate breach of the law causing damage, whatever his perceived justification for doing so; see e.g. the decision of the Supreme Court of Canada in Roncarelli v. Duplessis (1959) 16 DLR (2d) 689, to which I refer again below. For the same reason, I respectfully disagree with the majority of the Australian High Court in Mengel, at 541, that where unintended harm is involved the imposition of liability for misfeasance involves no purpose where there is a duty of care to avoid the risk in question and anomalous where there is not; the suggested anomaly is clearly removed by the dishonesty of the public officer in that capacity, whether in the form of intentionally unlawful conduct or conduct recklessly indifferent to its unlawfulness.

There can be no public policy in the interests of sound administration in permitting a public officer knowingly or recklessly to act illegally in his office and in freeing him from liability for the consequences of such dishonest conduct.

Equally, misfeasance in public office is not to be equated with the tort of conspiracy where there may well be a need to confine its extent when it takes the form of an agreement by anyone, regardless of office, to do an unlawful act where the predominant intention is not to harm; see per Parker J's expression of concern in Lonrho v. Shell, 6th March 1981 (unreported; transcript at 25). Similarly, it is of little value to look at the tort of deceit where it is an integral part of the tort that a statement is "made with the intention that it should be acted on by the plaintiff"; see Bradford Third Equitable Benefit Building Society v. Borders [1941] 2 All E R 205, HL, per Lord Maugham at 211, and Peek v. Gurney (1873) LR 6 HL 377.

If a plaintiff is required to prove, not only dishonesty of conduct, but also foresight of injury or of probable injury, so that the tort of misfeasance will not "overflow its banks", as the New Zealand Court of Appeal put it in Garrett, at 350, it is difficult to see where the tort comes in the spectrum of civil fault. The serious wrong of dishonesty, and by a public officer, would carry with it a penalty for the injured claimant not present in the less heinous wrongs of negligence or simple breach of statutory duty committed by anyone, public officer or no. He would be required to show, in addition to dishonest abuse of public office, not merely foreseeability of injury but its inevitability or, at the lowest, its probability.

What possible public policy can there be in such a penalty, and what purpose is there in the tort even in those cases, such as here under Section 1(4) of the 1987 Act, when liability for negligence but not for dishonesty ("bad faith"), is expressly excluded? On the Bank's submission, it would only have acted dishonestly ("in bad faith") in knowingly or recklessly acting unlawfully if it knew that its conduct would or would probably, as distinct from knowing that it might, damage BCCI's depositors. When a statutory duty is imposed on a regulator to perform its functions so as, inter alia, to prevent such damage, a public policy protecting it from its failure to discover the inevitability or probability of harm because of its wilful disregard of that duty would be strange indeed.

The recourse to "policy" and "principle" of the Australian High Court in Mengel and of the New Zealand Court of Appeal in Garrett was prompted by the lack of authority before Bourgoin as to what, if any, mental element as to damage is required for the second form of the tort. However, in their identification of what they considered to be the relevant public policy considerations, both Courts assumed the mental element for which they were searching - an intention, actual or presumed, to injure. Thus, in Mengel, the majority said, at 540:

> " The cases do not establish that misfeasance in public office is constituted simply by an act of a public officer which he or she knows is beyond power and which results

> in damage. Nor is that required by policy or by principle. Policy and principle both suggest that liability should be more closely confined. So far as policy is concerned, it is to be borne in mind that, although the tort is the tort of a public officer, he or she is liable personally and, unless there is de facto authority, there will ordinarily only be personal liability. And principle suggests that misfeasance in public office is a counterpart to, and should be confined in the same way as, those torts which impose liability on private individuals for the intentional infliction of harm. For present purposes, we include in that concept acts which are calculated in the ordinary course to cause harm, as in Wilkinson v. Downton, or which are done with reckless indifference to the harm that is likely to ensue ....

As to the only element of policy identified by the Court in that passage, concern for the personal liability of the public officer of whose conduct complaint is made, the tort is capable of being committed by a public body as well as an officer of a public body where, as here, those responsible are effectively the directing minds of the body. See Meridian Global Funds Management v. Securities Commission [1995] 2AC 500, PC. But in any event, there may be vicarious liability for a public officer's unauthorised, as well as authorised, acts of misfeasance in public office. See Racz v. Home Office [1994] 2 AC 45, per Lord Jauncey of Tullichettle, at 50F-53A, with whom the other members of the Appellate Committee agreed.

As to the suggestion of "principle", I do not know to what principle the Court is referring in suggesting that the tort of misfeasance is a "counterpart to, and should be confined in the same way as, those torts which impose liability on private individuals for the intentional infliction of harm". That is merely an assertion of a proposition, not supported by case law, which the Court then proceeded to rely upon to characterize the tort as possibly analogous to one of intentional infliction of harm. As an assertion, it fails to have regard to the distinctive combination of ingredients of the tort of misfeasance, dishonesty in the performance of a public office. And the Court, by turning to the aspect of intentional infliction of harm, seemingly concentrated on the first form of the tort, "targeted malice" and paid little regard to the second, "deliberate and knowing illegality".

The New Zealand Court of Appeal in Garrett appear, with respect, to have adopted a similar circular form of reasoning in the following passage, at 350, namely an assertion, albeit in reliance on its reading of Bourgoin and following Clarke J's judgment, that the tort is akin to one of intentional injury in order so to confine it:

> "The tort has at its base conscious disregard for the interests of those who will be affected by official decision making. There must be an actual or, in the case of recklessness, presumed intent to transgress the limits of power even though it will follow that a person or persons will be likely to be harmed. ... In effect this is no more than saying the tort is an intentional tort. ...
>
> The purpose behind the imposition of this form of tortious liability is to prevent the deliberate injuring of members of the public by deliberate disregard of official duty. It is unnecessary, to attain this objective, to extend the tort to catch an act which, though known to be wrongful, is done without a realisation of the consequences for the plaintiff. The law may still provide a remedy in negligence if the situation is one of those in which it is appropriate to impose a duty of care or, if the plaintiff is someone intended by statute to have the particular benefit or protection of an Act of Parliament or subordinate legislation, the plaintiff may have a remedy in the form of an action for breach of statutory duty; or the circumstances may give rise to another of the traditional tort actions, for instance, false imprisonment or assault. ...
>
> In our view this intentional tort should not be allowed to overflow its banks and cover the unintentional infliction of damage. ... We prefer to err on the side of caution and not to extend the potential liability of officials for causing unforseen damage. To do so may have a stultifying effect on governance without commensurate benefit to the public."

The clear public policy behind the tort is to achieve an honest and fair public administration, by encouraging public officers not to abuse their position and to compensate those who suffer if they do. In Ashby v. White (1703) 2 Ld Raym 938 Holt CJ said, at 956:

> "If public officers will infringe men's rights, they ought to pay greater damages than other men, to deter and hinder other officers from like offences."

For a more modern judicial expressions of the same principle, see per Slade LJ in Jones v. Swansea City Council at 71B-D:

> "The essence of the tort, as I understand it, is that someone holding public office has misconducted himself by purporting to exercise powers which were conferred on him not for his personal advantage but for the benefit of the public or a section of the public, either with intent to injure another or in the knowledge that he was acting ultra vires. ... It is the abuse of a public office which gives rise to the tort."

A further consideration of policy is that regard must be had to the nature and extent of the public office in respect of which misfeasance is alleged. The tort has many modern applications going well beyond the limited and highly personal form of the conduct of elections in which it had its roots. It may, as here, concern a public body's responsibility to regulate or supervise the conduct of others. The knowledge of such a body of the probable or possible consequences of any failure by it to perform its regulatory or supervisory functions will almost always depend on the fact and extent of that failure. It does not make sense to maintain, as does the Bank, that if its deliberate and knowingly unlawful failure to regulate and/or supervise were such that it only foresaw the possibility, not the probability, of damage to BCCI's depositors, it should not and cannot be guilty of misfeasance in public office. If such were the law, the Bank could always escape responsibility by disabling itself from learning sufficient of the facts by deliberately not doing its duty. It is plain that one of the important purposes of regulation and/or supervision by a banking regulator is to enable it, by the proper exercise of such functions, to guard against damage to the depositors of the banks it supervises. It cannot, by hiding behind a self-drawn curtain of ignorance, escape liability when it must have known at least that it was possible that its want of proper regulation or supervision would result in such damage.

<u>The old authorities</u>

So much for policy and principle; I now return to the authorities and examine them against the respective submissions of Mr Stadlen and Lord Neill, namely that

- the essence of the tort is an intention to injure or foresight of injury; or
- it is dishonest conduct which may take one of two forms, the first of which is intentional injury and the second of which is deliberate action or inaction knowing it to be unlawful.

As to the old authorities, there is, as one would expect, frequent reference to malice as an ingredient. That is not because they were mainly cases of spite, "targeted malice" or "predominant intention" to injure the plaintiff; but rather because pleaders and judges tended to equate the term "maliciously" with "wilfully", that is, wrongfully, intentionally and without just cause or excuse, even when using both words: see e.g. Ferguson v. Kinnoull (1842)IX Clarke & Finelley 251, per Lord Brougham at 431.

As I have said, the seed bed of the tort lay in a series of election cases starting in the 18th century. The most commonly cited starting point for the tort is the celebrated case of Ashby v. White (1703) 2 Ld. Raym. 938; 3 Ld. Raym. 320; 1 Smith's Leading Cases, 13th ed.253, a claim against borough constables for wrongfully preventing the plaintiff from voting. Ashby's claim included an allegation of malice, and Holt CJ's revised version of his judgment and his contribution to the House of Lords' Committee's report on the matter referred to malice as an ingredient of the action. However, it is clear from the facts and the resolution of the House of Lords upholding his dissent that the alleged wrong lay not in the constables' spite or ill will against Ashby but in their concern that he would become a burden on the parish.

Holt CJ's invocation of the principle ubi jus, ibi remedium in his dissenting judgment, at 954, was directed at the right of redress for abuse of public powers whatever the motive, and his references to malice were clearly intended in the broad sense of the constables intending not to do their duty. The terms of the House of Lords' resolution was equally broad:

> "... every ... person, having a right to give his vote ..., and being wilfully denied or hindered so to do by the officer who ought to receive the same, may maintain an action ... to assert his right and recover damages for the injury." (my emphasis)

The same equation of "malice" with "wilfulness" is to be found in a number of election cases in the latter half of the eighteenth century and continuing into the early part of the nineteenth century, see: Burgoyne v. Moss (1768) reported in Harman v. Tappenden (1801) 1 East 555, 563; Bassett v.

Godschall (1770) 3 Wils KB 121; Milward v. Sargeant (1786) 1 East 555, at 568n; Drewe v. Coulton (1787) 1 East.563n, (where, as Clarke J observed, at 587j, the only possibility canvassed was targeted malice), per Wilson J at 563-4 :

> "This is in the nature of it an action for misbehaviour by a public officer in his duty. Now I think that it cannot be called a misbehaviour unless maliciously and wilfully done, and that the action will not lie for a mistake in law. ... In all the cases put the misbehaviour must be wilful, and by wilful I understand, contrary to a man's own conviction."

Harman v. Tappenden (1801) 1 East 555; Cullen v. Morris (1819) 2 Stark 577, per Abbott CJ, at 587 and 589, contrasting "improper motive" with "an honest intention to discharge ... duty"

> "On the part of the defendant it has been contended that an action is not maintainable for merely refusing the vote of a person who appears afterwards to have really had a right to vote, unless it also appears that the refusal resulted from a malicious and improper motive, and that if the party act honestly and uprightly according to his judgment, he is not amenable in action for damages. I am of the opinion that the law, as it has been stated by counsel for the defendant, is correct."

Finally, in Tozer v. Child (1857) 7 E & B 377, the Court ofExchequer Chamber left undisturbed the following direction of Lord Campbell CJ to the jury:

> "... it was incumbent on the plaintiff to make out that the acts of the defendants complained of were malicious; and that malice might be proved, not only by evidence of personal hostility or spite, but by evidence of any other corrupt or improper motive; ..."

There are two further early 18th century cases which suggest that malice in the sense of an intention to injure or foresight of injury was not a necessary ingredient of the tort.

The first is Whitelegg v. Richards (1823) 2 B & C 45, which concerned a creditor's claim against the clerk of the Court of Relief of Insolvent Debtors for wrongfully and maliciously releasing a debtor, thereby depriving the creditor of the means of recovering his debt. Abbott CJ, giving the judgment of the Court, said at 52:

> " On the argument before us, some authorities were quoted to shew, that an action upon the case may be maintained against an officer of a Court for a falsity or misconduct in his office, where a party sustains a special damage; and that, in this case, a damage was plainly shewn by the loss of the means of enforcing payment from the

debtor, as in actions against sheriffs or gaolers for an escape."

There, as in his judgment in Cullen v. Morris, Abbott CJ expressed himself in a way which might suggest that all the necessary malice in the action lay in the improper conduct of the officer regardless of any intention to injure the plaintiff or of knowledge of its likelihood. However, as in the election cases, the strong likelihood of injury was plain.

The second case is Henly v. The Mayor & Burgesses of Lyme (1828) 5 Bing 91, in which the plaintiff, an inhabitant of Lyme, claimed that the Corporation had unlawfully and with intent to injure him failed to maintain the Cob at Lyme with the result that nearby land of his was damaged by the sea. On appeal from a jury's verdict in the plaintiff's favour, Best CJ, with whom Gaselee J agreed, described the tort of misfeasance in terms unconstrained by a need for an express allegation of an intention to injure. He said, at 107:

> " Now I take it to be perfectly clear, that if a public officer abuses his office, either by an act of omission or commission, and the consequence of that is an injury to an individual, an action may be maintained against such public officer."

Then, after mentioning a number of examples of the application of that rule, he continued, at 108:

> " It seems to me that all these cases establish the principle, that if a man takes a reward ... for the discharge of a public duty, that instant he becomes a public officer; and if by any act of negligence [by which he clearly meant wilful neglect to act] or any act of abuse in his office, any individual sustains an injury, that individual is entitled to redress in a civil action."

Mr. Stadlen submitted that these older cases do not support the Plaintiff's argument that malice in the sense of some intention to injure is not an essential ingredient of the tort. He suggested that they amounted to no more than this: where malice or wilfulness was mentioned it was in the sense of wrongfully intending to injure; and where it was not, there was no need for a comprehensive judicial definition of the tort because the intention was taken for granted and the sole issue was whether the defendant had acted dishonestly and/or without just cause. Similar arguments were addressed to and rejected by this Court in Bourgoin, Oliver LJ observing, at 776C-D:

> "There are in certain of the older cases phrases in the judgments or pleadings which might be taken to suggest that 'targeted malice' was regarded as essential. I say 'might,' because in my judgment they are entirely inconclusive. there are also strong indications in the other direction, particularly in the older election cases."

I respectfully agree with the assessment that the old cases are, at best for the Bank, inconclusive. In none of the election cases in particular was there evidence to suggest that, in preventing the plaintiff from voting, the defendant had a predominant intention to injure him; and in all of them the deprivation of the right to vote necessarily injured the plaintiff. Even in Whitelegg v. Richards and Henly v. Lyme, where the allegations, respectively, were of an implied and an express intention to injure, the issue of malice in the sense of such an intention simply did not feature in the judges' formulation of the wrong. There is much in the language of the various judgments to indicate that the notion of malice was used in a different and much broader sense, that is, doing or omitting to do a public act wilfully and in bad faith. Mr Stadlen's submission, in any event, ignores the developing nature of the cause of action over the next two centuries; as he himself observed, the old authorities were decided at a time when it had not been analysed as a tort with two forms.

Before moving forward to Bourgoin in 1986 I should mention two other cases, Brasyer v. Maclean (1875) LR 6 PC 398, and Smith v. East Elloe RDC [1956] AC 736, HL, which point away from the need to prove malice in the sense of an intention to injure.

Brasyer v. Maclean was an appeal to the Privy Council against the non-suiting by the Supreme Court of New South Wales of a claimant for damages against a sheriff from the sheriff's false return resulting in his attachment and arrest. One of the issues in the case was whether the claimant was required to prove, in addition to the Sheriff's knowing falsity of the return, that he had "acted maliciously and without reasonable cause". Sir Barnes Peacock, giving the judgment of the Board, said, at 405:

> "This is not a case which falls within the general rule which has been laid down, that no

> action lies for damage or inconvenience sustained in consequence of process of law, unless it be alleged and proved that the party who occasioned it was actuated by malice. This is a case of a misfeasance by a public ministerial officer in the discharge of his duties. The sheriff was intrusted with the power of making a return to the Court which would be considered conclusive by the Court as to the truth of the facts stated in the return. He was enabled, therefore, by virtue of his office, to make a return to the Court in this particular instance, which was conclusive in that stage of the proceedings, ... and he therefore had the power and he exercised the power of doing that which rendered the Plaintiff liable to an attachment for a contempt of Court without being allowed to shew that the facts returned were untrue.
>
> It appears, therefore, to their Lordships that the sheriff in this case was guilty of a misfeasance in the exercise of the powers which were intrusted to him by law and in the discharge of his duty as a public ministerial officer, and that in respect of that misfeasance he is liable to an action for the damage which resulted from that act, notwithstanding it was not proved against him that he was actuated by malicious motives. The mere fact of the misfeasance and the damage resulting from it by reason of the attachment issuing upon the return as conclusive evidence against the Plaintiff was sufficient damage to enable the Plaintiff to maintain an action against the sheriff for that misfeasance, and to recover the damage which he has sustained in consequence of it."

In Smith v. East Elloe RDC the House of Lords held unanimously that an action could proceed against the clerk to a local authority for a declaration and damages in respect of his knowingly wrongfully and in bad faith procuring the making by the authority of a compulsory purchase of the claimant's land. Viscount Simonds said, at 752:

> "Here the appellant by her writ claims against the personal defendant a declaration that he knowingly acted wrongfully and in bad faith in procuring the order and its confirmation, and damages, and that is a claim which the court clearly has jurisdiction to entertain. I am far from saying that the claim has any merit. Of that I know nothing. But because the court can entertain it, I think that the Court of Appeal ... were wrong in striking out the whole writ ..."

<u>Bourgoin</u>

None of the English authorities, ancient or modern, before Bourgoin support the proposition that it is a necessary ingredient of the second form of the tort that the public officer knew or foresaw, or even that he should have foreseen, the possibility of harm from his unlawful act. As to Bourgoin, I do not regard it as an authority for the proposition that either foresight of probable harm, as held by Clarke

J, or foreseeability of harm is a necessary ingredient of the tort.

In Bourgoin, a decision of Mann J on a preliminary issue, the defendant had conceded that he had known his conduct was unlawful and that it would injure the plaintiffs. The only issue was whether, as he maintained, the plaintiffs had to prove that that was his predominant intention, i.e. "targeted malice". The case concerned a claim by French turkey producers against a Government minister for having knowingly unlawfully prohibited the importation of turkey meat from France with the intention of protecting English turkey producers, and in the knowledge that his prohibition would injure the French producers. The minister maintained that, as his predominant motive was to benefit English producers, he could not be held liable in misfeasance and that his appreciation that it would necessarily harm French producers did not constitute malice for the purpose.

Mann J, after reviewing the authorities, held that proof of malice and proof of knowledge of unlawfulness were alternative methods of proving the tort. In doing so, he expressed himself by reference to the minister's concession before him that he had foreseen that his act would cause injury to the French turkey producers. This is how he put it, at 740A-E, referring both to the minister's conceded foresight and to the foreseeability of the injury in question:

> " ... the words 'aimed at him' ... wholly appropriate in the context of the disgraceful conduct of the respondent in Roncarelli's case ... do not preclude another path towards liability; that is to say, knowledge that an act is invalid coupled with foresight that its commission would damage the plaintiff.
>
> ...The wrong described before me is that of an act performed by a public officer with actual knowledge that it is performed without power and is so performed with the known consequence that it would injure the plaintiffs.
>
> I do not read any of the decisions to which I have been referred as precluding the commission of the tort of misfeasance in public office where the officer actually knew that he had no power to do that which he did, and that his act would injure the plaintiff as subsequently it does. I read the judgment in Dunlop v. Woollahra Municipal Council ... in the sense that malice and knowledge are alternatives. There is no sensible reason why the common law should not afford a remedy to an injured party in the circumstances such as are before me. There is no sensible distinction between the case where an officer performs an act which he has no power to perform with the object of injuring A (which the defendant accepts is actionable at the instance of A) and the case

> where the officer performs an act which knows he has no power to perform with the object of conferring a benefit on B but which has the foreseeable and actual consequence of injury to A (which the defendant denies is actionable at the instance of A). In my judgment each case is actionable at the instance of A ..." [my emphases]

On appeal to this Court, Oliver LJ, with whom Parker and Nourse agreed on this part of the case, said, at 777G:

> " For my part, I too can see no sensible distinction between the two cases which the judge mentions.
>
> If it be shown that the minister's motive was to further the interests of English turkey producers by keeping out the products of French turkey producers - an act which must necessarily injure them - it seems to me entirely immaterial that the one purpose was dominant and the second merely a subsidiary purpose for giving effect to the dominant purpose. If an act is done deliberately and with knowledge of its consequences, I do not think that the actor can sensibly say that he did not 'intend' the consequences or that the act was not 'aimed' at the person who, it is known will suffer them. In my judgment, the judge was right in his conclusion also on this point."

Clarke J, held, at 578f-g, that foreseeability of damage was not enough to satisfy the second form of the tort. He expressed the view, at 568f-g, that when Mann J referred in his judgment to the "foreseeable" consequence of injury he must have meant "foreseen", observing that in that case no one had suggested that foreseeability of damage was enough and that Mann J had not applied his mind separately to that question. He paraphrased, at 569h-j, the Court of Appeal's approach as follows:

> " Thus, even if it was not absolutely necessary to do so for the purposes of the actual decision in Bourgoin, the Court of Appeal was approving the proposition that there are two alternative ways in which the tort can be established, namely (a) where a public officer performs an act with the object of injuring the plaintiff (which may be called targeted malice), and (b) where he performs an act which he knows that he has no power to perform and which he knows will injure the plaintiff."

Mr. Stadlen submitted that the ratio of Bourgoin is that, in the absence of targeted malice, misfeasance can be established on proof of knowledge of illegality coupled with actual foresight of loss to the plaintiff. He adopted Clarke J's view that Mann J must have meant foresight, not foreseeability. He said that there was no previous English authority or even any obiter statement in support of the proposition that foreseeability, reasonable or otherwise, of loss was enough. He suggested that in

Bourgoin the only point in issue between the parties and the only point to which Mann J's judgment, and that of Oliver LJ approving it, were directed was whether foresight of loss was sufficient. He said that it was implicit in both judgments that they considered an intention, though not necessarily a predominant intention, to injure was a necessary ingredient of the tort, provable in the second form of the tort by knowledge of necessary loss. He said that the only logical premise of Oliver LJ's reasoning in the passage quoted was that, as a minimum, proof of a subsidiary intention to injure was necessary. Otherwise the defendant's concession that he knew he was acting unlawfully would have been sufficient to dispose of the preliminary issue in favour of the plaintiff. He said that the ratio of the decision was that, in the absence of a predominant intention to injure, a public officer is liable for misfeasance if he has both knowledge of illegality and knowledge that his conduct will necessarily cause loss.

In support of that understanding of the ratio he prayed in aid R v. Home Secretary, ex p. Ruddock, in which Taylor J, at 1498D-E, set out his understanding of the ingredients of the tort as stated in Bourgoin, namely:

> "(1) that a public officer knew he had not power to do that which he did; (2) that he knew his act would injure the plaintiff; and (3) that it in fact did so."

Lord Neill submitted that it is clear from Mann J's consideration of the authorities that he was concerned throughout with the question whether knowledge of illegality on its own was sufficient. He said that his use of the word "foreseeable" in the critical passage was more consistent with that consideration than was "foresight"; that it was clearly deliberate, and neither Mann J nor the Court of Appeal in approving this part of the judgment could possibly have overlooked its mistaken significance if "foresight" had been intended and was part of the ratio; and that his use of the word "foresight" elsewhere in the judgment was all in the context of the minister's factual concession that he had indeed foreseen harm to the plaintiffs as a result of his conduct.

The courts of Australia and New Zealand have interpreted Mann J's words differently. The majority of the High Court of Australia in Mengel, at 540, and the Federal Court of Australia in three subsequent decisions following Mengel have read it as "foreseeable"; see JL Holdings Pty Ltd. v. Queensland (unreported 26th May 1995; Madden v. Madden & Ors (1996) 65 FLR 354; and Flanagan v. Commissioner of the Australian Federal Police (1996) 60 FCR 149. However, the New Zealand Court of Appeal in Garrett concluded that he had meant to say "foresight".

I do not regard Mann J's references to "foresight" or "foreseeability" in the passage from his judgment that I have set out, or his earlier references to foresight or its equivalent when rehearsing the rival contentions of the parties, as anything more than a factual setting in the case for the clear and well established proposition of law that he confirmed, namely that targeted malice and knowledge of unlawfulness are two alternative forms of the tort. And, given the concession made by the minister for the purpose of the preliminary issue, I certainly do not regard Mann J's references to foresight or foreseeability of injury as part of the ratio, still less that in using the word "foreseeable" he made a mistake and must have meant "foreseen", as Clarke J concluded. Oliver LJ appears to have been content to approach the case in the same focused way, namely that, given the minister's concession that he knew his unlawful act would injure the French producers, he could not say that he did not intend it because his dominant motive was to benefit the English producers. Either way, Mann J's and Oliver LJ's references to the minister's appreciation of the consequences of his act were obiter, save to the extent that he could not escape liability by denying a predominant intention to injure.

In the result, I do not consider Bourgoin an authority for the proposition that, where a claimant who has been injured by the deliberate and knowing illegality of a public officer, foresight or foreseeability of damage is an essential, as distinct from a sufficient, ingredient of the second form of the tort. As there was no issue or argument in the case as to that distinction or as to the need even for the latter, it is unfortunate that it has been treated as the starting point and basis for subsequent judicial interpretation on the point.

The Commonwealth Authorities

In Australia there was a line of modern authority suggesting that it is not necessary to show malice in the sense of an intention to injure or foresight or foreseeability of injury, and that proof of knowledge of illegality would do. Its starting point was Farrington v. Thomson and Bridgland [1959] VR 286, a decision of the Supreme Court of Victoria. The issue in the case was whether two police constables, who knowingly unlawfully, but in what they considered to be the public interest, ordered a hotel keeper to close his hotel and cease supplying liquor, were liable for misfeasance in public office for damage he suffered as a result of obeying their order. Smith J, held that they were so liable. He said, at 293, after reference to some of the early English authorities, including Brasyer v. Maclean and Smith v. East Elloe RDC, that:

> " Some of the authorities seem to assume that in order to establish a cause of action for misfeasance in public office it is, or may be, necessary to show that the officer acted maliciously, in the sense of having an intention to injure. ... It appears to me, however, that this is not so and that it is sufficient to show that he acted with knowledge that what he did was an abuse of his office: ...
>
> In my view, therefore, the rule should be taken to go this far at least, that if a public officer does an act which, to his knowledge, amounts to an abuse of his office, and he thereby causes damage to another person, then an action in tort for misfeasance in a public office will lie against him at the suit of that person."

Although that plain statement of rule contains no reference to foresight or foreseeability of injury as a necessary ingredient of the tort in that form, it does not follow that Smith J rejected the need for some such mental element. He was concerned - as was Mann J later in Bourgoin - only with the question whether the plaintiff had to prove an intent to injure; the circumstances of the case made plain that the officers must have foreseen that in ordering the plaintiff to close his hotel they would cause him loss. The same comment can be made about the Supreme Court of Victoria's reliance on that general statement in two other cases of alleged knowing illegality, namely, no allegation of an intention to injure but obvious foresight of damage from the alleged conduct, Tampion v. Anderson [1973] VR 715, at 720, and Little v. Law Institute of Victoria (No. 3) [1990] VR 257.

As I have indicated, the High Court of Australia has recently considered the tort in some detail in Mengel, which concerned a farmer's claim against a public authority in the Northern Territory for loss resulting from its unlawful restriction of the movement of his cattle. The only issue of law on the claim of misfeasance was as to the requisite knowledge of the authority of the unlawfulness of its conduct. However, in considering and ruling on that issue the Court bound in with it some observations as to the requisite knowledge of the authority as to the resultant damage to the plaintiffs.

On the issue of lawfulness of conduct all seven judges held that recklessness as to the extent of powers would do. On the matter of knowledge of damage, the majority (Mason CJ, Dawson, Toohey, Gaudron and McHugh JJ) were of the view that, on the facts of the case, and as they appear to have understood Bourgoin, liability was established on proof of a foreseeable risk of harm. They added that it might be necessary for a plaintiff to show that the act in question "was calculated in the ordinary course to cause harm", that is, as in Wilkinson v. Downton [1897] 2 QB 57, "calculated" in an objective sense. Deane J held, at 554, that the plaintiff could only succeed by establishing that the public authority knew that its conduct was an unlawful act and that it would, or was likely to, cause injury or was reckless as to the invalidity "and that likely" injury; Brennan J held that foreseeability of, or recklessness as to, injury were not necessary ingredients of the tort.

The majority took Mann J in Bourgoin as having suggested foreseeability as an additional or "sufficient" ingredient to the knowledge of unlawfulness form of the tort. They stated, at 540:

> ... it is sufficient for present purposes to proceed on the basis accepted as sufficient in Bourgoin, namely that liability requires an act which the public officer knows is beyond power and which involves a foreseeable risk of harm."

In a passage that I have already cited, they added recklessness as a further and alternative ingredient (in relation to knowledge of both illegality and damage) to their concept of the tort as one of intentional infliction of harm.

Lord Neill placed great reliance on the minority judgment of Brennan J, in particular, his focus on the absence of an attempt by a public officer to perform his duty as the heart of the tort. This is how Brennan J put it, at 546-7:

> " ... The history of the tort shows that a public officer whose action has caused loss and who has acted without power is not liable for the loss merely by reason of an error in appreciating the power available. Something further is required to render wrongful an act done in purported exercise of power when the act is ultra vires."
>
> The further requirement relates to the state of mind of the public officer when the relevant act is done or the omission is made. ... It has now been accepted that if a public officer engages in conduct in purported exercise of a power but with actual knowledge that there is no power to engage in that conduct, the conduct may amount to an abuse of office. ...
>
> I respectfully agree that the mental element is satisfied either by malice (in the sense stated) or by knowledge. That is to say, the mental element is satisfied when the public officer engages in the impugned conduct with the intention of inflicting injury or with knowledge that there is no power to engage in that conduct and that that conduct is calculated to produce injury. These are states of mind which are inconsistent with an honest attempt by a public officer to perform the functions of his office. Another state of mind which is inconsistent with an honest attempt to perform the functions of a public office is reckless indifference as to the availability of power to support the impugned conduct and as to the injury which the impugned conduct is calculated to produce. The state of mind relates to the character of the conduct in which the public officer is engaged - whether it is within power and whether it is calculated (that is naturally adapted in the circumstances) to produce injury. In my opinion, there is no additional element which requires the identification of the plaintiff as a member of a class to whom the public officers owes a particular duty, though the position of the plaintiff may be relevant to the validity of the public officer's conduct. ... It is the absence of an honest attempt to perform the functions of the office that constitutes the abuse of the office. Misfeasance in public office consists of a purported exercise of some power or authority by a public officer otherwise than in an honest attempt to perform the functions of his or her office where loss is caused to a plaintiff. Malice, knowledge and reckless indifference are states of mind that stamp on a purported but invalid exercise of power the character of abuse of or misfeasance in public office. If the impugned conduct then causes injury, the cause of action is complete.
>
> ... Foreseeability of damage to another by one's own conduct is the factor which warrants the imposition of a duty of care to the other when engaging in the conduct. But the tort of misfeasance in public office is not concerned with the imposition of duties of care. It is concerned with conduct which is properly to be characterised as an abuse of office and with the results of that conduct. Causation of damage is relevant; foreseeability of damage is not." (my emphasis)

In assessing the effect of Mengel on what, if any, role knowledge as to damage plays in the tort of misfeasance in public office, the following aspects of the case are important:

- The issue was as to the defendant's knowledge of the unlawfulness of its conduct, not of the damage to the plaintiffs that would or might result from it. It was clear, as the majority observed at 534, that, although the defendant had not intended to harm the plaintiffs, it was "aware of the predicament which ... [they] faced if they could not sell their cattle as planned". Therefore, as in Bourgoin, it was unnecessary to consider foresight and foreseeability, still less to decide between them. The Court's observations as to foreseeability of, and recklessness as to, damage were obiter.

- I have already challenged the considerations of "policy" and "principle" upon which the majority relied in venturing their view that a mental element of some sort as to injury was an ingredient of the tort. But, in any event, their reasoning falls short of a decision that foreseeability of loss was an essential, as distinct from a sufficient, ingredient of the tort, and even further short of Clarke J's view, at 576g, namely that the tort consists of foresight of, or a reckless indifference to, the damage that would probably ensue.

- The majority's view in Mengel was not only obiter, but a diffidently expressed and incidental view drawn principally from the equally obiter and incidental reference by Mann J to foresight and foreseeability of injury in his formulation of the second form of the tort in Bourgoin. The majority, after observing, at 539, that the precise limits of misfeasance in public office were still undefined, and before referring to the non-issue of knowledge as to damage, stated their understanding of the core meaning of the tort:

> "... the weight of authority here and in the United Kingdom is clearly to the effect that it is a deliberate tort in the sense that there is no liability unless either there is an intention to cause harm or the officer concerned knowingly acts in excess of his or her power."

They then went on, at 540, to identify as unclear what, if any, role in the tort knowledge as to damage played:

> "One aspect of misfeasance in public office that lacks precise definition is whether,

> assuming damage, it is sufficient to establish that the public officer knows that he or she is acting without authority or whether there is some additional requirement."

After stating that it had been "suggested" in Bourgoin that there was an additional requirement of foreseeability of damage and resorting, in the passages that I have set out, to "policy" and "principle", the majority concluded that it was "sufficient for present purposes to proceed on the basis accepted as sufficient in Bourgoin."

In short, Mengel is no more an authority than Bourgoin for the proposition that an essential ingredient of the tort is some mental element as to damage. However, it is of a piece with it in suggesting that foreseeability is, at any rate, sufficient. Its additional contribution, that recklessness was also sufficient, was the view of all the judges, and, in my view, it is plain that they were referring to recklessness in an objective sense. In addition, Brennan J's powerful judgment, concentrating as it did, on the need to prove conduct "inconsistent with an honest attempt by a public officer to perform the functions of ... [his] office", is an important reminder of the origin and special role of this form of action. As he indicated by way of examples in the passage from his judgment that I have set out, such dishonesty or abuse of office may be established in various ways and without reference to foresight or foreseeability of harm.

The New Zealand case of Garrett, which was decided after Clarke J's judgment, appears to be the first reported case in which the issue of knowledge as to damage in the second form of the tort has been considered. The case concerned a woman's claim for damages against the police for failing properly to investigate her complaint of rape. Blanchard J, giving the judgment of a five judge Court of Appeal, held that the claim was bad because the claimant had not alleged or proved that the police knew of or were recklessly indifferent to the harmful consequences to her of the conduct of which she complained; foreseeability of such consequences, he said, was not enough. In so holding he said that the Court regarded misfeasance in public office as an intentional tort both as to the unlawfulness of the conduct complained of and as to its consequences. He said that reasonable foreseeability of damage is insufficient to found the wrong and that Mann J, in his use of the word "foreseeability" in Bourgoin, must have meant "foresight". he stated, at 344:

> "It [the tort of misfeasance in public office] can ... be committed by an official who acts or omits to act in breach of duty knowing about the breach and also knowing harm or loss is thereby likely to be occasioned to the plaintiff. As will appear from the following discussion, 'knowing' in relation to both the breach and its effect on the plaintiff includes acting recklessly, in the sense of believing or suspecting the position and going ahead anyway without ascertaining the position as a reasonable and honest person would do. (my emphasis)

Later, at 349 to 351, he said:

> "We are in respectful agreement with Clarke J that it is insufficient to show foreseeability of damage caused by a knowing breach of duty by a public officer. The plaintiff, in our view, must prove that the official had an actual appreciation of the consequences for the plaintiff, or people in the general position of the plaintiff, of the disregard of duty or that the official was recklessly indifferent to consequences and thus can be taken to have been content for them to happen as they would. The tort has at its base conscious disregard for the interests of those who will be affected by official decision making. There must be an actual or, in the case of recklessness, presumed intent to transgress the limits of power even though it will follow that a person or persons will be likely to be harmed. The tort is not restricted to a case of deliberately wanting to cause harm to anyone; it also covers a situation in which the official's act or failure to act is not directed at the injured party but the official sees the consequences as naturally flowing for that person when exercising power. In effect this is no more than saying the tort is an intentional tort. In this context, a person intends to bring about the known consequences of his or her actions or omissions, even if other consequences form the primary motive.
>
> ...
>
> The purpose behind the imposition of this form of tortious liability is to prevent the deliberate injuring of members of the public by deliberate disregard of official duty. It is unnecessary to attain this objective, to extend the tort to catch an act which, though known to be wrongful, is done without a realisation of the consequences for the plaintiff.
>
> ...
>
> In our view this intentional tort should not be allowed to overflow its banks and cover the unintentional infliction of damage. In many cases the consequences of breaking the law will be obvious enough to officials, who can then be taken to have intended the damage they have caused. But where at the time they do not realise the consequences they will probably not be deterred from exceeding their powers by any enlargement of the tort. ...
>
> The common law has long set its face against any general principle that invalid administrative action by itself gives rise to a cause of action in damages by those who have suffered loss as a consequence of that action. There must be something more. And in the case of misfeasance of public office that something more, it seems to us, must be related to the individual who is bringing the action. While the cases have made it clear that the malice need not be targeted, there must, as we have said, be a conscious disregard for the interests of those who will be affected by the making of the particular

decision." (my emphases)

Although the case is of significance as the first reported decision on the issue of a requirement of some form of knowledge of potential damage in the second form of the tort, it is, with respect, unsatisfactory in a number of respects. First, it fails to have regard to the core purpose of the tort, the prevention and reparation of harm from abuse of public office. Second, in equating the tort with those of intentional infliction of harm, it ignores the now well established different forms that the tort can take, "targeted malice" and deliberate and knowing unlawfulness, the purpose of the latter plainly being to provide for cases where the injury was not intentional. Third, in its expression of concern about the tort being "allowed to overflow its banks" and of the need for "something more" where the only complaint is of an "invalid administrative action", the Court has again disregarded the fundamental and distinguishing features of this civil wrong - the "something more", as Brennan J said in Mengel, is dishonesty - the abuse of power - by a public official. Fourth, as Lord Neill has pointed out, the Court, in its various references to the state of knowledge necessary or sufficient to establish the second form of the tort, left no clear indication of the threshold of knowledge required.

The same Court, differently constituted, in Rawlinson v. Rice [1997] 2 NZLR 651, CA., broadly followed the same reasoning, though it spelt out more precisely what a plaintiff must prove on the issue of knowledge of damage. In separate judgments all three members of the Court plainly treated Garrett as an authority for the proposition that knowledge of, or reckless indifference to, damage was an additional requirement of the second form of the tort. McKay J said, at 658:

> "A deliberate act knowingly or recklessly in excess of one's powers is sufficient. As has now been decided in Garrett ..., it must also be shown that the defendant knew that the conduct would cause damage to the plaintiff, or was recklessly indifferent to the consequences."

Tipping and Barker JJ said much the same, Barker J observing at

663:

> "Mere foreseeability of deleterious consequences is insufficient; the defendant must be

> reckless as to possible damage."

However, Tipping J perceptively added, at 667:

> "If the Respondent was recklessly indifferent as to his powers it seems to be a short step to infer that he was recklessly indifferent to the harm he might cause ... by acting outside those powers."

In my view, the two New Zealand decisions, though on the point, were essentially concerned with recklessness in the sense of reckless indifference both as to unlawfulness and as to consequences, both of which, as a matter of practicality, were likely to go hand in hand, as Tipping J observed. However, although the Court took its line from Clarke J, it did not, in either decision, adopt his qualification of recklessness by reference to the further ingredient that the public officer had to have known, believed or suspected that his unlawful act would probably harm the plaintiff. In my view, and with respect to the New Zealand Court of Appeal, it was wrong in importing into the second form of the tort a requirement to prove foresight or reckless indifference as to damage. As with the High Court of Australia in Mengel, their error lay in their fundamental misconception of the role of the tort, equating it to other torts of intentional injury by private individuals and disregarding its special characteristic of dishonesty in the form of abuse of a public office.

I should also refer to two of the Canadian Authorities.

The first was McGillivray v. Kimber (1915) 26 DLR 164, in which the Supreme Court of Canada held, by a majority, that a pilot could recover damages against a pilotage authority for dismissing him in breach of statutory requirements. The precise legal basis of the award is not entirely clear from the judgments. However, it seems to have been a case in which the defendants knowingly acted without authority and in which they clearly knew that they would injure the pilot by preventing him from earning his living. There was also some evidence that they had acted out of "motives other than zeal for the public welfare"; see per Anglin J at 183-4.

The second authority was Roncarelli v. Duplessis (1959) 16 DLR (2d) 689, in which the Supreme Court of Canada awarded damages against the Prime Minister of Quebec for unlawfully directing the cancellation of a restaurant owner's liquor licence because he had provided bail on many occasions for fellow Jehovah's witnesses who were then unpopular with the Quebec authorities. The case is important because, although the Prime Minister clearly knew that his conduct would injure the restaurant owner, he maintained that he was not liable in misfeasance because he had not acted maliciously, but in the best interests, as he perceived them, of the public (cf Bourgoin). The Court held that, whatever his motivation, his deliberate and intentionally unlawful conduct was malicious for the purpose. Rand J said, at 706-7:

> "... what could be more malicious than to punish this licensee for having done what he had an absolute right to do in a matter utterly irrelevant to the Alcoholic Liquor Act? Malice in the proper sense is simply acting for a reason and purpose knowingly foreign to the administration, to which was added here the element of intentional punishment by what was virtually vocation outlawry. ...
>
> 'Good faith' in this context ... means carrying out the statute according to its intent and for its purpose; it means good faith in acting with a rational appreciation of that intent and purpose and not with an improper intent and for an alien purpose." [my emphasis]

Abbott J added, importantly, at 730:

> " I have no doubt that in taking the action which he did, the respondent was convinced that he was acting in what he conceived to be the best interests of the people of his Province, but this, of course, has no relevance to the issue of his responsibility in damages for any acts done in excess of his legal authority"

English authorities since Clarke J's judgment

There have been a number of English decisions approving or following Clarke J's analysis of the tort of misfeasance. However, in none of them did an issue arise as to the knowledge of injury required for proof of the second form of the tort, or the nature of the proceedings was such that it was not fully argued. The Courts have been content, without further analysis of the issue and often with words of warm approval of Clarke J's judgment, to take from Bourgoin as interpreted by him the proposition that a plaintiff must prove at least suspicion of probable damage or recklessness as to damage, suspecting its probability. I trust that the authors of those judgments will not regard my mere citation of the references to them without further comment as a mark of disrespect: Tee v. Lautro Ltd. (unreported) 16th July 1996, at 5B-C; Elliott v. Chief Constable of Wiltshire (unreported) 20th November 1996, CA; London Borough of Ealing v. Metha (unreported) 24th April 1997, CA; Williams v. The Solicitor to the Department of Social Security,(unreported) 11th June 1997, CA; Lam v. Brennan (unreported) 30th July 1997, CA; Bennett v. Commissioner of Police for the Metropolis (unreported) 8th October 1997; R v. Chief Constable of the North Wales Police, ex p. AB [1997] 4 All ER 691, DC; Barnard v. Restormel Borough Council (unreported) 6th February 1998, CA; W v. Essex County Council (unreported) 2nd April 1998, CA.

Conclusion

I hope that it is clear from my brief review of the main English and Commonwealth authorities that, until Clarke J's judgment and that of the New Zealand Court of Appeal in Garrett, there was no reported authority the ratio of which was that foresight or even foreseeability of damage was an essential ingredient of the second form of the tort. Equally, as Mr Stadlen emphatically put it, there was no reported authority to the effect that neither was necessary. Such recent judicial pronouncements, including that of Clarke J, as there are now on the point rest largely on the insecure basis of Mann J's judgment in Bourgoin - insecure because his observations on the point were in passing, the matter not being in issue before him. The Australian High Court in Mengel, obiter and somewhat diffidently, gave further impetus to the notion that some such knowledge was required, stating that foreseeability was "sufficient". The New Zealand Court of Appeal in Garrett, heavily relying on Clarke J's interpretation of Bourgoin and his own reasoning on the matter, appear to have proceeded on the basis that some knowledge of injury was necessary, concluding on what I have ventured to suggest was a flawed basis that foresight or recklessness, not foreseeability, is required. Given the lack of binding English authority and the conflict of Commonwealth authority, I take the view that it is for this Court to determine the matter as best it can.

To that end I return to the core of misfeasance in public office, abuse of power, and to its bifurcated development, that is, dishonesty in the form of an act of "targeted malice" or by an intentionally unlawful act as in Roncarelli. That element of dishonesty in a public office, either in a deliberate disregard of duty or, as Brennan J put it in Mengel, failure to make an honest attempt to perform the duty, has a special place in the range of civil remedies available to an individual. It is exemplified and recognized by Parliament in a case such as this by Section 1(4) of the 1987 Act, reserving as it does a right of action against the Bank in respect of its acts or omissions committed in "bad faith".

If, as I believe, dishonesty is the critical test of misfeasance in public office, there is no need, as Millett J said in Agip (Africa) Ltd, at 293E-G, to complicate what is essentially a jury question with fine analysis of the gradations of knowledge and recklessness. That applies both as to knowledge of illegality and, where appropriate, to knowledge of its consequences. I include the latter because in some cases, such as this, the two may be hard to disentangle. This is not just an application of Tipping J's common sense mention in Rawlinson v. Rice of the often short step between reckless indifference to powers and to their consequences.

A banking regulator's conduct may be unlawful in one or both of two ways. The first is by dishonestly failing to supervise a bank as it should, with the result that it does not know what is going on and what damage may be in store for that bank's depositors. The second is by dishonestly failing to perform its duty to prevent harm when it does or, if it had properly supervised, should know, of such potential harm. In short the dishonest unlawful conduct may lie in a failure to supervise and/or it may lie in actual or imputed knowledge of damage giving rise to a further duty to take preventative action. Whether and what conduct is dishonest in such circumstances will not be assisted by a elaborate tests of recklessness, objective or subjective and so on, which have disfigured so many other branches of the law. That is especially so in the context of knowledge of injury where, on Clarke J's analysis, following Garrett and Rawlinson v. Rice, the courts would also have to grapple with the overlapping notion of foresight.

I can do no better than cite the now well known words of Millett J in Agip and of Lord Nicholls of Birkenhead, giving the opinion of the Board in Royal Brunei Airlines. Though, in each case they are concerned with dishonesty giving rise to a constructive trust, they are equally applicable in this context.

In Agip Millett J was concerned with defendant accountants who, he found, at 294E, "must have realised at least that their clients might be involved in a fraud on the plaintiffs". He said, at 293C-G:

> " Knowledge may be provided affirmatively or inferred from circumstances. The various mental states which may be involved were analysed by Peter Gibson J. in Baden's case [1983] B.C.L.C. 325 as comprising:(i) actual knowledge; (ii) wilfully shutting one's eyes to the obvious; (iii) wilfully and recklessly failing to make such inquiries as an honest and reasonable man would make; (iv) knowledge of circumstances which would indicate the facts to an honest and reasonable man; and (v) knowledge of circumstances which would put an honest and reasonable man on inquiry.
>
> According to Peter Gibson J., a person in category (ii) or (iii) will be taken to have actual knowledge, while a person in categories (iv) or (v) has constructive notice only. I gratefully adopt the classification but would warn against over refinement or a too ready assumption that categories (iv) or (v) are necessarily cases of constructive notice only. The true distinction is between honesty and dishonesty. It is essentially a jury question. If a man does not draw obvious inferences or make the obvious inquiries, the question is: why not? If it is because, however, foolishly, he did not suspect wrongdoing or, having suspected it, had his suspicions allayed, however unreasonably, that is one thing. But if he did suspect wrongdoing yet failed to make inquiries because 'he did not want to know' (category (ii)) or because he regarded it as 'none of his business' (category (iii)), that is quite another. Such conduct is dishonest, and those who are guilty of it cannot complain if, for the purpose of civil liability, they are treated as if they had actual knowledge."

In Royal Brunei Airlines Lord Nicholls, at 390G-H, indicated some of the considerations bearing on a person's honesty which, despite the different context, serve as valuable reminders.

> "Acting in reckless disregard of others' rights or possible rights can be tell-tale sign of dishonesty. An honest person would have regard to the circumstances known to him, including the nature and importance of the proposed transaction, the nature and importance of his role, the ordinary course of business, the degree of doubt ... and the seriousness of the adverse consequences. ...
>
> Likewise, when called upon to decide whether a person was acting honestly, a court will look at all the circumstances known to the third party at the time. The court will also have regard to personal attributes of the third party, such as his experience and intelligence, and the reason why he acted as he did." (my emphasis).

As to recklessness, Clarke J, in following the lead of all the judges in Mengel, stressed the importance of the element of dishonesty. He said, at 581j:

> "The reason why recklessness was regarded as sufficient by all members of the High Court in Mengel is perhaps most clearly seen in the judgment of Brennan J. It is that misfeasance consists in the purported exercise of a power otherwise than in an honest attempt to perform the relevant duty. It is that lack of honesty which makes the act an abuse of power."

He held that the Plaintiffs' case on the Bank's recklessness as to the lawfulness of its conduct was sufficiently pleaded, but there is an issue as to his formulation of the test of recklessness for this purpose. He defined it, at 581e-f and 632j-633b, as either a public officer's wilful shutting of eyes to the obvious ("turning a blind eye") or wilfully and recklessly failing to make such inquiries as an honest and reasonable man would make, adding as provisos "that the officer believes or suspects (a) that his act is beyond his powers and (b) that his act will probably cause ... damage". But for these provisos, the Judge's approach followed Peter Gibson and Millett JJs' respective analyses of actual knowledge to found liability as a constructive trustee in Baden v. Societe Generale [1993] 1 WLR 509 and Agip.

The Plaintiffs say that even if - which they challenge - Clarke J was correct in introducing to the second form of the tort an alternative of recklessness as to consequences, his proviso makes it too narrow a test and is contrary to the normal meaning of the word "reckless" in its various contexts, both civil and criminal. Lord Neill referred in particular to the classic formulations of Lord Diplock in R v. Caldwell [1982] AC 341, HL, at 354C and R v. Lawrence [1982] AC 510 HL, at 526E, of a failure to give any thought to the possibility of an obvious risk or, having recognised the risk, nevertheless going on to take it. He submitted that Clarke J's proviso excluded from liability Lord Diplock's first category, failure to give any thought to the possibility of obvious risk, and thus excluded from the tort cases where a public officer recklessly made no honest attempt to perform his duty

The Bank says that "objective" recklessness is not enough and would blur the boundary between misfeasance and negligence, since the second form of the tort consists both in a deliberate disregard of public duty and a deliberate injuring of someone. Thus, they contend, adopting Clarke J's test, that even where a plaintiff alleges that a public officer deliberately shut his eyes or failed to make enquiries, he must also establish that the officer at least suspected that he was acting unlawfully and that, in doing so he would probably cause damage to him.

In my view, the Judge's test for which the Bank contends is inappropriate because, in focusing on consequences of conduct, it is capable of excluding plainly dishonest conduct. The critical thing about the role of recklessness in misfeasance is public office is that it is a manifestation of a public officer's abuse of his office, that is to say, of his bad faith or dishonesty in not attempting honestly to perform it. If, contrary to my view, some discrete test of recklessness as to consequences is applicable in this case, I prefer Lord Neill's formulation of it, namely whether there was an obvious and serious risk of causing financial loss to depositors by not supervising BCCI properly, and, if so, whether the Bank failed to give any thought to it, or having recognised it, went on to take the risk?

I do not consider that a plaintiff in an action for misfeasance in public office who can establish dishonesty in the sense of a knowing and deliberate or recklessly unlawful act by the defendant need also establish some knowledge on the officer's part of consequential damage, whether in the form of foresight of foreseeability. There is force in the submission of Lord Neill that, as the primary focus of the tort is on whether a public officer made an honest attempt to perform his duty, not on any intention to injure, if he knew that he was not performing his duty he was sufficiently dishonest. Echoing the reasoning of Rand J in Roncarelli and Brennan J in Mengel in the passages that I have cited, he added that if the officer also knew, believed or suspected that his conduct might cause injury to persons whose interests he was required to protect and who otherwise would be unprotected, that could add to the overall dishonesty, but is not a pre-requisite of it.

Clarke J approached the matter by drawing from the authorities, particularly Bourgoin and Mengel, that an essential of the second form of the tort was proof of some mental state of the defendant as to injury consequent on his unlawful act. He said, at 578f-h:

> "On the basis of the cases to which I have so far referred I have reached the clear conclusion that foreseeability of damage is not enough to satisfy the second limb. For the reason which I have already given, once Mann J's decision is properly understood, there is no support in Bourgoin for the suggestion that reasonable foresight [sic] is sufficient at the second stage. There is no other support for it in the recent cases and in my opinion it is not supported by either principle or policy. As Mr. Stadlen points out, an officer may do something knowing it to be unlawful and in circumstances where it was reasonably foreseeable that a class of persons might suffer loss, but he might nevertheless do it in the best interests either of another class of persons or indeed of the plaintiff or of the class of persons of whom the plaintiff is one. In my judgment such a person would not be acting in abuse of power, whereas it is abuse of power which is the essence of the tort. It follows that, as was expressly held by the majority in Mengel, it is not sufficient to prove simply knowledge of the unlawful nature of the act and that the act caused the plaintiff's loss."

Later, after concluding on the other hand that proof of knowledge of inevitability of damage was not necessary to establish liability, knowledge of probability of injury would do, he said, at 583c-d, that:

> "The purpose of the tort as I see it is to give compensation to those who have suffered loss as a result of improper abuse of power. That being so, knowledge that the relevant person will probably suffer damage is surely sufficient."

Why any knowledge as to the consequences of deliberate and knowingly unlawful conduct by a public officer is necessary to bring home a claim of abuse of power, or why it should be knowledge of probable rather than merely possible damage, is not apparent from the Judge's reasoning. It may possibly be found in his suggestion that a public officer may with impunity deliberately and knowingly breach his duty for what he perceives to be a good reason even though in doing so he appreciates that it "might", as distinct from "probably would", cause injury to the plaintiff. There is also his implied acceptance, at 582ad, of the applicability to foreseeable, but apparently not to foreseen, injury of the public policy considerations mentioned by the Privy Council in Yuen and Davis v. Radcliffe against unduly fettering the exercise of executive discretion.

Such reasoning is contrary to the clear understanding of "malice" in the modern authorities, perhaps best exemplified in the facts of Roncarelli and the words of Rand and Abbott JJ in it, at 706-7 and 730, that I have cited, namely as including acting knowingly and intentionally in excess of power or contrary to legal duty.

Moreover, to permit dispensation by a public officer of his duty on such a distinction is quite unreal, ignoring as it does the essential "jury" issue of dishonesty. Can it reasonably be said that a public officer could ignore his duty in favour of some other perceived proper interest when he knows that in doing so, the consequences might, rather than probably would, cause very serious injury to very many people, as, for example, the BCCI depositors in this case? Put another way, and applying the Agip and Royal Brunei Airlines test, can it be said, particularly in advance of a trial on the facts, that such conduct is not dishonest? And, as I have already said, if appreciation of consequences is relevant at all to that question, the magnitude of the power breached, of the breach, of the possible injury risked and of the risk itself would also be relevant factors to weigh against the perceived proper interest in assessing dishonesty.

As for the Yuen and Davis v. Radcliffe public policy considerations going to the non-existence of a duty of care, for the reasons that I have given in relation to the Community law claim, they are as inapplicable to a public officer's dishonest disregard of duty resulting in foreseen harm as they are to that resulting in foreseeable harm.

It follows that, in my view, the test of abuse of power - dishonesty - by a public officer does not necessarily include as an essential ingredient some appreciation by the officer of an injurious consequence. A public officer who dishonestly disregards his plain duty or who does not honestly attempt to do it, acts at his peril, and if injury results he is liable for it.

But even if I am wrong about that, I can see no basis, whether as a matter of interpretation of Mann J's judgment in Bourgoin or otherwise, for requiring a plaintiff in a claim for misfeasance in public office to prove foresight in at least the form of suspicion of probable harm. That would be a much more onerous burden than that imposed on a plaintiff in a negligence claim, where the defendant is not necessarily a public officer and the claimant has not had to go to the lengths of proving dishonesty. Interestingly, it could also be more onerous than that in a tort of intentional injury such as fraudulent misrepresentation. In Smith New Court Securities Ltd. v. Citibank NA. Lord Steyn drew attention in the following passage from his speech, at 279D-280, to the well established policy of English law of imposing a more extensive liability on intentional wrong-doers than careless defendants:

> "On any view it is clear that, if Cockburn C.J. [in Twycross v. Grant (1877) 2 CPD 469, at 544-5] is right, the law imposes liability in an action for deceit for some consequences that were unforeseen and unforeseeable when the tortfeasor committed the wrong. And if that is right it may tell us something about the correct disposal of the present case.
>
> The justification for distinguishing between deceit and negligence
>
> That brings me to the question of policy whether there is a justification for differentiating between the extent of liability for civil wrong depending on where in the sliding scale from strict liability to intentional wrongdoing the particular civil wrong fits in. It may be said that logical symmetry and policy of not punishing intentional wrongdoers by civil remedies favour a uniform rule. On the other hand, it is a rational and defensible strategy to impose wider liability on an intentional wrongdoer. As Hart and Honore, Causation in the Law, 2nd ed. (1985). p. 304 observed, an innocent plaintiff may, not without reason, call on a morally reprehensible defendant to pay the

whole of the loss he caused. The exclusion of heads of loss in the law of negligence, which reflects considerations of legal policy, does not necessarily avail the intentional wrongdoer. Such a policy of imposing more stringent remedies on an intentional wrongdoer serves two purposes. First it serves a deterrent purpose in discouraging fraud. ... And in the battle against fraud civil remedies can play a useful and beneficial role. Secondly, as between the fraudster and the innocent party moral considerations militate in favour of requiring the fraudster to bear the risk of misfortunes directly caused by his fraud. I make no apology for referring to moral considerations. The law and morality are inextricably interwoven. To a large extent the law is simply formulated and declared morality. ...

For more than 100 years at least English law has adopted a policy of imposing more extensive liability on intentional wrongdoers than on merely careless defendants. This policy was trenchantly spelt out by Lord Blackburn in Livingstone v. Rawyards Coal Co. (1889) 5 App. Cas. 25. ..." [my emphases]

Finally, if there is a requirement of at least foreseeability of damage, the way in which abuse of power or dishonesty may damage an individual or class of individuals, the extent to which it may do so and the effect of the abuse on the public body's appreciation, if any, of its consequences will vary according to the public function abused. It is straightforward enough when an electoral officer unlawfully deprives an elector of his right to vote or a licensing authority unlawfully removes a licensee's right to trade. The certainty or strong likelihood of injury in each case is obvious to the misfeasor and requires no mention as a necessary ingredient of the wrong. Equally, where the function of a public body is to protect individuals from damage from the conduct of others, its exposure of them to such damage by its failure to protect from it is in clear and obvious disregard of their interests. The public body's knowledge of probable or possible damage from the defaults of those whom it should be supervising will depend largely on the assiduity with which it performs its duties. The less it does the less it is likely to know of or suspect any particular defaults capable of resulting in damage; but it cannot be unaware of the increased potential for such damage because of its lack of supervision. In the field of banking regulation above all, damage to depositors from defaults by unsupervised banks is clearly foreseeable by a regulator knowingly not doing its job.

Accordingly, I am of the view that the Plaintiffs have an arguable case, subject to matters of evidence the subject of the final issue on this appeal, against the Bank in misfeasance in public office.

"The Third Way" - reformulation of the tort of misfeasance

The Plaintiffs refer to the antiquity of the tort and contend that its principles, having their origin in jurisprudence governing the conduct of public officers in the eighteenth and nineteenth centuries, are not apt for the late twentieth century. They submit that, while it may be appropriate for individual public officers to be protected from liability unless it can be shown that they acted in bad faith, a requirement that a plaintiff should have to prove such bad faith on the part of an administrative department or organ of a modern state before he can obtain reparation is unjustifiable. It is unjustifiable, they say, because it imposes too high a burden on plaintiffs, as the European Court has held as a matter of Community Law, and because it may enable public authorities to hide behind arguments, such as that advanced by the Bank here, that plaintiffs must prove personal bad faith on the part of the ultimate decision maker.

Lord Neill referred the Court to Recommendation No. R (84) 15 of the Committee of Ministers of the Council of Europe of September 1984, to which the United Kingdom was a signatory, recommending the Governments of all Member States to be guided by certain principles in their law and practice relating to public liability. Principles I and II, so far as material, were as follows:

> "I Reparation should be ensured for damage caused by an act due to a failure of a public authority to conduct itself in a way which can reasonably be expected from it in law in relation to the injured person. Such a failure is presumed in case of transgression of an established legal rule.
>
> II Even if the conditions stated in Principle I are not met, reparation should be ensured if it would be manifestly unjust to allow the injured person alone to bear the damage, having regard to the following circumstances: the act is in the general interest, only one person or a limited number of persons have suffered the damage and the act was exceptional or the damage was an exceptional result of the act. ...

Lord Neill, in an argument not pleaded in the present or proposed pleading of the Plaintiffs and not argued before Clarke J, submitted that the requirement of proof of bad faith in the Common law action of misfeasance in public office is inconsistent with those Principles, and that the Common law touching the liability of the State and its departments to make reparation for losses caused by administrative failures should be adapted so as remove as conditions of reparation proof of a guilty mind, whether as to the lawfulness of the act or omission or as to the likelihood of damage.

Mr. Stadlen suggested that this attack on Clarke J's judgment was a mark of desperation, highlighting the limits presently set on the tort of misfeasance in public office by the leading English and Commonwealth authorities and not indicated by such authority as there is for developing or extending the tort. He said that the Council of Europe Recommendation has no status in English law and that Principle I of it appears to contemplate the imposition of liability independently of any breach of the existing law and automatically where a breach of statute is proved. He said that it was reminiscent of the discredited Beaudesert principle (Beaudesert Shire Council v. Smith (1966) 120 CLR 145 Aust. HC) of an innominate liability for damages for harm caused by an intentional and unlawful act of another (rejected by Lord Diplock in Lonrho v. Shell, at 187G-H, as part of the law of England and by the Australian High Court in Mengel, at 538). He submitted that this notion, liability without proof of knowing unlawfulness or fault, is alien to the Common law and its requirement of at least dishonesty. He relied, in particular, on the observation of in the New Zealand Court of Appeal in Garrett, at 350, that, as a matter of policy, the tort should not be allowed to overflow its banks and cover the unintentional infliction of damage. In short, he submitted that there is no English or Commonwealth authority or reason of policy for creation of a new tort. He said that such an extreme and novel basis for liability could only become part of English law by legislation.

There is authoritative judicial support for the proposition that the boundaries of the tort are not tightly drawn. See Racz v. Home Office [1994] 2 AC 45, HL, per Lord Jauncey of Tullichettle at 55H; Mengel, at 546; Elliott v. Chief Constable of Wiltshire, per Scott V-C at 13D-E; and Bennett v.

Commissioner of Police for the Metropolis, per Scott V-C, at 6A-B, "The precise boundaries of this tort have not been (and perhaps it would be inadvisable that they should be) precisely defined ..."; But even if, as a matter of domestic law, the boundaries were clear, the effect of Community law may be to loosen them. In Elguzouli-Daf Steyn LJ said, at 347B-D:

> "In this corner of the law our legal system possibly has a capacity for further development, notably under the direct or indirect influence of the jurisprudence of the European Court of Justice: see Francovich v. Republic of Italy (Joined Cases C-6/90 and C-9/90) [1991] ECR I-5357 and Kirklees Metropolitan Borough Council v. Wickes Building Supplies Ltd. [1993] AC 227, 281-282 per Lord Goff of Chieveley."

However, to rely on such reasoning does not, it seems to me, justify the Plaintiffs' argument for a "third way" as a further alternative to their submissions on the first two preliminary issues. Where Community law imposes obligations carrying corresponding rights enforceable in the domestic laws of Member States, in the event of a conflict between the two regimes Community law must prevail save if and to the extent that Community Law permits Member States a discretion in the matter. If I am right in concluding that the Plaintiffs' case as pleaded is capable, if proved, of giving them an enforceable Community law right in damages against the Bank, the English Common law of misfeasance, to the extent that it purports to restrict or impede the enforcement of that right, must bend before it. See pages 189-191, 243 and 246-247 of this judgment and, e.g., the reasoning of Advocate-General Leger in Hedley Lomas, at paras. 139-141, 162 and 206 and Section 2(1) of the 1972 Act. It is noteworthy that Lord Goff's expression of doubt in Kirklees, at 281C-282C, about the correctness of the Court of Appeal's majority decision in Bourgoin on the Community law point was based on his view that, as a result of Francovich, there was, in the case before their Lordships a Community law right enforceable in the English courts.

If I am wrong about the plaintiffs' entitlement to rely on Community law, either because there is no relevant Community obligation on the Bank or none matched by a corresponding right in the plaintiffs to damages for its breach, I cannot see on what basis the English Courts could properly develop the law of misfeasance by reference to Community law. For the Court to purport to sweep away, without a Community law imperative for doing so, the Common law's requirements of a guilty mind whether in the form of "targeted malice" or as to the lawfulness of the act or (as the Bank would contend) as to consequent injury, would be to usurp the function of the Legislature. Accordingly, I agree with Hirst and Robert Walker LJJ that the Plaintiffs' appeal should fail under this head.

Causation

This preliminary question is whether, on the assumption of the facts pleaded by the Plaintiffs, their claimed losses are capable in law of having been caused by the acts or omissions of the Bank. Put shortly, can the Bank be liable for its failure to protect the plaintiffs from loss caused immediately by the incompetence or dishonesty of BCCI?

As I have said, the question of causation, whether under Community law or English law is for the English Court to decide. As to Community Law, the Plaintiffs say that the very purpose of the 1997 Directive's provisions as to authorisation and supervision is to secure depositors effective protection against losses of the type suffered by the Plaintiffs.

Causation is essentially a question of fact and common-sense. See Galoo Ltd. (In Liq) v. Bright Grahame Murray (a firm) [1994] 1 WLR 1360, CA, per Glidewell LJ at 1374 to 1375. The question here, as Clarke J said, at 626f-g, is whether a jury, properly directed, could conclude that the Bank, by the alleged "sufficiently serious breaches" of its Community law obligations to the plaintiffs and/or by the alleged various repeated acts of misfeasance, caused loss to the Plaintiffs. It is sufficient to establish liability if the Plaintiffs prove that those acts or omissions were an effective cause; they do not have to prove that they were the only or main cause. See Banque Bruxelles Lambert SA v. Eagle Star Insurance Co. Ltd. [1995] QB 375, per Lord Bingham of Cornhill at 406. I too question the wisdom of putting this matter to Clarke J as a preliminary issue, since so much must turn on the findings of fact in the case.

The Judge held that, as a matter of common sense and notwithstanding that the immediate cause of losses may have been the dishonesty of BCCI, the alleged misconduct of the Bank was capable of being an effective cause of the Plaintiffs' losses. He seems to have tied that conclusion to his ruling that to establish misfeasance the Plaintiffs had to prove that the Bank knew or believed or suspected that its misconduct would probably cause loss to them, though why that should make any difference on the issue of causation is not clear. He said, at 629g to 630c:

> "... I can see no reason why, if the plaintiffs prove that the Bank knew that any particular act or omission would probably cause loss to a depositor or potential depositor (as a member of the class of depositors or potential depositors), it should not follow that the loss was caused by the act or omission complained of. Common sense suggests that in those circumstances there would be a direct and effective causal link between the act or omission and the loss. That would in my opinion be so even on the basis (as is the case on the facts) that another cause of the loss was fraud on the part of the managers.
>
> In these circumstances I do not think that it is helpful to try to analyse the many cases to which I was referred, but which do not discuss the question for decision. I do not think that in this context the issue of causation can be resolved in the way suggested by Mr. Stadlen. Thus it is not sufficient to say that no duty of care was owed to the plaintiffs or that it makes no difference to the question of causation whether the Bank acted honestly or dishonestly. Those points would I think have had force if the ingredients of the tort were as submitted on behalf of the plaintiffs, namely an act or omission which the Bank knew was unlawful and which foreseeably caused the loss. But on the view of the tort which I have expressed, the correct approach to causation in the case of the second limb is more akin to the approach to causation in the case of the first limb.
>
> ... In the present case, where the immediate cause of the loss was the fraud of the managers, it appears to me that if it can be proved that the Bank knew that the managers would probably be guilty of fraud and thus would probably cause the loss, the Bank would be liable on the basis that its misfeasance was an effective cause of the loss. ... common sense seems to me to lead to that result.

Given that foreseeability may be one, though not a necessarily conclusive factor, in determining causation, in particular whether there has been a novus actus interveniens, it seems to me that it and all the other usual circumstances would fall for consideration on the facts at a full trial. See Clerk & Lindsell, 17th ed. para. 2-26.

The Plaintiffs' case is that a jury would have no difficulty in concluding that, on the pleaded facts, the Bank's conduct was an effective cause of their losses. They say that the duties imposed on, and powers given to, the Bank by the 1977 Directive and the 1979 and 1987 Acts were intended to enable it to prevent or guard against depositors being put at risk as a result of incompetence or dishonesty by banks. The Bank's failure to comply with its duties resulted in its authorisation of BCCI to trade as a bank in this country and to continue to trade here with the result that BCCI attracted deposits which, by reason of its incompetence and/or dishonesty it became unable to repay. But for the Bank's failures the Plaintiffs would not have deposited monies or would not have maintained their deposits with BCCI and so would not have suffered the claimed losses. Such losses were the likely consequence of the Bank's conduct and precisely the consequence which the duties imposed on the Bank had been intended to prevent.

The Bank's case is that a defendant is not liable for losses caused by the independent acts of a third party unless he has assumed, or is deemed to have assumed, such a responsibility. Mr Stadlen put at the heart of his argument the following well-known observation of Lord Sumner in Weld-Blundell v. Stephens [1920] AC 956, HL, at 986:

> " In general (apart from special contracts and relations and the maxim Respondeat superior), even though A is in fault, he is not responsible for injury to C, which B, a stranger to him, deliberately chooses to do. Though A may have given the occasion for B's mischievous activity, B then becomes a new and independent cause. ... in a word, he insulates A from C."

However, as Lord Neill pointed out, there are many reported cases since then in which a defendant has been held to have been an effective cause of a loss the immediate and direct cause of which was the voluntary and, even, unlawful act of a third party. See e.g. De la Bere v. Pearson [1908] 1 KB 280, CA; London Joint Stock Bank Ltd. v. Macmillan and Arthur [1918] AC 777, HL; Stansbie v. Troman [1948] 2 KB 48, CA ; Davies v. Liverpool Corporation [1949] 2 All ER 175, CA; Dorset Yacht v. Home Office [1970] AC 1004, HL; and Ward v. Cannock Chase District Council [1986] Ch

546. Bingham LJ in Slipper v. BBC [1991] 1 QB 283, CA, indicated, at 298F-G, that the proposition of Lord Sumner "must today be treated with some reserve". As Lord Neill also observed, Lord Sumner was one of a bare majority in that case; and leading textbook writers regard it as a possible exception to the general rule

> "that a defendant is not relieved of liability by a foreseeable intervening act, or, to use what it is submitted is a preferable formulation, by an intervening act which is in accordance with human nature." (McGregor on Damages (15th ed. 1988, para. 165)

In any event, as the issue is whether a defendant's conduct was an effective cause of claimed loss, Lord Sumner's dictum cannot logically apply to a case where the claim is that the defendant is in breach of duty, of supervision or otherwise, to guard against or prevent the act of a third party causing the very loss that the duty was intended to prevent. As Lord Neill put it, common sense could not result in a conclusion that the Bank's failure to perform its duty was not an effective cause of the Plaintiffs' losses. In Smith v. Littlewoods Organisation Ltd. [1987] AC 241 HL(Sc) Lord Goff, after referring to the general idea in Lord Sumner's dictum that a person "ought not be held responsible for the deliberate wrongdoing of others", said, at 272B-C:

> "Of course, if a duty of care is imposed to guard against deliberate wrongdoing by others, it can hardly be said that the harmful effects of such wrongdoing are not caused by such breach of duty. We are therefore thrown back to the duty of care."

Although Lord Goff spoke in terms of a duty of care, because that happened to be the cause of action in the case, there is no logical basis for limiting its application, as a matter of causation as distinct from finding a cause of action, to cases of negligence. See also Dorset Yacht v. Home Office, per Lord Reid at 1030A-D; and Lamb v. Camden London Borough Council [1981] QB 625, CA, per Oliver LJ at 642D.

Yuen and Davis v. Radcliffe are not authorities to the contrary because in each the issue was whether the regulator defendant owed a duty of care to depositors and potential depositors, not whether they had caused their losses. Nor is Galoo Ltd. v. Bright Grahame Murray, in which an auditor of a company was held not liable in negligence to an investor in the company for alleged losses sustained as a result of relying on the company's audited accounts. The primary issue on the audited accounts in that case was whether the auditor owed the investor a duty of care, and there is an obvious distinction between the role of an auditor facing a claim in negligence and a regulatory body like the Bank facing a claim in Community law and/or of misfeasance. An auditor lacks both the power and duty of the latter to control whether the relevant institution trades or not and, if it does trade, to subject it to restrictions.

In my judgment, it follows that it is likely that the conduct of the Bank, as pleaded by the Plaintiffs, would be capable, if proved, of having caused the Plaintiffs' losses. For this purpose it is not necessary for them to prove that Bank had control over BCCI's day-to-day activities. It is sufficient that the Bank had a duty to guard against the occurrence of conduct of BCCI objectively likely to cause such losses, which, the Plaintiffs claim, it could have done by its extensive powers of control in the 1977 Directive and/or under the 1979 and 1987 Acts. See Lamb v. Camden London Borough Council, per Oliver LJ at 642D. However, as I have said, I do not regard this issue of causation as suitable for a preliminary determination.

Potential Depositors

This preliminary question, on which the Bank cross-appeals, is whether those Plaintiffs who were merely potential depositors at the time of the alleged misfeasance causing their losses are entitled to recover damages for them.

The Bank's case is that the tort requires an interference with an antecedent right or interest of the plaintiff. Mr. Stadlen submitted that, as a matter of policy, it would be wrong to permit right of recovery in respect of future rights or interests by persons coming within the same class since it would expose the Bank to "liability in an indeterminate amount for an indeterminate time to an indeterminate class".

The Plaintiffs' case is that there can be no public policy in protecting a public officer who has acted in a manner that he knew to be unlawful and, in doing so, has caused widespread damage. The concern should only be to ensure that a public officer who made an honest attempt to do his duty but who, as a result of some mistake, acted unlawfully, is protected from liability. Imposing liability for losses to potential members of the class of persons affected by the misfeasance of public officers would not inhibit them in the performance of their duty any more than the imposition of liability to those who are actually members of the class at the time. A defendant can always avoid liability by choosing not to act in a way that he knows is unlawful.

Clarke J, 632d-e, rejected the Bank's policy argument, so far as misfeasance in public office is concerned, in the following words:

> "In the present context the defendant seems to me to be sufficiently protected by the stringent requirements of the tort, but if a public officer is guilty of an abuse of power, in circumstances where he knows that what he is doing is unlawful and where he also knows that persons in the class of which the plaintiff is a member will probably suffer damage, I see no reason of either principle or policy why such a person should not recover his loss if he further proves that that abuse of power was an effective cause of his loss."

He left open, at 632e-f, the possibility that different considerations might apply to the claim for damages for breach of a Community law obligation.

In view of Clarke J's narrow definition of the second form of the tort of misfeasance, he was probably right in concluding that potential depositors could, if they satisfied its "stringent requirements", recover damages against the Bank. However, his reasoning might well have been different if he had taken the view of the tort that I have taken. I am not saying that it should have been, and I am not impressed with Mr Stadlen's recourse again to the public policy considerations in the negligence cases of Yuen and Davis v. Radcliffe. However, I respectfully share the view of Hirst and Robert Walker LJJ that this issue, like that of causation, would be more appropriately determined after a full trial on the facts.

The July 1997 Judgment striking out the claim

I gratefully adopt, and cannot usefully add to, the helpful summary of the history of the matter by Hirst and Robert Walker LJJ, drawn, like the necessarily longer summary of Clarke J in his July 1997 judgment, from Bingham LJ's Report. In that judgment Clarke J considered on the pleadings, the Report and some further documents shown to him, whether it would be impossible for the Plaintiffs to establish after further pleadings, documentary discovery and by way of interrogatories, further investigations and trial, that the Bank knew, suspected or believed that its alleged wrongdoing would probably cause them loss. He concluded that it would be impossible and, in consequence, dismissed the action on the grounds that it would be an abuse of process or vexatious or oppressive to allow it to proceed. He summarised his conclusions, at 171 to 172, as follows:

> " .. There is before the court all the evidence which is at present available to the plaintiffs.
>
> .. on the basis of that evidence the plaintiffs' claim is bound to fail.
>
> .. Having regard to all the circumstances of the case, but principally because of the work done by Bingham LJ and the contents of his 1992 report, there is no reasonable possibility of the plaintiffs obtaining more evidence in the future, whether by further investigation, discovery, cross-examination of the Bank's witnesses or otherwise which might enable them to succeed."

The issue of the correctness of that ruling only falls to be determined if Clarke J rightly held that the Plaintiffs have no cause of action under Community Law and that they can only succeed in their claim for misfeasance in public office if they can prove that the Bank at least suspected that its wrongdoing would probably cause them damage. For the reasons I have given, I would hold that he was wrong in both respects and, therefore, that he was not entitled to dismiss the action for that reason. However, I consider and give my view on the issue against the possibility of further appeal, assuming for the purpose that the Plaintiff must establish that the Bank knew, believed or suspected that its conduct would probably cause loss.

It is common ground for the purpose of this issue that, with one exception, the Plaintiffs have a pleaded and arguable case that the Bank at all relevant times and in relevant respects, knew, believed or suspected that its conduct or omissions in relation to BCCI were unlawful. That is one step further than Bingham LJ went, or considered it necessary to go, in his inquiry and report.

The exception is the question whether the Bank knowingly acted in breach of Section 3(5) of the 1979 Act in granting BCCI a full licence, and thereafter in not revoking it, in reliance on LBC's/IML's assurances, as a proxy for satisfying itself that BCCI satisfied the statutory criteria for the grant when BCCI's "principal place of business" was not in Luxembourg, but in the United Kingdom. Clarke J found, in favour of the Bank, that although BCCI's principal place of business at the material time was "almost certainly" in the United Kingdom, there was no material before him to lead him to disagree with Bingham LJ's conclusion in paragraphs 2.23-5 and 2.33 that the Bank made an innocent error in not appreciating that. Clarke J also found, at 44-5, that, although there was material from which it was at least arguable that the Bank must have known it could not be satisfied, as required by Section 3(5)(b), "as to the nature and scope of the supervision exercised by" LBC, there was no evidence that, if it had looked at the matter itself, it would have suspected the probability of damage to BCCI depositors.

I respectfully agree with Hirst and Robert Walker LJJ that the Plaintiffs have an arguable case on the knowledge of illegality point under Section 3(5). There was material before Clarke J that the Bank knew: that BCCI's principal place of business was in London, not Luxembourg; that the LBC/IML could not supervise BCCI effectively; that LBC's/IML's assurances were inadequate; and that BCCI did not meet the minimum statutory criteria for which those assurances were to stand proxy. However, unlike Hirst and Robert Walker LJJ, I shall consider the effect of this and the other alleged unlawful conduct of the Bank on the question whether it at least suspected the probability of damage to BCCI depositors.

Clarke J, in his May 1996 judgment, at 633a-b, had put the test, at its lowest for the Plaintiffs in just that way, "suspects that his act will probably damage the plaintiff" or "a person in a class of which the plaintiff is a member". In his July 1997 judgment on the issue of striking out, he introduced his task in substantially the same terms, at 33:

> "The question for decision at each stage is whether the Bank has shown that there is no realistic possibility of the plaintiffs establishing that the Bank knew, believed or suspected that the depositors or potential depositors would probably suffer loss if it did the act complained of or if it failed to do what the plaintiffs say that it ought to have done. ... that involves considering whether at each stage it knew, believed or suspected that appropriate remedial steps would probably not be taken by others."

However, when he went on, stage by stage in the history of the matter, to consider whether Bingham LJ's report and the material before him met the test he had set, he asked himself a narrower and, from the Plaintiffs' point of view, stricter question, namely, whether the Bank suspected that BCCI "would probably collapse". Later in the story when remedial steps and rescue packages were being considered, he variously expressed the question as whether the Bank suspected that "BCCI would probably collapse in the absence of ... [such] steps" or that "BCCI would probably not be rescued" or, in relation to the "rescue" by the Abu Dhabi Government in April 1990, whether it "must have known that losses to depositors or potential depositors were probable at or indeed from that time". Hirst and Robert Walker LJJ have suggested and adopted as correct a further tightening by Clarke J of his original test, namely whether the Bank "actually foresaw BCCI's imminent collapse at each relevant stage" (my emphasis).

Before I consider the respective cases of the parties on the question whether Clarke J was entitled to strike out the plaintiffs' claim, I must again express my unease about his test - in both its original and varied forms.

First, I have great difficulty in giving practical application to the double-jointed notion in his original formulation of it, at 633b-c of his May 1996 judgment, of "suspicion" of "probable" damage as, presumably, something less than "actual knowledge" of "probable" damage, but not "actual knowledge" of "possible" damage. Also, I also do not understand his conjunction of "suspicion" of "probable" damage with the notion of recklessness in the form of failure to ascertain whether there is such probability, as distinct from an actuality. It is all very complicated, and, as the Judge's reasoning in his July 1997 judgment suggests, his thought process, whatever his original formulation of the test, was as to whether the Bank knew of probable, as distinct from possible, damage.

Second, and more fundamentally, I have already expressed my disagreement with the Judge's original test of foresight of probable damage, especially in the context of a misfeasance claim against a regulator. Sharpening the test, as he and Hirst and Robert Walker LJJ have done, to one of foresight of probable (imminent) collapse of BCCI, simply drives home, in my view, its Orwellian illogicality. If such a test is to survive it will enable a banking regulator who deliberately and knowingly does not supervise a bank as it should do (as is conceded to be arguable here), with resulting damage to its depositors, to defeat a misfeasance claim simply by saying "because I did not make the enquiries that I should have done, I did not suspect that the plaintiff would probably suffer loss". In short it enables a banking regulator to rely on its own deliberate and knowing illegality as a justification for its lack of foresight that it would cause damage. If "policy" and "principle" are to be invoked, it must be against providing such an incentive to a banking regulator, or any public body exercising a supervisory function over institutions in the interest of persons for whom they provide a service, not to do their duty. And to load a plaintiff/depositor with the further burden of proving that, despite the regulator's self-imposed ignorance, it foresaw damage in the particular form in which it occurred seems to me, with respect, even more illogical and unjust in a common law remedy the purpose of which is to provide a remedy for abuse of public duty.

Third, in my view, even if Clarke J's original formulation in his May 1996 judgment of suspicion of probable "damage" was correct, his approach in his July 1997 judgment of confining "damage" for this purpose to collapse, imminent or not, of BCCI was far too narrow and somewhat unreal. See, for example, his conclusion at 55 that the Bank's (possible) appreciation of Bank of America's assessment of its investment in BCCI as "potentially hazardous" because of sub-standard, doubtful or loss producing loans to over 3.5 times BCCI's capital, fell short of a recognition by the Bank that "BCCI ... [would] probably collapse". There are many ways short of collapse of a bank which can result in damage to its depositors: it may not flourish so that it cannot pay the interest on such deposits in a timely way or in the amount undertaken; it may not be able to effect transactions on behalf of its depositors in as prompt or orderly a way as normal banking conventions demand or as customers had reason to expect when making the deposits; there may be delay in obtaining access to deposited funds because of the need to take steps to obtain support for the bank or due to arrangements short of winding up, such as composition with creditors or the appointment of a receiver or the taking possession by a debenture holder. All of those eventualities, damaging in different ways and degrees as they are to the integrity of a bank and to its customers, are the sort of damage against which the 1979 and 1987 Acts, in particular, the criteria for revocation in Sections 6 and 11 respectively, were designed to provide protection. I draw particular attention to the "sweep-up" provision in each of those provisions:

> 1979 Act S. 6(1):
>
> "(h) the institution has failed to comply with any obligation imposed by this Act; or
>
> (i) the institution has in any other way so conducted its affairs as to threaten the interests of its depositors."
>
> 1987 Act S. 11(1)
>
> "(b) the institution has failed to comply with any obligation imposed on it by or under this Act; ...

(e) the interests of depositors or potential depositors of the institution are in any other way threatened, whether by the manner in which the institution is conducting or proposes to conduct its affairs or for any other reason." (my emphases)

I could not accept, certainly on an application to strike out the proceedings and without a full trial of the matter on the facts, that unless the Bank suspected the ultimate and most extreme form of damage to depositors of BCCI, namely its collapse, as a result of its arguable lack of supervision, it would not be liable for loss resulting from the occurrence of such an event. To so limit the plaintiffs' entitlement to recover would be a further and, in my view, unwarranted imposition on a plaintiff claiming damages for misfeasance in public office.

The Plaintiffs' case is that, if necessary, they have arguably sufficient evidence to support the state of mind described by Clarke J, or that there are reasonable grounds for supposing that sufficient evidence to prove it will become available for trial. In consequence, they say, their claim is not incurably bad. They maintain that the Judge's review of the claim and his heavy reliance on Bingham LJ's Report in determining that the claim was incurably bad was without precedent and inappropriate, and that his decision was irrationally wrong.

The Bank's case is that the Plaintiffs' submissions on the materials and evidence before the Judge are wrong or misleading or speculative and that he was entitled to conclude on all the material before him that the case as pleaded, and as pleadable on such further material as there might be, was doomed to fail.

Clarke J explained his decision to strike out the claim, at 167-9 of his July 1997 judgment:

"... in addition to questioning witnesses Bingham LJ considered in detail all the relevant internal documents in the possession of the Bank, which involved a perusal of a mass of documentation. ... it is clear from the terms of Bingham LJ's covering letter to the Chancellor of the Exchequer, and indeed from many passages in the report itself, that he was applying his mind to the question what was the state of mind of the Bank at each stage. In these circumstances ... it is inconceivable that Bingham LJ was aware of material which was materially at odds with his conclusions as to the state of mind of the Bank. There is, in my judgment, no realistic possibility that he has not correctly set out the state of mind of the Bank at each stage.

Whilst it is, of course, true that I have seen only the report and not the appendices, the published report is a summary of an even more detailed narrative in the appendices. Since ... Bingham LJ was expressly considering the state of mind of the Bank at each stage, it is in my judgment inconceivable that there is in the appendices material which would or might support the conclusion that the Bank had the state of mind which the plaintiffs must establish. If there was, Bingham LJ would have referred to it, even if only to dismiss it. He would certainly not have disregarded it. ... there is nothing in the material which I have seen which gives arguable support for the plaintiffs' case. I would, however, go further. There is nothing in that material which gives reasonable grounds for supposing that there might be other evidence which might in the future support the plaintiffs' case. In these circumstances I accept Mr Stadlen's further submission that there is no realistic possibility of more evidence becoming available, whether by further investigation, discovery, cross-examination or otherwise, which might throw light upon the state of mind of the Bank or any of its relevant officials during the period during which BCCI was operating." (my emphases)

Given that heavy reliance by Clarke J on Bingham LJ's Report as a justification for taking the exceptional course of striking out the claim as doomed to fail, it is important to consider the Lord Justice's terms of reference and the factual content of his report. He stated his understanding of his terms of reference "as calling for consideration of five broad questions":

"(1) What did the United Kingdom authorities know about BCCI at all relevant times?
(2) Should they have known more?
(3) What action did the United Kingdom authorities take in relation to BCCI at all relevant times?
(4) Should they have acted differently?
(5) What should be done to prevent, or minimise the risk of, such an event recurring in the future?

Whilst those questions encompassed some of the issues in this litigation, they did not invite, and Bingham LJ did not venture, any focused conclusions as to possible civil responsibility in whatever form in respect of any of his findings of deficient supervision by the Bank. Indeed, it is clear that he would not have regarded such an inquiry as an appropriate medium of reaching or expressing such conclusions, not least because, as he observed in his letter of submission of the Report:

"It should be made clear ... that most of the criticisms made, and a number of factual conclusions, remain the subject of challenge."

In particular, save as to the applicability of Section 3(5) of the 1979 Act (Report, paras. 2.22-33), he did not in general comment expressly on the lawfulness of the Bank's conduct of its supervisory role, still less as to its knowledge at the time of any unlawfulness. Such lack of express finding of deliberate and knowing illegality is, in any event, of no assistance to the Bank on this issue, since it is common ground that the plaintiffs have an arguable case on that aspect of the case.

As to knowledge or suspicion of probable damage, it is plain from many comments of Bingham LJ in the Report that his view was that, if the Bank, had done its job properly, it would have found out more about BCCI's dangerously unsatisfactory financial position earlier and might thus have averted much loss. See, in particular, his summary on this aspect in paragraph 2.484 of the Report. He did not examine, or need to examine, in the same way as Clarke J did subsequently in this case, the gradations, and their legal significance, of the Bank's state of mind, from knowledge of probable damage through suspicion of probable damage to knowledge or suspicion of possible damage, or to probe, as he might have done, the overlapping implications of recklessness. On occasions, after expressing obvious scepticism about the Bank's inaction, he has, like Clarke J in his July 1997 judgment, confined his conclusion to there being no indication that it foresaw the collapse of the Bank (See e.g. Report, paras. 2.329, 2.333 and 2.426), or he has left the matter by expressing doubt as to whether the Bank, in the light of its knowledge, could have averted such collapse (see e.g. Report, paras. 2.362 and 2.484), a matter of causation.

In addition to the different function of Bingham LJ's inquiry from the more focused issues for determination in this litigation, there are several obvious disadvantages of his procedure when compared with the court process for determining the truth of the matter and its legal significance. His was not a statutory inquiry, so he had no power to compel the attendance of witnesses or require the production of documents; he heard the evidence of some, but not all relevant and important players in the story; there was no counsel to the inquiry and no opportunity for adversarial discovery, interrogation or cross-examination of witnesses; as I have said, he acknowledged that most of his criticisms and a number of his factual conclusions were challenged, the validity of such challenges not capable of being tested on appeal.

In the circumstances, I am of the view that Clarke J was not entitled to treat Lord Justice Bingham's Report effectively as conclusive on the questions he, the Judge, had to answer in this litigation or to conclude, as he did, that all the available material evidence on those questions was gathered in. Given the greater generality of the questions in the Bingham Inquiry, the limitations of it as a fact finding exercise when compared with litigation on sharply focused questions such as those raised by the pleadings here, his acknowledgment of a number of challenges to some of his factual conclusions, the subsequent emergence of additional material since the Inquiry indicating the Bank's state of knowledge as to the Gokal unrecorded loans, I can see no basis for Clarke J's confidence in this extraordinary and complex case for concluding that Bingham LJ had seen and fully tested all the material evidence available or likely to become available on the issues confronting the court in this case.

As the authorities to which Hirst and Robert Walker LJJ have referred indicate, it is normally only in clear and obvious cases that a court should strike out a claim as incapable of proof at the interlocutory stage and before full discovery. In cases, such as this, of great legal and factual complexity, it requires a justified confidence that the plaintiffs' case is and will remain incapable of proof and most exceptional circumstances to justify stifling it at an early stage. For the reasons that I have given, I do not consider that the Court can be confident that all the evidence material to Clarke J's conclusion about the Bank's state of knowledge has been gathered in or, which is as important, properly tested. In addition, quite separately from my rejection of the Judge's requirement of the need for proof of foresight of the probability of harm, I do not consider that he has posed the correct question in expressing it as one of the Bank's foresight of BCCI's probable collapse. In my view, there are no exceptional circumstances of the Williams & Humbert sort or otherwise to justify departing from the normal rule of leaving it to the trial judge.

Accordingly, I would allow the Plaintiffs' appeal and dismiss the Bank's cross-appeal on the matters in issue, save on the issues of causation and potential depositors which I consider should be determined at trial.

APPENDIX

Summary of the relevant provisions of the Banking Act 1979

The Bank was prohibited from granting recognition to an institution as a bank unless it was "satisfied" that:

- it "enjoy[ed] and ha[d] for a reasonable period of time enjoyed, a high reputation and standing in the financial community";

- it provid[ed] in the United Kingdom "either a wide range of banking services or a highly specialised banking service;

- its business [was] "carried on with integrity and prudence and with those professional skills which [were] consistent with the range and scale of [its] activities";

- at least two individuals effectively direct[ed] its business;

- it had and maintained certain minimum net assets, including such assets "which together with other financial resources available to [it] of such a nature and amount as [were] considered appropriate by the Bank, [were] of an amount which [was] commensurate with the scale of [its] operations" (Section 3(3)(a), Schedule 2, Part I)]

As to the grant of a full licence to carry on a deposit-taking business, the Bank was prohibited by Section 3(3)(b) and Schedule 2, Part II, from granting it to an institution unless it was "satisfied" as to certain minimum criteria, inter alia, that:

- every "director, controller or manager" of it was "a fit and proper person to hold that position" (Schedule 2, paragraph 7);

- at least two individuals "effectively direct[ed] its business (the "four eyes" requirement)(Schedule 2, paragraph 8);

- it conducted its business "in a prudent manner and, in particular -

> (a) maintain[ed] ... net assets of such amount as, together with other financial resources available to it of such a nature and amount as [were] considered appropriate by the Bank, [was] sufficient to safeguard the interests of its depositors, having regard to ... the scale and nature of [its] liabilities ... and the sources and amounts of deposits accepted by it; and ... the nature of its assets and the degree of risk attached to them;
> (b) maintained ... adequate liquidity having regard to the relationship between its liquid assets and its liabilities and also to the times at which its liabilities [fell] due and its asset mature[d]; and
> (c) ma[de] ... adequate provision for bad and doubtful debts and obligations of a contingent nature."
> (Schedule 2, paragraph 10)

In the case of an institution whose principal place of business was outside the United Kingdom, the Bank could ("may") regard itself as satisfied that the criteria of fit and proper persons and prudent conduct of business in Schedule 2, paragraphs 7 and 10 respectively were fulfilled if "the relevant supervisory authorities" in the country of its principal place of business "inform[ed] the Bank that they were satisfied with respect to [its] management ... and its overall financial soundness; and [if] ... the Bank [was] satisfied as to the nature and scope of the supervision exercised by those authorities". (Section 3(5)).

As to revocation, the Bank had power, subject to the subject institution's right of appeal to the Chancellor of the Exchequer (Sections 6, 7 and 11), to revoke recognition or a licence ("the powers ... shall become exercisable") if it appeared to it, inter alia:

- that the institution was not or had not been fulfilling any of the criteria for grant in Schedule 2 (Section 6(1)(c)); or
- in the case of an institution whose principal place of business was outside the United Kingdom, that the relevant body there had withdrawn the authority corresponding to the United Kingdom recognition or licence (Section 6(1)(d)); or
- "the institution [had] failed to comply with any obligation imposed by [the] Act" (Section 6(1)(h)); or

- "the institution [had] in any other way so conducted its affairs as to threaten the interests of the depositors" (Section 6(1)(i)).

As to supervision, the Bank had power, on revoking recognition or a licence, and after notifying, with reasons, the subject institution of its intention and receiving representations from it, to grant it a conditional licence (Section 7(1)(b) and (3) and Schedule 4), that is, a licence subject to conditions imposed by the Bank which (Section 10(1) and (2))

> (2)(a) "shall be such as [it] ... considers necessary in order to secure the protection of the depositors of that institution; and
> (b) may require the institution to take certain steps or to refrain from adopting or pursuing a particular course of action or to restrict the scope of its business in a particular way; and
> (c) may be varied from time to time by agreement between the Bank and the institution."

The sort of conditions which the Bank might impose under Section 10(2)(b) were indicated in Section 10(3):

> "Without prejudice to the generality of subsection (2)(b) ..., the conditions of a conditional licence may -
> (a) impose limitations on the acceptance of deposits, the granting of credit or the making of investments;
> (b) prohibit the soliciting of deposits, either generally or from persons who are not already depositors; and
> (c) require the removal of any director, controller or manager."

The Bank also had extensive powers to require information and documents from a licensed institution, powers backed by the sanction of a criminal penalty in the event of failure without reasonable excuse to comply. Section 16 provided:

> "(1) The Bank may by notice in writing served on a licensed institution-
>
> (a) require the institution to furnish to the Bank, at such time or times as may be specified in the notice, such information as the Bank may reasonably require about the nature and conduct of the institution's business and its plans for future development; and
>
> (b) require the institution to furnish to the Bank, together with the information required under paragraph (a) above, a report by an accountant approved by the Bank on that information or on such as aspects of it as may be specified in the notice.

(2) The Bank may by notice in writing served on a licensed institution require the institution to produce within such time and at such place as may be specified in the notice, such books or papers as may be so specified, being books or papers which the Bank may reasonably require for the purpose of obtaining information within paragraph (a) of subsection (1) above.

(3) Where ... the Bank requires the production by a licensed institution or any other person of books or papers, the Bank may -

(a) ..require that person, or any other person who is a present or past director, controller or manager of, or is or was at any time employed by, the institution, to provide an explanation of any of them; and

(b) if the books or papers are not produced, require the person who was required to produce them to state, to the best of his knowledge and belief, where the books or papers are.

Third, Section 17 gave the Bank a power to order an investigation, backed by a penal sanction, of the state and conduct of the business of the institution. It provided:

"(1) If it appears to the Bank desirable to do so in the interests of the depositors of a recognised bank or licensed institution, the Bank may appoint one or more competent persons to investigate and report to the Bank on the state and conduct of the business of the bank or institution concerned, or any particular aspect of that business.
...

(3) It shall be the duty of every director, controller, manager and agent of a body whose business is under investigation ...

(a) to produce to the person appointed ... all books and papers relating to the body concerned which are in his custody or power;

(b) to attend before the persons so appointed when required to do so; and

(c) otherwise to give to those persons all assistance in connection with the investigation which he is reasonably able to give."